Draft copy



INDUSTRY PERFORMANCE REPORT 2025

Malaysian Communications and Multimedia Commission

Malaysian Communications and Multimedia Commission 2025

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Note: Numbers and percentages may not add up due to rounding practices. Information and figures given are accurate as at the date and time this Report was produced.

Online Report

This Industry Performance Report 2025 covers the performance, developments, and key trends of Malaysia's communications and multimedia industry.

The print version is identical to its PDF version, which is available at www.mcmc.gov.my.

This report is issued in both English and Bahasa Malaysia. The English version shall prevail in the event of any discrepancy.

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Design Rationale

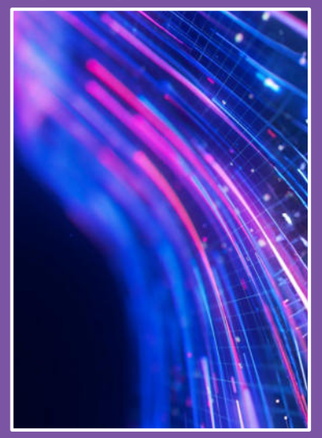
Wave of Connectivity

Book Cover: Industry Performance Report 2025

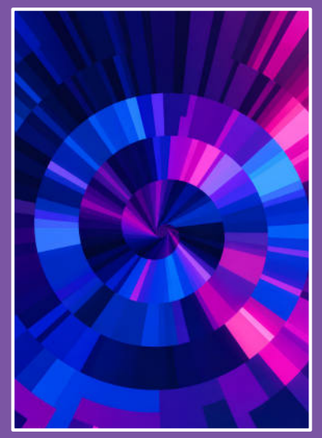
The original image illustrates streams of digital information moving through an interconnected environment. The flowing light trails represent the continuous exchange of data, signals and communication that underpins Malaysia's communications and multimedia ecosystem. Their speed and direction convey connectivity, technological advancement and the seamless movement of information across modern networks and digital services.

The visual was selected as the foundation for the Wave of Connectivity concept. Through the spiral transformation, the image becomes a symbolic wave that represents the flow of communication, data and digital interaction across Malaysia's connected ecosystem. It reflects MCMC's role in enabling, regulating and guiding the industry towards a more connected, trusted and future-ready digital landscape.

Original Image



Spiral Transformation





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"Connectivity, digital services and trusted online platforms have become increasingly central to how Malaysians communicate, work, learn, access services and participate in the economy."



Chairman's Statement

Tan Sri Mohamad Salim bin Fateh Din
Chairman of the Malaysian Communications and Multimedia Commission

It is my pleasure to present the Malaysian Communications and Multimedia Commission (MCMC) Industry Performance Report 2025, which captures the progress, performance and transformation of Malaysia's communications and multimedia sector during the year.

In 2025, the sector demonstrated resilience amid a changing economic environment, rapid technological advancement and evolving consumer expectations. Connectivity, digital services and trusted online platforms have become increasingly central to how Malaysians communicate, work, learn, access services and participate in the economy. Against this backdrop, the communications and multimedia sector served as a key enabler of Malaysia's digital economy, advancing innovation, productivity and inclusive growth across communities, businesses and public institutions.

The industry delivered steady performance, with listed communications and multimedia companies achieving a combined market capitalisation of RM110.63 billion, representing 5.4% of Bursa Malaysia's total market capitalisation. Industry revenue also recorded a 1.5% increase, reaching RM49.45 billion. The telecommunications sector was the largest contributor, anchored by demand for broadband, mobile connectivity, enterprise solutions and digital infrastructure. These figures demonstrate the sector's economic significance and its role in enabling the country's wider digital transformation.

High-speed connectivity remained at the heart of Malaysia's digital development in 2025. The successful implementation of the Pelan Jalinan Digital Negara (JENDELA) marked another significant milestone in Malaysia's digital transformation journey. With fibre connectivity extended to 9.81 million premises, surpassing the national target of 9 million, the country has made notable progress in strengthening its broadband infrastructure. This achievement underscores the industry's continued commitment to expanding high-quality digital connectivity, enhancing nationwide access to reliable internet services and laying a stronger foundation for sustainable economic growth and digital inclusion. At the same time, internet coverage in populated areas reached 99.71%, enabled by the deployment of new 4G towers and the upgrading of existing base stations.

The development of 5G marked another important stage in Malaysia's connectivity journey. By year-end, Malaysia recorded 29.0 million 5G subscriptions, reflecting strong adoption of next-generation mobile services. The transition towards a Dual 5G Network Model, with U Mobile commencing implementation of the second national 5G network alongside Digital Nasional Berhad, is expected to enhance network resilience, expand service availability and encourage greater market competition. Beyond faster connectivity, 5G will enable new applications across manufacturing, healthcare, education, smart cities and enterprise digitalisation.

Beyond connectivity, the postal and courier sector played an important role in Malaysia's digital economy. In 2025, the country recorded 45.9 parcels per capita, surpassing the Pelan Accelerator Kurier Negara (PAKEJ) target of 30 parcels per capita. This milestone marked the conclusion of the five-year PAKEJ cycle and underlined the sector's growing importance in enabling e-commerce, business activity and consumer convenience. As parcel volumes increased, service providers expanded infrastructure, improved delivery capabilities and adopted new technologies to enhance efficiency and sustainability.

Digital inclusion was another key area of MCMC's work. With 1,098 centres serving more than 1.9 million users, the National Information Dissemination Centre (NADI) helped bring connectivity, digital skills, entrepreneurship support and trusted government information closer to communities, particularly in rural and underserved areas. Its role has expanded through programmes in artificial intelligence, digital entrepreneurship, lifelong learning and community-based services. Malaysia's recognition at the World Summit on the Information Society Prizes 2025 for the NADI Digital Inclusive Project further affirms the value of this model in advancing inclusive digital development.

As Malaysians spend more time online, trust and safety have become essential foundations of the digital ecosystem. In response, MCMC intensified efforts to promote a safer online environment through regulatory action, industry accountability and public awareness. The introduction of the Online Safety Act 2025 marked a major step in strengthening safeguards for users, particularly children and vulnerable groups, while encouraging greater responsibility among digital platforms. Initiatives such as the Kempen Internet Selamat and community-based awareness programmes also equipped Malaysians with the knowledge to navigate the online space more responsibly.

Consumer protection, service quality and trusted content are equally essential to ensuring that digital growth benefits Malaysians in a meaningful way. MCMC focused on strengthening regulatory frameworks, improving service standards, enhancing complaint resolution and promoting fair competition, while the media landscape shifted further across television, streaming, radio, mobile and social platforms. As audiences move towards on-demand access and multi-platform engagement, local content development will be vital in supporting cultural expression, national identity and opportunities for Malaysian creators, production companies and media businesses.

Looking ahead, the next phase of the sector's development will be defined by the rapid advancement of transformative technologies, including artificial intelligence, cloud services, cybersecurity, data centres, 5G-Advanced, the Internet of Things and other emerging innovations. These developments will create new opportunities to strengthen Malaysia's digital ecosystem, enhance economic competitiveness and deliver greater value to businesses, consumers and society.

As both regulator and facilitator, MCMC will continue to play a pivotal role in shaping an enabling and trusted environment for the sector to thrive. Through close collaboration with the Government, industry players and stakeholders, we will support responsible innovation, encourage sustainable growth and ensure that Malaysia is well-positioned to seize the opportunities presented by the digital future. In doing so, we remain committed to balancing technological progress with the principles of consumer protection, security, inclusivity and the broader public interest.

As the sector evolves, we remain committed to striking the right balance between technological advancement and the principles of consumer protection, fair competition, and the broader public interest, ensuring that the benefits of digital transformation are accessible to all.

On behalf of MCMC, I extend my sincere appreciation to our partners across the public and private sectors, consumer groups, community stakeholders and MCMC staff for their unwavering commitment and collaboration throughout 2025. Together, we will continue to build a trusted, inclusive and innovative communications and multimedia ecosystem that supports Malaysia's aspirations to become a leading digital nation.

Executive Summary

Economic Performance of the Industry

The Malaysian economy sustained its growth momentum in 2025, with Gross Domestic Product (GDP) expanding by 5.2%, marginally higher than the 5.1% growth recorded in the previous year. Growth was underpinned by resilient domestic demand, favourable labour market conditions and investments in digital infrastructure, including data centre development. This positive economic environment reinforced demand for communications, broadband and digital services, supporting Malaysia's digital transformation and connectivity agenda.

The communications and multimedia (C&M) industry, covering telecommunications, broadcasting, and postal and courier services, remained an important contributor to Malaysia's digital economy. In 2025, listed C&M companies recorded RM110.63 billion in market capitalisation, representing 5.4% of Bursa Malaysia's total market capitalisation. The telecommunications sector was the dominant contributor, anchored by steady demand for connectivity services, enterprise solutions and digital infrastructure.

Industry revenue grew by 1.5% to RM49.45 billion in 2025, led mainly by the telecommunications sector, which recorded a 2.4% increase to RM43.56 billion. This was linked to demand for fixed broadband, mobile connectivity, enterprise services and wider adoption of digital and 5G-enabled devices. In contrast, broadcasting revenue declined by 6.9% to RM3.63 billion, amid softer demand for traditional media services. The postal and courier sector also recorded a marginal decline of 0.4% to RM2.26 billion amid intense competition and weaker traditional mail revenue, although e-commerce activity helped sustain parcel delivery demand.

Capital expenditure (capex) in the telecommunications sector remained substantial at RM4.84 billion, reflecting the industry's investment in digital infrastructure, network quality and long-term connectivity needs. While capex moderated slightly compared with the previous year, investment activity was focused on service reliability, coverage expansion and digital transformation.

Government-led initiatives such as JENDELA and NADI also formed part of national efforts to improve connectivity and expand internet accessibility, particularly in underserved areas.

Collectively, the C&M industry demonstrated resilience amid evolving market conditions and external economic uncertainties. Digital adoption, demand for reliable connectivity and sustained infrastructure investment are likely to be key factors shaping the industry's long-term growth.

State of Connectivity in Malaysia

Malaysia's communications and connectivity landscape advanced further in 2025, driven by rising demand for high-speed internet services, wider digital adoption and infrastructure development under the Pelan Jalinan Digital Negara (JENDELA). The expansion of broadband and mobile services remained an important enabler of economic activity, digital inclusion and national digital transformation across households, businesses and public institutions.

Broadband services recorded moderate growth during the year, with total broadband subscriptions increasing by 0.6% to 49.91 million. Fixed broadband subscriptions grew by 4.8% to 5.04 million, reflecting higher demand for reliable and high-speed connectivity among households and enterprises. Mobile broadband subscriptions stood at 44.87 million, influenced by affordable mobile plans, stronger network quality and wider 4G LTE and 5G coverage.

JENDELA served as the key national initiative for improving broadband infrastructure and communications services. As at 31 December 2025, approximately 9.81 million premises had access to fibre connectivity, surpassing the national target of 9 million premises passed. Internet coverage in populated areas reached 99.71%, following the deployment of 4,484 new 4G towers and the upgrading of 49,084 existing base stations. These developments helped improve connectivity quality, narrow digital gaps and widen internet accessibility across urban and rural communities.

Malaysia's transition towards a Dual 5G Network Model marked another important milestone in 2025. Alongside Digital Nasional Berhad, U Mobile commenced implementation of the second national 5G network, supporting wider 5G availability, stronger infrastructure resilience and increased market competition. As at December 2025, Malaysia recorded 29.0 million 5G subscriptions, representing a penetration rate of 84.5 subscriptions per 100 inhabitants. Adoption benefited from affordable prepaid and postpaid plans, wider availability of 5G-enabled devices and broader network coverage.

The services and connectivity sector recorded steady progress in 2025. Investments in fibre, mobile and 5G infrastructure, together with strong public-private collaboration under JENDELA, are expected to strengthen Malaysia's digital ecosystem and support the nation's long-term digital economy aspirations.



Content Services

Malaysia's content services landscape is shifting towards a more integrated and multi-platform environment, as audiences access television, radio and video content across connected devices, streaming platforms and mobile applications. This has changed how content is produced, distributed and monetised, with broadcasters placing greater emphasis on local content, digital distribution and audience engagement.

Pay-TV penetration stood at 62.9% as at December 2025, compared with 65.4% in 2024. The decline reflected changing consumer behaviour and wider use of online and mobile platforms for content consumption. In response, pay-TV service providers introduced more competitive subscription packages, collaborations with over-the-top (OTT) platforms and partnerships to expand locally produced content across diverse genres. These initiatives were aimed at meeting the preferences of different audience segments while preserving the relevance of pay-TV services in a more competitive media environment.

Local content remained an important differentiator for broadcasters and streaming providers, particularly as competition for audience attention intensified. Industry players expanded investments in Malaysian productions, digital-first content and multi-platform distribution to attract viewers across traditional television, OTT and social media platforms. At the same time, efforts to improve accessibility and strengthen content protection gained greater attention, including initiatives related to inclusive broadcasting and anti-piracy enforcement.

Radio retained a strong presence among Malaysians, with approximately 21.9 million weekly listeners and average listening time of 12 hours and 47 minutes per week. Its accessibility across vehicles, homes and workplaces reinforces its role as a trusted medium for real-time news, information and entertainment. Radio broadcasters also expanded audience engagement through community programmes, social media, mobile applications and experiential campaigns.

The advertising market also reflected changing media consumption patterns, with expenditure moving further towards digital platforms. This shift has encouraged broadcasters to diversify monetisation strategies through audience analytics, integrated advertising solutions, creator-led campaigns and content-driven marketing. Taken together, these developments show that Malaysia's content services industry is adapting to a more fragmented, competitive and technology-enabled media environment.



Online and Community Services

In 2025, Malaysia advanced its digitalisation agenda through community-based digital services, trusted digital authentication and wider participation in the digital economy. As more public, business and consumer activities moved online, secure authentication services became increasingly important for online transactions, electronic verification, digital signatures and trusted communications across e-government, e-commerce, digital finance and other online services.

As at end-2025, licensed Certification Authorities had cumulatively issued 34.6 million digital certificates, reflecting growing reliance on trusted digital authentication services in Malaysia. The government sector accounted for the largest share at 70.4% of total certificates issued, demonstrating the role of digital certificates in enabling secure delivery of digital government services while safeguarding the confidentiality, authentication and integrity of online communications and transactions.

Community-based digital initiatives also played an important role in promoting inclusion, improving access to online services and enhancing digital literacy. The National Information Dissemination Centre (NADI) served as a grassroots platform connecting communities to internet access, digital learning opportunities, entrepreneurship support and trusted government information. With 1,098 centres across the country, NADI reached more than 1.9 million users, extending the benefits of digitalisation to local communities.

NADI also broadened its role in line with emerging technology trends and community needs. AI-related programmes were introduced to equip communities with future-ready digital skills, while initiatives such as drone-based medicine delivery and NADI on Wheels improved access to services for rural and remote communities, vulnerable groups and areas affected by natural disasters. Moving forward, the rebranding of NADI as NADI MADANI is expected to expand its role in supporting socio-economic development and improving quality of life at the community level.

The growth of secure digital services and community-based digital initiatives helped build greater public confidence in Malaysia's digital ecosystem. This was complemented by high internet penetration, widespread smartphone adoption and stronger consumer participation in online commerce. During the first nine months of 2025, e-commerce revenue increased by 1.9% to exceed RM1 trillion, with fashion and home care products among the most popular online purchases. Shopee maintained its position as the leading e-commerce platform among Malaysian consumers, followed by TikTok Shop and Lazada.

As online participation expanded, greater emphasis was also placed on online safety, digital awareness and responsible use of online platforms. These efforts are important to ensure that the benefits of digitalisation are matched by trust, security and resilience, particularly as more Malaysians use digital services for communication, learning, e-commerce and access to public services.



Postal and Courier

Malaysia's postal and courier sector recorded a key milestone in 2025, with parcels per capita reaching 45.9, surpassing the Pelan Accelerator Kurier Negara (PAKEJ) target of 30 parcels per capita. This marked the conclusion of the five-year PAKEJ cycle from 2021 to 2025, during which parcel volumes more than tripled and the sector became more closely linked to Malaysia's e-commerce and logistics ecosystem. Complaints also declined by 35% to 8,702, reflecting improvements in service performance and consumer experience over the period.

The sector underwent a clear structural shift during the year. Pos Malaysia Berhad handled 282.85 million postal items, a decline of 9.1% from 279.85 million items in 2024, as consumers shifted towards digital communication channels. Letter post remained the largest segment, accounting for 87.8% of total postal traffic. In contrast, courier traffic expanded by 24.7% to 1.58 billion items, with packages and parcels accounting for 97.2% of total courier traffic, indicating strong demand from e-commerce and parcel delivery services.

Courier infrastructure also expanded to meet rising delivery requirements. The number of courier facilities increased by 80.7%, from 15,291 to 27,626 facilities, while Rangkaian PAKEJ covered 28,592 service points involving 23 service providers. This included Pick-Up and Drop-Off (PUDO) facilities at 511 NADI centres, improving access to courier services in rural and underserved areas.

In terms of market structure, the courier industry moved towards a more concentrated competitive landscape in 2025, with activity centred around major service providers. This development shows the maturing nature of the industry, where scale, network reach, operational efficiency and delivery reliability are becoming key factors in market competitiveness.

In response to higher parcel volumes and evolving customer expectations, courier service providers have accelerated operational transformation through technology adoption and sustainability initiatives. The sector is using artificial intelligence, fleet management systems and route optimisation to improve efficiency, while also adopting electric vehicles, renewable energy solutions and solar panel installations at operational facilities. These initiatives reflect the sector's shift towards more efficient, cost-effective and sustainable logistics operations.



Quality of Services

Service quality and consumer protection were central priorities for MCMC in 2025, as digital services became more important to daily communication, commerce, public services and media consumption. During the year, MCMC recorded 71,919 consumer complaints across the communications and multimedia industry, representing a 23% increase from 58,258 complaints in 2024. Telecommunications accounted for the largest share of complaints at 46%, followed by online content at 40%, postal and courier services at 12%, and broadcasting at 1%. Despite the higher complaint volume, 96% of complaints were resolved by 31 December 2025.

Several regulatory and service-related milestones were achieved during the year. The Next Generation Malaysian Emergency Response Service 999 (NG MERS999) became fully operational on 16 November 2025, replacing the legacy emergency response platform with a multimedia-capable system. MCMC also issued the revised Mandatory Standards for Mobile Content Services, Determination No. 3 of 2025, to enhance consumer protection against fraudulent billing and unauthorised subscriptions. In addition, MyDigital ID integration for prepaid SIM registration was initiated, recording more than 17,000 identity verification transactions within its first ten days. Malaysia also concluded a bilateral mobile roaming arrangement with Timor-Leste, with major Malaysian mobile network operators including Timor-Leste in their ASEAN Roaming Packages ahead of the ASEAN Summit on 26 October 2025.

From a compliance perspective, MCMC adopted a two-pronged regulatory approach from 1 April 2025 to strengthen adherence to the Mandatory Standards for Quality of Service (MSQoS). A total of 7,423 locations were audited for wireless broadband access services, resulting in 5,861 non-compliance cases and the issuance of 817 notices under the Communications and Multimedia Act 1998. Network Operations Centre audits were also conducted on six service providers to verify the integrity of submitted performance data. In the market regulation area, key developments included the publication of Guidelines on Access Undertakings, the renewal of CelcomDigi's post-merger undertaking and monitoring of more than 50 licensees across fixed, mobile and pay TV markets to safeguard competitive conditions.

The quality-of-service agenda also expanded beyond traditional network performance. The introduction of the Online Safety Act towards the end of 2025 gave greater prominence to user safety, trust, platform responsiveness and accountability in the digital environment. This signalled a broader view of service quality, where network reliability, availability and speed are increasingly complemented by safeguards for online users and more responsive digital platforms.

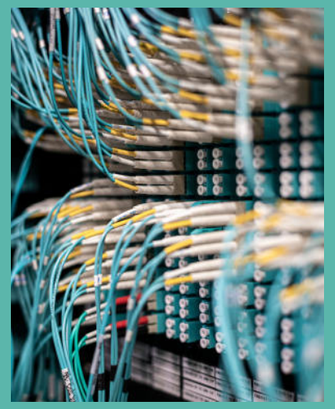
Industry self-regulation progressed through the four designated voluntary forums: the Communications and Multimedia Consumer Forum of Malaysia (CFM), the Communications and Multimedia Content Forum of Malaysia (CMCF), the Postal Forum and the Malaysian Technical Standards Forum Berhad (MTSFB). CFM completed the Opt-In Requirements Sub-Code for submission to MCMC, while CMCF advanced the fourth edition of the Malaysian Communications and Multimedia Content Code through public consultation and launched national guidelines on the ethical reporting of suicide-related content. The Postal Forum launched the Code of Practice for Postal Services at Hari Kurier Negara 2025, while MTSFB registered 11 new technical codes covering areas such as IoT security, cybersecurity maturity, C-V2X and VoLTE, bringing the total number of registered technical codes to 126.

These developments show that service quality in the communications and multimedia sector is becoming more integrated, covering consumer redress, network performance, market conduct, technical standards, content governance and online safety. MCMC's priorities are centred on regulatory strengthening, process modernisation, operational efficiency, compliance monitoring and greater standardisation across the industry.

Chapter 1

LICENSING

Design Rationale:



Original Photo

The Foundation of Digital Connectivity

The image illustrates a high-capacity fibre optic network infrastructure, representing the core systems that support telecommunications services and digital connectivity. The arrangement of cables and network ports reflects the complexity, scale and reliability required to support Malaysia's communications ecosystem.

The visual was selected to symbolise the regulatory foundation that underpins the industry. Through licensing and oversight, MCMC enables the development of network infrastructure and service provision, ensuring that the communications and multimedia sector operates within a structured and trusted framework.

This chapter presents the licensing landscape of the communications and multimedia sector, including the number and growth of Individual and Class Licences, as well as the issuance and renewal of licences. It also highlights key developments during the year, including cloud service provision, compliance with licence conditions relating to the commencement of deployment and services, and the shareholding composition of Individual Licensees.



Key Highlights 2025

Licensing

485
Individual Licences
2024: 480

- **269** NFP (I) Network Facilities Provider — 2024: 265
- **181** NSP (I) Network Service Provider — 2024: 178
- **35** CASP (I) Content Applications Service Provider — 2024: 37

593
Class Licences
2024: 586

- **19** NFP (C) Network Facilities Provider — 2024: 18
- **23** NSP (C) Network Service Provider — 2024: 18
- **539** ASP (C) Application Service Provider — 2024: 536
- **12** CASP (C) Content Applications Service Provider — 2024: 14

Overview of Licensing Framework

The licensing provisions under the Communications and Multimedia Act 1998 (CMA 1998) provide a flexible and adaptive regulatory framework that accommodates evolving requirements in line with developments in the Communications and Multimedia (C&M) industry. The converged licensing regime ensures that licences remain technology and service-neutral, thereby supporting industry growth while promoting the efficient utilisation of network infrastructure.

In 2025, the C&M industry continued to record sustained interest in licence applications, particularly under the Network Facilities Provider (NFP) and Network Service Provider (NSP) categories. This trend reflects ongoing industry participation and investment in network infrastructure and services, as connectivity remains a critical enabler of Malaysia's digital economy.

The increase in licence applications was driven by the continued expansion and maturity of the connectivity landscape. The advancement of 5G networks, offering enhanced speed, capacity, and reliability, has accelerated the adoption of emerging technologies such as cloud computing, the Internet of Things (IoT), Artificial Intelligence (AI), and data-driven applications across multiple sectors. In parallel, internet-based activities, including digital transactions, content streaming, mobile applications, and cloud-based services, have become more pervasive among both consumers and businesses.

This development underscores the continued relevance of the licensing framework in facilitating industry participation, while ensuring that regulatory oversight remains aligned with technological advancements and evolving market dynamics.

Licensing Structure and Categories

Malaysia's communications and multimedia licensing framework adopts a functional and technology-neutral approach under the CMA 1998, under which licences are granted based on the nature of the services provided rather than the underlying technology. This approach ensures flexibility in accommodating evolving technologies and service innovations, while maintaining regulatory consistency across the industry.

Licences are broadly classified into two types: Individual Licences and Class Licences. Individual Licences are issued to service providers undertaking activities with significant economic or social impact, such as the provision of network infrastructure and major communications services. These licences are subject to more stringent regulatory requirements, including compliance with service standards and reporting obligations.

Class Licences, on the other hand, provide a simplified and streamlined regulatory pathway for service providers with less significant market impact. This category facilitates ease of entry into the market, particularly for smaller players and niche service providers, thereby promoting competition and innovation within the sector.

In addition to licence types, the framework categorises licensees into four main groups based on their roles within the communications value chain, namely Network Facilities Provider (NFP), Network Service Provider (NSP), Application Service Provider (ASP), and Content Applications Service Provider (CASP). This categorisation provides a clear delineation of responsibilities across infrastructure, network services, applications, and content, enabling a structured yet flexible ecosystem that supports end-to-end service delivery.

The structured classification of licence types and categories ensures that regulatory obligations remain proportionate to the nature and scale of activities undertaken by licensees, while supporting a dynamic and competitive industry environment.

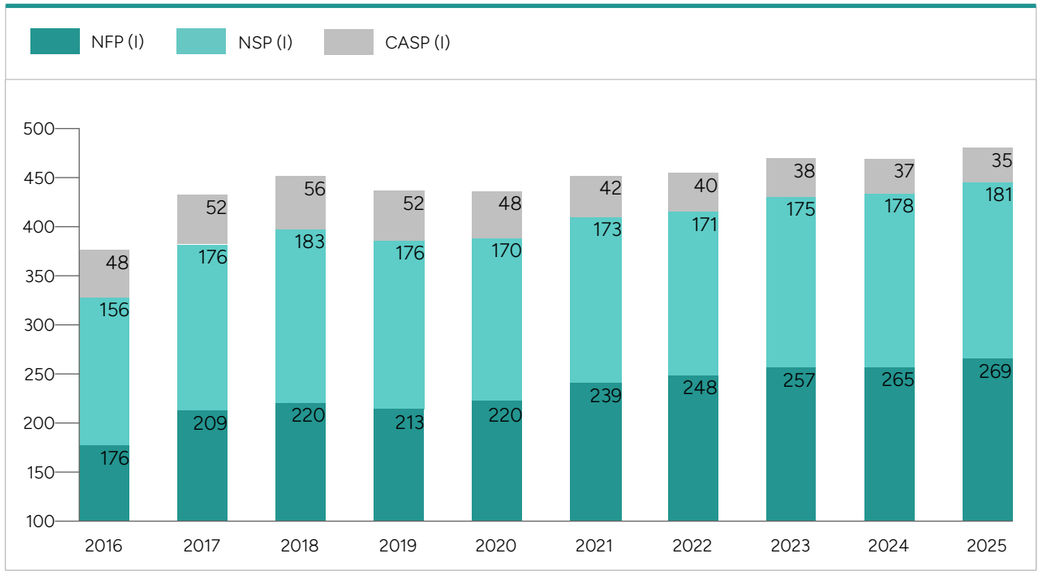
Licensing Profile over the Years

Individual Licences under the CMA 1998

As at the end of 2025, a total of 485 Individual Licences were recorded under the CMA 1998, comprising 269 NFP (I), 181 NSP (I), and 35 CASP (I) licences.

Overall, the number of Individual Licences increased marginally by 1% compared to 2024. This growth was primarily driven by the addition of seven licences within the NFP (I) and NSP (I) categories, partially offset by a slight decline of two licences in the CASP (I) segment.

Over the longer term, the number of Individual Licences has shown a generally upward trend, increasing from 380 licences in 2016 to 485 licences in 2025. This growth has been largely supported by the steady expansion of NFP (I) licences, reflecting continued investment in network infrastructure. In contrast, NSP (I) licences remained relatively stable over the period, while CASP (I) licences exhibited a gradual decline, indicating consolidation within the content services segment.



Source: MCMC

Figure 1.1: Individual Licences by Category, 2016–2025

Class Licences under the CMA 1998

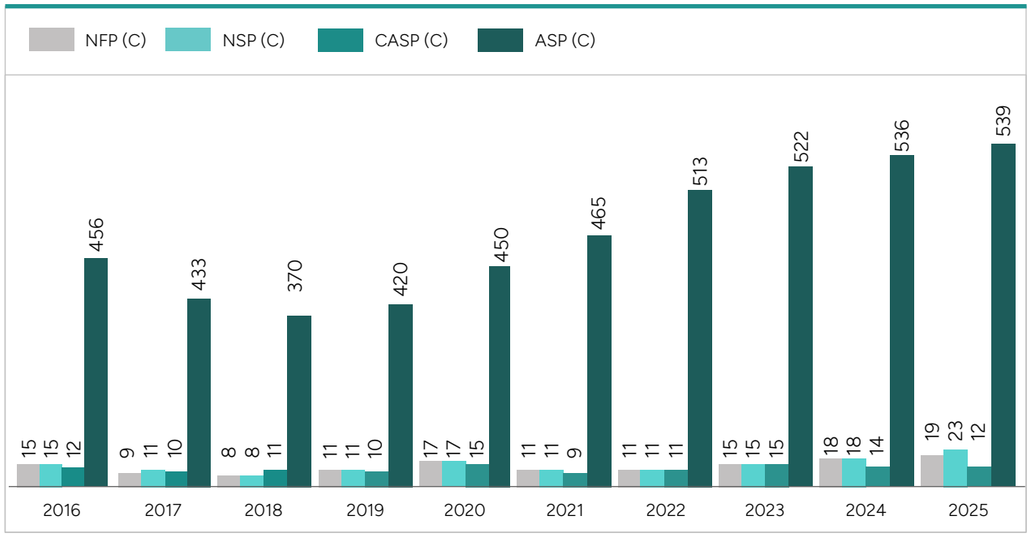
A Class licence represents a light-handed regulatory approach designed to promote industry growth and facilitate easier market access. This framework supports a broad range of service providers, particularly in application and service-based segments, in line with the evolving nature of Malaysia's digital economy.

In 2025, a total of 593 Class Licences were registered by MCMC, comprising 19 NFP (C), 23 NSP (C), 12 CASP (C), and 539 ASP (C) licences.

Overall, the number of Class Licences increased by 7 to 593 in 2025, compared to 586 licences in 2024. This growth indicates continued participation in service-based segments, supported by the accessibility and flexibility of the Class licensing regime.

Over the longer term, the number of Class Licences has shown a fluctuating but generally upward trend, increasing from 498 licences in 2016 to 593 licences in 2025. This trend is largely driven by the sustained expansion of ASP (C) licences, which have consistently formed the largest proportion of Class Licences throughout the period. In contrast, the number of NFP (C), NSP (C), and CASP (C) licences remained relatively small and stable, reflecting the more niche and specialised nature of these service categories.

Class licence registrations are valid for one calendar year, and existing licensees are required to submit a new registration prior to expiry should they wish to continue providing services. This annual registration requirement ensures that the licensing database remains current and reflects active service providers in the market.



Source: MCMC

Figure 1.2: Class Licences by Category, 2016–2025



Licensing Activity and Developments

New and Renewed Individual Licences

In 2025, a total of 16 licensees were awarded new Individual Licences, while 37 existing licensees renewed their licences to continue providing services. This reflects continued activity and participation within the communications and multimedia sector.

In terms of licence categories, a total of 32 NFP (I), 29 NSP (I), and 15 CASP (I) licences were approved during the year, with several licensees holding more than one licence category. This indicates ongoing demand across both infrastructure and service-based segments.

The newly issued and renewed licences span a broad range of activities, including the deployment of communications infrastructure to support cellular and broadband services, submarine cable landing facilities, and satellite broadband infrastructure. In addition, licences were granted for the provision of bandwidth services, mobile virtual network operator (MVNO) services, and broadcasting services, including terrestrial free-to-air television, radio broadcasting, and non-subscription broadcasting.

A significant proportion of the licences related to infrastructure activities, particularly the deployment of cellular and broadband networks. This reflects continued investment in strengthening network capacity and coverage to support increasing demand for high-speed and reliable connectivity.

At the same time, the issuance and renewal of licences in broadcasting and application-based services indicate sustained participation in content delivery and digital service provision. The presence of MVNO and bandwidth service providers further highlights the diversity of service offerings within the sector, supported by the availability of underlying network infrastructure.

Overall, licensing activity in 2025 demonstrates a balanced mix of infrastructure development and service-based expansion, reinforcing the role of the licensing framework in facilitating industry participation across the communications and multimedia value chain.



Infrastructure and Services	Company	New/Renewed	NFP (I)	NSP (I)	CASP (I)
Deployment of communications infrastructure to support cellular & broadband services and the provisioning of bandwidth services	Kemajuan Builders Sdn Bhd	New	✓	✓	
	Total Technology Engineering	New	✓	✓	
	PG Linkaranfibre Sdn Bhd	New	✓	✓	
	Koridor Utiliti Melaka Sdn Bhd	New	✓	✓	
	Luntanet Sdn Bhd	New	✓	✓	
	Redwin Orchard Sdn Bhd	New	✓	✓	
	IP Core Technologies Sdn Bhd	New	✓	✓	
	Prasarana Bistari Sdn Bhd	New	✓	✓	
	BA Networks Sdn Bhd	New	✓	✓	
	TT Dotcom Sdn Bhd	Renewed	✓	✓	
	Optical Communication Engineering Sdn Bhd	Renewed	✓	✓	
	CelcomDigi Telecommunications Sdn Bhd	Renewed	✓	✓	
	ARL Homecomm Sdn Bhd	Renewed	✓	✓	
	Celcom Berhad	Renewed	✓	✓	
	CelcomDigi Mobile Sdn Bhd	Renewed	✓	✓	
	Celcom Networks Sdn Bhd	Renewed	✓	✓	
	Y-Max Networks Sdn Bhd	Renewed	✓	✓	
	Sea Telco Engineering Sdn Bhd	Renewed	✓	✓	
	NTT MSC Sdn Bhd	Renewed	✓	✓	
	Clear Comm Sdn Bhd	Renewed	✓	✓	
	Danawa Resources Sdn Bhd	Renewed	✓	✓	
	Ofisgate Sdn Bhd	Renewed	✓	✓	
Deployment of submarine cable landing centre	Asian Internet Gateway Berhad	New	✓	✓	
Deployment of communications infrastructure to support satellite broadband services	Baycom Sdn Bhd	Renewed	✓	✓	
Deployment of communications infrastructure to support cellular & broadband services	Konsortium Jaringan Selangor	Renewed	✓		
	Melaka ICT Holding Sdn Bhd	Renewed	✓		
	Desabina Industries Sdn Bhd	Renewed	✓		
	Yiked Bina Sdn Bhd	Renewed	✓		
	PINS Network Solutions Sdn Bhd	Renewed	✓		
	PDC Telecommunication Services Sdn Bhd	Renewed	✓		
	XOX Bhd	New	✓		
	Apex Communications Sdn Bhd	New	✓		
Provisioning of bandwidth services and access application services	Netcomx Sdn Bhd	New		✓	
	ITG Communications Sdn Bhd	Renewed		✓	
	GITN Sdn Bhd	Renewed		✓	
	Sabah Net Sdn Bhd	Renewed		✓	
Provisioning of cellular mobile services (MVNO)	Anchor Communications Sdn Bhd	New		✓	
	Elite Links (M) Sdn Bhd	New		✓	
Provisioning of terrestrial free-to-air TV	Sistem Televisyen Malaysia Berhad (TV3)	Renewed			✓
	CH-9 Media Sdn Bhd (TV9)	Renewed			✓
	Metropolitan TV Sdn Bhd (8TV)	Renewed			✓
	Natseven TV Sdn Bhd (NTV7)	Renewed			✓
Provisioning of terrestrial radio broadcasting	Kristal Harta Sdn Bhd	Renewed			✓
	Suara Johor Sdn Bhd	Renewed			✓
	Maestra Broadcast Sdn Bhd	Renewed			✓
	Measat Radio Communications Sdn Bhd	Renewed			✓
	Radio Lebuhraya Sdn Bhd	Renewed			✓
	Max-Airplay Sdn Bhd (Fly FM)	Renewed			✓
	Synchrosound Studio Sdn Bhd (Hot FM)	Renewed			✓
	Institut Kefahaman Islam Malaysia (IKIM)	Renewed			✓
	Star RFM Sdn Bhd	Renewed			✓
	Senandung Sonik Sdn Bhd	Renewed			✓
Provisioning of non-subscription broadcasting	Net2One Sdn Bhd	New			
Total			32	29	15

Source: MCMC

Figure 1.3: New and Renewed Individual Licensees by Infrastructure and Services, 2025

Cloud Service Providers

Cloud services continue to play an increasingly important role in Malaysia's communications and multimedia landscape, enabling scalable and flexible delivery of computing, storage, and application services across a wide range of user segments, including enterprises, small and medium businesses, and the public sector. The growing reliance on cloud-based solutions supports digital transformation efforts, enhances service accessibility, and improves operational efficiency across industries.

In 2025, a total of eight new cloud service providers were registered under the Applications Service Provider Class (ASP (C)) licence category. These providers reflect the expanding demand for digital and data-driven services that leverage existing network infrastructure, in line with the broader evolution of the communications and multimedia sector towards application-based service delivery.

Following regulatory engagement, several providers that had commenced operations prior to obtaining the required licences regularised their status by obtaining the necessary approvals. This reflects increasing industry maturity and a stronger commitment to regulatory compliance, ensuring that service providers operate within the established regulatory framework.

The entry of these providers further indicates a growing and competitive cloud services ecosystem, characterised by a mix of service offerings supporting enterprise and business needs. This development reinforces the role of the licensing framework in facilitating innovation and enabling the expansion of digital services within the sector.

Figure 1.4 presents the list of new cloud service providers registered in 2025

No.	Licensee Name
1.	AXO Technologies Sdn. Bhd.
2.	CS Cloud Sdn. Bhd.
3.	Dita Selia Sdn. Bhd.
4.	Nimbus Cloud Sdn. Bhd.
5.	Qinetics MSP Sdn. Bhd.
6.	RapidCloud (M) Sdn. Bhd.
7.	Rocksoft Cloud Sdn. Bhd.
8.	Yeahhost Sdn. Bhd.

Source: MCMC

Figure 1.4: List of New Cloud Service Providers, 2025

Commencement of Deployment and Services

Individual Licences granted under the CMA 1998 are subject to compliance with specific licence conditions, including the Commencement of Deployment/Service(s) requirement as outlined in Part B 1.2 of their licences. This condition requires licensees to commence the provision of facilities or services within stipulated timelines, typically ranging from 12 to 48 months from the date of licence issuance.

Where necessary, extensions of time may be granted by the Minister upon application, subject to the licensee demonstrating progress in implementing the required facilities or services.

As at the end of 2025, a total of eight new licensees complied with the Commencement of Deployment/Service(s) requirement by rolling out facilities and/or services within the stipulated timelines. The facilities and services deployed include telecommunications infrastructure such as towers and poles, ducts and pits, fixed links and cables, as well as radiocommunications transmitters and bandwidth services.

In addition, two new Individual Licensees applied for extensions of time due to delays in meeting the Commencement of Deployment/Service(s) requirement and related shareholding conditions within the stipulated period. These applications were duly considered and approved, providing the licensees with additional time to complete their deployment plans and commence providing services.

Overall, the level of compliance observed indicates effective regulatory monitoring to ensure the timely rollout of licensed facilities and services, while maintaining flexibility to accommodate operational challenges faced by licensees.

No.	Licensee Name	Type of Licence	Facilities/Services Deployed
1.	MUIS Holdings Sdn. Bhd.	NFP (I)	Towers/Poles
2.	Bluebase Solutions Sdn. Bhd.	NFP (I) NSP (I)	Towers/Poles Fixed Links and Cables Radiocommunications Transmitters and Links Bandwidth Services
3.	N.U.R Power Sdn. Bhd.	NFP (I)	Fixed Links and Cables
4.	JLG Infratech Sdn. Bhd.	NFP (I)	Ducts and Pits
5.	Freshtel Internet Sdn. Bhd.	NFP (I) NSP (I)	Towers/Poles Fixed Links and Cables Radiocommunications Transmitters and Links Bandwidth Services
6.	Enfrasys Network Sdn. Bhd.	NFP (I) NSP (I)	Towers/Poles Bandwidth Services
7.	Vodafone Global Enterprise (Malaysia) Sdn. Bhd.	NSP (I)	Bandwidth Services
8.	Visi Utama Sdn. Bhd.	NFP (I)	Towers/Poles Fixed Links and Cables Radiocommunications Transmitters and Links

Source: MCMC

Figure 1.5: List of New Licensees with Deployed Facilities and Services, 2025



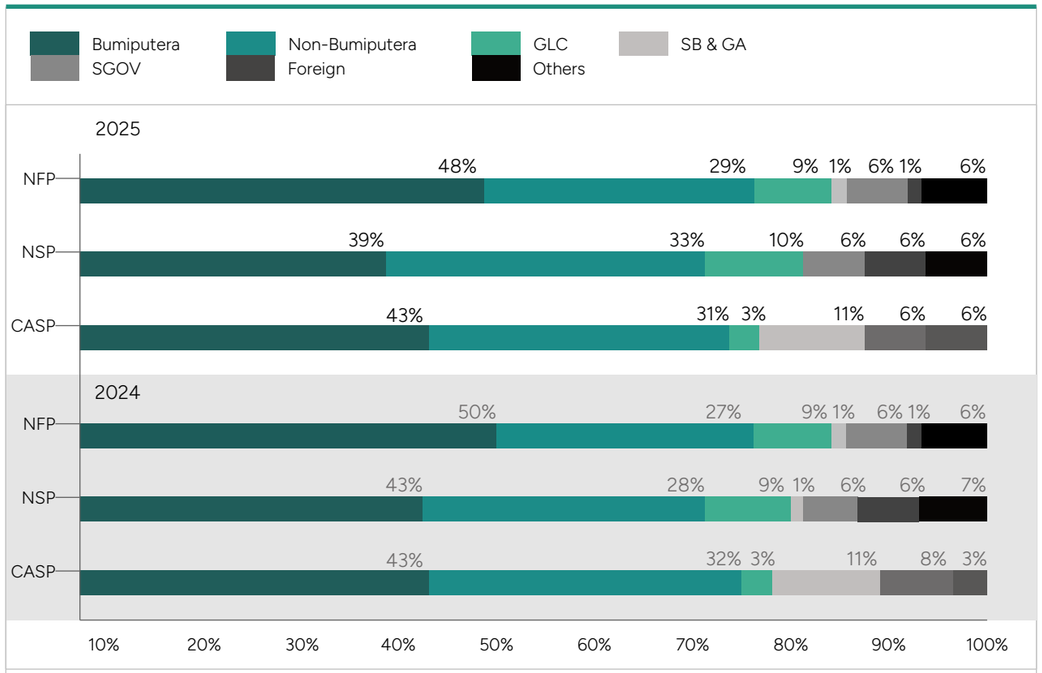
Ownership and Market Structure: Shareholding Composition of Individual Licensees

An analysis of the shareholding composition of Individual Licensees under the CMA 1998 indicates that 44% of the total Individual Licences in 2025 were held by Bumiputera-owned companies, representing a slight decrease from 47% in 2024. This reflects the continued presence of Bumiputera participation within the licensing landscape, albeit with a marginal shift in shareholding distribution.

Across licence categories, Bumiputera ownership was most prominent in the NFP (I) segment, while the NSP (I) segment reflected a more balanced distribution between Bumiputera and non-Bumiputera ownership. The CASP (I) segment, although smaller in size, also demonstrated a mix of ownership structures.

The slight decline in Bumiputera shareholding was primarily observed in the NSP (I) segment, with more modest changes in the NFP (I) and CASP (I) segments.

In addition, participation from Government-Linked Companies (GLCs), State Government (SGOV), and foreign-owned entities was observed across the different licence categories, reflecting a diverse ownership structure within the communications and multimedia sector.



Note:
Bumiputera-owned – A company that has 51% or more Bumiputera shares.
Non-Bumiputera-owned – A company that has 51% or more non-Bumiputera shares.
GLC – A Government-linked company that has a primary commercial objective and in which the Malaysian Government has a direct controlling stake. A controlling stake refers to the Government's ability (not merely its percentage ownership) to appoint members of the Board of Directors and senior management and to make major decisions (e.g. contract awards, strategy, restructuring and financing, acquisitions, and divestments) for GLCs, either directly or through GLICs (Source: www.khazanah.com.my).
SB & GA – Ownership held directly or indirectly (51% or the biggest equity stake) by a Statutory Body or Government Agency.
SGOV – Ownership held directly or indirectly (51% or the biggest equity stake) by a State Government.
Foreign-owned – Company that has 51% or more shares held by foreign entities or individuals.
Others – Mixed shareholding, with no shareholder having a controlling interest in the company.

Source: MCMC

Figure 1.6: Individual Licences – Shareholding Composition by Licence Type, 2024 and 2025

Overall Licensing Landscape

The licensing landscape of the communications and multimedia sector in 2025 reflects a stable yet evolving environment, characterised by sustained participation across both infrastructure and service-based segments. The continued increase in Individual and Class Licences indicates ongoing industry engagement and expansion across the communications value chain.

Growth in infrastructure-related licences, particularly within the NFP (I) category, highlights continued investment in network development to support increasing demand for connectivity. In parallel, the dominance of ASP (C) licences reflects the growing importance of application-based and digital services, driven by broader digitalisation trends.

Licensing activity during the year demonstrated a balanced mix of new market entrants and existing service providers maintaining their operations through renewals. The emergence of cloud service providers and the rollout of licensed facilities and services further indicate the sector's transition towards more advanced and data-driven service offerings.

From a structural perspective, the ownership composition of licensees reflects a diverse industry landscape, with continued Bumiputera participation alongside contributions from non-Bumiputera companies, Government-Linked Companies (GLCs), State Government entities, and foreign participants.

Overall, the observed trends indicate a maturing and increasingly diversified licensing environment, supporting the continued development of Malaysia's communications and multimedia sector.



Chapter 2

ECONOMIC PERFORMANCE OF THE INDUSTRY

Design Rationale:



Original Photo

Progress Through Connectivity

The image illustrates an elevated highway cutting through the lush rainforest of Rawang, symbolising Malaysia's economic progress achieved in harmony with its natural environment. The modern transport infrastructure reflects connectivity, mobility and sustainable development, highlighting the nation's commitment to balancing economic advancement with environmental stewardship.

The visual was selected to represent the communications and multimedia industry's role as a key driver of economic growth, connecting businesses, communities and markets across the country. It complements the chapter's focus on industry performance, investment, market development and the sector's contribution to Malaysia's sustainable economic transformation.

This chapter reports on the economic performance of the industry, with a focus on market capitalisation across the companies in the telecommunications, broadcasting, and postal and courier sectors listed on Bursa Malaysia. It also analyses key financial indicators, including sectoral revenue, capital expenditure, and average revenue per user. In addition, the chapter provides an overview of the ACE Market and its performance.

Key Highlights 2025

Economic Performance of the Industry

Industry resilience amid evolving market dynamics

Market Capitalisation:

RM110.63 billion

Representing 5.4% of Bursa Malaysia's Total Market Capitalisation of RM2,064.41 billion



Source: Bloomberg

Revenue:

RM49.45 billion ↑1.5%
(2024: RM48.72 billion)

- Telecommunications Sector ↑2.4%
  RM43.56 billion
  (2024: RM42.55 billion)
- Broadcasting Sector ↓6.9%
  RM3.63 billion
  (2024: RM3.90 billion)
- Postal & Courier Sector ↓0.4%
  RM2.26 billion
  (2024: RM2.27 billion)

Source: Industry

Total Capital Expenditure:
(Telecommunications Sector)

RM4.84 billion ↓2.2%
(2024: RM4.95 billion)
12.9% Capex-to-Revenue (2024: 13.4%)

- Mobile Service Providers
  RM2.56 billion ↓15.8%
  (2024: RM3.04 billion)
  10.8% Capex-to-Revenue (2024: 13.1%)
- Fixed Service Providers
  RM2.28 billion ↑19.2%
  (2024: RM1.91 billion)
  16.4% Capex-to-Revenue (2024: 13.9%)

ACE Market

7 ACE Market-listed companies which are licensees under the CMA 1998

2.9% of total ACE listings

Source: Bursa Malaysia, Industry, MCMC

Note:
1. Totals may not add up due to rounding.
2. The revenue figure comprises service and non-service revenue

C&M Industry Market Performance

The Malaysian economy sustained its growth momentum in 2025, with Gross Domestic Product (GDP) growing by 5.2%, slightly higher than the 5.1% recorded in the previous year[1]. Growth was mainly driven by domestic demand, underpinned by increased household spending, a stronger labour market, and income-related policy support. Continued investment in machinery, equipment, and data centres also helped reinforce overall economic activity. This was further complemented by stronger exports and growth in ICT-related services, partly supported by the ringgit's appreciation against the currencies of Malaysia's trading partners.

These developments provided a supportive environment for the industry. Higher household spending and stable inflation strengthened consumers' ability to spend on communications, broadband, media, and digital services. At the same time, increased business activity and investment boosted demand for connectivity, ICT solutions, and digital infrastructure, particularly with the operationalisation of data centres in Malaysia. In addition, growth in the services sector further supported the industry's expansion and its ability to respond to rising demand for digital services.

In addition, government-led initiatives continued to strengthen industry momentum, supporting resilience amid global economic uncertainty. As at the end of 2025, the C&M industry accounted for 5.4% of Bursa Malaysia's total market capitalisation, amounting to RM110.63 billion out of RM2,064.41 billion, compared with 5.2% or RM109.05 billion in 2024.

C&M Industry Market Capitalisation

The C&M industry recorded a modest increase in market capitalisation in 2025, rising to RM110.63 billion from RM109.05 billion in 2024, as shown in Figure 2.1. This reflects a mixed performance across different sectors within the industry.

The telecommunications sector remained the largest contributor, recording a 2.6% increase in market capitalisation to RM108.62 billion in 2025 (2024: RM105.91 billion). This growth was supported by key players such as CelcomDigi, Maxis, Telekom Malaysia, TIME dotCom, and Redtone, as illustrated in Figure 2.3. Overall, the telecommunications sector continued to account for the majority share of the C&M industry's market capitalisation, as shown in Figure 2.1.

Investor sentiment towards the telecommunications sector remained cautious but constructive. Continued uncertainty surrounding the direction of the country's 5G rollout affected visibility on earnings, capital expenditure, and dividend sustainability[2]. In addition, the market remained highly saturated, with mobile penetration at around 150% and more than 10 operators, including MVNOs. This competitive environment continued to weigh on growth prospects and pricing across mobile, fixed, and enterprise segments.

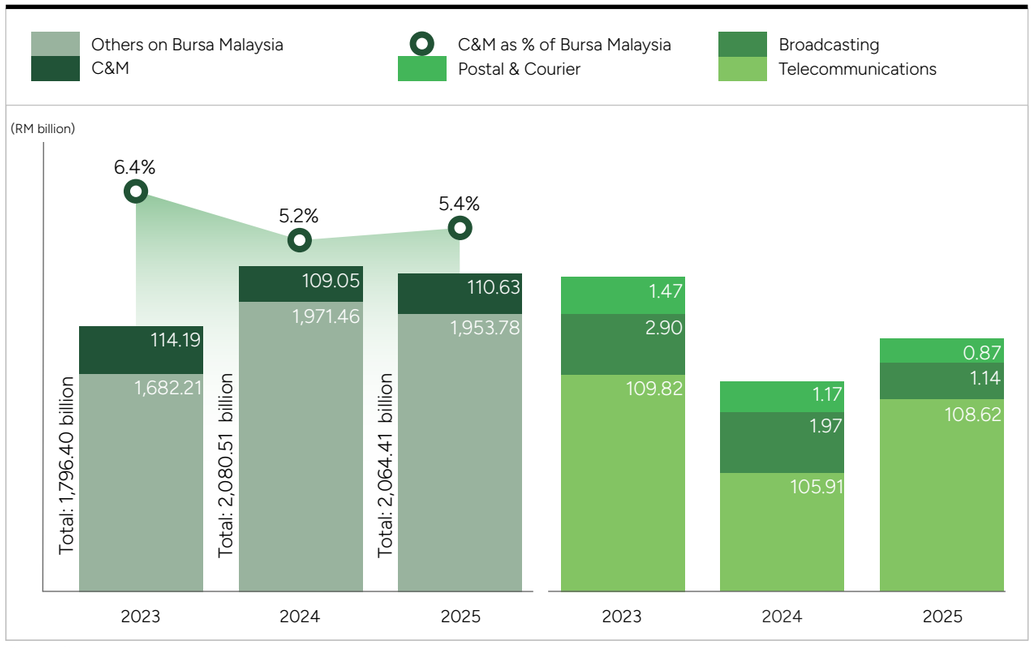
In response, telecommunications service providers have intensified efforts to remain competitive. These efforts include the expansion of 5G services across both consumer and enterprise segments through refreshed prepaid and postpaid offerings, in line with rising demand for high-speed connectivity and 5G-enabled devices[3]. Operators are also refining their product strategies to improve customer retention and capture new opportunities. Despite these near-term challenges, the sector's longer-term outlook remains positive, supported by its defensive characteristics, resilient financial performance, and the potential for attractive dividend returns from selected players.

At the company level, Telekom Malaysia's market capitalisation grew by 21.0% to RM30.89 billion in 2025 (2024: RM25.52 billion), supported by continued growth in its fixed broadband and wholesale connectivity businesses. Through its Unifi brand, the company strengthened its convergence offerings and maintained steady expansion in its subscriber base[4]. As a key wholesale connectivity provider, Telekom Malaysia also supports hyperscalers and cloud providers across the region.

TIME recorded a 19.1% increase in market capitalisation to RM10.33 billion in 2025 (2024: RM8.67 billion), driven by expansion in its retail and wholesale segments[5]. Growth was supported by an increasing subscriber base, stable ARPU, and effective cost management. The company also continued to support data centre expansion initiatives, reflecting confidence in long-term demand for digital infrastructure.

In contrast, the broadcasting sector experienced a significant decline of 42.1% in market capitalisation, falling to RM1.14 billion in 2025 (2024: RM1.97 billion), as illustrated in Figure 2.1. This decline reflects the increasing shift of advertising expenditure towards digital channels. Higher social media usage and the growing adoption of data-driven advertising solutions continued to erode the market share of traditional media[6].

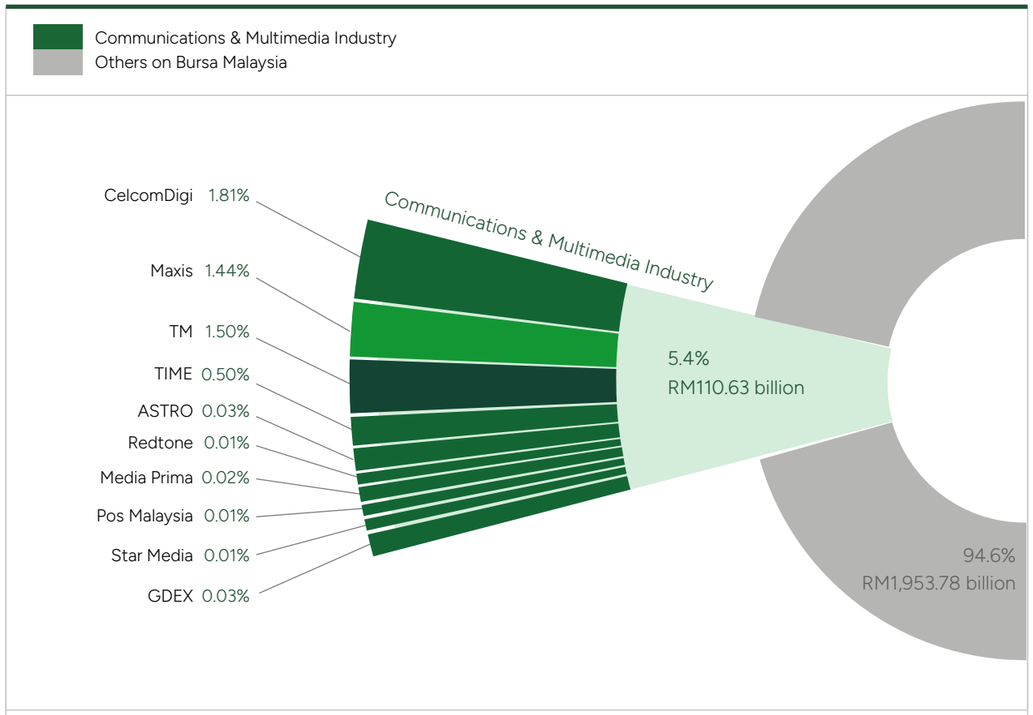
Similarly, the postal and courier sector recorded a 25.6% decline in market capitalisation to RM0.87 billion in 2025 (2024: RM1.17 billion). While parcel volumes continued to grow, the sector remained constrained by thin margins, high operating costs, and intense competition[7]. These factors continued to weigh on overall financial performance and highlight ongoing structural challenges within the industry.



Source: Bloomberg

Figure 2.1: C&M Industry Market Capitalisation by Sector, 2023–2025

1. Bank Negara Malaysia Annual Report 2025
2. Kenanga Insight - Telecommunication 5G Policy: Progressing, but Uncertainty Remains, October 2025
3. Industry
4. TM Annual Report 2025
5. Time FY2025 Performance Guide
6. Kenanga Insight Sector Update (Media) - Eclipsed by Digital Media's Domination, January 2026
7. New Straits Times - MyCC market review flags competition concerns in e-commerce: Pos Malaysia, February 2026



Note: As at 31 December 2025

Source: Bloomberg

Figure 2.2: Contribution of C&M Companies to Bursa Malaysia, 2025

Company	Market Capitalisation (RM billion)			Change (%)	
	2023	2024	2025	2023 – 2024	2024 – 2025
CelcomDigi	47.86	42.47	37.42	-11.3%	-11.9%
Maxis	30.15	28.59	29.69	-5.2%	3.8%
TM	21.30	25.52	30.89	19.8%	21.0%
TIME	9.97	8.67	10.33	-13.0%	19.1%
Redtone	0.54	0.66	0.29	22.2%	-56.1%
Telecommunications	109.82	105.91	108.62	-3.6%	2.6%
ASTRO	2.06	1.17	0.52	-43.2%	-55.6%
Media Prima	0.52	0.51	0.38	-1.9%	-25.5%
Star Media	0.32	0.29	0.24	-9.4%	-17.2%
Broadcasting	2.90	1.97	1.14	-32.1%	-42.1%
GDEX	1.08	0.97	0.63	-10.2%	-35.1%
Pos Malaysia	0.39	0.20	0.24	-48.7%	20.0%
Postal and Courier	1.47	1.17	0.87	-20.4%	-25.6%
Total C&M	114.19	109.05	110.63	-4.5%	1.4%

Note:

Maxis Bhd (Maxis), CelcomDigi Bhd (CelcomDigi), Telekom Malaysia Bhd (TM), TIME dotCom Bhd (TIME), Redtone Digital Bhd (Redtone), Astro Malaysia Holdings Bhd (ASTRO), Media Prima Bhd (Media Prima), Star Media Group Bhd (Star Media), Pos Malaysia Bhd (Pos Malaysia), GDEX Bhd (GDEX).

Information on Axiata has not been included since 2023, following the successful merger between Celcom and Digi, which resulted in all of Celcom's operations being consolidated under CelcomDigi.

Source: Bloomberg

Figure 2.3: C&M Companies' Market Capitalisation, 2023–2025

CelcomDigi Among the Top 10 by Market Capitalisation

As shown in Figure 2.4, the financial and utilities sectors continued to dominate the market capitalisation rankings. Within the telecommunications sector, CelcomDigi remained the highest-ranked company. In 2025, CelcomDigi ranked 10th, falling three positions from the previous year. Telekom Malaysia rose to 15th place, while Maxis maintained its position at 16th.

2025	Rank	2024
Maybank RM126.61 billion	1	Maybank RM123.57 billion
CIMB Bank RM89.03 billion	2	Public Bank RM88.51 billion
Public Bank RM88.12 billion	3	CIMB Bank RM87.98 billion
TNB RM79.98 billion	4	TNB RM86.85 billion
IHH Healthcare RM77.32 billion	5	IHH Healthcare RM64.34 billion
Press Metal Aluminium RM58.67 billion	6	Hong Leong Bank RM44.57 billion
Hong Leong Bank RM47.99 billion	7	CelcomDigi RM42.47 billion
SD Guthrie RM39.63 billion	8	PETRONAS Chemicals RM41.36 billion
Sunway RM37.99 billion	9	Press Metal Aluminium RM40.37 billion
CelcomDigi RM37.42 billion	10	YTL Power RM36.29 billion

Note:

1. *The 10 largest stocks were selected from the 30 largest companies in the FTSE Bursa Malaysia KLCI by market capitalisation.*
2. *Malayan Banking Bhd (Maybank), Public Bank Bhd (Public Bank), Tenaga Nasional Bhd (TNB), Petronas Chemicals Group Bhd (Petronas Chemicals), Top Glove Corp Bhd (Top Glove), IHH Healthcare Bhd (IHH Healthcare), Hartalega Holdings Bhd (Hartalega), CelcomDigi Bhd (CelcomDigi), Hong Leong Bank Bhd (Hong Leong Bank)*

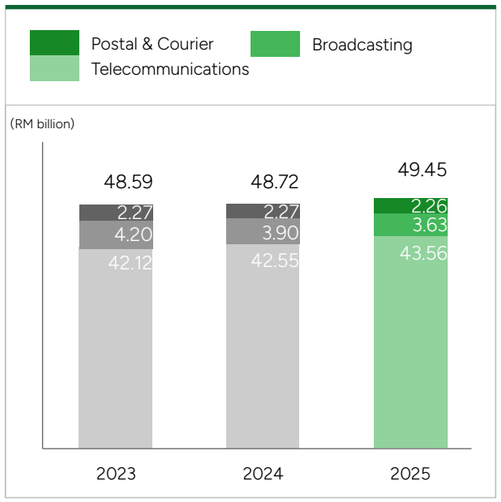
Source: Bloomberg

Figure 2.4: Top 10 Companies by Market Capitalisation, 2024–2025

C&M Industry Financial Performance

Malaysia's economy remained resilient in 2025 despite a challenging global environment. Growth was supported by steady domestic demand, improved labour market conditions, and income-related policy measures[8]. Initiatives such as the increase in the minimum wage, civil servant salary adjustments, and the expansion of cash assistance programmes, including Sumbangan Tunai Rahmah (STR) and Sumbangan Asas Rahmah (SARA), helped strengthen household spending and overall economic activity. These measures also reflect continued policy efforts to sustain consumer confidence and domestic demand.

In turn, the improving economic conditions created a supportive environment for the C&M industry. Stronger household spending enhanced consumers' ability to spend on mobile, broadband, and digital services. At the same time, increased business activity supported demand for enterprise connectivity and related digital solutions, as companies continued to invest in digital tools and communications infrastructure.



Source: Industry

Figure 2.5: Domestic C&M Industry Revenue, 2023–2025

Malaysia's Budget 2025 further supported the performance of the C&M industry through continued investment in telecommunications and digital infrastructure[9]. The allocations contributed to wider internet access in rural areas and educational institutions, while strengthening the foundation for greater digital adoption and service expansion across the country.

Funding for initiatives such as Points of Presence (PoP) projects, the JENDELA Phase 2 rollout, and NADI centres has improved network coverage, enhanced connectivity, and strengthened digital inclusion. These developments have expanded access, supported innovation, and created opportunities for industry players to scale their services and reach a broader user base.

As a result, the C&M industry recorded a 1.5% increase in revenue to RM49.45 billion in 2025 (2024: RM48.72 billion), reflecting sustained demand for high-quality and reliable communications services.

Following the positive trajectory observed since 2023, the telecommunications sector continued to expand in 2025. Ongoing collaboration between mobile network operators and the Government to provide affordable products and services supported rising demand for connectivity, with telecommunications revenue increasing by 2.4% to RM43.56 billion (2024: RM42.55 billion).

In contrast, the broadcasting sector continued its declining trend, with revenue falling by 6.9% to RM3.63 billion in 2025 (2024: RM3.90 billion). This was mainly due to intense competition from digital platforms, where legacy media players have a relatively limited presence in digital advertising. Meanwhile, the postal and courier sector recorded a marginal decline of 0.4% to RM2.26 billion (2024: RM2.27 billion), reflecting ongoing competitive pressures in a saturated market with high operating costs.

8. Bank Negara Malaysia Annual Report 2025
9. The Star - Budget 2025: Communications Ministry to utilise allocation for people's well-being, October 2024

Telecommunications Sector

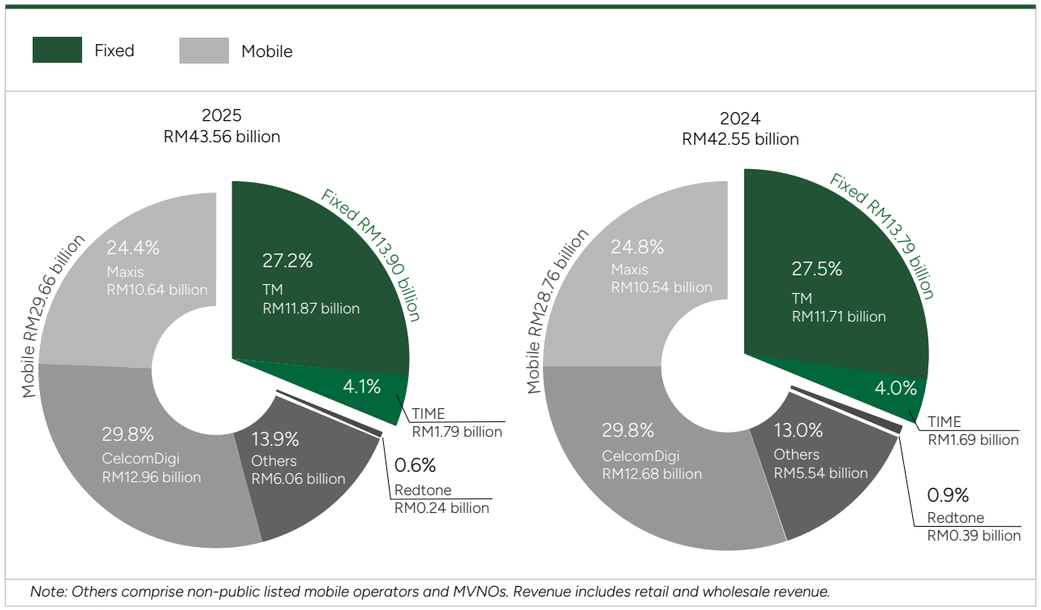
In 2025, the telecommunications sector continued to record steady revenue growth, driven by sustained demand for connectivity and wider adoption of digital services. Service providers' ongoing efforts to enhance product offerings and improve customer value also contributed to overall performance.

Revenue performance was driven by continued growth in both fixed and mobile broadband services, with fixed broadband remaining a key contributor. On the mobile side, stronger postpaid performance, stable subscriber growth, and continued migration from prepaid to postpaid plans supported revenue expansion. While the prepaid segment remained more challenging due to pricing pressure and intense competition, demand for mobile services remained resilient as consumers continued to prioritise connectivity and digital services.

On the fixed side, revenue was supported by continued growth in fibre broadband and home connectivity services, driven by rising demand for reliable high-speed internet and increased take-up of converged offerings. These offerings enhanced customer value by providing more integrated solutions for both personal and business needs.

Revenue was further supported by operators' efforts to align with national digital priorities and broaden their customer reach. Expansion into areas such as artificial intelligence (AI), cybersecurity, data services, and digital inclusion enabled service providers to strengthen their value propositions and explore new growth opportunities. In addition, Rahmah-aligned offerings and value-based plans supported wider adoption among underserved segments, including youth, senior citizens, persons with disabilities, and B40 communities. This expansion into underserved segments also contributed to revenue growth and a broader customer base.

Enterprise demand remained an important contributor, supported by Micro, Small and Medium Enterprises (MSMEs), which account for 97% of registered businesses, contribute 38% of GDP, and represent nearly half of total employment[10]. Given their importance, service providers continued to strengthen enterprise offerings to support business connectivity and digital requirements. In 2025, enterprise revenue remained broadly stable, with growth increasingly driven by solutions-based services such as ICT, cloud, data centres, and cybersecurity. This reflects the sector's gradual transition towards higher value-added and solutions-based services.



Note: Others comprise non-public listed mobile operators and MVNOs. Revenue includes retail and wholesale revenue.

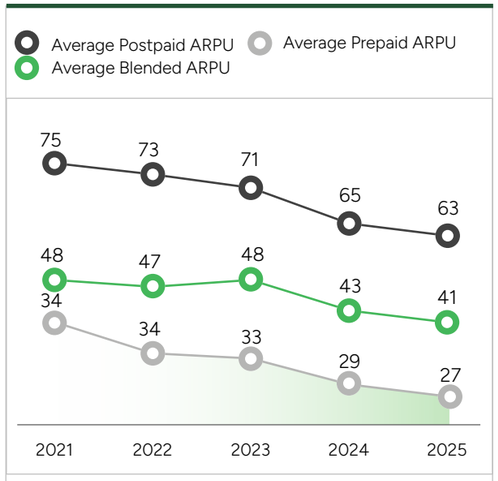
Source: Industry

Figure 2.6: Telecommunications Sector Revenue, 2024–2025

10. Visa - Over 80% of Malaysian MSMEs Embrace Digitalisation: Visa Whitepaper Identifies Four Pathways to Accelerate Expansion, November 2025



Overall, these developments resulted in a 2.4% increase in telecommunications sector revenue to RM43.56 billion in 2025 (2024: RM42.55 billion). Of the total revenue, mobile service providers contributed 68%, while fixed service providers contributed the remaining 32%. Mobile revenue grew by 3.1% to RM29.66 billion (2024: RM28.76 billion), while fixed revenue increased by 0.8% to RM13.90 billion (2024: RM13.79 billion).



Note: ARPU from major public listed companies only

Source: Industry

Figure 2.7: Average Mobile ARPU, 2021–2025

In 2025, prepaid ARPU averaged RM27 per month and remained relatively resilient. This was driven by operators' efforts to improve subscriber quality and encourage greater take-up of monthly internet plans. Cross-selling and upselling initiatives also contributed to higher spending per user. This reflects operators' increasing focus on higher-value subscribers.

The postpaid segment recorded an average ARPU of RM63, driven by stronger take-up of higher-value plans and continued growth in family line subscriptions. These offerings also contributed to higher spending through bundled plans and additional lines. Continued migration from prepaid to postpaid further reinforced ARPU performance, as more users shifted to plans with more consistent monthly spending.

Overall, ARPU declined compared to the previous year, mainly due to a more competitive pricing environment and changes in subscriber mix, particularly from increased adoption of entry-level and bundled plans[11]. Despite this, such offerings continued to support subscriber growth and customer retention.

11. Focus Malaysia - Telco Sector Faces ARPU Pressure as Competition, Price Wars Intensify, July 2025

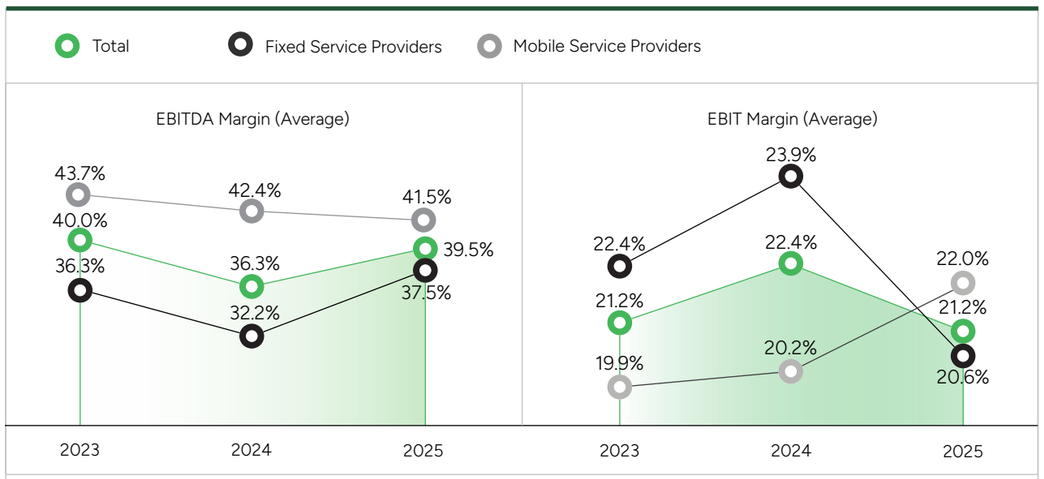
EBITDA and EBIT Margins

The industry recorded a decline in the average EBIT[12] margin in 2025, mainly due to higher operating costs, including network-related expenses, customer acquisition costs, and employee-related expenses, such as voluntary separation scheme costs. EBIT margin performance was relatively stronger among mobile service providers, reflecting lower depreciation, amortisation, and impairment charges, as well as improved asset utilisation.

In contrast, the average EBITDA[13] margin improved during the year, supported by stronger cost discipline, continued optimisation efforts, and efficiencies from network investments. This reflects improved operating performance, driven by better cost management and more efficient utilisation of network and infrastructure assets.

EBITDA margin performance was generally stronger among fixed service providers, benefiting from better operating leverage and more stable contributions from broadband and fibre-related services.

Overall, the telecommunications sector recorded an average EBITDA margin of 39.5% in 2025 (2024: 36.3%) and an average EBIT margin of 21.2% (2024: 22.4%). Both mobile and fixed service providers maintained EBITDA margins above 30%, reflecting strong operating performance. Mobile service providers recorded a higher EBIT margin of 22.0%, compared to 20.6% for fixed service providers. This level of profitability remained broadly in line with industry expectations, with telecommunications operators generally recording EBITDA margins in the mid-30% range[14].



Note: Margins from major publicly listed companies only

Source: Industry

Figure 2.8: EBITDA and EBIT Margins, 2023–2025

Capital Expenditure (Capex)

Capital expenditure in Malaysia's telecommunications sector remained active in 2025, with investment increasingly focused on strengthening the foundations for long-term digital growth. Operators continued to channel spending towards improving network quality, expanding coverage, and enhancing fibre and backhaul infrastructure. This reflects a broader shift in the sector, where Capex is not only directed at maintaining existing networks but also at improving service reliability, supporting growing data consumption, and enabling more advanced digital services across consumer and enterprise segments.

12. EBIT refers to Earnings Before Interest and Tax, also known as operating profit
13. EBITDA refers to Earnings Before Interest, Tax, Depreciation and Amortisation
14. Deloitte 2026 Global Telecommunications Industry Outlook

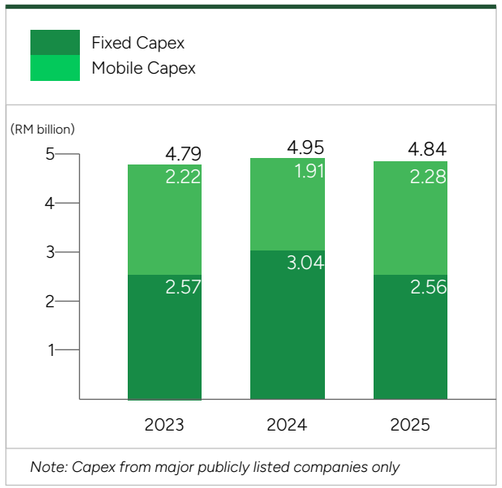
In 2025, telecommunications service providers increased 4G coverage in populated areas to 99.7% (2024: 98.7%) and maintained 5G coverage at 82.4%. These improvements were achieved through the deployment of new network sites, upgrades to existing infrastructure, and the fiberisation of base stations, supporting broader connectivity and improved network performance nationwide.

For mobile service providers, Capex was primarily directed towards strengthening core network infrastructure and improving quality of service. Investment focused on increasing network capacity, expanding coverage, and enhancing connectivity across both outdoor and indoor environments. Spending also extended to areas such as backhaul, automation, and network modernisation, as well as emerging technologies such as cloud-native infrastructure, AI-driven network solutions, and digital platforms to improve operational efficiency and service delivery.

For fixed service providers, Capex was concentrated on expanding fibre networks, extending terrestrial coverage, and strengthening core connectivity infrastructure. Investment also supported network modernisation and digital platform enhancements to enable more efficient and scalable service delivery. Beyond traditional network assets, spending was increasingly directed towards strategic infrastructure such as data centres and submarine cables, supporting rising connectivity demand and strengthening long-term network resilience.

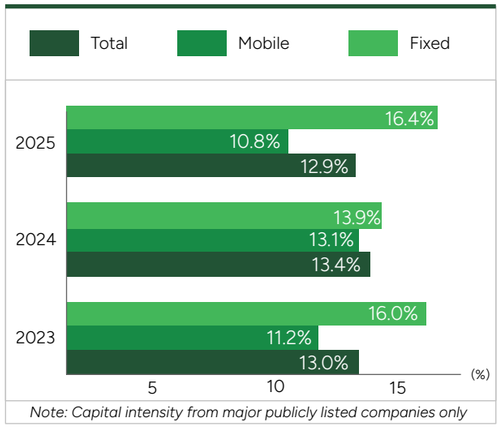
In 2025, total Capex in the telecommunications sector amounted to RM4.84 billion (2024: RM4.95 billion), resulting in a Capex-to-revenue ratio of 12.9% (2024: 13.4%). Of the total, mobile service providers accounted for 53% (RM2.56 billion), while fixed service providers accounted for the remaining 47% (RM2.28 billion).

The decline in overall Capex reflects the sector's transition from an intensive network rollout phase to a more moderate and targeted investment cycle[15]. As network coverage expansion stabilises and 5G adoption progresses, spending has become more selective, focusing on capacity upgrades, network optimisation, and improving returns on earlier investments. This indicates that while overall Capex has moderated, investment remains ongoing and increasingly focused on efficiency and value creation rather than large-scale infrastructure deployment.



Source: Industry

Figure 2.9: Telecommunications Sector Capex, 2023–2025



Source: Industry

Figure 2.10: Capex-to-Revenue Ratio (Capital Intensity), 2023–2025

15. GSMA 5G And the Tech Economy in Malaysia: Tapping the Untapped

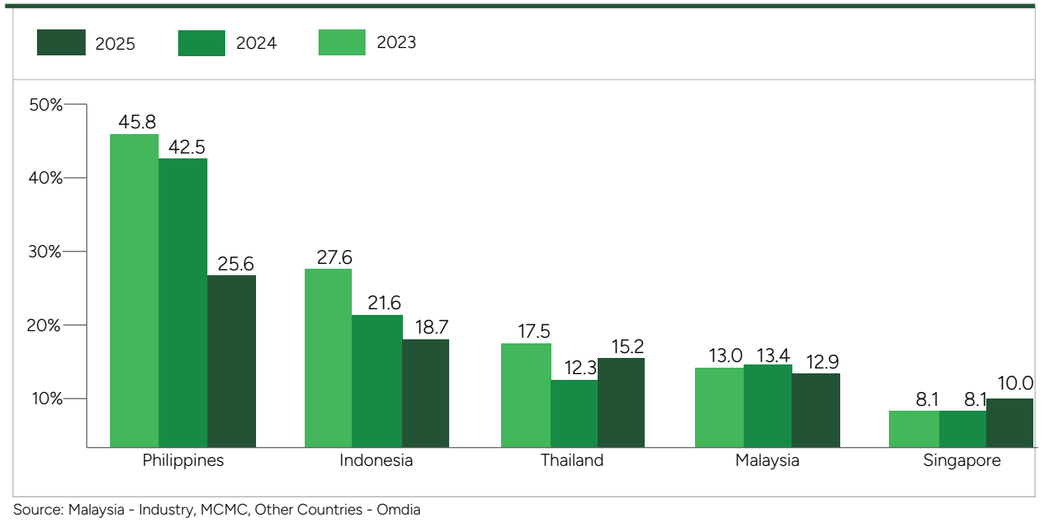
Regional Capex and Capital Intensity

At the regional level, Malaysia's telecommunications sector recorded a Capex-to-revenue ratio of 12.9% in 2025, below the global average of 15.6%[16]. The Philippines experienced a notable decline in capital intensity, from 45.8% in 2023 to 25.6% in 2025. Meanwhile, Indonesia, Thailand, and Singapore allocated 18.7%, 15.2%, and 10.0% of revenue to Capex, respectively, over the same period, as illustrated in Figure 2.11.

Operator investment in network infrastructure has been a major driver of 5G development across the Asia-Pacific (APAC) region. Between 2019 and 2024, operators in the region allocated nearly USD 220 billion in Capex, with most of the investment directed towards 5G infrastructure. As a result, average capital intensity reached around 25% in 2023 across APAC markets, before easing from 2024 onwards. This trend reflects the typical infrastructure investment cycle, where Capex is highest during the main rollout phase as operators expand coverage and upgrade network capacity, before moderating as core infrastructure becomes more established.

In Southeast Asia, capital intensity appears to be entering a more selective phase in some markets. In the Philippines, capital intensity declined in 2025 as operators shifted their focus towards capital optimisation and improving returns from earlier network investments, while continuing to expand network coverage[17]. In Thailand, Capex is also expected to ease as 5G coverage has exceeded 95% of the population, with spending increasingly focused on targeted capacity upgrades rather than the heavy upfront rollout seen over the past five years[18]. Lower Capex requirements were also observed in fixed broadband following market consolidation.

Overall, capital intensity trends in Southeast Asia and APAC are no longer moving in a single direction. Markets that are still expanding coverage and building 5G infrastructure, such as Indonesia, may continue to record relatively high capital intensity. In contrast, more mature markets such as Singapore are shifting from large-scale rollout towards more disciplined and efficiency-driven investment. This indicates that while Capex remains important across the region, the focus is increasingly shifting from building networks at scale to improving returns, supporting monetisation, and targeting upgrades in areas with the highest network demand and usage.



Source: Malaysia - Industry, MCMC, Other Countries - Omdia

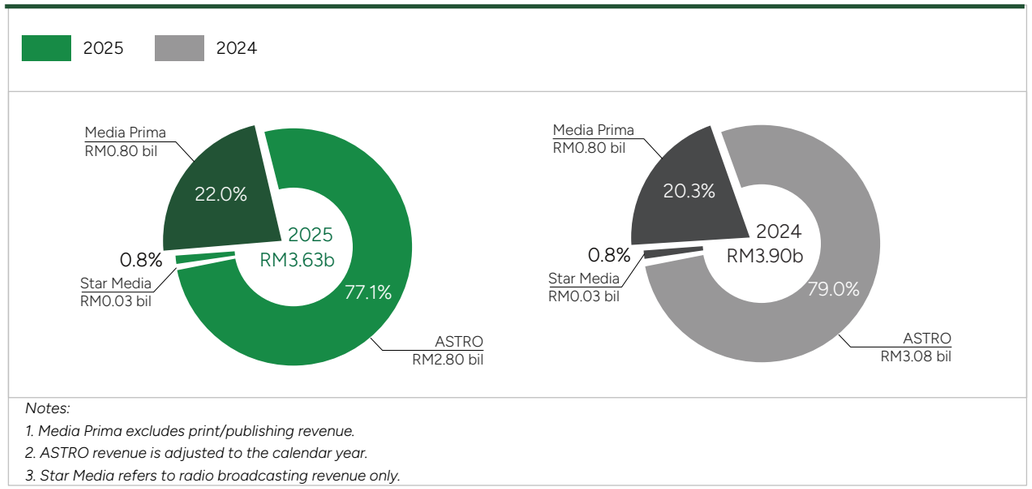
Figure 2.11: Telecommunications Capital Intensity in Southeast Asia, 2023–2025

16. OMDIA, Communications Provider Revenue and Capex Tracker
17. Business World - Globe Sees Modest 2026 Revenue Growth, Trims Capex, February 2026
18. Thanachart Research - Thailand Telecom Sector, September 2025

Broadcasting Sector

The broadcasting sector remained under pressure in 2025, reflecting softer consumer sentiment, weaker advertising demand, and continued shifts in media consumption patterns. Traditional broadcasting operators faced ongoing challenges as audiences and advertisers continued to migrate towards digital platforms, weakening legacy revenue streams such as advertising and subscription-based services. Advertising expenditure (Adex) was also affected by weaker consumer spending, cautious brand sentiment, and evolving advertiser priorities, which continued to weigh on overall demand. Nevertheless, advertising activity showed some improvement during the year, supported by major events, festive campaigns, and strong local content offerings.

At the same time, the sector demonstrated some resilience through diversification efforts. Selected players were able to partially offset weaker core broadcasting performance through growth in non-advertising income, digital platforms, content production, and home shopping segments. These alternative revenue streams helped cushion the impact of declining traditional media demand. While structural pressures persisted, ongoing efforts to diversify business models and expand beyond traditional broadcasting contributed to a more stable overall performance. As a result, broadcasting sector revenue declined by 6.9% to RM3.63 billion in 2025 (2024: RM3.90 billion).



Notes:
1. Media Prima excludes print/publishing revenue.
2. ASTRO revenue is adjusted to the calendar year.
3. Star Media refers to radio broadcasting revenue only.

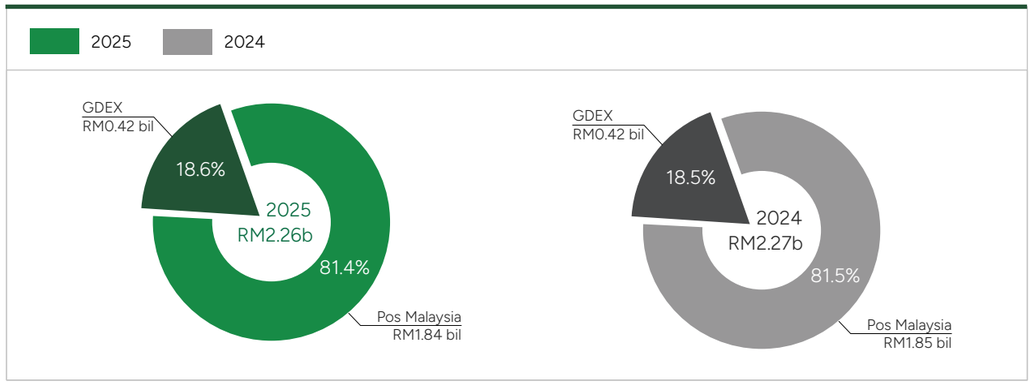
Source: Industry

Figure 2.12: Broadcasting Sector Revenue, 2024–2025

Postal and Courier Sector

The postal and courier sector recorded revenue of RM2.26 billion in 2025, representing a marginal decline of 0.4% (2024: RM2.27 billion). The decline reflects continued structural pressure in traditional mail and postal retail segments. Mail volumes remained on a downward trend due to ongoing digitalisation, while regulated pricing and high fixed costs continued to weigh on profitability. At the same time, the courier market remained highly competitive, with numerous players and aggressive pricing strategies continuing to pressure margins.

Despite these challenges, the sector showed signs of resilience, supported by stronger parcel volumes driven by sustained e-commerce demand. Higher delivery activity, together with ongoing cost-efficiency efforts and network optimisation, helped improve operating performance and momentum in the courier segment during the year. The sector also continued to adapt through service modernisation initiatives, including increased automation, investment in green energy, and the expansion of logistics electric vehicle (EV) fleets. These efforts continued to enhance operational efficiency and strengthen the sector's long-term resilience.



Source: Industry

Figure 2.13: Postal and Courier Sector Revenue, 2024–2025

ACE Market Overview and Performance

The ACE Market, which stands for "Access, Certainty, Efficiency," serves as an alternative capital-raising platform for small and medium-sized companies with growth potential seeking public listings. Prior to 2009, it was known as the MESDAQ Market (Malaysian Exchange of Securities Dealing and Automated Quotation).

As at the end of 2025, a total of 241 companies were listed on the ACE Market, of which 7 companies (2.9%) were licensees under the Communications and Multimedia Act 1998 (CMA 1998). The Individual and Class licensees listed on the ACE Market are presented in Figure 2.14.

Company (ACE-Listed)	Licensee (The company or subsidiary of an ACE-listed company)	Type of Licences*
M N C Wireless Berhad	M N C Wireless Bhd Moblife.TV Sdn Bhd	ASP (C)
MTouche Technology Berhad	Mtouche International Sdn Bhd	ASP (C)
N2N Connect Berhad	Netinfinium Sdn Bhd N2N Global Solutions Sdn Bhd NGN Connection Sdn Bhd	ASP (C)
Privasia Technology Berhad	Privanet Sdn Bhd Privasat Sdn Bhd	ASP(C), NFP (I) and NSP (I)
XOX Berhad	XOX Com Sdn Bhd XOX Digital Sdn Bhd	ASP (C)
	XOX Berhad	NFP (I) and NSP (I)
SMRT Holdings Berhad	N'osairis Technology Solutions Sdn Bhd	ASP (C)
Binasat Communications Berhad	Binasat Digital Sdn Bhd	NFP (I) and NSP (I)

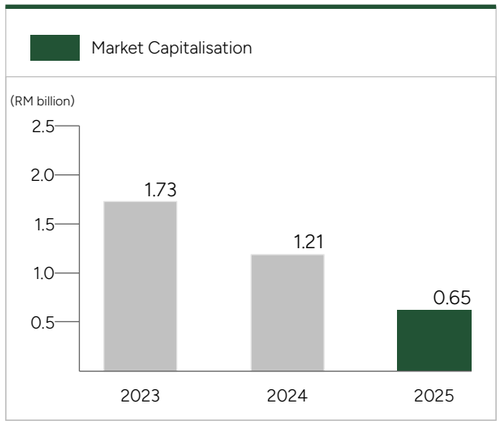
**ASP – Applications Service Provider; NSP – Network Service Provider; NFP – Network Facilities Provider; I – Individual; C – Class*

Source: Bursa Malaysia ACE Market, Industry, MCMC

Figure 2.14: Licensees on the ACE Market, 2025

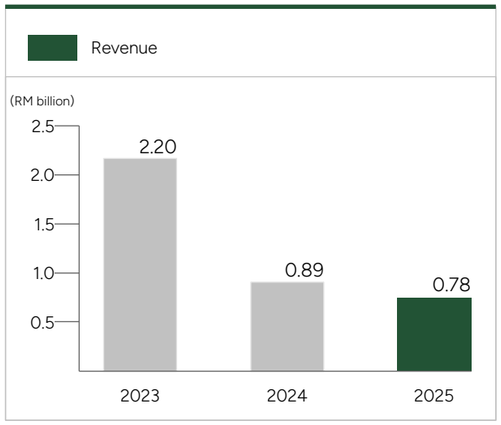
In 2025, the market capitalisation of CMA 1998 licensees listed on the ACE Market declined by 46.1% to RM0.65 billion (2024: RM1.21 billion), alongside a 12.4% decrease in revenue to RM0.78 billion (2024: RM0.89 billion). Despite weaker financial performance among some companies, several encouraging developments were observed. Notably, the migration of selected companies to the Main Market reflects stronger growth prospects and the ability to meet more stringent listing requirements, thereby enhancing corporate standing and market credibility.

Investor interest in ACE Market-listed companies remained relatively resilient despite softer financial performance. This reflects continued confidence in the long-term growth potential of these businesses, supported by expansion strategies, digital transformation initiatives, and ongoing efforts to improve profitability. Overall, these companies are expected to continue adapting to evolving market conditions while pursuing new growth opportunities.



Source: Bloomberg

Figure 2.15: Market Capitalisation of Licensees on the ACE Market, 2023–2025



Source: Industry

Figure 2.16: Revenue of Licensees on the ACE Market, 2023–2025



Chapter 3

SERVICES AND CONNECTIVITY

Design Rationale:



Original Photo

Extending the Nation's Reach

The image illustrates a telecommunications tower silhouetted against a warm sunset, representing the extensive communications infrastructure that enables seamless connectivity across Malaysia. As a familiar feature throughout the country, telecommunications towers form the foundation of mobile and wireless services, ensuring that individuals, businesses and communities remain connected regardless of location.

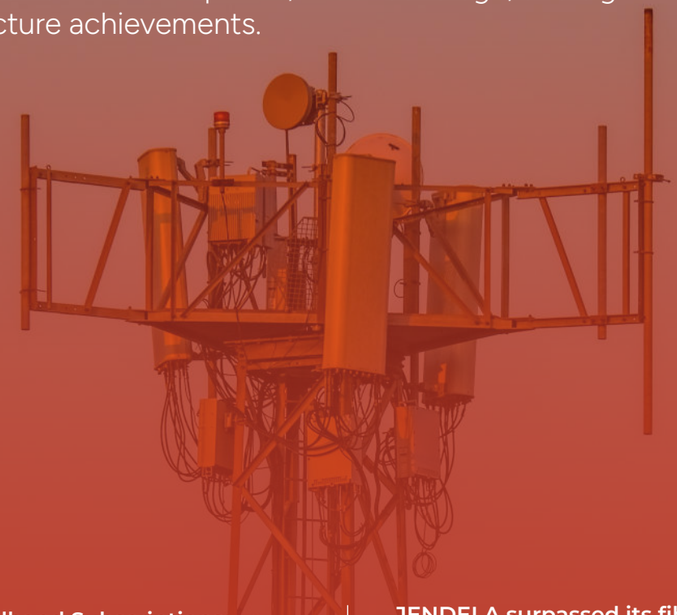
The visual was selected to symbolise the essential role of communications infrastructure in delivering reliable services and expanding nationwide connectivity. It complements the chapter's focus on service availability, network coverage and the continuous enhancement of communications services that support Malaysia's digital transformation and an increasingly connected society.

This chapter presents an overview of connectivity services in Malaysia, covering fixed broadband, mobile broadband, and mobile cellular services. It highlights developments in subscription growth, market share by service providers, penetration rates, and evolving industry trends. The chapter also discusses key national initiatives aimed at strengthening high-speed broadband infrastructure and expanding digital connectivity nationwide, particularly through JENDELA and the continued development of 5G services.

KEY HIGHLIGHTS 2025

Services and Connectivity

Malaysia's connectivity landscape continues to advance with strong growth in subscriptions, wider coverage, and significant infrastructure achievements.



Total Broadband Subscriptions

49.91 Million

↑0.6% from 2024



44.87 Million
Mobile Broadband Subscriptions

5.04 Million
Fixed Broadband Subscriptions

JENDELA surpassed its fibre target while continuing to strengthen nationwide mobile broadband coverage and speeds.

9.81 Million
Premises Passed with Fibre

99.71%
4G LTE Coverage in Populated Areas

143.7 Mbps
Median Mobile Broadband Speed

Mobile Cellular Subscriptions

49.79 Million

↑0.3% from 2024



32.94 Million
Prepaid Subscriptions

16.85 Million
Postpaid Subscriptions

5G Subscriptions

29.0 Million
Penetration rate of 84.5 per 100 inhabitants

↑59.3%
2024: 18.2 million



Coverage of Populated Areas (CoPA)
- Digital Nasional Berhad: 82.4%
- U Mobile: 67.8%

Broadband and Economic Growth

Countries around the world are increasingly benefiting from productivity gains and efficiency improvements driven by the wider adoption of mobile services and digital technologies. While expanding reliable connectivity remains a key priority, the mobile ecosystem is also evolving towards a new phase focused on smarter, more adaptive, and value-added digital services. This transition is supported by next-generation mobile networks such as 5G, alongside the growing adoption of technologies including artificial intelligence (AI), the Internet of Things (IoT), and other digital innovations across consumer and enterprise applications.

This transformation is reshaping the global economy. In 2025, mobile technologies and related services generated economic value equivalent to approximately 6.4% of global gross domestic product (GDP), contributing around USD 7.6 trillion to the global economy. This contribution is projected to increase significantly to USD11.3 trillion, or 8.4% of global GDP, by 2030[1]. In addition, the industry supported approximately 50 million jobs worldwide and generated more than USD800 billion in public revenues through taxation in 2025[2], underscoring its importance as a major economic and fiscal contributor.

Global internet adoption also expanded further, reflecting steady progress in worldwide digital connectivity. Approximately 74% of the global population is now online, compared with 71% in 2024, equivalent to around 6 billion internet users globally[3]. Despite this progress, more than one-quarter of the world's population remains offline, highlighting the need for greater investment in infrastructure, affordability, and digital access, particularly within underserved and lower-income communities.

Similar developments are observed across the Association of Southeast Asian Nations (ASEAN), where the telecommunications sector continues to expand through wider 4G coverage, accelerated 5G deployment, and increasingly affordable digital services. In 2024, internet usage among individuals exceeded 90% in countries such as Brunei Darussalam, Singapore, and Thailand, while internet adoption also grew steadily in larger regional markets including Indonesia and the Philippines[4]. ASEAN's digital expansion has also contributed to a rise in the share of ICT goods in total trade, increasing from 18.2% in 2015 to 25.6% in 2024[5]. These goods form the hardware foundation supporting telecommunications networks, internet connectivity, and digitally enabled services throughout the region.

In Malaysia, JENDELA continued to strengthen nationwide connectivity by expanding network coverage and enhancing broadband quality. As at 31 December 2025, approximately 9.81 million premises had access to fibre-optic connectivity, internet coverage in populated areas reached 99.71%, and the median mobile broadband download speed was recorded at 143.70 Mbps. The increased adoption of digital services also contributed to the growth of Malaysia's ICT sector, whose contribution to GDP increased by 5.1% to RM451.3 billion in 2024, compared with RM429.3 billion in 2023[6]. Moving forward, JENDELA Phase 2 is expected to further strengthen connectivity, particularly in rural and underserved areas, through a hybrid deployment approach involving smaller monopoles, conventional towers, and alternative technologies to improve rollout efficiency and address geographical challenges, especially in East Malaysia.

In parallel, several government-led initiatives and public-private collaborations are expected to further support demand for reliable broadband and mobile services across Malaysia. These include the nationwide 5G rollout through Digital Nasional Berhad and U Mobile, the expansion of Point of Presence (PoP) fibre hubs, and the development of the National Information Dissemination Centre (NADI). Collaborations with e-commerce platforms such as Shopee and Lazada are also expected to encourage wider digital adoption among communities and businesses that increasingly rely on online services and digital platforms.

1. GSMA, The Mobile Economy 2026
2. GSMA, The Mobile Economy 2026
3. ITU, Measuring Digital Development, Facts and Figures 2025
4. World Bank Group - Individuals using the Internet (% of population) - Thailand, Singapore, Indonesia, Brunei Darussalam, Philippines
5. ASEAN Key Figures 2025
6. Department of Statistics Malaysia - Malaysia Digital Economy, 2025

Broadband in Malaysia

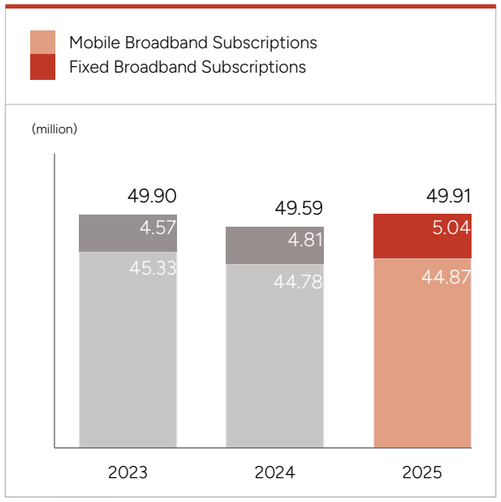
Malaysia's broadband market recorded steady growth in 2025, supported by rising demand for reliable and high-speed connectivity across households, businesses, and public services. Fixed broadband subscriptions increased by 4.8% to 5.04 million in 2025, compared with 4.81 million in 2024. Mobile broadband subscriptions also recorded marginal growth of 0.2% to 44.87 million (2024: 44.78 million). Collectively, total broadband subscriptions increased by 0.6% to 49.91 million in 2025, compared with 49.59 million in the previous year.

The expansion of fixed broadband subscriptions reflects growing demand for stable, high-speed, and reliable internet connectivity. This trend was driven by improvements in service quality, government infrastructure initiatives, and changing consumer preferences for stronger network performance. Demand for fixed broadband services was also reinforced by the wider adoption of flexible and hybrid work arrangements among government agencies and private companies, particularly within knowledge-intensive sectors.[7]

Mobile broadband subscriptions also remained resilient due to the increasing reliance on mobile data services for communication, entertainment, e-commerce, financial transactions, and digital applications. The expansion of 4G LTE and 5G coverage, together with wider availability of affordable mobile plans and 5G-enabled devices, helped sustain mobile broadband adoption nationwide.

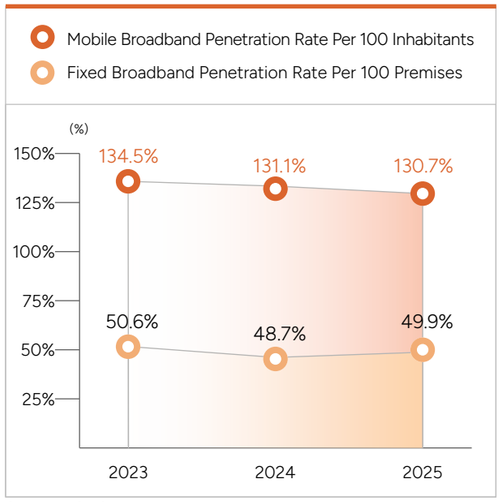
Telekom Malaysia (TM), the country's largest fibre network provider, recorded more than three million broadband subscriptions in 2025. Growth in TM's subscriber base was partly driven by its focus on enhancing convergence offerings through improved Unifi UniVerse packages. By integrating home broadband, mobile, content, and lifestyle services into bundled solutions, TM was able to address evolving customer demand for more comprehensive and convenient connectivity services. This underpinned a 1.6% increase in TM's fixed broadband customer base and reinforced its position as the only provider offering quad-play services in Malaysia.

Fixed broadband penetration reached 49.9% during the year, indicating that nearly one in two premises in Malaysia subscribed to fixed broadband services. The increase was driven by growing household broadband adoption, supported by rising demand for stable and high-speed home internet connectivity. In contrast, mobile broadband penetration remained above 100%, as many users maintain multiple mobile subscriptions for different usage needs, including personal and work-related connectivity. Mobile broadband penetration moderated slightly compared with the previous year, indicating a more mature market where most users are already connected.



Source: MCMC

Figure 3.1: Broadband Subscriptions, 2023–2025



Source: MCMC

Figure 3.2: Broadband Penetration Rates, 2023–2025

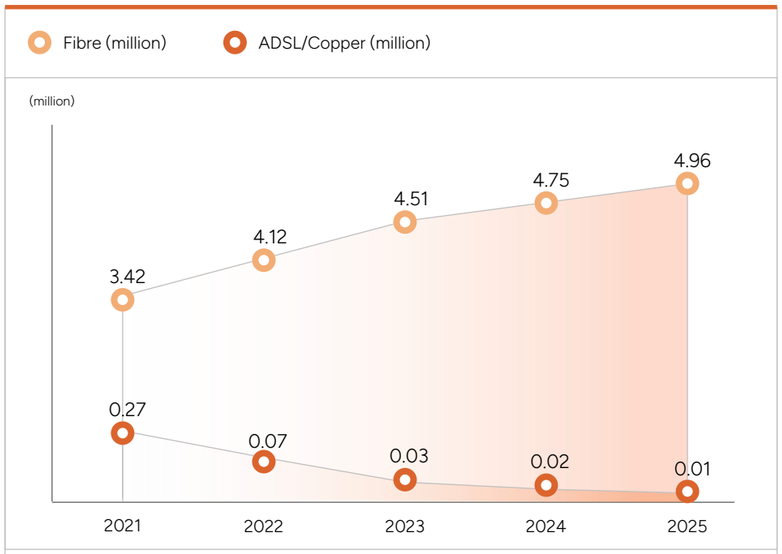
7. The Malaysian Reserve - WFH to stay in Malaysia's labour market

Fixed Broadband

Malaysia's fixed broadband market expanded in 2025, driven by ongoing fibre network deployment through both government initiatives and private sector investment. National initiatives such as JENDELA continued to facilitate infrastructure rollout and strengthen broadband accessibility, while telecommunications service providers expanded fibre coverage and upgraded network capabilities to meet rising connectivity demand. This public-private approach contributed to broader fibre availability nationwide and stronger adoption of fixed broadband services.

In 2025, fibre subscriptions increased by 4.4% to 4.96 million, compared with 4.75 million in 2024, representing a compound annual growth rate (CAGR) of 9.7% between 2021 and 2025. In contrast, Asymmetric Digital Subscriber Line (ADSL) subscriptions declined further as consumers migrated from legacy copper-based services to fibre broadband. ADSL subscriptions fell by 50% to 0.01 million, compared with 0.02 million in the previous year.

This trend was further reinforced by TM's migration of Streamyx and Unifi Lite customers to Unifi fibre broadband services to ensure improved speed, reliability, and service continuity. Figure 3.3 illustrates the expansion of fibre broadband subscriptions alongside the gradual decline of ADSL services between 2021 and 2025.



Note:
The figure does not include other technologies, such as Ethernet to the home (ETTH), satellite, or fixed wireless, because these technologies account for only a marginal number of subscriptions.

Source: MCMC

Figure 3.3: ADSL and Fibre Subscriptions, 2021–2025

Enterprise demand also supported fixed broadband growth during the year. Telecommunications service providers expanded enterprise offerings by integrating fibre connectivity with digital solutions such as cybersecurity, cloud storage, and e-commerce tools to facilitate business digitalisation. Initiatives including Unifi Business, IMPAK Biz, Usahawan Digital @TM, and SME digital workshops further encouraged businesses to adopt digital tools and strengthen their online presence.

Demand for enterprise connectivity was also driven by the expansion of data centres, cloud services, and hyperscale investments across the country. As enterprises, government agencies, and hyperscalers increasingly required secure and high-capacity connectivity, telecommunications providers experienced stronger demand for enterprise solutions such as dedicated fibre, IP VPN, and Software-Defined Wide Area Network (SD-WAN) services.

Mobile Broadband

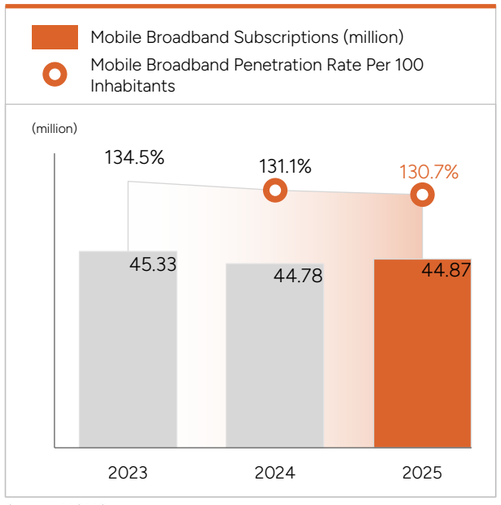
In 2025, Malaysia's mobile broadband market recorded marginal growth, driven by strong demand for mobile data services, wider adoption of digital applications, and ongoing expansion of 4G LTE and 5G networks. Mobile broadband subscriptions increased by 0.2% to 44.87 million, compared with 44.78 million in 2024. Rising usage of video streaming, e-commerce platforms, AI-enabled applications, and digital services also led to stronger demand for mobile connectivity among consumers and businesses.

Mobile operators continued to operate in a highly competitive and rapidly evolving market environment. To strengthen competitiveness and improve customer retention, operators focused on enhancing network quality, expanding 5G availability, modernising network infrastructure, and improving overall customer experience. Affordable entry-level packages and bundled mobile offerings also remained important strategies to attract and retain subscribers amid ongoing pricing competition.

Government-led affordability initiatives also influenced mobile broadband adoption. Programmes such as Pakej RAHMAH Siswa, Pakej 5G RAHMAH, and Insentif Rebat RAHMAH contributed to improving access to affordable mobile data services and 5G-enabled devices, particularly among students and lower-income groups. These initiatives reinforced the role of mobile broadband in promoting inclusive connectivity and wider access to online services.

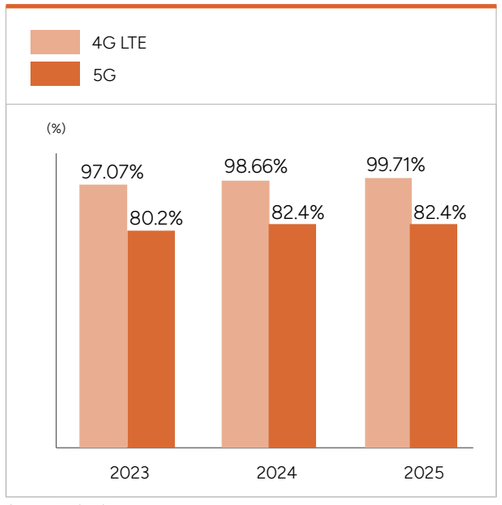
5G infrastructure rollout also improved network coverage and overall service quality. Following the transition to a dual 5G network model, U Mobile commenced its 5G rollout in 2025, focusing initially on high-traffic locations such as commercial areas, airports, hospitals, and major urban centres. Supported by collaboration between government, regulators, infrastructure partners, and technology vendors, ongoing expansion of 4G LTE and 5G coverage further strengthened broader connectivity and improved network accessibility across populated areas.

These developments underscored the role of mobile broadband in supporting nationwide connectivity, especially in rural and underserved areas where fixed broadband infrastructure remains limited. Figures 3.4 and 3.5 illustrate trends in mobile broadband subscriptions, penetration rates, and coverage of 4G LTE and 5G in populated areas between 2023 and 2025. While 4G LTE remained the dominant mobile technology, 5G coverage progressively increased during the period, reflecting Malaysia's gradual transition towards faster and more advanced mobile network services.



Source: MCMC

Figure 3.4: Mobile Broadband Subscriptions and Penetration Rates, 2023–2025



Source: MCMC

Figure 3.5: 4G LTE and 5G Coverage in Populated Areas, 2023–2025

Satellite Broadband

Satellite broadband remained important role in supporting connectivity across remote, rural, and geographically challenging areas in Malaysia where terrestrial infrastructure deployment remains limited. Satellite services are particularly important in East Malaysia and other underserved locations, where geographical barriers and lower population density can make fibre and mobile network deployment more challenging. In addition to supporting household connectivity, satellite broadband is also increasingly used across sectors such as maritime, oil and gas, agriculture, disaster response, and enterprise communications.

Malaysia's satellite services market remained a niche but strategically important segment of the telecommunications industry in 2025. Under JENDELA Phase 2, Malaysia's connectivity strategy also emphasised the use of multiple technologies, including satellite solutions, to improve coverage in areas where conventional infrastructure is difficult or less commercially viable to deploy. Malaysia's satellite market was estimated at approximately USD 4.2 billion in 2025 and is projected to grow at a CAGR of 10.9% over the forecast period[8]. Growth is primarily driven by rising demand for high-speed internet services, wider digitalisation across industries, and government-led initiatives such as Digital Malaysia and MyDIGITAL, which aim to accelerate the country's transition towards a more connected and technology-driven economy.

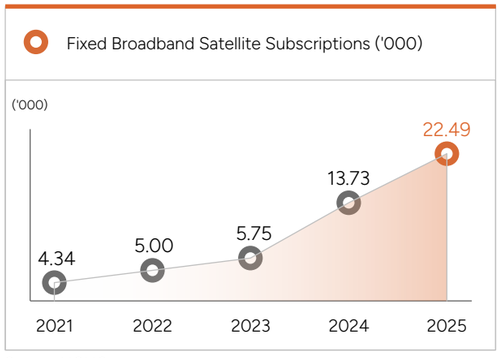
Demand for satellite broadband also strengthened as the need for reliable connectivity in underserved and hard-to-reach areas continued to increase. MEASAT remained a key local industry player, supporting broadcasting, enterprise connectivity, rural broadband, and disaster recovery services. The market further benefited from the expansion of Low Earth Orbit (LEO) satellite broadband services by Starlink, which received a 10-year licence to operate as a Network Facilities Provider (NFP) and Network Service Provider (NSP) under the CMA 1998.

Unlike traditional Geostationary Earth Orbit (GEO) satellite systems, which operate at higher orbital altitudes and typically experience higher latency, LEO satellite systems operate closer to Earth and are capable of delivering lower latency and faster internet speeds. This makes LEO services more suitable for real-time online applications such as video streaming, online gaming, video conferencing, cloud services, and other interactive digital applications. The introduction of LEO satellite services has therefore contributed to improving the overall quality, accessibility, and responsiveness of satellite broadband connectivity.

Collaboration also played an important role in the development of Malaysia's satellite ecosystem. MEASAT's role as an authorised Starlink reseller supports multi-orbit satellite solutions by integrating GEO and LEO capabilities to improve connectivity options for remote and enterprise users. In addition, MEASAT entered into a partnership with Beijing Guodian High-Tech Technology Co Ltd and China StarWin Science & Technology Co Ltd to introduce satellite-based IoT services in Malaysia through the Tianqi LEO Constellation[9]. Under this collaboration, MEASAT acts as the local service provider, while its partners provide the satellite systems and certified ground terminals.

Collectively, the development of satellite services in Malaysia reflects the country's ongoing efforts to strengthen nationwide connectivity and support digital inclusion, particularly within remote and underserved areas. Moving forward, greater collaboration between satellite operators, telecommunication providers, and technology companies is expected as demand grows for reliable connectivity beyond the reach of conventional fibre and mobile infrastructure.

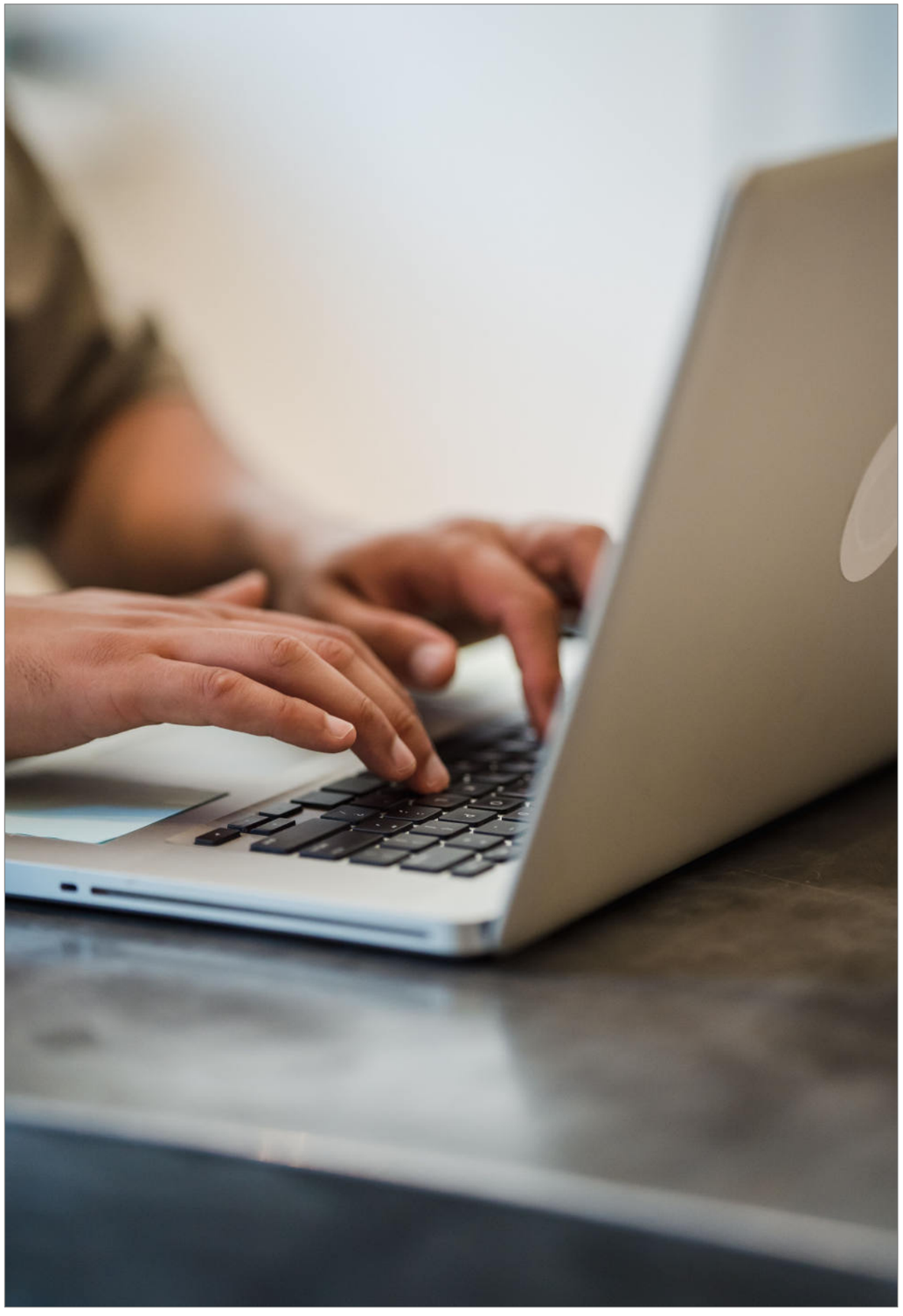
Figure 3.6 illustrates fixed broadband satellite subscriptions in Malaysia between 2021 and 2025. Subscription numbers recorded a consistent upward trend, increasing from 4,340 subscriptions in 2021 to 22,488 subscriptions in 2025, representing approximately fivefold growth over the five-year period.



Source: MCMC

Figure 3.6: Fixed Broadband Satellite Subscriptions in Malaysia, 2021–2025

8. 6Wresearch - Malaysia Satellite Market (2025-2031) Outlook
9. Digital News Asia – Measat, Guodian Gaoke and StarWin form alliance to power Sarawak's digital ambition with next-gen satellite Iot, October 23, 2025



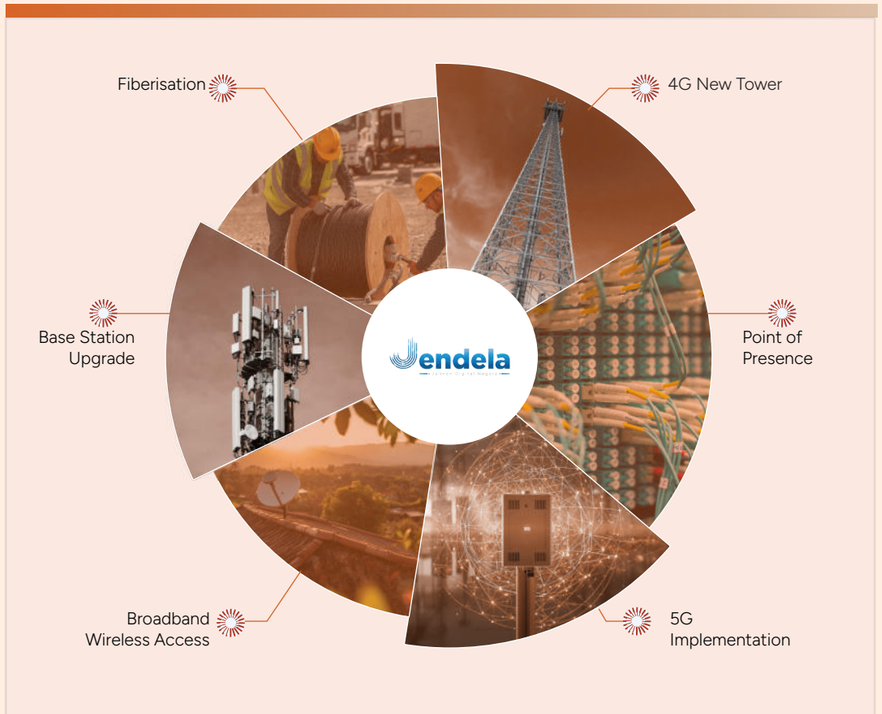
The Development and Achievement of Pelan Jalinan Digital Negara (JENDELA)

Introduced in September 2020, JENDELA aims to enhance nationwide broadband coverage and improve the quality of communications services through sustainable and comprehensive digital infrastructure development. The five-year plan, covering the period from 2020 to 2025, focuses on strengthening connectivity through multiple technologies, including fibre optics, 4G, 5G, and satellite. These technologies support the delivery of reliable and high-quality fixed and mobile broadband services across Malaysia.

JENDELA aims to ensure that all Malaysians continue to benefit from improved broadband access by achieving the targets outlined under the 12th Malaysia Plan (RMK-12) by 2025. These targets include passing 9 million premises with fibre connectivity, achieving 100% internet coverage in populated areas, and delivering an average mobile broadband speed of 100 Mbps. Ultimately, JENDELA is intended to enable Malaysians to leverage improved digital access to support socioeconomic well-being, economic participation, and overall quality of life.

Implementation and Achievement of JENDELA

The implementation of JENDELA focuses on improving broadband quality and expanding network coverage throughout the country. Key initiatives include the construction of new 4G towers, upgrading existing base stations to improve service quality and mobile broadband speed, expanding fibre broadband access to new premises, and accelerating 5G deployment. The main projects implemented under JENDELA are illustrated in Figure 3.7.



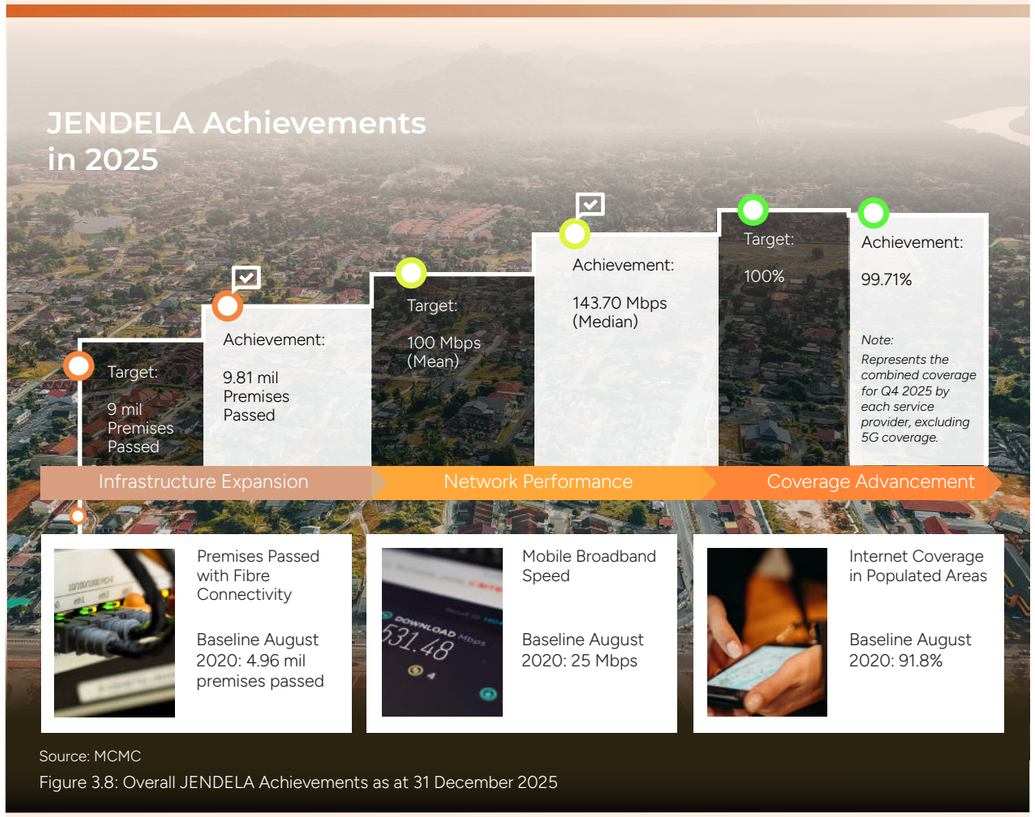
Source: MCMC

Figure 3.7: Main Projects under JENDELA

JENDELA demonstrated further progress in expanding broadband infrastructure and enhancing overall network performance. With most national targets already achieved, the remaining implementation efforts focus on closing the final coverage gaps. As at 31 December 2025, JENDELA recorded the following achievements:

1. A total of 9.81 million premises nationwide had access to fibre connectivity, representing an addition of 4.85 million* new premises from the existing 4.96 million premises. This surpassed the target of 9 million premises passed under JENDELA;
2. 49,084 existing base stations were upgraded to improve network quality and mobile broadband performance; and
3. 4,484 new 4G towers were constructed to strengthen 4G coverage in populated areas.

**Including premises under Point of Presence Project (PoP) under Ministry of Communications*



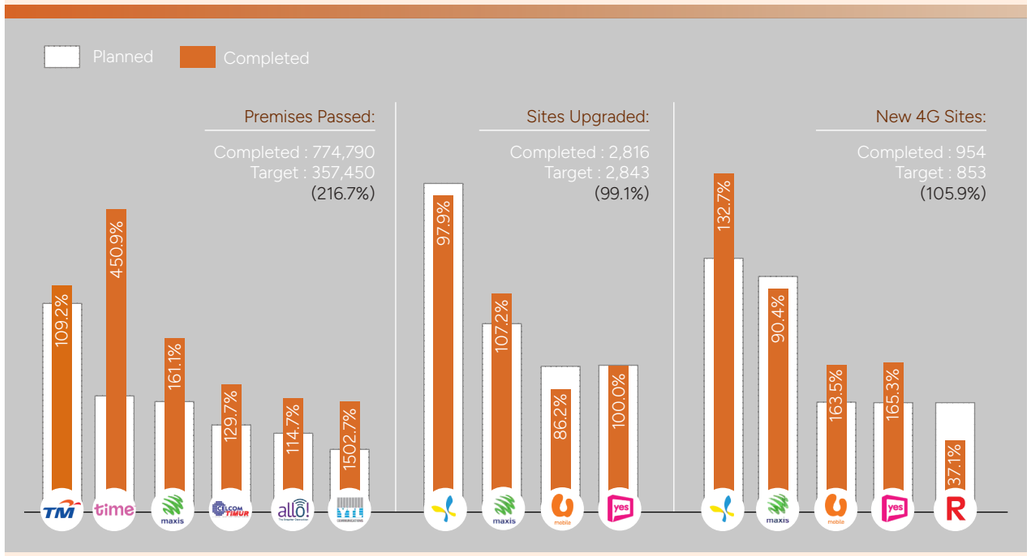
Source: MCMC

Figure 3.8: Overall JENDELA Achievements as at 31 December 2025

The telecommunications industry demonstrated a strong commitment to accelerating infrastructure rollout and improving service quality to ensure that the public benefits from JENDELA. Overall industry performance in implementing JENDELA initiatives is summarised in Figure 3.9.

Although industry performance in 2025 recorded satisfactory progress in both the number of premises passed and the deployment of new 4G sites, several implementation challenges remained. In particular, the apparent shortfall among certain service providers in upgrading base stations during the year was mainly due to the early completion of upgrade targets under Universal Service Provision (USP) projects in 2024. Since the 2025 targets remained unchanged, these items appeared as

outstanding in the performance chart despite having been completed ahead of schedule. Additional delays, particularly within rural areas, were mainly attributed to permitting and approval processes, site relocation issues involving landlords, fibre readiness constraints, and installation challenges involving tower repeaters.



Source: MCMC

Figure 3.9: Overall JENDELA Achievements by Industry Players, 2025

Initiatives Towards Achieving JENDELA Targets

Throughout the implementation of JENDELA, network coverage gaps were continuously identified through coverage analysis, user feedback, and on-the-ground monitoring activities. In response, several targeted measures were introduced to improve network experience across populated areas, major economic corridors, public facilities, and key event locations. These interventions aim to ensure that network improvements are prioritised in areas with the greatest demand and strategic importance.

The main initiatives are as follows:

1. Seven Focus Areas:

This initiative targets major highways and protocol routes, Public Higher Education Institutions (IPTA), hospitals, military camps, event venues, tourist areas, and national stadiums to improve network coverage and service quality within high-priority public locations. As of December 2025, implementation in two focus areas, namely event venues and IPTA, had been completed. Implementation in the remaining focus areas is ongoing and is expected to be completed by Q2 2026.

2. "Di Mana Ada Jalan, Di Situ Ada Internet" Initiative

Led by MCMC in collaboration with Mobile Network Operators (MNOs), this initiative focuses on ensuring reliable mobile internet coverage along key road networks nationwide. The initiative supports the aspirations of JENDELA and MyDIGITAL by extending network availability across urban, rural, and FELDA routes, thereby improving digital accessibility and supporting broader socioeconomic participation.

The programme commenced in 2024 through a workshop in Penang involving all MNOs, followed by Proof of Concept (POC) testing conducted by participating operators. In January 2025, the National Infrastructure Sharing Framework (NISF) was introduced to establish a more coordinated and standardised approach for infrastructure sharing, enabling more efficient and consistent network deployment along road corridors.

A key milestone under the initiative was the completion of the POC to evaluate mobile internet performance and harmonise testing methodologies across the Southwest and Northeast districts of Penang. This work established a consistent data baseline to support more accurate planning and optimisation of road-based network coverage. Full-scale implementation in 2025 was based on findings and methodologies developed through the POC and NISF.

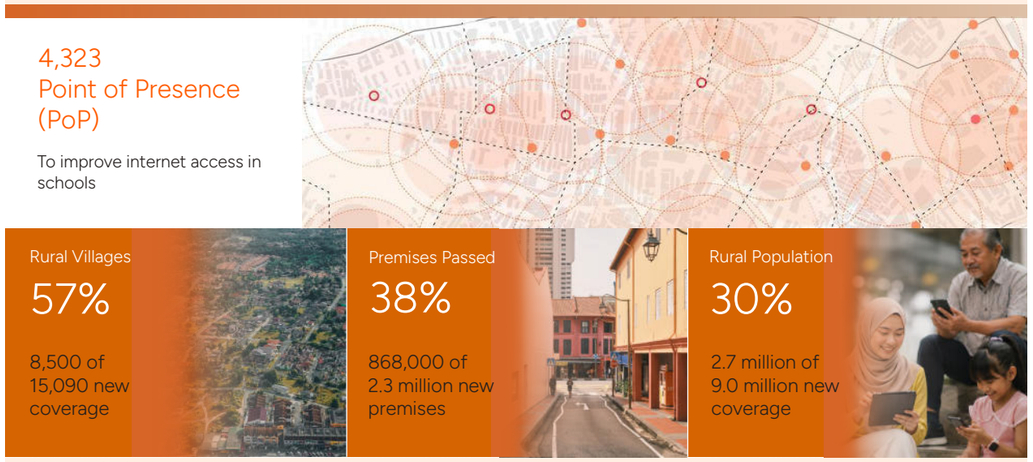
3. CoPA Improvement Plan by MNOs

Although composite internet coverage in populated areas reached 99.71%, several coverage gaps remained at the state level and required further improvement by certain MNOs. To address these gaps, MNOs implemented the Coverage of Populated Area (CoPA) Improvement Plan (2025–2027) under MCMC's monitoring. The plan includes deployment of new 4G infrastructure, site upgrades, and Multi-Operator Core Network (MOCN) sharing arrangements. As at 31 December 2025, 2,600 out of 2,615 planned activities, equivalent to 99.43%, had been completed, contributing towards the gradual reduction of coverage gaps among MNOs.

Schools as Fibre Optic Hubs to Connect the Community (Points of Presence)

To improve internet access in schools, the Government, through the Ministry of Communications, initiated the Point of Presence (PoP) Project in 2022. The project involves the deployment of fibre optic network hubs at 4,323 schools and is targeted for completion by the end of 2025, as illustrated in Figure 3.10.

The project is also expected to benefit surrounding communities and nearby premises through wider access to gigabit broadband services. As at 31 December 2025, a total of 3,143 PoPs had been completed.



Source: MCMC

Figure 3.10: Progress of the Point of Presence (PoP) Project, 2025

Advancing 5G Implementation Through JENDELA

The implementation of 5G remained one of the key components under JENDELA, supporting Malaysia's transition towards a more advanced communications infrastructure. Following the commencement of the national 5G rollout in 2021, the Government's policy shift in May 2023 to adopt a dual 5G network model marked a significant milestone in accelerating broader 5G expansion and introducing a more competitive market environment.

Throughout 2025, MCMC maintained its role in coordinating, monitoring and guiding the transition from a single wholesale network model towards a dual network approach. The implementation of the dual network model is intended to strengthen innovation, improve service quality, and expand 5G availability through healthy competition between service providers. The approach also supports wider consumer choice, more competitive pricing, and stronger digital inclusivity, particularly within underserved communities.

Digital Nasional Berhad further strengthened nationwide 5G coverage during the year, while U Mobile commenced implementation of the second national 5G network following its appointment in November 2024. The rollout of the second 5G network marked an important milestone in strengthening the 5G ecosystem through improved resilience, wider industry participation, and expansion of 5G services across Malaysia.

In addition to outdoor network deployment, both 5G network providers also enhanced in-building coverage to improve indoor 5G service quality, particularly within high-traffic commercial areas and major public premises. These efforts are expected to further strengthen user experience and support the growing demand for high-speed and low-latency digital applications.

Overall, the ongoing implementation of 5G under JENDELA supports Malaysia's broader digital transformation agenda by enabling more advanced digital services, strengthening communications infrastructure, and supporting future economic growth. Further details on Malaysia's 5G rollout progress, adoption, and enterprise development are discussed in the following section on "5G Development in Malaysia".

A Collaborative Effort to Deliver Connectivity for All

Since the commencement of JENDELA, MCMC, together with relevant Federal ministries, government agencies, state governments, and local authorities, has played a critical role in supporting and accelerating the deployment of communications infrastructure. This includes facilitating policy coordination, improving implementation processes, and supporting regulatory and infrastructure-related initiatives at various national platforms.

One of the key collaborative initiatives was the establishment of a special committee chaired by the Secretary-General of the Ministry of Communications to standardise processes, charges, and fees related to the development of mobile and fixed-line infrastructure across Federal, state, and local government agencies. The committee subsequently presented the "Memorandum on Standardisation of Processes, Charges and Fees for the Development of Communications Infrastructure at the State Level" during the Mesyuarat Menteri Besar dan Ketua Menteri (MBKM) Ke-143 on 16 July 2024. Following the meeting, state governments agreed to further deliberate the matter at the state level and provide updates to the Ministry of Communications for subsequent coordination and further action.

Another important initiative involved strengthening policies relating to the ownership and administration of reserved land for communications towers. Several states have formalised the appointment of their respective Land and Mines Offices as administrators for reserved land designated for communications infrastructure. Other states are currently in the process of preparing the necessary proposals and refining administrative mechanisms to determine the appropriate authorities responsible for managing these reserved areas.

The successful implementation of communications infrastructure depends heavily on strong collaboration and commitment from all stakeholders, including Federal and state governments, local authorities, industry players, private sector entities, and local communities.

Way Forward: Strengthening Malaysia's Digital Future

The implementation of JENDELA over the past five years has demonstrated that a well-structured, collaborative, and people-centred national approach can drive meaningful transformation within Malaysia's digital ecosystem. Through the expansion of 4G network coverage and wider fibre-to-the-premises (FTTP) access, JENDELA has significantly improved broadband availability, enhanced service quality, and supported socioeconomic development across the country.

As a continuation of JENDELA, several new initiatives are currently being developed, including the JENDELA Phase 2 Project, which will prioritise fit-for-purpose solutions aligned with the specific requirements of different localities. This approach enables the deployment of the most suitable technologies based on factors such as cost efficiency, terrain, site readiness, community needs, and long-term implementation feasibility. JENDELA Phase 2 is expected to sustain the inclusive momentum established under the first phase by ensuring that no community is left behind, while further strengthening Malaysia's long-term communications infrastructure ecosystem.

In parallel, efforts to improve broadband coverage along national transportation corridors are also progressing. Rural internet coverage within several East Coast states is expected to improve alongside the development of the East Coast Rail Link (ECRL), reflecting the broader national commitment to ensure that digital infrastructure development progresses in tandem with major transportation and economic infrastructure projects.

With a strategic, flexible, and forward-looking direction, the next phase of JENDELA is expected to position Malaysia more firmly as an inclusive, resilient, and competitive digital nation. This aligns with the country's aspiration to ensure that communities in every part of the nation continue to benefit from high-quality, reliable, and sustainable connectivity services.



Mobile Cellular Services

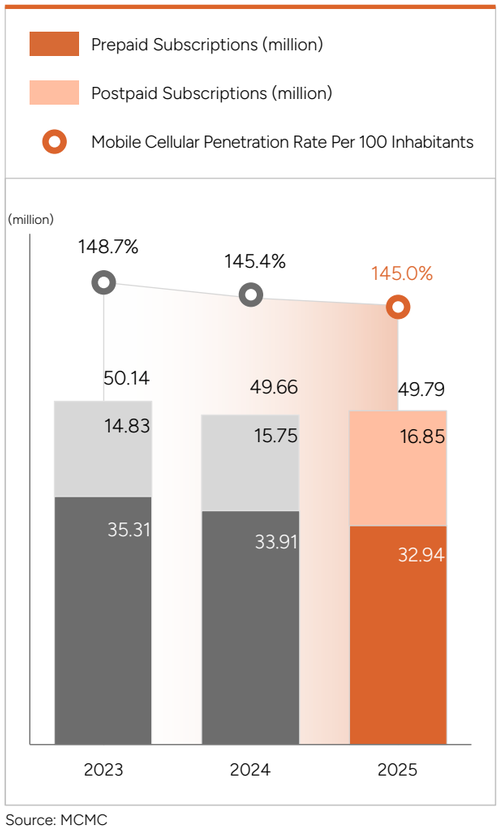
Mobile cellular services remain one of the most widely used communications technologies, enabling users to make voice calls, send text messages, and access internet services while on the move. The evolution of mobile network technologies from 4G LTE to 5G has further improved network speed, latency, and overall service quality, supporting wider adoption of digital applications and mobile internet usage. Mobile cellular services play an important role in supporting Malaysia's digital economy by enabling greater access to information, digital services, and online communications.

Figure 3.11 illustrates the trend of mobile cellular subscriptions and penetration rates in Malaysia between 2023 and 2025. Total mobile cellular subscriptions increased marginally by 0.3% to 49.79 million subscriptions in 2025, compared with 49.66 million in 2024. The growth was mainly driven by a 7.0% increase in postpaid subscriptions, which rose to 16.85 million from 15.75 million in the previous year. However, this increase was partially offset by a 2.9% decline in prepaid subscriptions, which fell to 32.94 million from 33.91 million over the same period. In terms of adoption, the mobile cellular penetration rate stood at 145.0% in 2025, slightly lower than the 145.4% recorded in 2024.

Growth in the postpaid segment was supported by the migration of users from prepaid to postpaid plans, driven by stronger value propositions such as larger data allocations, bundled services, family or supplementary line packages, and more attractive long-term offerings. These strategies also contributed to improving customer retention and strengthening revenue contribution from the postpaid segment.

In contrast, the prepaid segment recorded softer performance due to migration to postpaid subscriptions and sustained pricing competition from other service providers, including Mobile Virtual Network Operators (MVNOs), which offered affordable and flexible prepaid plans. Despite intense competition and pricing pressures, prepaid subscriptions remained sizeable, maintaining a subscriber base exceeding 30 million in 2025. This reflects the enduring relevance of prepaid services among users who prioritise affordability, flexibility, and contract-free mobile plans.

Malaysia's mobile cellular landscape evolved further in 2025, with postpaid subscriptions recording stronger growth while prepaid subscriptions gradually declined over recent years. Nevertheless, Malaysia remained a prepaid-dominant market, with prepaid subscriptions accounting for slightly more than 66% of total mobile subscriptions. Despite this, the gap between prepaid and postpaid subscriptions has narrowed, indicating that telecommunications providers have been increasingly successful in attracting postpaid subscribers as part of broader efforts to improve Average Revenue Per User (ARPU) and strengthen long-term customer value.



Source: MCMC

Figure 3.11: Mobile Cellular Subscriptions and Penetration Rates, 2023–2025

Figure 3.12 illustrates the prepaid and postpaid subscription market share across selected Asian countries between 2023 and 2025. Emerging economies such as Malaysia, Indonesia, the Philippines, Thailand, and Vietnam remained largely prepaid-driven, primarily due to higher price sensitivity among consumers within these markets. In contrast, developed economies such as Singapore, South Korea, and Japan demonstrated a stronger preference for postpaid plans, supported by higher purchasing power and a greater inclination to adopt long-term service subscriptions. Among the emerging economies, Malaysia recorded the highest postpaid subscription share, reflecting a gradual shift towards subscription patterns more commonly observed in developed markets.



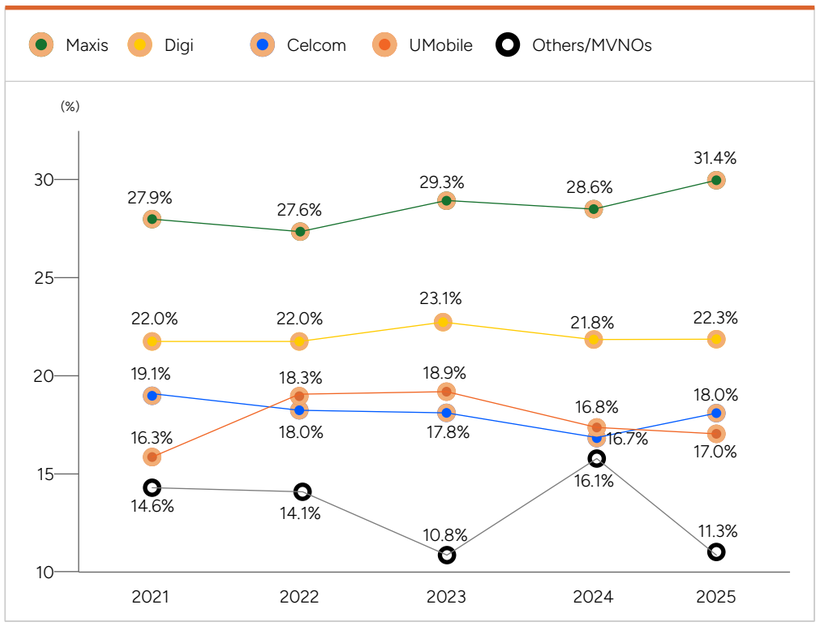
Source: MCMC, Omdia

Figure 3.12: Prepaid and Postpaid Subscription Market Share by Country, 2023–2025

By service provider, Maxis maintained the largest subscription market share in 2025 at 29.6%, followed by Digi at 21.0% and Celcom at 17.0%. The remaining market share was contributed by U Mobile at 16.0% and other service providers, including MVNOs, which collectively accounted for 16.3% of total subscriptions.

The competitive landscape remained relatively stable, with Maxis and Digi retaining significant market positions over the past years. As the integration between Celcom and Digi approached completion, the combined entity gained stronger market traction in 2025, driven by operational synergies, including cost optimisation within its profit and loss account and capital expenditure efficiencies.

Meanwhile, U Mobile and other service providers, including MVNOs, demonstrated consistent growth in their respective subscription market shares. Their expansion reflects an increasingly competitive telecommunications environment, where consumers have access to a broader range of mobile plans, pricing options, and digital offerings beyond those provided by the major established operators.



Source: MCMC

Figure 3.13: Mobile Cellular Subscription Market Share by Service Provider, 2021–2025

Bilateral Roaming Arrangement Between Malaysia and Timor-Leste

Malaysia has successfully advanced a bilateral mobile roaming arrangement with Timor-Leste to provide more affordable and seamless cross-border connectivity for consumers and travellers in both countries, strengthening practical digital cooperation and enhancing the overall roaming experience. This initiative supports Malaysia's commitments, particularly in its role as ASEAN Chair in 2025, to advance regional integration and digital connectivity under the theme of building a shared digital future, while contributing to ASEAN's broader digital economy agenda. In this effort, MCMC played a facilitative role in operationalising the arrangement, ensuring that it delivers tangible benefits to consumers and reinforces Malaysia's standing as a regional leader in digital connectivity.

To support coordinated implementation, MCMC convened a meeting with the CEOs of Malaysian Mobile Network Operators (MNOs) on 25 September 2025 to align on the rollout of roaming services in Timor-Leste, focusing on readiness and pricing structures. MCMC also led Malaysia's official delegation to Timor-Leste from 10 to 12 October 2025, to conduct regulatory engagements with the Autoridade Nacional de Comunicações (ANC). These engagements included knowledge-sharing on consumer protection frameworks and high-level discussions to align cross-border connectivity goals and strengthen bilateral cooperation.

In addition, MCMC facilitated a structured platform for bilateral technical and commercial discussions between five Malaysian MNOs and three Timor-Leste operators on 10 and 11 October 2025. These sessions enabled constructive deliberations on roaming principles, tariff structures, and an implementation roadmap, supporting the timely execution of the roaming arrangement and advancing regional digital integration objectives.

The bilateral roaming arrangement delivers clear and tangible benefits to consumers through the full activation of roaming services between Malaysia and Timor-Leste, ensuring seamless access to voice, SMS, and data services for both outbound and inbound travellers. This milestone reduces communication barriers for tourists, business travellers, and migrant workers by enabling continuous mobile connectivity while abroad. The introduction of a special roaming rate for Timor-Leste further enhances affordability by significantly lowering roaming charges and making mobile services more accessible for travellers between the two countries. More broadly, the inclusion of Timor-Leste within ASEAN roaming offerings supports regional efforts to harmonise telecommunications charges and facilitate mobility across the region. This development reinforces Malaysia's leadership in advancing ASEAN's digital integration agenda, while delivering meaningful cost savings and improved user experience for consumers. Collectively, these measures contribute to stronger regional connectivity and enable greater economic collaboration through reliable, affordable digital access.

In conclusion, prior to the ASEAN Summit on 26 October 2025, all major Malaysian mobile network operators, namely Maxis, CelcomDigi, TM Technology Services, U Mobile, and YTL Communications, successfully integrated Timor-Leste into their ASEAN Roaming Packages. With this enhancement, customers can now enjoy the same affordable roaming rates in Timor-Leste as in other ASEAN countries, with operators offering a three-day roaming package priced at RM39, further strengthening regional connectivity and enhancing consumer benefits.



Source: MCMC

Figure 3.14: Malaysia's Official Delegation to Timor-Leste (10 to 12 October 2025)

Mobile Virtual Network Operators

Mobile Virtual Network Operators (MVNOs) play an important role within Malaysia's telecommunications landscape by providing mobile services without owning network infrastructure. Through wholesale arrangements with established Mobile Network Operators (MNOs), MVNOs are able to enter the market with lower infrastructure investment requirements while focusing on service innovation, customer experience, and niche market segments.

The development of MVNOs in Malaysia has contributed to strengthening market competition by providing consumers with greater choice and encouraging established MNOs to enhance pricing strategies, service quality and product offerings. MVNOs are often recognised for their ability to introduce competitive plans and targeted offerings that provide stronger value propositions to consumers. They also serve key niche segments, including foreign workers, youths, prepaid users and other value-conscious consumer groups.

Malaysia's MVNO market is estimated to reach USD 1.06 billion by 2030, supported by a CAGR of 5.75% during the forecast period from 2025 to 2030[10]. Despite this positive outlook, the operating environment remains highly competitive and is expected to become increasingly challenging as market competition intensifies. In this environment, a fair and sustainable competitive framework remains important to ensure that MVNOs can continue contributing to consumer welfare through affordable pricing, service innovation, and differentiated offerings.

As listed in Figure 3.15, a total of 29 licensees were actively providing MVNO services across Malaysia in 2025, representing a significant increase from 20 licensees in the previous year.

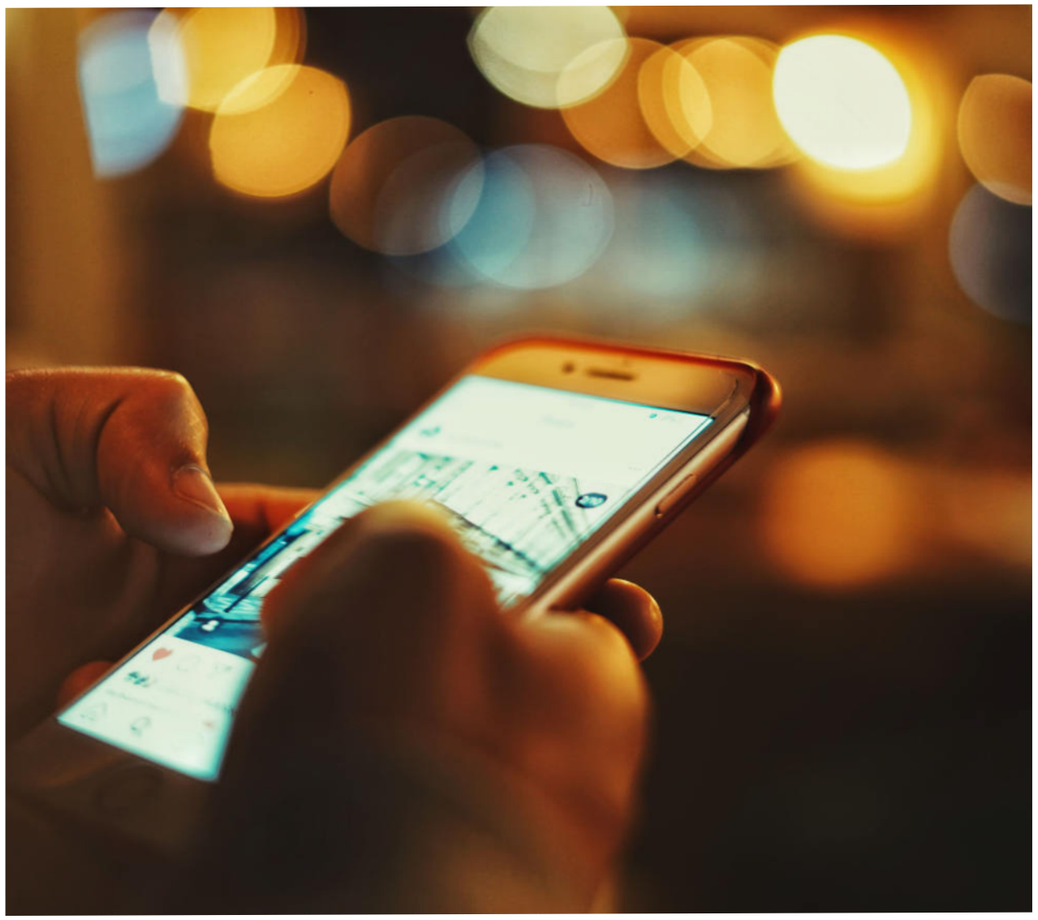
Number Mobile Virtual Network Operators (MVNOs)			
1.	Uni Comms International Sdn Bhd	16.	XOX Digital Sdn Bhd
2.	Binasat Digital Sdn Bhd	17.	Pacific Comnet (M) Sdn Bhd
3.	Be One Network Sdn Bhd	18.	B Communications Sdn Bhd
4.	Red One Network Sdn Bhd	19.	Techsaltants Sdn Bhd
5.	Syarikat Permata Suri Sdn Bhd	20.	XOX Com Sdn Bhd
6.	Solarite Sdn Bhd	21.	Anchor Communications Sdn Bhd
7.	S4S Digital Sdn Bhd	22.	Mbits Digital Sdn Bhd
8.	Roots Communications Sdn Bhd	23.	Tone Wow Sdn Bhd
9.	BT Systems (Malaysia) Sdn Bhd	24.	China Mobile International (Malaysia) Sdn Bhd
10.	My Evolution Sdn Bhd	25.	Altel Communications Sdn Bhd
11.	Tune Talk Sdn Bhd	26.	Redtone Engineering & Network Services Sdn Bhd
12.	Pavo Communications Sdn Bhd	27.	Stallion Network Sdn Bhd
13.	Jejak Semangat Sdn Bhd	28.	Valyou Sdn Bhd
14.	Jenexus Holding Sdn Bhd	29.	Swap Telecommunications Sdn Bhd
15.	Cubic Telecom Malaysia Sdn Bhd		

Source: MCMC

Figure 3.15: Active Mobile Virtual Network Operators (MVNOs) in Malaysia, 2025

As 4G LTE networks continue to improve and 5G services expand, MVNOs also provide opportunities for MNOs to better utilise surplus network capacity. Through wholesale partnerships, MNOs are able to improve network monetisation and recover part of their infrastructure investments, while MVNOs deliver affordable and differentiated services to targeted customer segments.

Overall, the development of MVNOs in Malaysia reflects a gradual shift from basic low-cost mobile resale services towards more targeted, data-driven, and customer-focused offerings. Moving forward, MVNOs are expected to remain a key component of Malaysia's telecommunications ecosystem by promoting healthy competition and contributing positively to the ongoing growth and development of the industry.



10. Mordor Intelligence - Malaysia Mobile Virtual Network Operator (MVNO) Market Size and Share

5G Development in Malaysia

Malaysia's 5G agenda advanced further in 2025 as a key enabler of national digital transformation, supporting improved connectivity, industry digitalisation, and innovation across the economy. Following the Government's decision to transition from a Single Wholesale Network Model to a Dual Network Model, implementation efforts during the year focused on operationalising the second 5G network while maintaining nationwide rollout momentum and service continuity.

In this regard, MCMC issued a Letter of Award to U Mobile in March 2025 to implement the second national 5G network. U Mobile subsequently commenced 5G services in July 2025, marking an important milestone in strengthening Malaysia's 5G ecosystem through greater network resilience, enhanced service competition, and broader industry participation.

Network Rollout

As at 31 December 2025, Malaysia's national 5G rollout advanced steadily through network deployment and coverage expansion by both 5G network providers. Digital Nasional Berhad (DNB) achieved 82.4% Coverage of Populated Areas (CoPA) with a total of 7,481 integrated 5G sites nationwide.

In parallel, U Mobile, which commenced operations in July 2025, recorded 67.8% CoPA with 4,569 integrated 5G sites during the same reporting period. These developments reflect the ongoing expansion of 5G availability nationwide and provide the foundation for further service improvements and future coverage expansion under the Dual Network implementation.

Figures 3.16 and 3.17 present the cumulative deployment of 5G sites and CoPA percentages by DNB and U Mobile across all states as at 31 December 2025.

Deployment of 5G Sites by Digital Nasional Berhad (DNB)

State	5G Sites	Coverage of Populated Areas (%)
W.P. Kuala Lumpur	760	97.8
W.P. Putrajaya	108	97.3
Selangor	1829	96.9
Kedah	390	80.2
Pulau Pinang	446	91.9
Perak	502	81.0
Perlis	44	91.4
Pahang	358	66.4
Kelantan	232	67.0
Terengganu	228	73.2
Johor	923	84.1
Melaka	216	89.9
Negeri Sembilan	233	77.8
Sarawak	575	63.8
Sabah	595	69.0
W.P. Labuan	42	96.4
Total	7,481	82.4

Source: MCMC, DNB

Figure 3.16: Deployment of 5G Sites by Digital Nasional Berhad (DNB)

Deployment of 5G Sites by U Mobile

State	5G Sites	Coverage of Populated Areas (%)
W.P. Kuala Lumpur	374	93.5
W.P. Putrajaya	53	99.9
Selangor	985	76.3
Kedah	104	38.7
Pulau Pinang	323	89.6
Perak	404	74.0
Perlis	11	38.8
Pahang	257	56.8
Kelantan	206	70.6
Terengganu	217	76.7
Johor	629	65.4
Melaka	98	56.6
Negeri Sembilan	257	73.2
Sarawak	313	52.3
Sabah	310	55.1
W.P. Labuan	28	96.0
Total	4,569	67.8

Source: MCMC

Figure 3.17: Deployment of 5G Sites by U Mobile

In addition to outdoor network expansion, both 5G network providers further strengthened in-building coverage to improve indoor 5G service quality, particularly within high-traffic commercial premises where indoor signal attenuation is more significant. As of December 2025, DNB deployed 75 In-Building Solutions (IBS) nationwide, while U Mobile completed IBS deployment at 62 commercial buildings nationwide. Moving forward, IBS deployment by both providers is expected to expand progressively to strengthen indoor connectivity, improve service reliability, and support growing demand for 5G services across major premises and urban locations.

5G Adoption

Malaysia remained committed to accelerating 5G adoption across both consumer and enterprise segments by leveraging 5G's high capacity, low latency, and scalability to support national digital transformation. Adoption was supported through measures aimed at improving affordability, accessibility, and consumer awareness, including wider availability of 5G-capable devices, competitive service plans, and ongoing public outreach initiatives to promote understanding of 5G applications and benefits. In parallel, ongoing expansion of network availability, including within rural and underserved areas, further supported broader and more equitable access to high-speed connectivity.

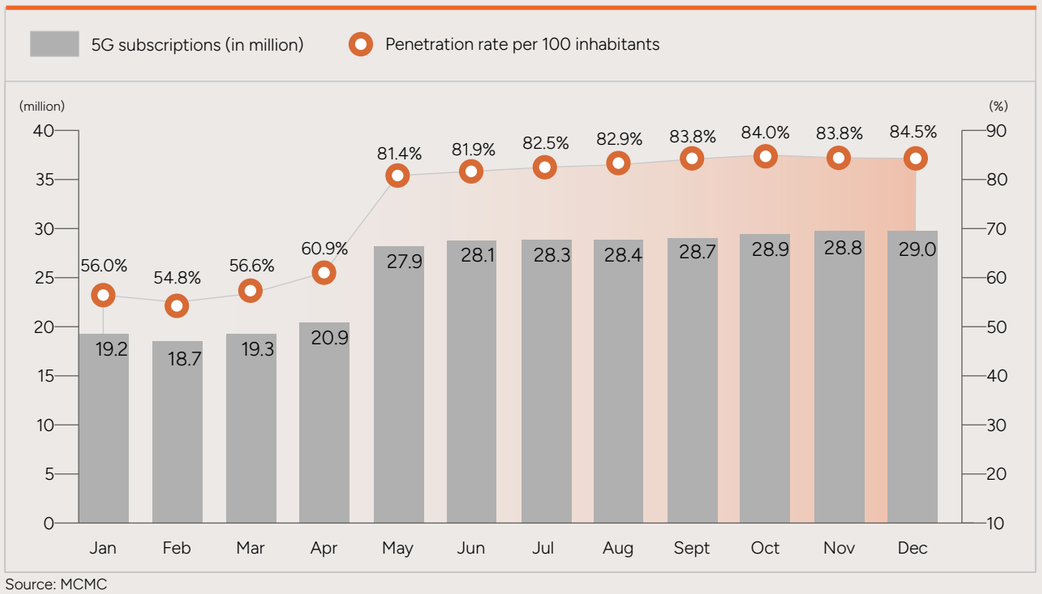
The implementation of the Dual Network model, including the appointment of U Mobile as the second 5G network provider, is also expected to further strengthen network resilience and sustain nationwide rollout momentum.

5G Subscriptions and Penetration Rate

As at 31 December 2025, Malaysia recorded 29.0 million 5G subscriptions, representing a penetration rate of 84.5 subscriptions per 100 inhabitants. This reflects significant growth from 18.2 million subscriptions recorded in December 2024. Figure 3.18 illustrates the month-by-month growth of 5G subscriptions and penetration rates throughout 2025. The strong growth trajectory was supported by widespread availability of affordable entry-level and prepaid 5G offerings, which helped lower adoption barriers and encourage broader consumer migration towards 5G services.

Malaysia's strong 5G subscription growth in 2025 was further supported by the availability of affordable entry-level plans offered by MNOs, particularly through prepaid packages. For example, CelcomDigi offered prepaid 5G plans from RM30 with 30-day validity, while Maxis introduced low-cost prepaid passes including RM4 daily plans and RM25 monthly options. In addition, U Mobile offered entry-level postpaid plans from RM38 per month alongside prepaid packages from RM25 per month, while Unifi Mobile introduced UNI5G WOW Prepaid at RM35 per month and UNI5G Postpaid plans from RM39 per month. YTL further lowered the entry barrier through a RM10 prepaid starter pack with 30-day validity.

Collectively, these affordable daily and monthly plans improved accessibility and affordability, contributing to broader consumer migration to 5G services and higher nationwide 5G penetration.



Source: MCMC

Figure 3.18: 5G Subscriptions and Penetration Rate, 2025

Enterprise 5G

Enterprise adoption remained a key national focus in 2025 as industries increasingly leveraged 5G technologies to support automation, improve operational efficiency, strengthen safety, and enable new digital services. Under the Dual Network implementation, enterprises are expected to benefit from stronger network resilience and a broader range of tailored solutions designed to support sector-specific operational requirements. Ongoing ecosystem collaboration and structured use-case development across priority verticals such as manufacturing, logistics and ports, smart city applications, healthcare, education, agriculture, and utilities will remain important in scaling enterprise adoption and strengthening Malaysia's digital economy outcomes.

During the year, enterprise 5G initiatives progressed across multiple sectors. Key use cases pursued by the 5G network providers included smart manufacturing applications involving IoT connectivity, automation, and augmented reality-assisted maintenance; logistics and port operations involving asset tracking and video analytics; smart city and public safety applications such as surveillance and command-and-control systems; healthcare services including telemedicine and connected monitoring; immersive digital learning within education; as well as smart monitoring and safety solutions within utilities and industrial operations. The deployment and commercialisation of these solutions are expected to expand progressively in line with network readiness, solution maturity, and industry demand.

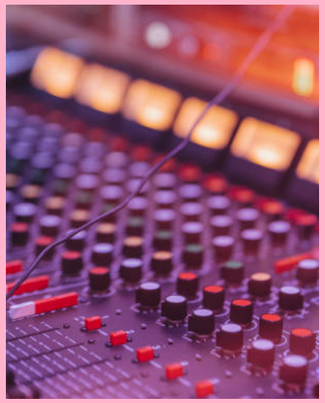
Overall, wider enterprise adoption of 5G is expected to strengthen productivity, digital capabilities, and innovation across industries by enabling low-latency connectivity, high-throughput applications, and large-scale IoT deployments. These developments support more data-driven operations, improved service delivery, and greater innovation capacity across sectors, reinforcing Malaysia's readiness for next-generation digital transformation with active participation from both DNB and U Mobile.



Chapter 4

CONTENT SERVICES

Design Rationale:



Original Photo

Powering the Content Ecosystem

The image presents an audio mixing console, representing the technical environment behind media production, broadcasting and content delivery. It reflects the systems and expertise required to create, manage and distribute content across different communication platforms.

The visual was selected to symbolise the evolving content services ecosystem. As audiences increasingly access content across television, radio, streaming and digital platforms, MCMC continues to oversee a dynamic media landscape that supports access, relevance and industry development.

This chapter examines key developments in Malaysia's broadcasting and content services landscape, focusing on evolving audience behaviour, changing media consumption patterns and industry responses. It highlights initiatives to strengthen audience engagement, support local content development and diversify monetisation strategies. It also examines the development of the National Broadcasting Policy as a strategic framework to advance the broadcasting industry and enhance its readiness for future challenges.

KEY HIGHLIGHTS 2025

Content Services

Malaysia's content services landscape is shifting towards a more integrated and multi-platform environment

Free-to-Air Television



99.5%
Population Coverage

30 Television and Radio Channels on MYTV Platform

Radio Broadcasting



21.9 Million
Weekly Radio Listeners

12h 47m
Average Listening Time per Week

Pay-TV



62.9%
Pay-TV Penetration Rate

Market Share
84% | Astro
16% | Unifi TV

Advertising Expenditure



Digital media remains the primary driver of advertising market growth, reflecting the continued shift of adex towards digital platforms.

National Broadcasting Policy

The National Broadcasting Policy progressed in 2025 to strengthen the competitiveness, sustainability and future readiness of Malaysia's broadcasting industry.

Broadcasting and Content Landscape in Malaysia

Overview

Malaysia's broadcasting and content services landscape continued to evolve rapidly in 2025, shaped by changing audience behaviour, expanding digital connectivity and the growing convergence between traditional broadcasting and online streaming platforms. Consumers are increasingly accessing content across multiple devices and platforms, resulting in a more fragmented and highly competitive media environment where broadcasters, streaming providers and digital platforms compete for audience attention and advertising revenue.

While traditional television and radio services remain relevant, particularly for news, live events and locally produced content, media consumption patterns are steadily shifting towards more flexible, on-demand and personalised viewing experiences. The growing adoption of streaming services, mobile applications and connected devices has further accelerated the transformation of Malaysia's broadcasting ecosystem into a hybrid environment combining terrestrial broadcasting, Pay-TV, over-the-top (OTT) streaming and digital content platforms.

These developments have intensified competition within the industry, prompting broadcasters and content providers to strengthen digital capabilities, expand multi-platform distribution strategies and place greater emphasis on local content development and audience engagement initiatives. At the same time, the industry continues to face broader challenges relating to monetisation, audience fragmentation, piracy, accessibility and the long-term sustainability of traditional broadcasting models.

In this context, various initiatives were undertaken in 2025 to support industry transformation, strengthen broadcasting infrastructure, promote local content development and enhance the industry's readiness for future technological developments. These include the development of the National Broadcasting Policy, expansion of digital broadcasting services, adoption of OTT and streaming platforms, exploration of 5G Broadcast technology, and broader industry efforts to improve accessibility, audience engagement and content protection.

Development of the National Broadcasting Policy (DPN)

Against the backdrop of rapid changes in Malaysia's broadcasting and digital content landscape, there is a need for a comprehensive policy framework to guide the industry's future growth and competitiveness. The emergence of new digital distribution platforms, evolving content production models and changing audience consumption patterns has accelerated industry transformation, underscoring the importance of coordinated policy direction to encourage innovation, strengthen sustainability and promote local content development.

In response, the Ministry of Communications is developing the National Broadcasting Policy (Dasar Penyiaran Negara, DPN) as a strategic national framework to strengthen Malaysia's broadcasting industry and enhance its preparedness for future challenges. The DPN aims to position Malaysia among the top 10 countries globally in the broadcasting and content industry within the next 15 years. MCMC, together with Radio Televisyen Malaysia (RTM) and the Tun Abdul Razak Broadcasting and Information Institute (IPPTAR), serves as the Joint Secretariat for the policy development process.

As part of the policy development process, a briefing session on the DPN was held on 21 July 2025 to present the initial draft framework and gather stakeholder feedback. The session was attended by 71 participants representing the public sector, private sector, academia and industry associations. During the engagement, six strategic pillars were agreed in principle, with several recommendations proposed for further refinement to ensure that the framework reflects industry needs and emerging developments.



Source: MCMC

Figure 4.1: DPN Development Workshop Series 1/2025

Building on the outcomes of the briefing session, the first DPN Development Workshop Series 1/2025 was held on 24–25 November 2025 in Putrajaya. Organised by the Ministry of Communications and coordinated by MCMC, the workshop brought together 74 participants, including representatives from ministries, government agencies, television and radio broadcasters, online curated content providers, academia, technology providers, industry associations and subject-matter experts. Discussions focused on validating the identified problem statements and deliberating on the strategies, initiatives and expected outcomes under the six strategic pillars.

The collaborative engagement process demonstrates the Government's commitment to developing a future-ready broadcasting policy that is responsive to technological advancements, changing audience expectations and evolving industry dynamics. Inputs gathered from the briefing session and workshop were consolidated and refined for validation in subsequent engagements, contributing to a comprehensive policy framework for the sustainable growth, competitiveness and resilience of Malaysia's broadcasting and content industry.

Advancing Future Broadcasting Technologies through the 5G Broadcast Initiative

As Malaysia's broadcasting industry evolves amid rapid technological advancements and changing content consumption habits, the exploration of next-generation broadcasting technologies has become increasingly important to the future development of the industry. In this regard, sustained engagement with industry stakeholders and the assessment of emerging technologies remain essential to ensuring that the broadcasting sector remains innovative, competitive and responsive to future market needs.

In line with this direction, MCMC undertook the Future Broadcasting Study and the 5G Broadcast test-bed programme to evaluate the potential of 5G Broadcast technology and its implications for the national broadcasting landscape. These initiatives assessed technical feasibility, industry readiness and potential use cases, while contributing to broader efforts to modernise broadcasting infrastructure and strengthen the industry's long-term sustainability.

A key milestone was the 5G Broadcast Conference held on 25 September 2025 in Putrajaya. Organised by MCMC and officiated by YB Datuk Fahmi Fadzil, Minister of Communications, the conference marked the completion of Phase 2 of the Future Broadcasting Study and highlighted progress achieved under Malaysia's 5G Broadcast test-bed programme. The event brought together more than 400 participants, comprising representatives from government agencies, broadcasting organisations, mobile network operators, industry players, academia and ASEAN member countries.

Participants were introduced to the findings of three test-bed use cases: broadcasting services; emergency alerts and public announcements; and sports and event broadcasting applications. Live demonstrations showcased the capabilities of 5G Broadcast technology and its potential to enable new content delivery models, public communication services and enhanced audience experiences. Malaysia's successful implementation of the test-bed programme positions the country among the early adopters of 5G Broadcast technology in the ASEAN region, signalling its commitment to digital innovation, regional collaboration and the progressive development of the broadcasting ecosystem.

Malaysia's exploration of future broadcasting technologies was further strengthened through participation in regional and international industry platforms. During the year, MCMC participated in the ABU Digital Broadcasting Symposium 2025 and the ABU Sports Media Conference 2025, where discussions focused on artificial intelligence, next-generation media distribution, hybrid broadcasting ecosystems and content delivery. These engagements provided valuable insights into global industry developments and informed ongoing evaluation of future broadcasting opportunities, including the implementation of 5G Broadcast technology in Malaysia.

Beyond technology adoption, MCMC also examined the implications of emerging trends on workforce readiness within the broadcasting sector. In collaboration with Talent Corporation Malaysia Berhad, MCMC facilitated stakeholder engagement for the Communications and Multimedia Sector Impact Study on Artificial Intelligence, Digitalisation and the Green Economy, with a specific focus on the broadcasting sub-sector. The study examined the potential impact of these developments on workforce needs, future skills requirements and industry adaptation over the next three to five years.

As part of the ongoing assessment, the broadcasting industry value chain was mapped across four key segments, namely Production, Technical, Sales and Advertising, and Support. Preliminary work identified 11 job clusters comprising 68 existing job roles and a skills inventory covering 208 skills across the sector. MCMC also organised a stakeholder workshop in June 2025 involving broadcasters and industry representatives to obtain industry input and further refine the assessment of the impact of AI, digitalisation and the green economy on existing roles, emerging skills requirements and future workforce development priorities. The study is expected to provide useful input towards strengthening workforce preparedness and supporting the long-term sustainability and competitiveness of Malaysia's broadcasting industry.

The Future Broadcasting Study, industry engagements and stakeholder consultations have contributed to a deeper understanding of the technological, operational and workforce implications of next-generation broadcasting. Building on these efforts, Phase 3 of the study will focus on the field implementation of a 5G Broadcast Proof-of-Concept (PoC) and the evaluation of practical deployment scenarios. The outcomes will provide an important foundation for future broadcasting development in Malaysia and advance the industry's readiness for emerging technologies and evolving market demands.



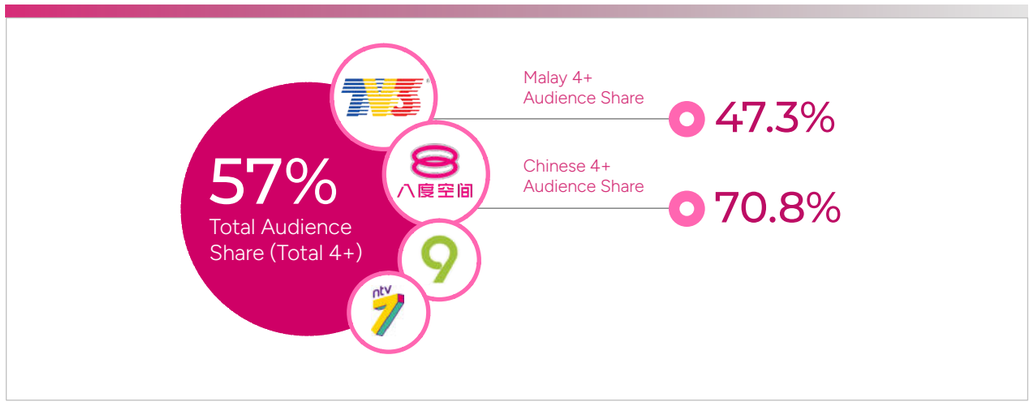
Television Broadcasting Industry

Evolving TV Broadcasting Landscape

Malaysia's television broadcasting landscape evolved further in 2025, shaped by changing audience behaviour, wider digital connectivity and the convergence of traditional broadcasting with online streaming services. The industry is gradually moving from a conventional channel-based model towards a more integrated environment comprising terrestrial television, Pay-TV, OTT platforms and digital content services.

Free-to-air television (FTA TV) remains an important platform due to its broad accessibility and role in delivering news, entertainment, educational programmes and locally produced content to the public. RTM continues to fulfil its public-service broadcasting function through channels such as TV1, TV2, TV Okey and Berita RTM, while Media Prima remains the largest private FTA television network through TV3, 8TV, ntv7 and TV9. Following Malaysia's migration from analogue to digital broadcasting, MYTV has become the country's primary Digital Terrestrial Television (DTT) platform, enabling nationwide access to free digital television and radio services.

Media Prima maintained a strong position within the FTA television market in 2025. Collectively, TV3, TV9, 8TV and ntv7 recorded a combined audience share of 57% among viewers aged four years and above. TV3 remained the leading Malay-language channel with a 47.3% audience share among Malay viewers aged four years and above, while 8TV recorded a 70.8% audience share among Chinese viewers in the same demographic segment.



Source: Media Prima

Figure 4.2: Audience Share of Media Prima Television Channels, 2025

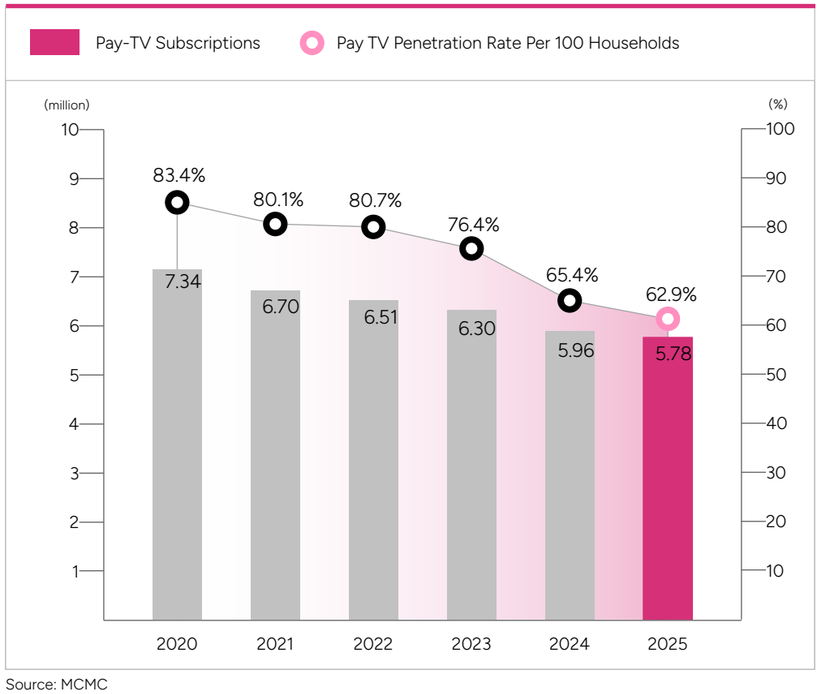
Pay-TV services also remained significant, particularly through Astro and Telekom Malaysia's Unifi TV platform. Astro retained its position as the dominant Pay-TV provider in 2025, accounting for approximately 84% of total subscriptions, while Unifi TV represented the remaining 16%. Astro's market leadership was anchored in its strong offerings in sports, movies, local entertainment and bundled premium content. However, changing consumer preferences and demand for more flexible and lower-cost viewing options have placed pressure on traditional subscription-based television models. IPTV and broadband-based television services have also expanded through bundled offerings that combine connectivity with content services.

As illustrated in Figure 4.3, Pay-TV subscriptions declined in 2025, with total subscriptions falling to 5.8 million from 6.0 million in 2024. Correspondingly, household penetration decreased from 65.4% to 62.9% over the same period. This decline points to shifting viewing habits and a stronger preference for OTT streaming and on-demand content. Nevertheless, Pay-TV providers continue to retain a substantial subscriber base through premium content, live sports coverage and integrated viewing experiences.

The rapid growth of OTT and streaming platforms has further reshaped media consumption. Malaysian audiences are increasingly accessing content through platforms such as Astro GO, sooka, Tonton, RTMKlik, Netflix, Disney+ Hotstar, Viu, iQIYI, Prime Video and YouTube across multiple devices and locations. This has contributed to greater demand for mobile, personalised and on-demand viewing, particularly among younger audiences. As a result, broadcasters are competing not only within the traditional television market but also with global streaming platforms and digital content providers operating across online and social media environments.

These developments have intensified competition for audience attention and advertising revenue. In response, broadcasters and content providers are strengthening local content offerings, expanding digital distribution capabilities, improving audience engagement strategies and exploring more integrated business models. The industry is also leveraging audience data, strategic partnerships and digital technologies to remain competitive within a rapidly evolving and fragmented media landscape.





Source: MCMC

Figure 4.3: Pay-TV Subscriptions and Penetration Rate, 2020–2025

MYTV and Digital Broadcasting Transformation

MYTV Broadcasting Sdn Bhd plays an important role in Malaysia's digital broadcasting ecosystem through the operation of the country's Digital Terrestrial Television (DTT) platform under the MYTV brand. Following Malaysia's migration from analogue to digital broadcasting, its myFreeview service has become the national free digital television platform, enabling households nationwide to access free-to-air television and radio services without subscription fees. The platform contributes to broader efforts to improve access to information, entertainment and public-service content across the country.



Source: MYTV

Figure 4.4: MYTV Television and Radio Channels, 2025

As illustrated in Figure 4.4, MYTV carried a total of 30 television and radio channels as at December 2025, including Enjoy TV5, a 24-hour movie entertainment channel launched in May 2025 on Channel 105.

The addition of new channels forms part of ongoing efforts to diversify content offerings and strengthen public access to local and international entertainment

The launch of Enjoy TV5 further strengthened Malaysia's FTA broadcasting landscape by expanding access to movie and entertainment content without subscription charges. Through MYTV's nationwide DTT infrastructure, households equipped with DVB-T2 decoders, Digital TVs (DTVs) or Direct-To-Home (DTH) satellite receivers are able to access the channel, which is also available through the MYTV Mana-Mana OTT application. This widens content choices for audiences across both terrestrial and digital platforms.

Beyond terrestrial broadcasting, MYTV has expanded its delivery capabilities through the MYTV Mana-Mana OTT streaming application, which enables users to access television content anytime and anywhere across multiple digital devices. Since its launch in July 2023, the application has recorded encouraging user engagement and audience growth. As at 31 December 2025, MYTV recorded 24.7 million views, representing a 99.4% year-on-year increase, while total downloads exceeded 1.0 million, reflecting a 73.9% increase compared with December 2024.

In line with changing viewing behaviour and growing demand for online content, MYTV further expanded its OTT offerings through the introduction of MYTV Mana-Mana Premium in July 2025. The service provides live television channels, video-on-demand (VOD) content and exclusive local productions through affordable subscription packages starting from RM6.90 per month.

The expansion of MYTV's OTT ecosystem has also enabled wider participation by non-traditional content providers. In October 2025, Universiti Sains Islam Malaysia (USIM) launched USIMTV on MYTV Mana-Mana, becoming the first public university in Malaysia to establish its own television channel on the platform. The initiative contributes to educational content distribution, knowledge sharing and public access to academic resources, while extending audience reach beyond traditional campus boundaries.

The growing versatility of MYTV Mana-Mana points to broader industry convergence, in which terrestrial broadcasting, OTT streaming and multi-platform content delivery are increasingly integrated within a single ecosystem. Beyond serving as a platform for television and institutional content distribution, MYTV has also begun expanding into original content initiatives, further strengthening its role within Malaysia's digital content ecosystem.

Overall, MYTV's development illustrates the convergence of DTT infrastructure, OTT streaming and multi-device delivery within Malaysia's broadcasting landscape. This positions MYTV as an integrated digital broadcasting platform that expands audience reach, improves content accessibility and responds to evolving media consumption preferences.



Source: MYTV

Figure 4.5: Launch of Enjoy TV5 on MYTV, 2025

Local Content Development and Platform Innovation

As competition within the broadcasting and streaming industry intensifies, broadcasters and digital platforms are placing greater emphasis on local content and audience-driven strategies to maintain relevance. Competition from global streaming platforms has also accelerated the development of Malaysian productions, digital-first content and multi-platform distribution models across the industry.

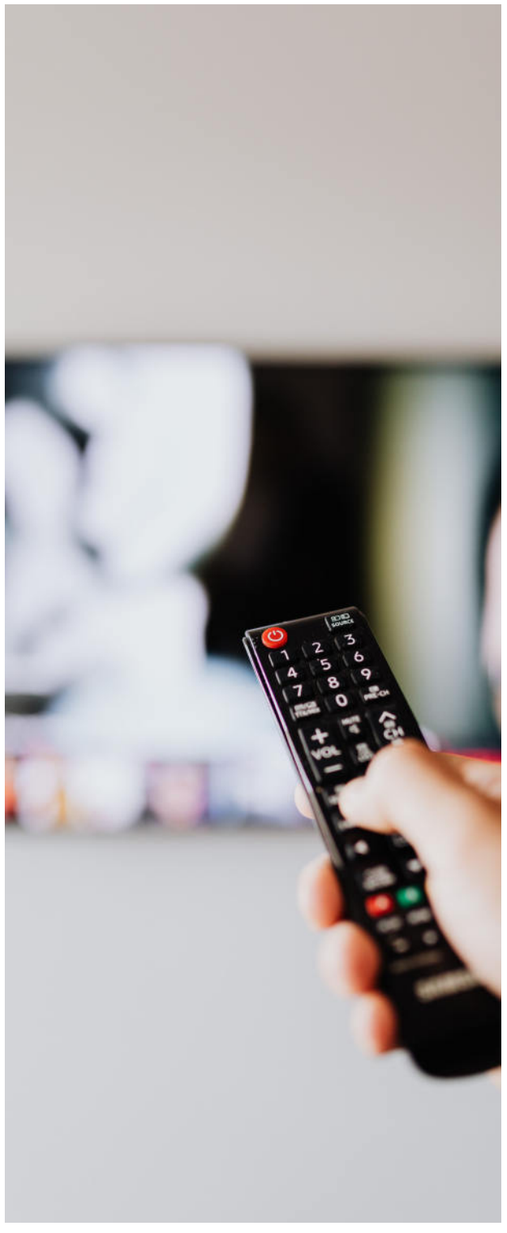
Local content remains important in attracting audiences due to its cultural relevance, language diversity and ability to reflect local viewing preferences. Broadcasters and streaming providers are investing in locally produced dramas, films, entertainment programmes, sports content and digital originals to build audience loyalty and expand viewership across both traditional and online platforms.

In line with this direction, MYTV launched the MYTV Originals initiative in November 2025 through the introduction of its first original series, BF Green Flag. The initiative marked MYTV's move beyond content distribution into original production, while creating opportunities for emerging production teams, young talent and local creators. Targeted primarily at younger audiences, the series highlights social themes and everyday issues, contributing to broader efforts to promote local storytelling within Malaysia's digital content landscape.

Astro also played a significant role in Malaysia's local content ecosystem, capturing approximately 72% of the local film market in 2025. The success of Papa Zola The Movie: Game On, which generated RM65 million at the Malaysian box office and attracted more than four million viewers across Southeast Asia, demonstrates the commercial viability and regional appeal of Malaysian content. Astro further strengthened audience engagement through productions such as Dia Imamku and First Wives, which recorded strong viewership across television and digital platforms.

In parallel, broadcasters and digital platforms are leveraging social media integration, audience analytics, strategic partnerships and digital engagement initiatives to deepen audience interaction and diversify monetisation opportunities. Digital distribution models have also enabled content providers to extend their reach beyond conventional broadcasting environments and offer more personalised, on-demand viewing experiences.

These developments point to a stronger emphasis on Malaysia's creative content ecosystem, local intellectual property (IP) development and the long-term sustainability of local production. The focus on digital innovation and local storytelling also reflects industry efforts to remain relevant within an increasingly fragmented global content environment.

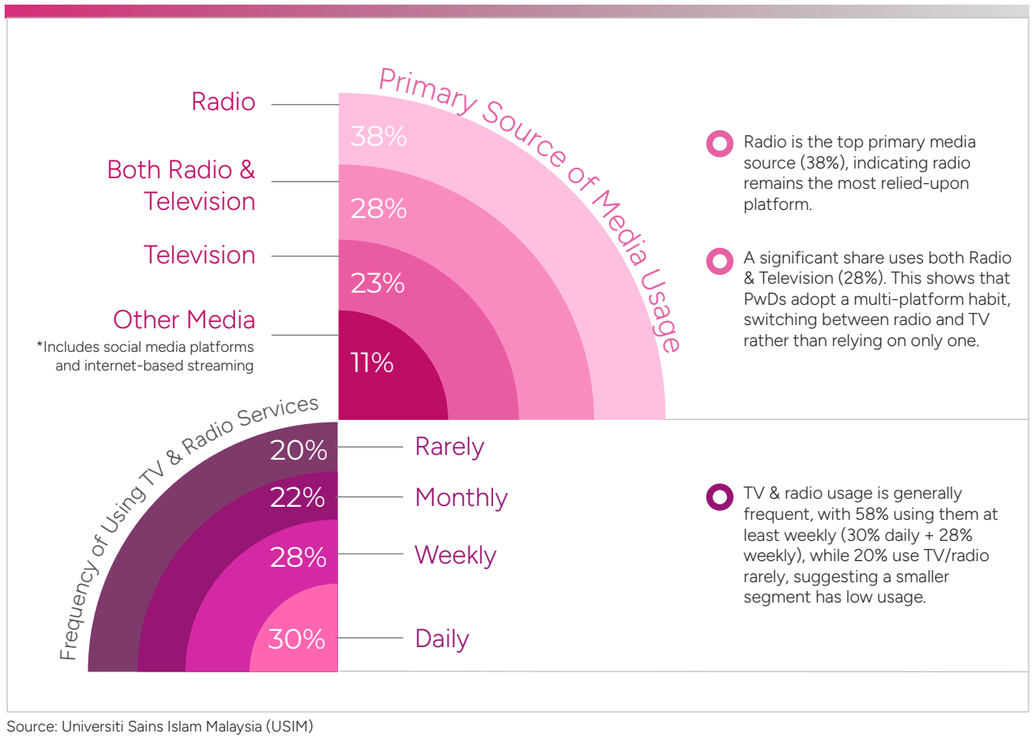


Accessibility and Inclusive Broadcasting

As Malaysia's broadcasting landscape evolves, ensuring equitable access to content for all segments of society remains a key priority. Inclusive broadcasting practices enable persons with disabilities (PwD) to obtain information, enjoy entertainment and access educational content, while promoting greater social participation and digital inclusion.

Recognising the importance of inclusive media services, MCMC facilitates industry dialogue and knowledge sharing on broadcasting accessibility. In June 2025, MCMC organised Communicate@MCMC and Broadcast Talk Series (BTS) Session 1/2025, titled Inclusive Broadcasting: Enabling Technologies and Strategies for Persons with Disabilities (PwD Viewers). The webinar brought together broadcasters, technology experts, academics and disability advocacy representatives to discuss barriers faced by PwD audiences, emerging assistive technologies and practical approaches to improve content accessibility.

The session also featured findings from a Digital Society Research Grant (DSRG) study on the Accessibility of Television and Radio Services for PwD, conducted by Universiti Sains Islam Malaysia (USIM). The study examined media consumption patterns among PwD and identified key challenges affecting their use of television and radio services. As illustrated in Figure 4.6, radio emerged as the primary media source for 38% of respondents, while a further 28% relied on both radio and television. The study also found that these services remain widely used, with 58% of respondents accessing them daily or weekly.



Source: Universiti Sains Islam Malaysia (USIM)

Figure 4.6: Media Consumption Patterns and Usage Frequency of Television and Radio Services Among Persons with Disabilities (PwD)

The study further identified several barriers affecting broadcasting accessibility, as summarised in Figure 4.7. Key challenges included inconsistencies in the availability of subtitles, audio description and sign language interpretation, limited accessibility across certain programme categories, including difficulties in navigating accessibility settings, and the need for more tailored solutions to address diverse disability requirements. The findings also indicated that the transition to digital broadcasting has yet to deliver substantial improvements for some PwD groups, pointing to the need for further efforts to enhance inclusivity across the sector.

Discussions during the session also covered international best practices, accessibility benchmarks and policy recommendations aimed at fostering a more inclusive media environment. Live sign language interpretation was provided throughout the session to encourage broader participation.

At the industry level, broadcasters have expanded the availability of accessible content across their programming. In 2025, Astro produced more than 500 hours of content incorporating features such as closed captions, audio description and sign language interpretation. This content covered various content categories. including Malay, Chinese, Indian, sports, children's and entertainment programmes, enabling broader participation by audiences with diverse needs. The expansion was particularly evident in Malay-language programming, where accessible content increased from 56 hours in 2024 to more than 407 hours in 2025, indicating greater industry emphasis on inclusive content delivery.

The wider adoption of accessible content features demonstrates growing industry commitment to inclusive broadcasting. As technological capabilities advance, broadcasters are better positioned to use innovative solutions that reduce barriers and improve audience experiences. These initiatives contribute to a more inclusive media landscape where content can be accessed and enjoyed by all Malaysians.

Disparities in Accessibility Features
Accessibility features like subtitles, audio descriptions, and sign language were inconsistently applied, limiting their usefulness for PWDs.

Low Relevance and Engagement of Provided Content
News and entertainment were moderately accessible but not tailored to PWDs, while advertisements were the least accessible and engaging.

Digital Experience Not Yet Seamless
The transition to digital broadcasting has yet to yield substantial improvements in accessibility for PWDs.

Gaps in Addressing Varied Accessibility Requirements
Media accessibility often relies on a one-size-fits-all approach, overlooking the diverse and complex needs of individuals with different types of disabilities, who require more tailored solutions.

Complexity in Navigating Setting Options
Although basic accessibility features such as volume, brightness, and subtitle settings were available, they were not intuitive or user-friendly for persons with disabilities.

Source: Universiti Sains Islam Malaysia (USIM)

Figure 4.7: Key Challenges and Barriers in Accessing Television and Radio Services for Persons with Disabilities

Anti-Piracy and Content Protection

As online distribution channels expand, safeguarding intellectual property (IP) and preserving the value of creative works have become key priorities for the media industry. The proliferation of illegal streaming devices, unauthorised content sharing and online piracy poses significant challenges to broadcasters, creators and rights holders by undermining legitimate revenue streams and exposing consumers to cybersecurity risks.

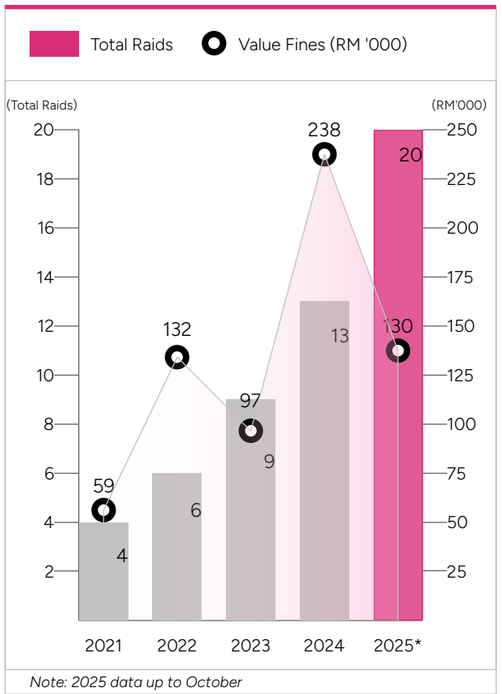
To address these challenges, industry players have intensified enforcement activities, stakeholder collaboration and public awareness programmes. Astro, for example, strengthened its anti-piracy programme in 2025 by working closely with enforcement agencies, including the Royal Malaysia Police, MCMC and the Ministry of Domestic Trade and Cost of Living. These efforts targeted both individuals and commercial entities involved in the distribution and use of illegal streaming devices and unauthorised services.

As at the end of January 2026, more than 550,000 illegal links[1] serving a combined 30.5 million subscribers had been removed from online platforms. Enforcement actions also addressed unauthorised commercial usage in sectors such as food and beverage outlets, homestays and short-term rental properties. Since 2021, enforcement authorities have conducted 52 raids, seized 508 illegal streaming devices and charged 33 individuals under the Copyright Act. These actions resulted in cumulative court-imposed fines amounting to RM656,500, with several cases remaining under investigation or in legal proceedings (Figure 4.8).

Beyond enforcement, awareness initiatives have been undertaken to educate consumers on the risks associated with piracy. Through the Boot Out Piracy campaign conducted in collaboration with the Premier League, Astro highlighted the cybersecurity threats, malware risks, scams and potential legal consequences associated with illegal streaming services and devices.

Technology is also playing a growing role in IP protection. Astro has implemented AI-enabled solutions, including AWS Bedrock and Large Language Models (LLMs), to detect unauthorised distribution activities and identify piracy-related behaviour across digital channels. Automated monitoring tools have also been deployed to detect pirated video-on-demand (VOD) material on platforms such as Telegram, enabling faster identification and takedown actions. Since the deployment of these solutions, 478 Telegram groups and channels with a combined reach of approximately 14.6 million subscribers have been taken down.

The combined application of enforcement measures, consumer awareness initiatives and advanced technologies demonstrates the industry's commitment to combating piracy in an increasingly connected media landscape. These efforts help safeguard creators' rights, strengthen the sustainability of local productions and foster a safer environment for industry players and consumers.



Note: 2025 data up to October

Source: Astro

Figure 4.8: Total Number of Raids and Charges under the Copyright Act, 2021–2025

1. MCMC Industry Performance Report 2025 (Pay TV) Survey

Radio Broadcasting Industry

Radio Industry Landscape and Listenership Trends

Radio remains a trusted and accessible source of information, entertainment and community engagement in Malaysia. Despite the growth of digital media and streaming platforms, it continues to attract broad audiences due to its convenience, wide reach and ability to deliver real-time content. Beyond entertainment, radio also serves as a channel for news dissemination, cultural expression and public communication, contributing to social cohesion and reflecting Malaysia's diverse linguistic and cultural landscape.

Audience data reinforces the medium's relevance. According to the Radio Audience Measurement (RAM) study conducted by GfK, 93% of Malaysians listened to radio in 2025, equivalent to approximately 21.9 million weekly listeners. On average, listeners spent 12 hours and 47 minutes with radio each week, indicating that the medium continues to command a substantial audience despite competition from digital and on-demand content services (Figure 4.9).



Source: GfK Radio Audience Measurement (RAM) Survey 2025

Figure 4.9: Radio Listenership and Listening Behaviour in Malaysia, 2025

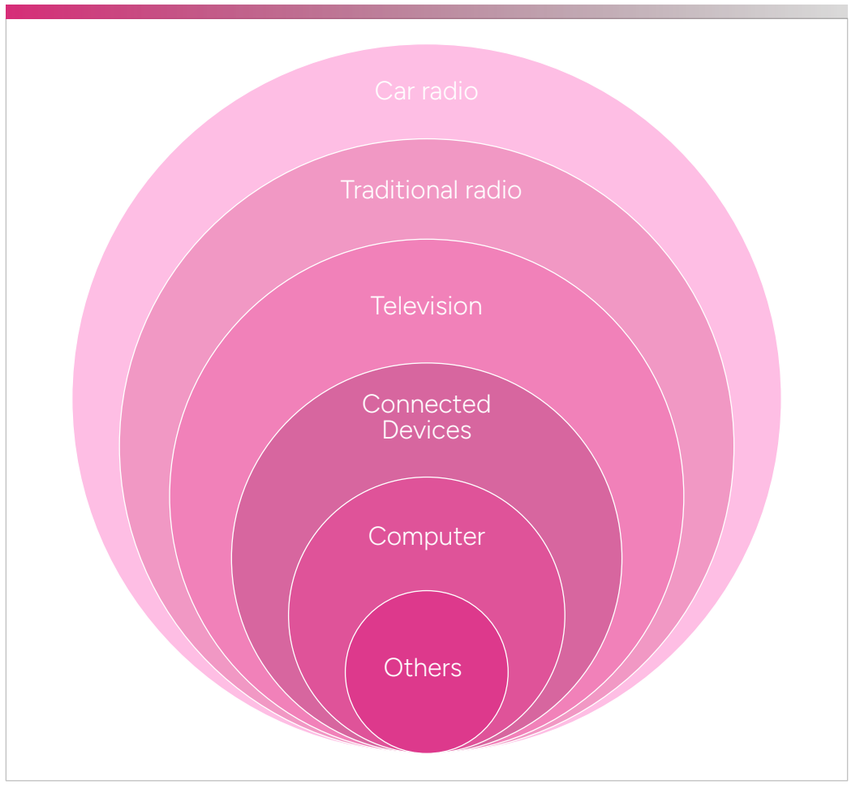
The study, which covers Peninsular Malaysia, Sabah and Sarawak, also shows that radio is accessed across different daily environments. In-car listening remained the most common setting, reaching 17.1 million listeners, followed by home and workplace listening. This suggests that radio remains closely linked to daily routines, particularly during travel and commuting periods.

Consistent with these findings, MCMC's survey[2] on radio consumption patterns found that car radios remained the preferred platform for accessing radio services, followed by traditional radio receivers and television. Connected devices such as smartphones and tablets ranked lower, suggesting that conventional platforms continue to dominate radio access. Nevertheless, the use of connected devices points to gradual audience migration towards digital listening channels (Figure 4.10).

2. MCMC Industry Performance Report 2025 (Radio) Survey

In terms of listening behaviour, audience reach peaked during weekday commuting periods, particularly between 6.00 am and 10.00 am and between 4.00 pm and 8.00 pm, when radio reached more than 15 million listeners. These peak listening periods coincide with daily travel patterns, reinforcing radio's role as a convenient and reliable companion for commuters.

Overall, the strength of radio listenership shows that the medium retains a distinct position within Malaysia's evolving media ecosystem. While digital platforms create new opportunities for distribution and engagement, radio continues to offer accessibility, immediacy and local relevance, encouraging broadcasters to strengthen audience connections across both traditional and digital channels



Source: MCMC

Figure 4.10: Preferred Platforms for Accessing Radio Services, 2025

Broadcaster Strategies and Audience Engagement

As audience preferences evolve alongside the growth of digital media and alternative content platforms, radio broadcasters are adopting new strategies to maintain relevance and build closer listener relationships. Beyond traditional on-air programming, stations are using brand repositioning, experiential activities and community-based events to create more meaningful audience interactions.

Media Prima Audio (MPA), which operates radio brands including Hot FM, Fly FM, Kool FM, Molek FM and Eight FM, further strengthened its market presence through targeted audience engagement and brand development initiatives. According to the latest Nielsen Consumer & Media View, MPA's radio stations recorded a combined weekly listenership of 5.9 million listeners in 2025, demonstrating the appeal of its diverse radio portfolio across different audience segments.

One notable development was the rebranding of Kool 101 to Kool FM in 2025, aimed at strengthening the station's positioning within an increasingly competitive audio landscape. Supported by the tagline "Malaysia Dah Kool", the initiative was accompanied by an expansion of broadcast coverage into additional markets, including Johor Bahru, Melaka and Ipoh, enabling the station to reach a broader audience and enhance its national presence.

Radio stations have also explored more experiential and community-driven approaches to connect with listeners. For example, a collaboration between Universiti Malaysia Terengganu (UMT) and Hot FM introduced Malaysia's first live underwater radio broadcast, combining entertainment with educational and environmental awareness elements. The initiative illustrated how radio can extend beyond conventional formats to create distinctive audience experiences while contributing to broader public interest objectives.

Similar trends were evident across the industry, with broadcasters organising on-ground activations, community programmes and lifestyle-oriented events. Astro Audio, for instance, expanded its audience outreach through initiatives such as the MY FM Big Show 2025, the Toyota x Astro Audio All-Stars Pickleball Invitational 2025 and the ZAYAN Jubah Walk. These activities enabled direct interaction between presenters and listeners, while encouraging stronger community participation beyond studio-based broadcasting.

Broadcasters have also used community-focused initiatives to promote wider social, cultural and educational objectives. Astro Audio's Kelas Perpaduan ERA programme, developed in collaboration with the Ministry of National Unity, promoted greater appreciation of Malaysia's cultural diversity and shared values through educational content and public engagement activities. Other initiatives, including the annual Bubur Lambuk programme and the MIX & MELODY River Rangers campaign, further demonstrated the industry's commitment to community outreach, environmental awareness and social responsibility.

The KITA FM nationwide tour represented another example of radio engagement beyond conventional broadcasting environments. The initiative, which earned two recognitions from the Malaysia Book of Records, involved a 15-day nationwide tour across 13 states, covering 3,745 kilometres and reaching more than 10 million people. Through live broadcasts, audience participation and on-ground activities, the campaign created a more immersive and personalised listener experience.

These developments indicate a broader shift in how radio broadcasters are engaging with audiences. By extending their presence beyond conventional on-air programming, broadcasters are creating more interactive, community-oriented and purpose-driven experiences that strengthen radio's relevance within Malaysia's evolving media landscape.

Digital Expansion and Multi-Platform Radio Ecosystem

The radio industry is moving beyond conventional broadcasting as audiences access content across a wider range of digital channels. In response to changing media consumption habits, broadcasters are extending their reach through mobile applications, social media, online streaming and digital content offerings. This enables radio stations to connect with audiences beyond broadcast frequencies and across multiple touchpoints.

Media Prima Audio (MPA) strengthened its digital presence in 2025 through online campaigns, social media engagement and digital content initiatives. Supported by various promotions and audience activations, MPA recorded a total digital listenership of 210 million[3] and 256 million social media engagements. Video content also played an important role in audience outreach, generating 3.4 billion video views[4].

Similarly, Astro Audio expanded its multi-platform ecosystem through mobile applications, online streaming and social media platforms. Based on MCMC's survey, cumulative downloads of the Astro Radio application exceeded 3.3 million by the end of 2025, comprising 2.56 million downloads on Android devices and 796,000 downloads on iOS.

Audience engagement also increased across Astro Audio's social media platforms. Total reach rose from 34.7 million in 2024 to 38.4 million in 2025, representing a 10.7% increase. Facebook remained the largest platform, while Instagram recorded steady growth. TikTok recorded the strongest performance, expanding by 52% year-on-year[6], indicating the growing importance of short-form video content in reaching and engaging younger audiences.

Despite the growth of digital channels, terrestrial broadcasting remained the primary mode of radio listening. Astro Audio recorded an average terrestrial listenership of 15.5 million in 2025, compared with 692,000 online streaming listeners. While audiences are increasingly engaging with radio brands through digital and social media platforms, conventional radio listening continued to account for the larger share of actual radio consumption.

These developments point to the emergence of a more integrated radio ecosystem that combines broadcast transmission with digital distribution. Rather than replacing conventional radio services, digital platforms complement existing listening habits by providing audiences with greater flexibility, accessibility and opportunities for interaction. As broadcasters strengthen their digital capabilities, radio is increasingly positioned as a multi-platform medium across both traditional and online environments.

Artificial Intelligence and Future Radio Innovation

Artificial Intelligence (AI) is emerging as an important enabler of innovation within the radio broadcasting industry, introducing new approaches to content creation, production and audience engagement. While adoption remains at an early stage, broadcasters in Malaysia have begun exploring AI technologies to enhance operational efficiency, streamline workflows and develop more personalised listener experiences.

At present, AI applications within the radio industry are mainly focused on production and creative development. Broadcasters are using AI tools to assist in the creation of radio jingles, commercial audio content and demonstration materials for clients. Some stations have also incorporated AI-generated elements into branding activities, while text-to-speech technologies are being explored to facilitate content development and production processes.

Beyond creative applications, AI has the potential to improve efficiency across various broadcasting functions. Automated transcription, script drafting, audio editing and content tagging can help reduce production time and simplify workflows. AI technologies may also be applied to programme scheduling, advertising placement optimisation and automated updates for traffic, weather and other routine information services.

AI is also expected to shape audience engagement through greater content personalisation. By analysing listener preferences and consumption patterns, broadcasters may be able to curate more tailored programming, including music selection, content recommendations and targeted audience experiences. These capabilities could improve listener retention, particularly as competition from digital audio platforms intensifies.

From a creative perspective, AI presents opportunities to generate customised audio assets such as jingles, sound effects and background music. These capabilities may provide greater production flexibility and cost efficiencies, while enabling broadcasters to develop distinctive audio identities. Astro Radio's Lite FM, for example, has begun incorporating AI technologies into its production processes through the use of voice synthesis and virtual instruments for jingle creation. These tools enable faster production cycles and reduce reliance on traditional studio recording arrangements, while professional editing tools and licensed voice databases help maintain content quality and consistency.

Despite these opportunities, human creativity, presenter personality and authentic audience connections remain fundamental to the radio experience. AI can enhance efficiency and encourage innovation, but it complements rather than replaces the human elements that define radio broadcasting. As adoption progresses, broadcasters will need to balance technological advancement with editorial integrity, creativity and audience trust.

Looking ahead, AI is expected to contribute to greater innovation, scalability and operational effectiveness across the radio industry. As broadcasters experiment with emerging technologies, AI is likely to become an important component of future radio operations, helping the industry adapt to an increasingly digital and competitive media environment.



3. https://www.mediaprima.audio/
4. Media Prima 24th Annual General Meeting, Presentation by Group Managing Director
5. Ibid
6. Ibid

Advertising Trends and Media Monetisation

Advertising Expenditure Landscape

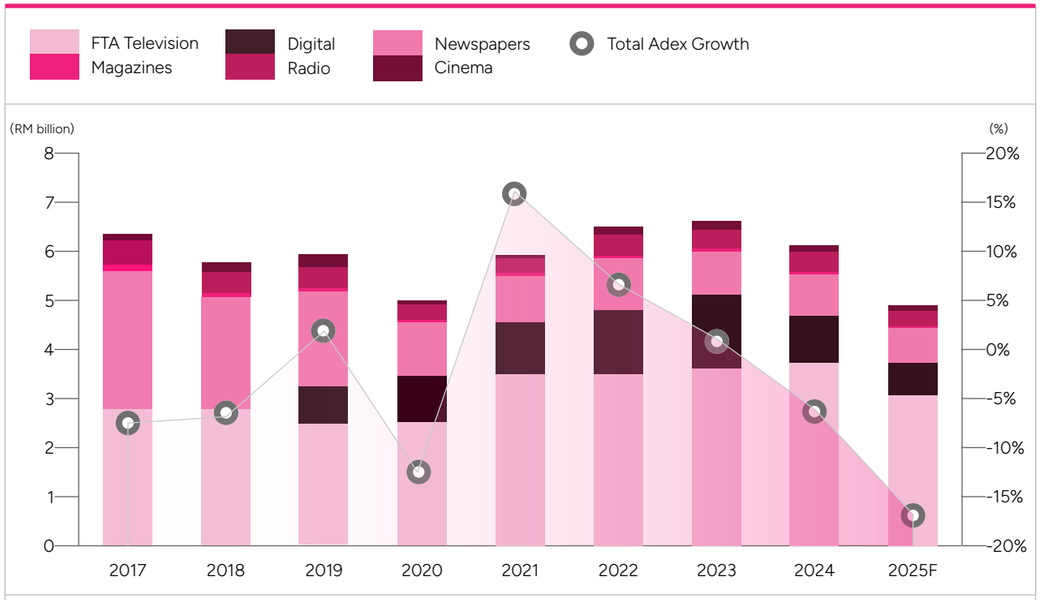
Malaysia's advertising market has undergone a significant transformation as advertisers increasingly shift expenditure towards digital platforms. Driven by rising internet usage, widespread smartphone adoption and changing media consumption habits, digital advertising has become the dominant segment of the market.

According to Kenanga Research, citing MAGNA, total advertising expenditure is projected to increase by 6.4% year-on-year in 2025, reaching RM9.54 billion. Social media advertising (+11%) and search advertising (+8%) are expected to remain the main contributors to growth, driven by strong user engagement and wider adoption of programmatic and performance-based advertising strategies. These gains are expected to offset ongoing declines in traditional media (TV: –3%, print: –7%, radio: –6%). By 2029, MAGNA expect digital media to expand its market share to for 85% of total advertising expenditure, compared with 76% in 2024, while share for TV is expected to shrink to 5%.

Despite overall market growth, traditional media remains under pressure. Nielsen Adex data analysed by Kenanga Research indicate that expenditure across traditional platforms is projected to decline in 2025, as advertising budgets continue to move towards digital channels.

According to Kenanga Research, FY2025 advertising expenditure (adex) is forecast at RM4.86 billion, representing a 20% year-on-year decline. The projected contraction is expected across all major media segments, including free-to-air television (-17%), digital media (-35%), newspapers (-13%), magazines (-13%), and cinema (-40%). Digital media, in this context, refers only to website-based advertising inventory, such as display banners and embedded video advertisements on desktop and mobile web pages, excluding in-app advertising placements.

As illustrated in Figure 4.11, the media mix has shifted notably over the past decade, with digital advertising gaining prominence while traditional segments have recorded a gradual decline in market share.



Note: 2025F refers to forecast figures based on Kenanga Research estimates.

Source: Kenangan Investment

Figure 4.11: Annual Advertising Expenditure by Media Segment, 2017–2025F

Moving forward, advertising growth is expected to increasingly concentrated on digital platforms, while traditional media faces mounting challenges in maintaining market share. This shift is closely linked to changing media consumption patterns, with audiences spending more time on social media platforms, online video services and digital applications.

Advertising Transformation and Monetisation Strategies

The shift in advertising expenditure towards digital platforms has prompted broadcasters to accelerate the transformation of their advertising and monetisation strategies. Beyond conventional advertising models, broadcasters are leveraging digital platforms, audience analytics and content-driven marketing solutions to strengthen advertiser engagement and diversify revenue streams.

As audience attention becomes increasingly fragmented across multiple platforms, broadcasters are expanding their digital presence to maintain relevance among advertisers. For example, Astro Audio's digital reach increased from 34.7 million in 2024 to 38.4 million in 2025, representing a 10.7% increase, with particularly strong expansion recorded on platforms such as TikTok[7].

Broadcasters are also exploring integrated advertising approaches that combine traditional media, digital content and social media engagement. Astro, for instance, introduced KULT, a digital marketing initiative designed to enable content-driven and creator-led campaigns across platforms such as YouTube, TikTok and Meta. The initiative also covers emerging areas such as livestream commerce, affiliate marketing and AI-enabled content creation.

Despite these efforts, monetising digital audiences remains a challenge for traditional media operators. According to Kenanga Research, digital advertising contributions remain relatively modest compared with overall revenues, highlighting the intense competition faced by broadcasters from digital-native platforms and technology companies. As a result, broadcasters are refining their monetisation strategies by strengthening digital capabilities, enhancing audience analytics and developing integrated advertising solutions.

Overall, Malaysia's media monetisation environment is becoming more integrated, with advertisers seeking cross-platform solutions that combine the broad reach of traditional media with the precision and effectiveness of digital advertising. In response to changing media consumption patterns, broadcasters are diversifying their monetisation strategies to remain competitive within a fragmented advertising ecosystem.

7. MCMC Industry Performance Report 2025 (Radio) Survey

Chapter 5

ONLINE AND COMMUNITY SERVICES

Design Rationale:



Original Photo

Empowering Participation in the Digital Space

The image captures a live digital interaction through a smartphone, representing the growing role of online platforms in communication, commerce and community participation. It reflects how digital services have become part of everyday life, enabling users to create, share, engage and transact online.

The visual was selected to represent the rise of online community services in Malaysia. Through initiatives that support digital inclusion, access and responsible participation, MCMC helps create an environment where individuals and communities can benefit from the opportunities of the online ecosystem.

This chapter presents an overview of Malaysia's online and community services landscape in 2025, focusing on inclusion, community empowerment, e-commerce, online safety and trusted transactions. It highlights the role of key initiatives and platforms, including the National Information Dissemination Centre, cashless payment adoption, e-commerce development and Public Key Infrastructure, in widening participation in the digital economy, while promoting literacy, safe internet use, secure transactions and inclusive access to emerging opportunities.

KEY HIGHLIGHTS 2025

Online and Community Services

Connecting communities, enabling online participation and trusted transactions.

National Information Dissemination Centre (NADI)

1,098
NADI centres Nationwide

1.90 Million
Registered NADI Users Nationwide

1.23 Million
Participations Under NADI SMART Services

Source: MCMC

E-Commerce

e-commerce Revenue:

RM937.5 Billion

Top 3 Marketplaces:

Shopee | TikTok Shop | Lazada

Most purchased items online:

Fashion, Home Care Products and Groceries



Public Key Infrastructure

34.6 Million
Digital Certificates Issued

70.4%
local government sector as largest contributor

23.2 Million
Digital certificates issued by Pos Digicert Sdn Bhd

Source: MCMC,DOSM, IPSOS Malaysia

Malaysia's Online Ecosystem

Overview

Malaysia's online ecosystem continued to evolve in 2025 as internet-based services became increasingly embedded in daily life, education, business activities and public service delivery. Wider internet access, growing smartphone usage and improvements in infrastructure enabled more individuals, businesses and communities to participate in the digital economy and access online services more efficiently.

As online participation expanded, national efforts placed greater emphasis on ensuring that communities could benefit from new opportunities in a safe, inclusive and sustainable manner. Beyond connectivity, initiatives focused on literacy, entrepreneurship, online safety, cashless adoption and trusted services, particularly for rural communities, underserved groups and micro, small and medium enterprises.

In this regard, platforms such as the National Information Dissemination Centre (NADI), together with developments in e-commerce, online safety awareness and authentication services, contributed to Malaysia's readiness for a more connected economy. These initiatives broadened participation in the online ecosystem while advancing community empowerment, trust and the country's wider transformation agenda.

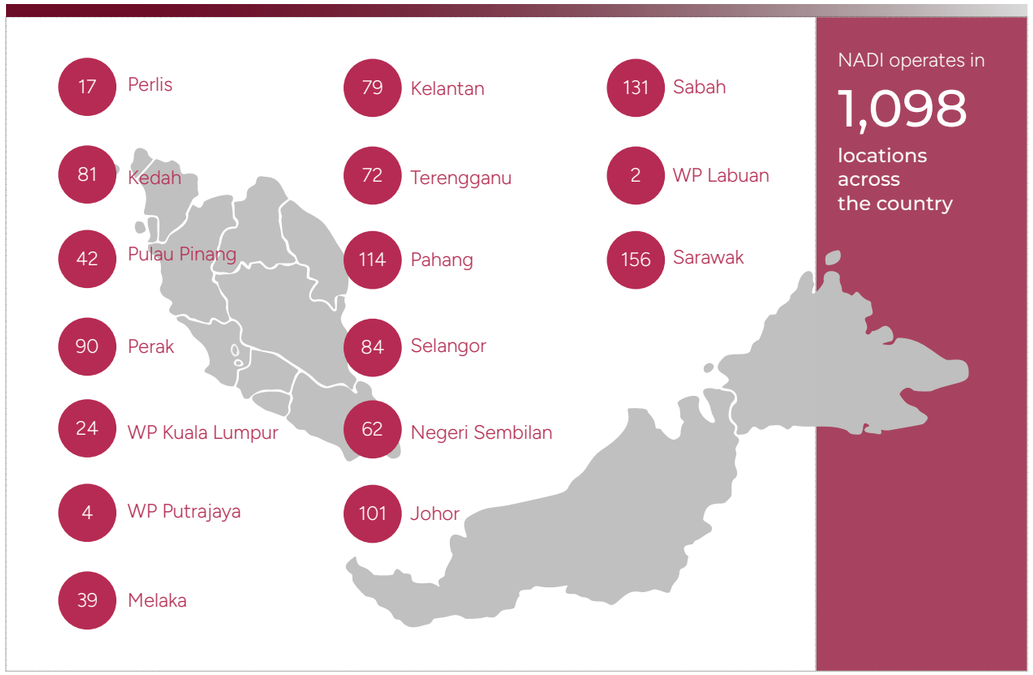
NADI as a Community Empowerment Platform

NADI Overview and Nationwide Reach

The National Information Dissemination Centre (NADI) played an important role in advancing digital inclusion, socio-economic participation, access to trusted information and the use of online services across Malaysia in 2025. Building on the earlier Pusat Ekonomi Digital (PEDi) initiative, NADI adopts a broader community-oriented model that brings together digital access, entrepreneurship development, lifelong learning, well-being programmes, awareness activities and access to government services under a single platform.



As at 31 December 2025, NADI had established a strong nationwide footprint with 1,098 operational centres and approximately 1.9 million users. This included 131 centres in Sabah and 156 centres in Sarawak, reflecting its extensive outreach across both Peninsular Malaysia and East Malaysia. Figure 5.1 illustrates the distribution of NADI centres as at December 2025.



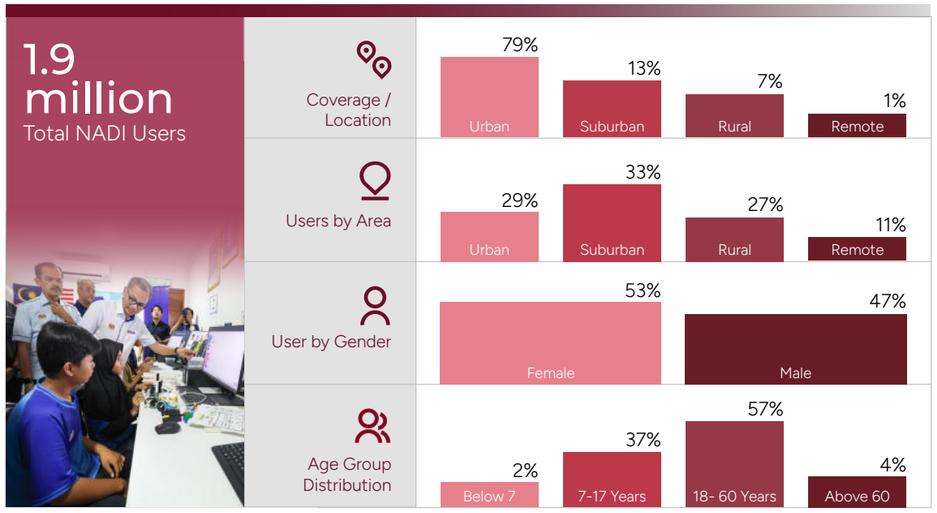
Source: MCMC

Figure 5.1: Distribution of NADI, 2025

While most NADI centres were located in urban areas, accounting for 79% of total locations, the network also maintained coverage across suburban and rural communities. This geographical spread provides a foundation for wider access to online services and community-based programmes, particularly among users who may face barriers relating to connectivity, digital readiness or access to information.

As shown in Figure 5.2, NADI's user demographics reflected broad participation across different segments of society. As at 31 December 2025, female users accounted for 53% of total users, while male users represented 47%. Participation was primarily driven by the working-age population aged between 18 and 60 years, comprising 57% of users, followed by youths aged 7 to 17 years at 37%.

The combination of geographical reach and diverse user participation positions NADI as an important community platform for delivering digital access, skills development and public engagement programmes across different locations and demographic groups.



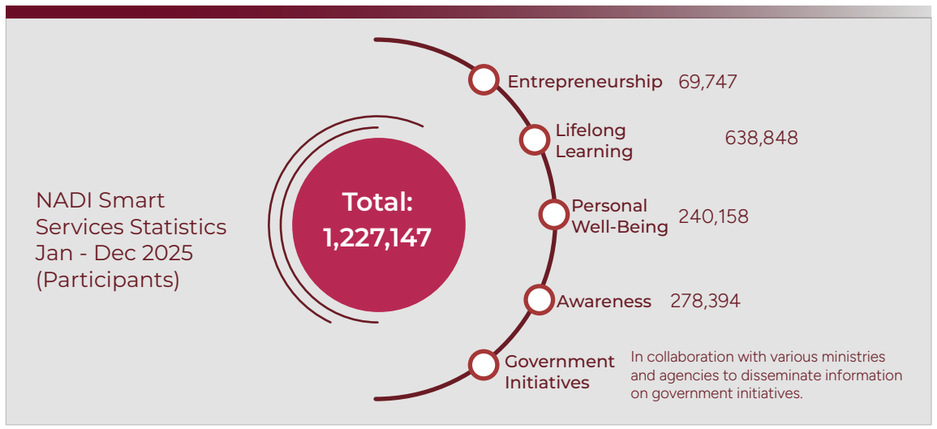
Source: MCMC

Figure 5.2: NADI User Demographics, 2025

Community Participation and SMART Services

Building on its nationwide presence, NADI expanded community engagement through NADI SMART Services, a structured framework introduced in 2024 to guide programme delivery in a more targeted and locally relevant manner. The framework encompasses five key pillars: Entrepreneurship, Lifelong Learning, Well-being, Awareness and Government Initiatives.

From January to December 2025, NADI SMART Services recorded approximately 1.23 million participations across its key programme areas. Lifelong learning formed the largest component, with 638,848 participations, followed by awareness programmes with 278,394 participations and well-being initiatives with 240,158 participations. Entrepreneurship-related activities also recorded encouraging take-up, with 69,747 participations, indicating continued interest in business development, income generation and practical digital skills. Figure 5.3 illustrates participation under NADI SMART Services throughout 2025.



Source: MCMC

Figure 5.3: Participation Under NADI SMART Services Programmes, 2025

Through these activities, NADI engaged a wide range of participants, including students, youths, women entrepreneurs, senior citizens and MSMEs. Programme delivery was also shaped by collaboration with government agencies, industry players and local communities, allowing activities to be aligned with local needs and delivered closer to the intended beneficiaries.

Entrepreneurship and Digital Capability Development

Entrepreneurship and digital capability development remained key focus areas under NADI in 2025. Through training initiatives and community-based activities, NADI assisted MSMEs, home-based businesses and local entrepreneurs in improving their digital skills and participating more actively in the digital economy.

Training activities focused on practical areas such as online marketing, brand positioning, content creation and the effective use of social media platforms to improve business visibility and customer engagement. Entrepreneurs were also encouraged to use digital platforms and e-commerce marketplaces, including TikTok Shop and Shopee, to expand market reach and create new income opportunities.

To keep pace with changing market trends, NADI also introduced participants to emerging tools and technologies, including AI-enabled applications such as ChatGPT and features in Canva that can assist with content development, marketing activities and operational efficiency. Participants also received training in cybersecurity awareness, digital marketing practices and basic data analytics to improve readiness among MSMEs and local communities.

Beyond entrepreneurship, NADI supported youth capability-building activities aimed at increasing exposure to innovation and emerging technologies. Initiatives involving coding, robotics, digital creativity and AI-related learning encouraged greater interest in science, technology and digital skills among students and youths.

The NADIpreneur Entrepreneurship Programme recorded more than 10,000 participants in 2025. Through collaborations with e-commerce platforms and strategic partners, the programme helped entrepreneurs improve business competitiveness, product marketability and digital capabilities, while encouraging wider adoption of online platforms in business operations.



Source: MCMC

Figure 5.4: Empowering NADI Entrepreneurs through the NADIpreneur Programme

NADI On Wheels

MCMC also expanded the delivery of NADI services through more flexible and mobile approaches tailored to the needs of different communities. This included extending selected services beyond fixed NADI centres to reach rural communities, vulnerable groups and areas facing connectivity or infrastructure constraints.

NADI On Wheels (NOW) is a mobile service platform designed to bring digital access and community engagement activities directly to locations in need. Equipped with mobile digital facilities and internet connectivity, NOW enables selected NADI services to be delivered in a more responsive manner, particularly in rural and remote areas, underserved communities and locations affected by disasters or emergencies. Figure 5.5 illustrates NADI On Wheels providing digital services to local communities.

The role of NOW was demonstrated during the floods in Pahang, where MCMC deployed the mobile unit to assist affected communities experiencing communication disruptions due to damaged infrastructure. The unit was initially deployed at the Temporary Evacuation Centre (PPS) at Bukit Setongkol, Kuantan, operating as a mobile digital hub for evacuees.



Source: MCMC

Figure 5.5: NADI On Wheels Providing Digital Services to Local Communities.

To maintain operations during the emergency, the vehicle was equipped with high-speed internet access through Starlink satellite connectivity and portable solar power systems. NOW also provided laptops, tablets, projectors and free Wi-Fi services to facilitate communication, online learning and access to information throughout the evacuation period. The mobile unit can be redeployed to other PPS and affected locations based on operational needs.

The implementation of NOW illustrates the value of flexible, technology-enabled service delivery in improving access, supporting disaster response and strengthening community resilience.

Drone-Based Medicine Delivery Initiative

Building on NADI's role as a community-based service platform, MCMC introduced a pilot initiative on drone-based medicine delivery during Program MADANI Rakyat Sabah 2025, held from 9 to 11 May 2025 at Tawau Municipal Council Square. Showcased at the NADI booth, the initiative highlighted the potential of emerging technologies in extending essential services to rural and remote communities. Figure 5.6 illustrates the drone medicine delivery showcase during the programme.

The initiative was implemented in collaboration with the Ministry of Health as the main partner, alongside strategic partners such as MRANTI and local drone technology providers. It aims to assess the effectiveness of using drones to deliver medicines from health clinics to selected NADI centres, particularly in hard-to-reach areas such as rural villages, islands and locations with limited road accessibility.

The first phase of implementation was scheduled for the fourth quarter of 2025, involving two selected NADI centres as pilot locations. Subject to its effectiveness, the initiative is planned to be expanded to 150 NADI centres in 2026 and further scaled to 392 centres nationwide by 2027.

By integrating emerging technologies such as drones, 5G connectivity and AI into community service delivery, the initiative introduces new possibilities for improving healthcare access and service efficiency in remote and underserved areas.



Source: MCMC

Figure 5.6: Drone Medicine Delivery Showcase at Program MADANI Rakyat Sabah 2025

Awards, Recognition and Community Achievements

NADI's expanded role across digital access, entrepreneurship, mobile outreach and technology-enabled service delivery continued to gain recognition at both national and international levels in 2025, reflecting the wider visibility of Malaysia's community-based digital inclusion efforts.

At the national level, NADI received the Best Service Award at Program MADANI Rakyat Melaka 2025 for initiatives covering entrepreneurship, lifelong learning, well-being, awareness and government services. The programme also recorded strong public response, with more than 10,000 new registrations and over 15,000 visitors, indicating encouraging community interest in NADI programmes and outreach activities.

At the international level, the NADI Digital Inclusive Project was recognised at the World Summit on the Information Society (WSIS) Prizes 2025 on 7 July 2025. The project received recognition under the C4: Capacity Building category, following the implementation of high-impact initiatives at NADI Pulau Banggi, Sabah, which focused on digital literacy, connectivity, skills development and economic opportunities for remote communities. Figure 5.7 shows YB Datuk Fahmi Fadzil, Minister of Communications, receiving the recognition during the WSIS Prizes 2025 in Geneva.

In addition, the Stingray II Pulau Ketam project received recognition under the WSIS Prizes 2025 C2: Information and Communication Infrastructure category, acknowledging efforts to improve connectivity and infrastructure access within underserved communities.

NADI communities and participants also gained international recognition for innovation, skills development and entrepreneurship. NADI Tiny Techies participants won four gold medals at the Global Robotics Competition 2025 in Bangkok, Thailand, while a NADI Mahir participant and entrepreneur with disabilities from NADI Bukit Chandan, Kuala Kangsar, secured third place at the Malaysia Culinary World Cup 2025.



Source: MCMC

Figure 5.7: WSIS Prizes 2025 Recognition for the NADI Digital Inclusive Project



Source: MCMC

Figure 5.8: Tiny Techies Teams from NADI Felda Gunung Besout 1 and NADI Felda Linggiu Win Four Gold Medals at Global Robotics Competition 2025

These achievements show how NADI has progressed beyond access provision and programme delivery, with its centres increasingly serving as local platforms for talent development, practical skills, entrepreneurship and socio-economic participation.

Looking Ahead

NADI remains an important platform in Malaysia's online and community development landscape, combining nationwide reach with sustained public participation. The transition towards NADI MADANI marks a broader focus beyond connectivity, encompassing entrepreneurship development, literacy, community well-being and improved access to trusted government information, particularly for rural and underserved areas.

Guided by key focus areas such as entrepreneurship, lifelong learning, well-being and awareness, NADI programmes equip individuals with practical skills while encouraging socio-economic participation across different segments of society. Its integrated and people-centred approach also complements national efforts to narrow socio-economic disparities and expand access to emerging opportunities.

NADI MADANI is expected to widen its outreach through flexible service delivery models, strategic collaborations and the adoption of emerging technologies such as artificial intelligence, enhanced connectivity solutions and innovation platforms. These efforts will help ensure that more communities, including those in remote and underserved locations, are able to benefit from online services, new skills and future technological developments.

As Malaysia's online ecosystem evolves, NADI is positioned to remain a key community platform for inclusive, sustainable and people-centred transformation.

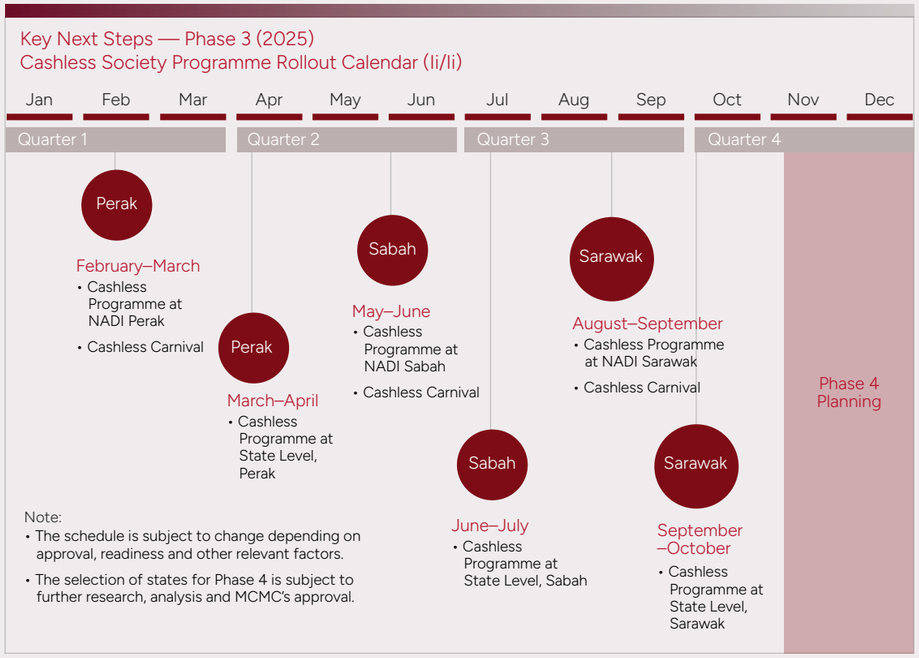


Advancing Cashless Adoption

The Cashless Society Initiative forms part of MCMC's ongoing efforts to promote inclusive participation in the digital economy, particularly among underserved communities in rural and remote areas. Launched in 2023, the initiative encourages the use of e-payment methods, including QR code payments, debit cards and credit cards, among senior citizens, youth, persons with disabilities, small merchants and local communities.

The initiative adopts a two-pronged approach, combining policy-level intervention with community-based promotion and awareness activities. At the policy level, engagement with state governments and local authorities has encouraged the integration of cashless payment readiness into business licensing and registration processes, creating a more enabling environment for merchants to adopt e-payment methods as part of their daily operations.

At the community level, outreach activities are guided by four key pillars: Security and Safety, Financial and Digital Literacy, Income Opportunity and Capacity Building. These pillars are designed to build user confidence, promote safer transactions, improve awareness of online fraud and data privacy risks, and equip communities and merchants with the knowledge needed to participate in the digital economy.



Source: MCMC

Figure 5.9: Cashless Society Roadmap 2025

As illustrated in Figure 5.9, Phase 3 of the Cashless Society Initiative was expanded to Perak, Sabah and Sarawak in 2025. A total of 56 touchpoints were implemented across 63 programme days, exceeding the original target of 45 touchpoints. The initiative engaged 18,372 visitors, onboarded 352 merchants onto e-payment platforms, facilitated 8,459 cashless transactions and delivered 793 awareness activities covering financial safety, literacy, income generation and capacity building.

To extend outreach to more NADI communities, the Cashless Society Train-the-Trainer programme was introduced in 2025. This training model equipped selected NADI managers with the knowledge and practical experience required to support future Cashless@NADI activities within their respective communities. Piloted in Sabah and Sarawak, the programme covered 31 touchpoints and trained 449 community participants by November 2025.

The initiative also benefited from ecosystem-wide collaboration involving government agencies, state authorities, local councils, banking institutions, financial service providers, telecommunications companies and NADI centres. Collaboration with the Ministry of Domestic Trade and Cost of Living through the Jualan Rahmah programme helped attract community participation, while the integration of related initiatives such as Kempen Internet Selamat reinforced the emphasis on online safety and responsible behaviour.

Since its introduction, the Cashless Society Initiative has reached 143 touchpoints between 2023 and 2025, attracted more than 62,000 visitors, facilitated over 26,000 cashless transactions, onboarded more than 4,500 merchants and delivered nearly 1,400 awareness activities. Beyond payment convenience, the initiative supports safer transactions, financial literacy, merchant participation and economic transparency, while complementing broader efforts to address online fraud and financial scams.

Growth of Malaysia's E-Commerce Ecosystem

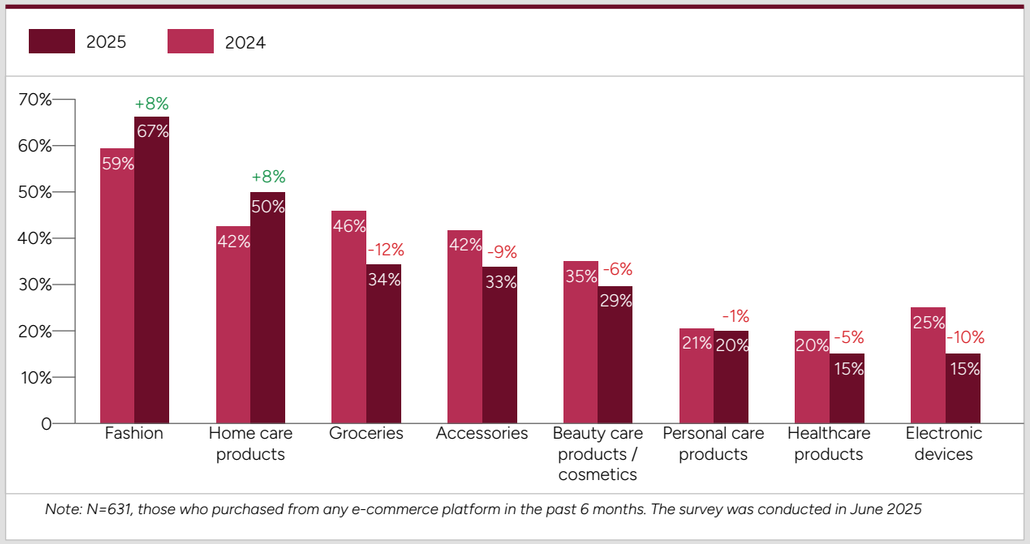
Malaysia's e-commerce sector remained resilient in 2025, supported by wider internet access, high smartphone usage and continued improvements in payment infrastructure. Secure payment systems, efficient logistics networks and enhanced marketplace features further improved consumer readiness to transact online and helped sustain confidence in online shopping.

For the first nine months of 2025, Malaysia's overall e-commerce revenue increased by 1.9% to RM937.5 billion[1], reflecting sustained demand for online commerce despite global economic uncertainties. The sector's performance also points to the increasing integration of e-commerce across various segments of the economy.

Online shopper participation expanded during the year, with the number of e-commerce shoppers increasing by 16%. Nearly two-thirds of Malaysians were reported to have purchased goods and services online. Adoption was highest among individuals aged 25–34 at 77%, followed by those aged 18–24 and 35–44, both at 70%. Participation among individuals aged 45 and above stood at 39%, suggesting further growth potential within the older demographic segment

In terms of purchasing behaviour, fashion remained the most popular product category at 67%, followed by home care products at 50%, groceries at 34% and accessories at 33%. Purchases became increasingly diversified, covering both discretionary and essential goods. Figure 5.10 illustrates the distribution of online purchases by product category in Malaysia during 2025.

Platform preference remained concentrated among major marketplace operators. Shopee recorded the highest usage at 74% compared with 72% in 2024, followed by TikTok Shop at 52% compared with 43% in 2024 and Lazada at 11% compared with 15% in 2024. The rise of TikTok Shop points to stronger consumer engagement with social commerce and content-driven purchasing models.



Note: N=631, those who purchased from any e-commerce platform in the past 6 months. The survey was conducted in June 2025

Source: IPSOS Malaysia

Figure 5.10: Distribution of Online Purchases by Product Category, 2025

Platform preference remained concentrated among major marketplace operators. Shopee recorded the highest usage at 74% compared with 72% in 2024, followed by TikTok Shop at 52% compared with 43% in 2024 and Lazada at 11% compared with 15% in 2024. The rise of TikTok Shop points to stronger consumer engagement with social commerce and content-driven purchasing models.

Together, the growth in revenue, shopper participation and platform usage shows that e-commerce has become a mainstream retail channel in Malaysia, shaped by consumer convenience, competitive marketplace dynamics and evolving purchasing behaviour.



1. New Straits Times, "Malaysia's E-Commerce Revenue Hits RM937.5bil in First Nine Months of 2025," 27 November 2025.

Consumer Behaviour and Service Expectations

In 2025, purchasing decisions in Malaysia's e-commerce market were increasingly shaped by service quality, delivery reliability and overall shopping experience, in addition to pricing considerations. While promotional campaigns and discounts remained key drivers, consumers also placed greater emphasis on convenience, efficient fulfilment and responsive customer support.

A consumer study by Milieu Insight found that cost savings, reliable logistics and consistent service quality were among the main factors encouraging Malaysians to use e-commerce services. Discounts remained the primary motivation for online purchases, followed by free or low-cost shipping, which was cited by 66% of respondents. In addition, 67% of respondents preferred lower delivery fees, while more than half reported reducing their online spending due to higher shipping costs.

Platform selection was also shaped by product variety, rewards programmes and perceived value for money, particularly within an increasingly competitive marketplace environment. User-friendly interfaces, seamless transaction processes and responsive platform features further contributed to a better shopping experience. At the same time, fast and dependable delivery services became more critical as shoppers had higher expectations on fulfilment efficiency and timely deliveries.

Service standards played an important role in customer retention. Nearly half of respondents indicated that they would stop purchasing from the same seller after experiencing delivery-related issues, while poor fulfilment and slow response times contributed to cart abandonment and migration to alternative platforms. Conversely, many consumers were willing to continue purchasing or spend more with sellers that provided timely updates and responsive support, with 82% indicating willingness to pay more for better delivery services.

These trends suggest that competition in Malaysia's e-commerce market is shifting beyond price towards reliability, convenience and overall user experience. For marketplace operators and sellers, logistics capability, fulfilment efficiency and customer support are becoming central to long-term competitiveness.

E-Commerce Risks and Consumer Protection

Alongside the expansion of Malaysia's e-commerce market, concerns relating to online transaction fraud and consumer protection became more significant during the 2024–2025 period. Higher participation in online shopping increased consumer exposure to transactional risks, particularly involving fraudulent sellers and deceptive online activities.

Reported e-commerce related crime cases rose from 7,662 cases in 2024 to 13,979 cases in 2025, representing an increase of 82% year-on-year. Correspondingly, total financial losses increased by 83%, from RM70 million in 2024 to RM129 million in 2025. Cumulatively, losses over the two-year period amounted to RM199 million[2].

Most reported cases involved online transaction fraud, particularly incidents where purchased goods were not delivered after payment or where counterfeit products were sold to consumers. Fraudulent sellers commonly attracted victims through heavily discounted prices, the use of personal bank accounts and pressure tactics encouraging immediate payment.

The increase in cases and financial losses points to the need for stronger consumer awareness, improved platform governance, better verification mechanisms and more effective enforcement. As online shopping becomes more embedded in daily economic activities, consumer trust and risk management will remain central to the sustainable development of Malaysia's e-commerce sector.



Regulatory Reforms and Industry Development

In response to the rapid expansion of online trade and the increasing complexity of transactions, the Government undertook a Review of E-Commerce Legislation Study to assess Malaysia's regulatory framework for the e-commerce industry. The study commenced in April 2024 and was completed in August 2025, forming part of broader efforts to ensure that existing regulations remain responsive to market developments and consumer needs.

The review covered key legislation including the Consumer Protection Act 1999 and the Electronic Commerce Act 2006. It assessed regulatory gaps, enforcement challenges and international best practices, while examining the evolving expectations of consumers, platform operators and industry players. The study also considered measures to improve consumer protection, regulatory coordination and sustainable industry development.

Findings and recommendations from the review were subsequently tabled before the Cabinet and presented to Parliament to facilitate amendments and improvements to relevant legislation. The review emphasised the need for an adaptive and balanced regulatory framework that safeguards consumer interests while allowing innovation and industry growth.

As e-commerce activities become increasingly integrated into daily economic transactions, effective governance and responsive regulatory mechanisms will be critical in supporting a secure, competitive and resilient online marketplace.

Empowering Local Products Through Online Platforms

Efforts to improve the visibility and competitiveness of local products within online marketplaces remained a priority in 2025. Through government-led initiatives and strategic collaborations with e-commerce platforms, local entrepreneurs and MSMEs were provided with wider opportunities to expand market access and increase online business participation.

The Ministry of Domestic Trade and Cost of Living (KPDN) continued promoting domestic products through the Buy Malaysian Products Campaign, or Kempen Beli Barangan Malaysia. Up to 2025, collaborations with strategic e-commerce platform partners generated RM26.3 billion in sales involving 13.3 million stock keeping units,[3] reflecting strong consumer support for locally produced goods through online commerce channels.

Several initiatives were implemented to increase online visibility and encourage consumer participation in supporting local businesses. Programmes such as #JomBeliLokal and nationwide mega online sales campaigns expanded promotional opportunities for MSMEs and local entrepreneurs through more interactive engagement approaches. The KPDN 2025 Carnival Tour, held from June to November across six states—Johor, Sabah, Sarawak, Kedah, Pahang, and Selangor—served as a key platform for promoting locally produced goods and increasing public awareness of Malaysian products[4]. The nationwide initiative provided local entrepreneurs and MSMEs with opportunities to showcase their products directly to consumers while strengthening support for the Buy Malaysian Products Campaign.

Strategic collaborations with major marketplace operators further supported ecosystem development and online marketplace governance. Partnerships involving TikTok Shop Malaysia promoted local products, while collaboration between the Intellectual Property Corporation of Malaysia and TikTok helped improve intellectual property awareness and enforcement within the online marketplace environment.

At the same time, industry stakeholders raised concerns over increasing platform costs and competition from low-priced imported goods. Issues highlighted included high commission fees and growing pressure on domestic sellers to remain competitive. Proposed measures included targeted fiscal initiatives, import controls and regulatory adjustments aimed at ensuring fair competition and creating a more balanced environment for local entrepreneurs.



2. https://www.rmp.gov.my/news-detail/2026/01/11/besmartstayalert-letsfightscammertogether-scam-alert-statistik-jenayah-e-dagang-bagi-tahun-2024-hingga-2025-posting-pilihan

3. Astro AWANI, "Jom Beli Lokal – Barang Kita, Kebanggaan Kita: KBBM Dorong Sokongan Produk Tempatan," 19 August 2025.
4. Ibid

Advancing Regional Cooperation

In conjunction with Malaysia's ASEAN Chairmanship, Malaysia hosted the ASEAN E-Commerce Conference 2025 on 24 and 25 November 2025 in Kuala Lumpur. Themed "ASEAN E-Commerce Transformation: Bridging Gaps, Enhancing Competitiveness," the conference reinforced the role of e-commerce as a key driver of ASEAN's digital economy and regional economic integration.

The conference brought together policymakers, regulators, industry representatives and online entrepreneurs from across the region to deliberate on issues affecting the e-commerce landscape. Key discussions focused on cross-border regulatory challenges, consumer protection, digital piracy, counterfeit products, last-mile logistics and digital financing solutions such as Buy Now Pay Later.

The conference also aligned with ongoing efforts towards the development of the ASEAN Digital Economy Framework Agreement, which aims to strengthen regional digital cooperation and facilitate a more integrated digital economy across ASEAN member states. Through greater regulatory coordination and regional dialogue, ASEAN countries are expected to improve cross-border digital trade, market accessibility and sustainable growth within the regional e-commerce environment.

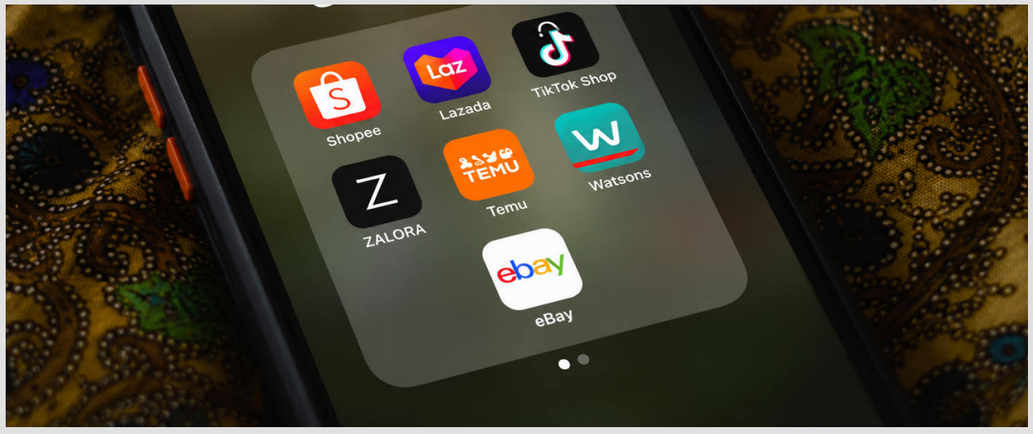
Beyond policy coordination, the conference provided a platform for engagement between regulators, industry players and digital entrepreneurs. Discussions also highlighted the need for an inclusive marketplace environment in which both global platforms and local MSMEs can participate and grow sustainably.

Looking Ahead

Malaysia's e-commerce sector is set to remain growth-oriented, supported by sustained consumer adoption, wider use of digital payments, evolving marketplace capabilities and improvements in logistics and service delivery.

At the same time, the next phase of development will depend on more than transaction volume. Consumer trust, service quality, regulatory responsiveness and ecosystem collaboration will shape the sector's long-term sustainability. As online transactions become more embedded in daily economic activities, industry players will need to place greater focus on fulfilment efficiency, customer experience, platform governance and responsible business practices.

Government initiatives, regulatory reforms and regional cooperation efforts will also help reinforce Malaysia's position within the regional digital economy. With continued market adoption, improving ecosystem maturity and closer ASEAN collaboration, Malaysia remains well-positioned to strengthen its role as one of Southeast Asia's leading e-commerce markets.



Online Safety and Awareness

Strengthening Safe and Responsible Online Participation

As online participation expanded across Malaysia, public awareness of safe and responsible internet use became increasingly important. Greater reliance on online platforms for communication, commerce, education and entertainment also increased exposure to risks such as scams, fraud, cyberbullying, misinformation and inappropriate content.

In this environment, awareness initiatives focused on improving public understanding of online risks, encouraging responsible behaviour and promoting safer engagement across internet platforms. These efforts complemented national priorities relating to digital literacy, consumer protection and public confidence in Malaysia's online environment.

Kempen Internet Selamat

Kempen Internet Selamat (KIS) served as a key national platform to promote safe, responsible and positive internet use among Malaysians. Launched on 21 January 2025 at Universiti Malaysia Kelantan (UMK), KIS was guided by the tagline "Internet Selamat, Tanggungjawab Semua" and adopted a whole-of-government and whole-of-society approach to raise public awareness of online risks, encourage responsible digital behaviour and support the implementation of the Online Safety Act 2025.



Source: Bernama

Figure 5.11: Launch of Kempen Internet Selamat at Universiti Malaysia Kelantan, Kelantan on 21 January 2025

As digital adoption expands, online safety has become an important component of Malaysia's digital ecosystem. While national initiatives such as JENDELA focus on expanding digital infrastructure and connectivity, and NADI provides community access, digital learning and empowerment programmes, KIS complements these efforts by addressing the behavioural dimension of digital participation. The campaign aimed to equip Malaysians with the knowledge and practical awareness needed to navigate the online environment safely, particularly in response to emerging threats such as scams, cyberbullying, misinformation, privacy risks and online exploitation.

KIS targeted various community groups, including students, parents, educators, senior citizens and local communities. Particular emphasis was placed on children, young internet users and groups with lower levels of digital literacy, recognising the need for tailored awareness and education across different segments of society. This targeted approach helped ensure that internet safety messages were relevant to the needs, risks and online behaviour of different user groups.

The campaign was delivered through an integrated implementation framework comprising large-scale programmes, sustained outreach and strategic communications. Large-scale programmes included community carnivals, flagship events and national activations designed to encourage broad public participation. Outreach was carried out through school programmes, workshops, briefings, IKON K-DAT initiatives and community engagement activities to provide ongoing awareness and capacity-building throughout the year. These efforts were further supported by collaborations with key opinion leaders, media organisations, public service announcements, social media engagement and out-of-home advertising, which extended KIS messages beyond on-ground participants.

In 2025, KIS was implemented across all 14 states through MCMC's regional and state offices. Programme delivery was carried out through schools, higher learning institutions, community venues, NADI centres and strategic partner networks, enabling internet safety messages to reach both urban and rural communities. As part of the NADI Smart Services pillar, internet safety modules under KIS were also integrated into activities at NADI centres, reinforcing NADI's role as a grassroots platform for digital literacy, community empowerment and online safety education.



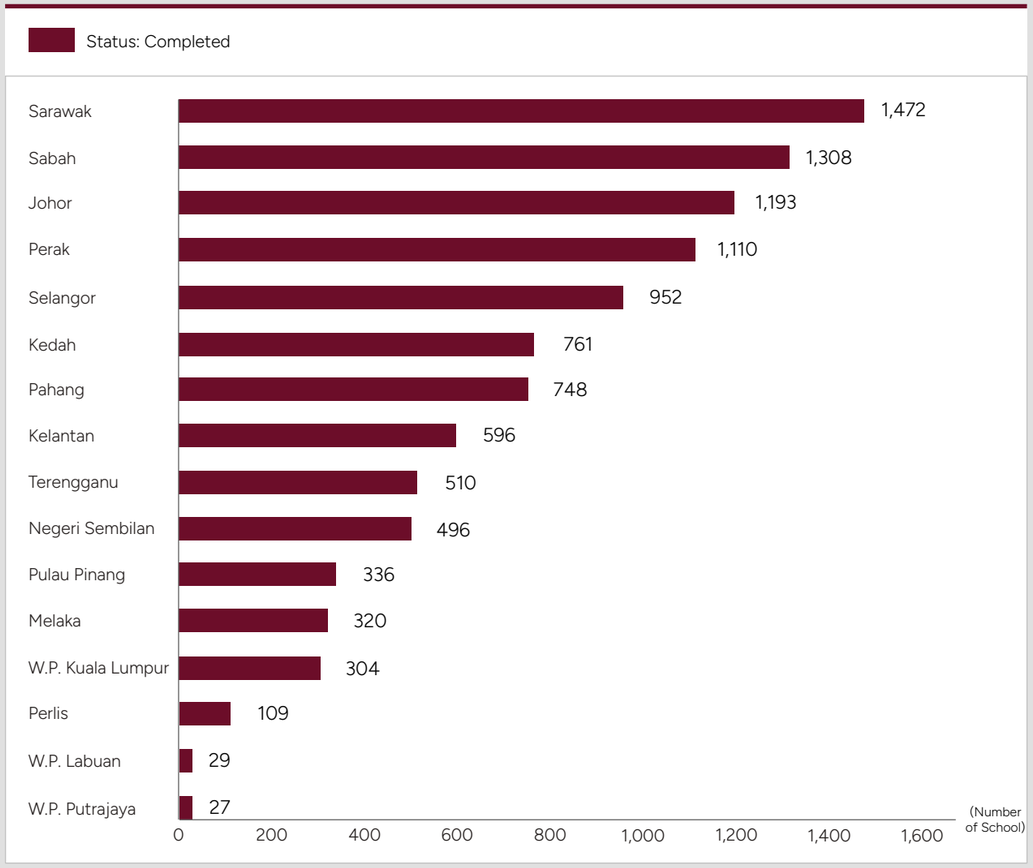
Source: MCMC

Figure 5.12: Kempen Internet Selamat Implementation Strategies

As at 31 December 2025, KIS recorded 9,113 programme implementations and engaged 460,269 participants nationwide, averaging approximately 25 programmes per day. Within the education sector, the campaign achieved extensive reach by covering 7,750 primary schools and 2,411 secondary schools. This broad school-based implementation helped embed internet safety awareness among children and adolescents, while supporting wider digital literacy efforts across Malaysia.

KIS also delivered significant communications outcomes. Out-of-home advertising generated an estimated 200 million media impressions, while media monitoring recorded approximately 67 million media impressions across print, broadcast, online and social media platforms, reaching an estimated audience of 100 million. These integrated communications efforts enhanced campaign visibility, reinforced key internet safety messages and strengthened the national conversation on responsible online behaviour.

Overall, Kempen Internet Selamat played a strategic role in advancing Malaysia's digital transformation agenda by ensuring that increased connectivity is matched with stronger digital literacy, responsible online practices and greater public resilience against cyber risks. Through sustained collaboration with government agencies, educational institutions, industry partners, civil society organisations and local communities, the campaign contributed towards building a safer, more secure and trusted digital environment for all Malaysians.



Source: MCMC

Figure 5.13: Number of Schools Participated in Kempen Internet Selamat by State, 2025

Online Scam and Cyber Awareness

The increasing use of online platforms and electronic services also contributed to greater exposure to scams, fraudulent activities and cyber-related risks. Fraudulent purchases, phishing attempts, impersonation tactics and financial fraud remained among the common threats affecting internet users and consumers during the year.

In response, awareness efforts emphasised vigilance, careful verification of online transactions and stronger protection of personal information. Users were also encouraged to exercise caution when dealing with unfamiliar platforms, sellers or individuals, particularly where transactions involved upfront payments or requests for personal and financial details.

The growing sophistication of online threats reinforces the need for continuous cyber awareness and practical user education. As more services move online, users must be equipped not only with access to technology, but also with the knowledge to navigate the online environment safely.



Strengthening SIM Registration through MyDigital ID

In line with the Government's directive to enhance digital identity assurance and address online fraud, MCMC coordinated the integration of MyDigital ID for prepaid SIM registration by telecommunications service providers. The initiative was deliberated upon at the national level, including by the National Digital Economy and Fourth Industrial Revolution Council, chaired by the Prime Minister, in recognition of its strategic role in improving trust and security within Malaysia's digital landscape.

To support implementation, MCMC established a dedicated task force on 22 October 2025, comprising MyDigital ID Sdn Bhd, the National Cyber Security Agency (NACSA) and telecommunications service providers. The task force oversees industry readiness, including the whitelisting of existing prepaid subscribers and e-verification for new registrations.

Initial implementation recorded encouraging progress, with more than 17,000 identity verification transactions within the first 10 days. The integration improves identity verification at the point of SIM registration, helping to reduce the risk of fraud, impersonation and misuse of mobile services. It also supports greater consumer confidence, traceability and accountability, contributing to safer and more reliable mobile communications.



Looking Ahead: Collaborative Online Safety Efforts

Promoting safer internet usage requires close collaboration between government agencies, industry players, educational institutions, platform providers and local communities. Awareness campaigns, educational programmes and community outreach activities will remain important in improving public understanding of online risks, encouraging responsible behaviour and strengthening practical user education.

Platform providers and service operators also play an important role through safety features, content moderation tools, reporting mechanisms and user protection measures. At the same time, community-based initiatives remain essential in cultivating responsible online behaviour, particularly among younger users and vulnerable groups.

As Malaysians become more reliant on internet-based services and platforms, future awareness initiatives are expected to place greater emphasis on cyber resilience, scam prevention and responsible online engagement. Closer collaboration across government, industry, education and community stakeholders will help ensure that users are better prepared to manage emerging risks and participate safely and confidently in the evolving online environment.

Public Key Infrastructure

Trusted Authentication and Secure Transactions

Trust is a key requirement for secure electronic transactions, particularly as more services, documents and communications move to online channels. Public Key Infrastructure (PKI) supports this trust by enabling digital signatures, identity authentication and secure communications. Through the use of digital certificates and cryptographic technologies, PKI helps verify users, preserve information integrity and protect the confidentiality of electronic transactions.

Beyond the underlying technology, PKI operates within a wider trust framework comprising policies, standards, legal requirements and regulatory oversight. This infrastructure supports reliable online interactions across government, businesses and society, particularly as electronic services become more widely adopted.

Legal and Regulatory Framework

Malaysia established the legal foundation for digital signature usage through the Digital Signature Act 1997 (DSA 1997), which came into force on 1 October 1998. The Act regulates the use of digital signatures based on PKI technology and provides legal recognition for signatures supported by certificates issued by licensed Certification Authorities.

MCMC is responsible for administering and enforcing the DSA 1997, including overseeing licensed Certification Authorities to ensure compliance with regulatory requirements and safeguard the integrity of Malaysia's electronic transaction environment. As at end of 2025, four Certification Authorities were licensed in Malaysia, namely Pos Digicert Sdn Bhd, MSC Trustgate.com Sdn Bhd, Telekom Applied Business Sdn Bhd and Raffcomm Technologies Sdn Bhd. These entities issue digital certificates used to authenticate digital signatures and validate electronic transactions.

Adoption of Digital Signatures in Malaysia

As the regulatory authority under the DSA 1997, MCMC promotes awareness of the adoption of recognised digital signatures among government agencies, businesses and individual users. These signatures support confidentiality, identity authentication and data integrity, while helping to prevent forgery and strengthen the legal validity of electronic documents and online transactions.

In addition to improving transaction security, digital signatures also contribute to operational efficiency by reducing reliance on paper-based processes and manual submissions. Their adoption has expanded across the public sector as organisations seek to improve service delivery and administrative processes.

A notable example in March 2025 was the implementation of digital signatures by Majlis Perbandaran Hang Tuah Jaya (MPHTJ) for the submission of building plans through the Online Submission System (OSC) 3.0 Plus Online (OSC3). This made MPHTJ the first local authority in Malaysia to adopt digital signatures for this purpose. The system enables property owners, consultants and local authorities to sign documents remotely, provided internet connectivity is available. This capability streamlines the building plan submission and approval process while reducing processing time and improving operational efficiency.

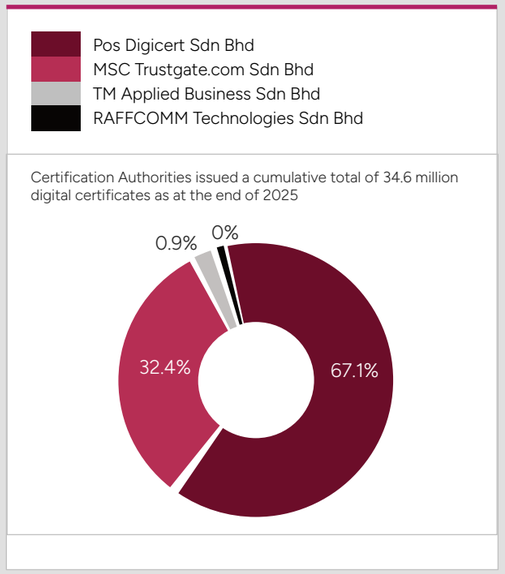
Growth of Digital Certificates

The adoption of digital certificates increased in 2025, reflecting growing reliance on trusted authentication technologies across Malaysia's public and private sectors. As illustrated in Figure 5.14, licensed Certification Authorities issued a cumulative total of 34.7 million digital certificates As at the end of 2025, compared with 25.2 million certificates in 2024.

Pos Digicert Sdn Bhd remained the largest cumulative issuer, accounting for 67.1% of total digital certificates issued, equivalent to 23.2 million certificates. This was followed by MSC Trustgate.com Sdn Bhd with 32.4% or 11.2 million certificates, and Telekom Applied Business Sdn Bhd with 0.9% or 0.315 million certificates.

The local government sector remained the largest contributor to digital certificate adoption, accounting for 70.4% of total certificates issued. This underlines the role of digital certificates in supporting secure government services, particularly in ensuring confidentiality, authentication and integrity within online communications and electronic transactions.

The remaining 22.9% of certificates were issued to local individuals and 6.8% to local corporations, while no certificates were issued to foreign governments. This distribution shows that utilisation remained largely domestic, driven mainly by local service adoption and public sector digitalisation initiatives.



Source: MCMC

Figure 5.14: Cumulative Number of Digital Certificates Issued by Certification Authorities, 2025

As the use of online services, electronic documents and internet-based transactions grows, PKI will remain an essential component of Malaysia's trusted transaction environment. Future demand is likely to be shaped by the expansion of government digitalisation, business process automation and secure online communications.

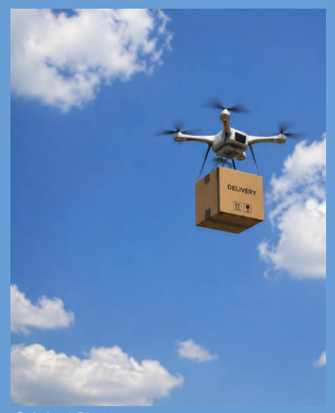
Continued regulatory oversight, technological advancement and wider adoption by public and private sector users will be important in sustaining confidence in electronic transactions. In this context, PKI provides the authentication layer needed to support secure services, trusted identities and reliable online interactions within Malaysia's increasingly connected economy.



Chapter 6

POSTAL AND COURIER

Design Rationale:



Original Photo

Connecting Through Every Delivery

The image illustrates an unmanned aerial vehicle (drone) transporting a parcel, representing the future of postal and courier services driven by technological innovation. As logistics continues to evolve, autonomous delivery solutions have the potential to enhance delivery speed, improve operational efficiency and expand service accessibility, particularly in remote and hard-to-reach areas.

The visual was selected to symbolise the industry's transformation towards smarter, technology-enabled logistics and future-ready delivery networks. It complements the chapter's focus on innovation, operational excellence and the continued evolution of postal and courier services in supporting Malaysia's growing digital economy.

This chapter presents the performance of the postal and courier sector in 2025, covering developments in postal services, courier services, and Pelan Accelerator Kurier Negara (PAKEJ). It also outlines technological adoption, infrastructure expansion, regulatory initiatives, and sustainability efforts undertaken by industry players to support operational efficiency and long-term industry resilience. In addition, the chapter highlights continued growth in parcel demand, with Malaysia surpassing the PAKEJ target of achieving 30 parcels per capita by 2025.

KEY HIGHLIGHTS 2025

Postal and Courier

Strengthening connectivity, driving growth and delivering value to all Malaysians.



Postal Services

Maintaining universal service and nationwide access

Postal Traffic in 2025

279.36 Million ↓9.1%
(2024: 307.16 million)

Postal Infrastructure Nationwide

1,159

Employees in Postal Services Sector

15,039

Top 3 Postal Traffic in 2025:

1. Letter Post Items | 87.8%
2. Registered Items | 7.1%
3. Advertising Items | 1.4%

Source: Pos Malaysia

Courier Services

Strong growth driven by e-commerce and logistics expansion

Courier Traffic in 2025

1.58 Billion ↑24.7%
(2024: 1.26 billion)

Courier Infrastructure Nationwide

27,626 ↑80.7%
(2024: 15,291 facilities)

Employees in Courier Services Sector

120,256

Packages and Parcels

1.53 Billion
97.2% of total courier traffic

Source: MCMC

Parcel per Capita

Malaysia surpasses the PAKEJ target, reflecting strong demand and digital economy growth

Parcels per Capita in 2025:

45.9
Surpassing the PAKEJ target of 30 parcels per capita by 2025

28,592
Service points under Rangkaian PAKEJ nationwide

511
NADI sites equipped with PUDO facilities

Source: MCMC

Postal and Courier Industry Overview

Overview

The postal and courier industry continued to evolve in 2025 amid changing consumer behaviour, growing e-commerce activity, and ongoing digitalisation. While traditional mail services remained under structural pressure due to declining letter volumes and digital substitution, courier and parcel delivery services continued to benefit from sustained demand for e-commerce fulfilment and last-mile delivery solutions.

Growth in online retail activity, together with increasing consumer expectations for faster and more reliable delivery services, continued to drive operational transformation across the industry. Service providers expanded delivery networks, improved automation capabilities, and strengthened logistics infrastructure to support rising parcel volumes and improve operational efficiency. At the same time, competition within the courier market remained intense, with providers continuing to optimise pricing strategies, service offerings, and delivery performance to maintain market competitiveness.

The industry also continued to strengthen its focus on service modernisation and sustainability. Investment in digital platforms, smart logistics solutions, warehouse automation, and electric vehicle (EV) fleets supported efforts to improve operational resilience and enhance service quality. These developments were further complemented by government and industry initiatives aimed at strengthening industry sustainability, expanding accessibility, and supporting long-term sector development under Pelan Accelerator Kurier Negara (PAKEJ).

Overall, the postal and courier industry continued to balance structural challenges in traditional postal services with growth opportunities arising from e-commerce expansion, digital transformation, and evolving logistics requirements.



Postal Services

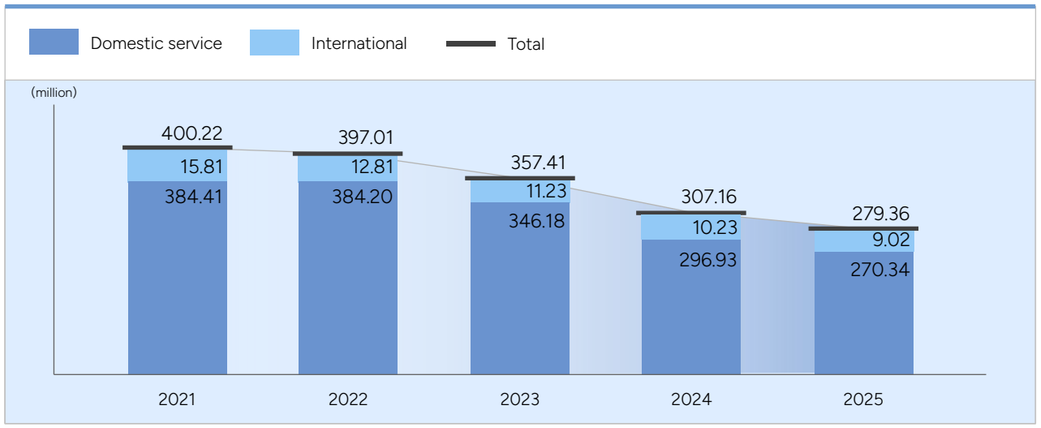
Traditional postal services continued to face structural challenges in 2025, mainly driven by declining reliance on physical mail and the growing adoption of digital communication alternatives. While core mail-related services remained under pressure, postal operators continued to adapt through operational rationalisation, service diversification, and gradual expansion into parcel and logistics-related activities. These developments reflect the broader transformation of the postal sector as operators balance declining traditional mail demand with evolving customer and business needs.

Postal Traffic

In 2025, Pos Malaysia handled a diverse range of postal items, with letter post items accounting for the majority, at 87.79% of the total volume. Registered items followed as the second-largest category, making up 7.08% of the total, while advertising items constituted 1.36%. Postal traffic handled by Pos Malaysia continued to decline in 2025, reflecting the ongoing structural shift in the postal sector. Over the five-year period from 2021 to 2025, overall postal traffic recorded a consistent downward trend.

In 2025, traffic volume decreased from 307.16 million items in 2024 to 279.36 million items, representing a reduction of 9.05%. Over the same period, domestic postal items declined from 296.93 million items to 270.34 million items, a decrease of 8.96%, while international postal items decreased from 10.23 million items to 9.02 million items, a reduction of 11.80%.

Overall, declines were recorded across both domestic and international mail segments, with domestic mail remaining the primary contributor to total postal traffic. The continued reduction in traditional mail volumes reflects the growing adoption of digital communication alternatives, which has reduced reliance on physical mail services. In addition, lower demand for postal services and increasing competition from alternative delivery channels, including courier and e-commerce logistics providers, have further contributed to the downward trend.



Source: Pos Malaysia

Figure 6.1: Overall Postal Traffic, 2021–2025 (million items)

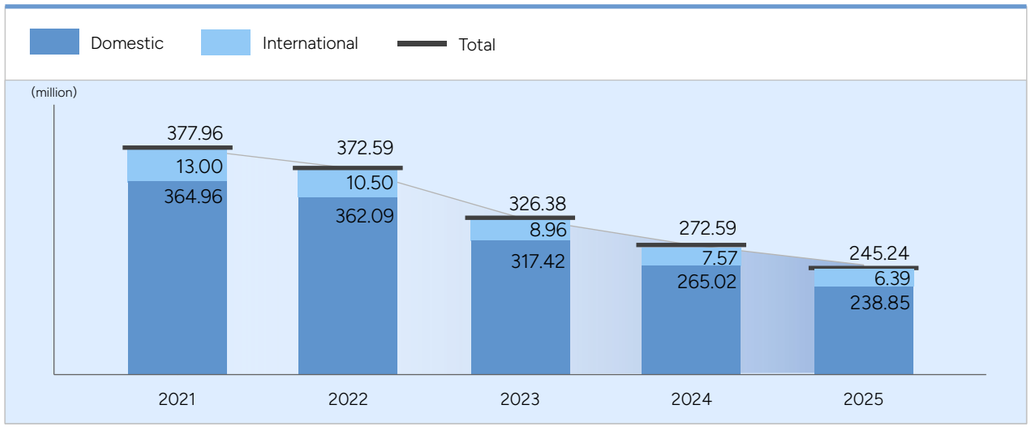
Letter Post Item

Letter post items continued to record a declining trend between 2021 and 2025, reflecting the ongoing contraction of traditional mail services. Total volume decreased from 377.96 million items in 2021 to 245.24 million items in 2025. Despite the continued decline, letter post items remained the dominant component of postal traffic, accounting for 87.79% of total postal traffic in 2025.

Domestic letter post remained the main contributor throughout the period, accounting for the largest share of total volume each year. However, domestic volume declined from 265.02 million items in 2024 to 238.85 million items in 2025. International letter post also recorded a similar downward trend, decreasing from 7.57 million items to 6.39 million items over the same period.

A more significant decline was observed between 2023 and 2024, when total letter post volume decreased from 326.38 million items to 272.59 million items. The downward trend continued in 2025, albeit at a more moderate pace, with total volume reaching 245.24 million items.

These trends reflect broader structural changes within the postal sector. Lower bulk mail usage, reduced international mail demand, and the growing preference for digital communication platforms continue to reduce reliance on physical mail services.



Source: Pos Malaysia

Figure 6.2: Letter Post Items, 2021–2025 (million items)

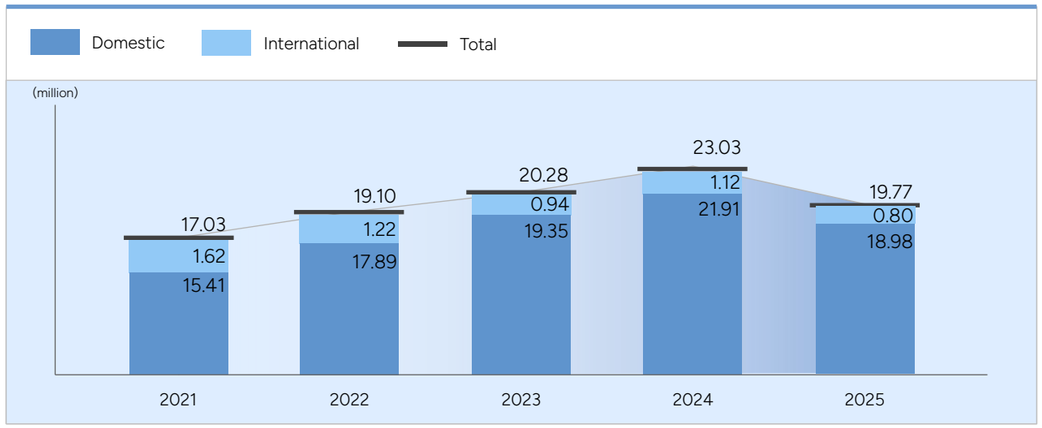
Registered Item

Registered item volumes recorded an overall increase between 2021 and 2024 before declining in 2025. Total registered items increased from 17.03 million items in 2021 to a peak of 23.03 million items in 2024, before decreasing to 19.77 million items in 2025. In 2025, registered items accounted for 7.08% of total postal traffic.

Domestic registered items remained the main contributor throughout the period. Volume increased steadily from 15.41 million items in 2021 to 21.91 million items in 2024, before declining to 18.98 million items in 2025.

International registered items showed a more fluctuating trend. Volume declined from 1.62 million items in 2021 to 0.94 million items in 2023, increased slightly to 1.12 million items in 2024, and declined again to 0.80 million items in 2025. Despite these fluctuations, the contribution of international registered items remained relatively small compared to domestic services.

Overall, registered item volumes remained largely supported by domestic services, although the decline in 2025 suggests moderating demand for registered mail services amid continued digitalisation and evolving communication preferences.



Source: Pos Malaysia

Figure 6.3: Registered Items, 2021–2025 (million items)

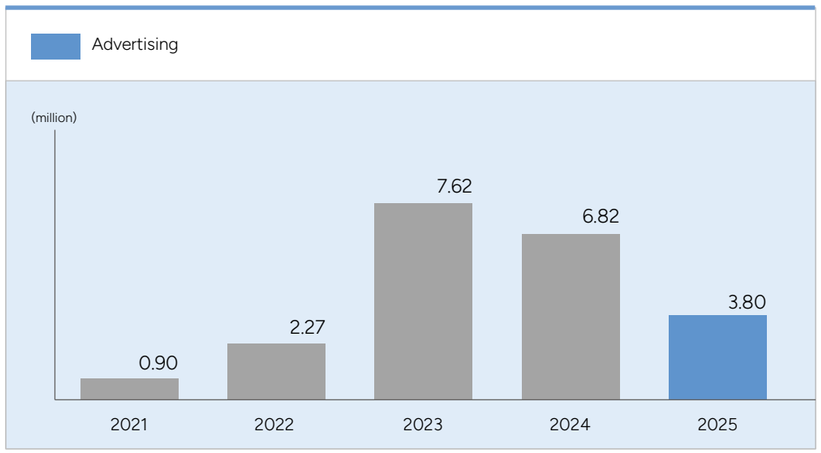
Advertising Item

Pos Malaysia offers a range of marketing and promotional solutions for businesses, including direct mail, admail or maildrop, promotional booths, vehicle advertising, and PosTV.

Advertising item volumes recorded a fluctuating trend between 2021 and 2025. Total volume increased significantly from 0.90 million items in 2021 to 7.62 million items in 2023. However, volume declined to 6.82 million items in 2024 and further to 3.80 million items in 2025, although it remained higher than the levels recorded in 2021 and 2022. In 2025, advertising items accounted for 1.36% of total postal traffic.

Advertising item volumes increased strongly up to 2023 before moderating in subsequent years, reflecting changes in advertising demand and promotional activities.

Beyond traditional mail and advertising-related services, Pos Malaysia also continued to provide several supporting postal and parcel-related services that recorded varying performance trends during the year.



Source: Pos Malaysia

Figure 6.4: Advertising Items, 2021–2025 (million items)

Other Postal Items

Other postal items comprise express Items, post free items, ordinary parcels, and insured parcels. Although these services represent a smaller share of overall postal traffic individually, their combined contribution remains important to Pos Malaysia's operations.

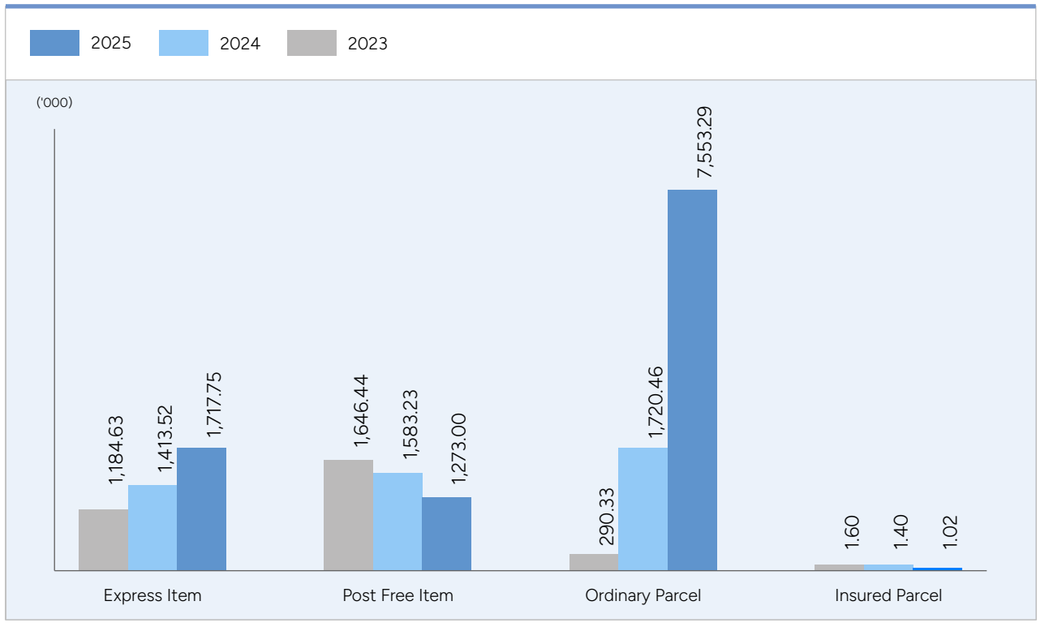
Performance across these categories reflected mixed trends between 2023 and 2025. While some services recorded gradual declines, others experienced notable growth, particularly parcel-related services driven by increasing e-commerce activity and demand for delivery services.

Express item volumes increased steadily from 1.18 million items in 2023 to 1.41 million items in 2024 and further to 1.72 million items in 2025, reflecting sustained demand for express delivery services.

Post free item volumes declined from 1.65 million items in 2023 to 1.58 million items in 2024 and further to 1.27 million items in 2025, reflecting lower usage of these services.

Ordinary parcel volumes recorded the highest increase among all categories, rising significantly from 0.29 million items in 2023 to 1.72 million items in 2024 and further to 7.55 million items in 2025. This increase contributed strongly to the overall growth of parcel-related postal services. Insured parcel remained the smallest segment and recorded a slight decline, from 1,597 items in 2023 to 1,400 items in 2024 and 1,017 items in 2025.

Collectively, the performance of these postal services reflects changing consumer and business preferences. Growth in express item and ordinary parcel volumes was largely driven by rising demand for courier and parcel delivery services, particularly from e-commerce activities. In contrast, declining post free Item and insured parcel volumes reflect lower bulk mail usage and weaker demand for selected traditional postal services.



Source: Pos Malaysia

Figure 6.5: Other Postal Services, 2023–2025

Postal Services Accessibility

Postal infrastructure continued to play an important role in ensuring accessibility to postal and related essential services nationwide in 2025. The availability of post offices, postal agents, mobile post offices, and other supporting infrastructure remains important in facilitating public access to mail services, financial transactions, bill payments, and other community-related services, particularly across underserved and rural areas. As customer preferences and communication patterns continue to evolve, postal operators also continued to optimise infrastructure and expand alternative service channels to improve operational efficiency and service accessibility.

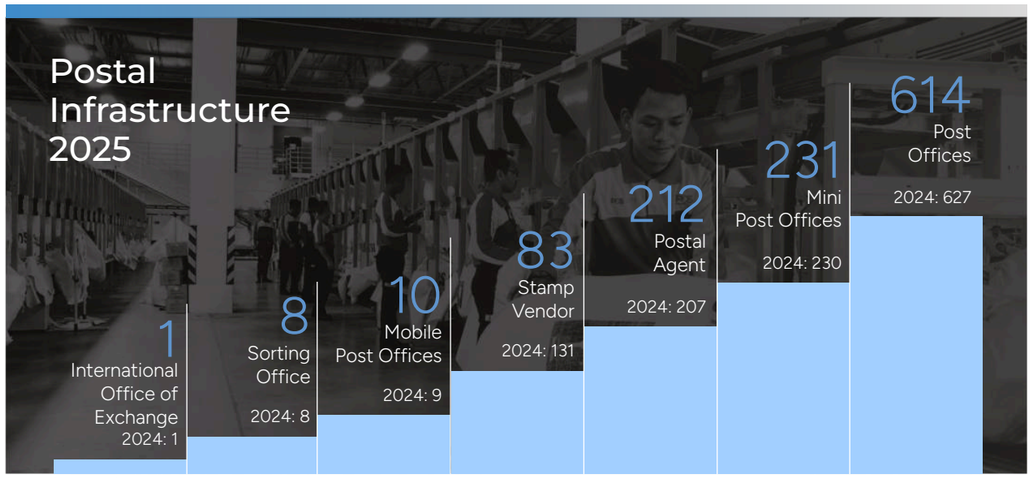
Postal infrastructure accessibility declined slightly from 1,213 facilities in 2024 to 1,159 facilities in 2025. Most infrastructure categories remained relatively stable during the year, with the decline mainly attributed to a reduction in the number of stamp vendors and post offices.

The number of post offices declined slightly from 627 in 2024 to 614 in 2025. This trend reflects the continued decrease in demand for traditional postal services alongside the growing adoption of digital communication. Pos Malaysia has also undertaken the rationalisation of underperforming branches while expanding alternative service channels, such as parcel lockers and postal agents, to improve operational efficiency and manage costs.

The number of stamp vendors decreased significantly from 131 in 2024 to 83 in 2025. This was mainly attributed to reduced reliance on physical stamps, as consumers increasingly adopt alternative postage solutions, including online postage and prepaid mailing services. Consequently, stamp vendors have become less central within the postal ecosystem.

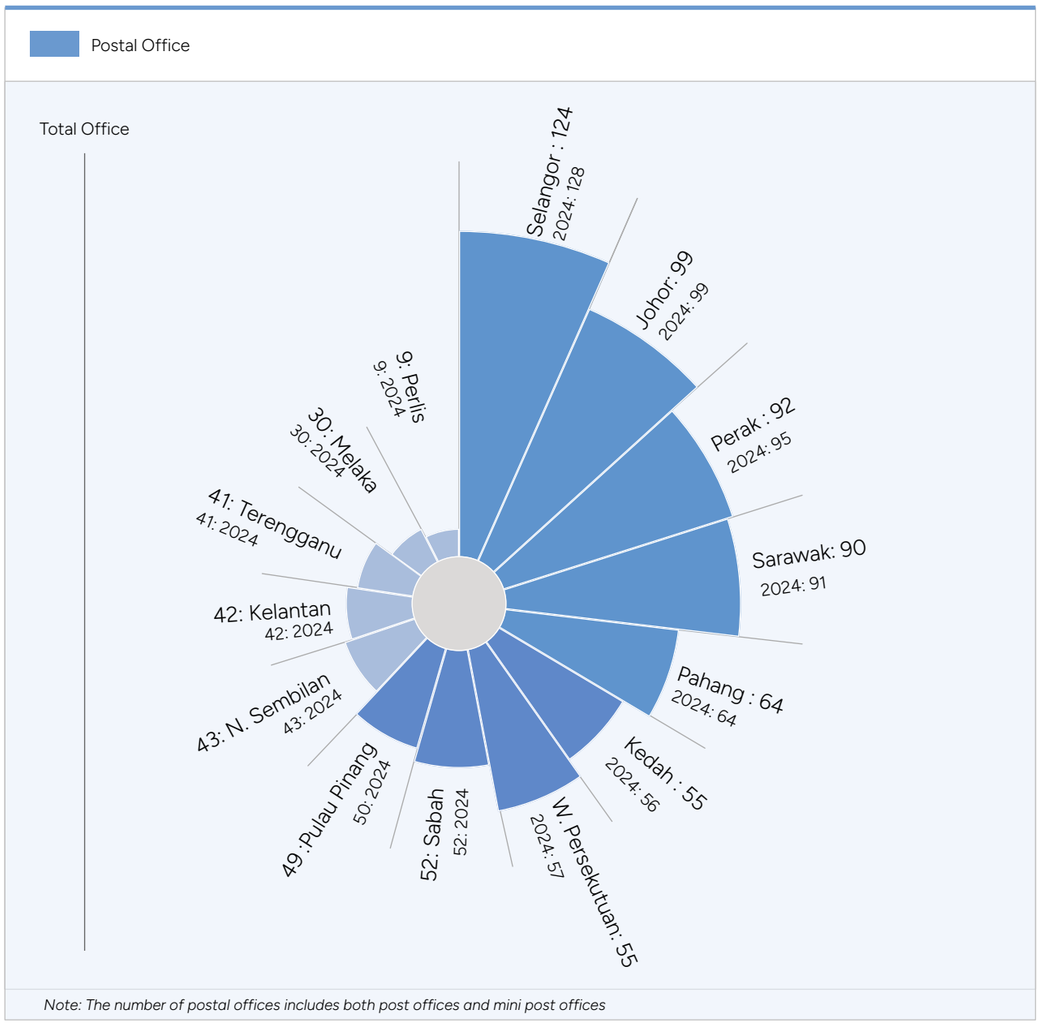
Meanwhile, the number of mobile post offices, international offices of exchange, and sorting offices remained unchanged compared to 2024. Mini post offices and postal agents recorded slight increases of one and five units, respectively, reflecting a gradual shift towards more flexible and cost-effective service delivery channels.

Despite the ongoing transformation of postal services, post offices continue to play an important role beyond traditional mail services by providing various additional services such as utility bill payments, driving licence renewals, and other essential transactions. The extensive postal network also contributes significantly to economic and social connectivity, particularly in bridging access between urban and rural communities.



Source: Pos Malaysia

Figure 6.6: Postal Infrastructure, 2024-2025



Note: The number of postal offices includes both post offices and mini post offices

Source: MCMC

Figure 6.7: Postal Offices by State, 2024–2025

Postal Employment

Postal employment continued to decline globally as digital communication reduced letter volumes and automation improved operational efficiency, leading to workforce rationalisation and restructuring across the industry. In Malaysia, Pos Malaysia continued to reflect this trend, with traditional mail-related roles gradually declining alongside the company's broader transition towards parcel and logistics-related services.

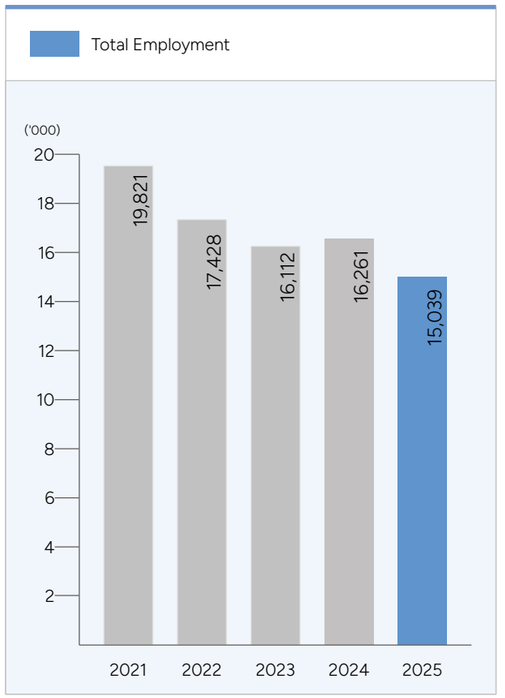
Total postal employment declined from 19,821 employees in 2021 to 15,039 employees in 2025, representing a reduction of 24.13%. Employment decreased consistently between 2021 and 2023, followed by a slight increase of 0.92% from 16,112 employees in 2023 to 16,261 employees in 2024, before declining again by 7.51% in 2025.

The decline in postal employment in Malaysia was mainly driven by workforce optimisation measures undertaken by Pos Malaysia, aligned with cost rationalisation efforts and declining traditional mail volumes that reduced operational requirements. Ongoing restructuring initiatives and efficiency improvements also contributed to the reduction in workforce size.

Pos Malaysia's workforce is categorised into five main groups: administrative, call centre, pick-up and despatch, sorting crew, and others. The workforce composition remained relatively stable between 2024 and 2025, with pick-up and despatch continuing to account for the largest share of total employment.

The share of pick-up and despatch employees increased slightly from 43.69% in 2024 to 45.99% in 2025, reflecting the growing importance of operational and delivery-related functions. Administrative roles remained stable at 31.82% in 2024 and 31.83% in 2025. Sorting crew declined slightly from 7.52% to 7.41%, while the call centre category remained the smallest segment, decreasing from 0.83% to 0.70%. The others category also declined from 16.14% in 2024 to 14.07% in 2025.

The employment structure remained centred on operational roles, particularly pick-up and despatch functions, with only minor changes observed across other workforce categories. These adjustments indicate that workforce optimisation was implemented at an overall organisational level rather than through major restructuring within specific functions.

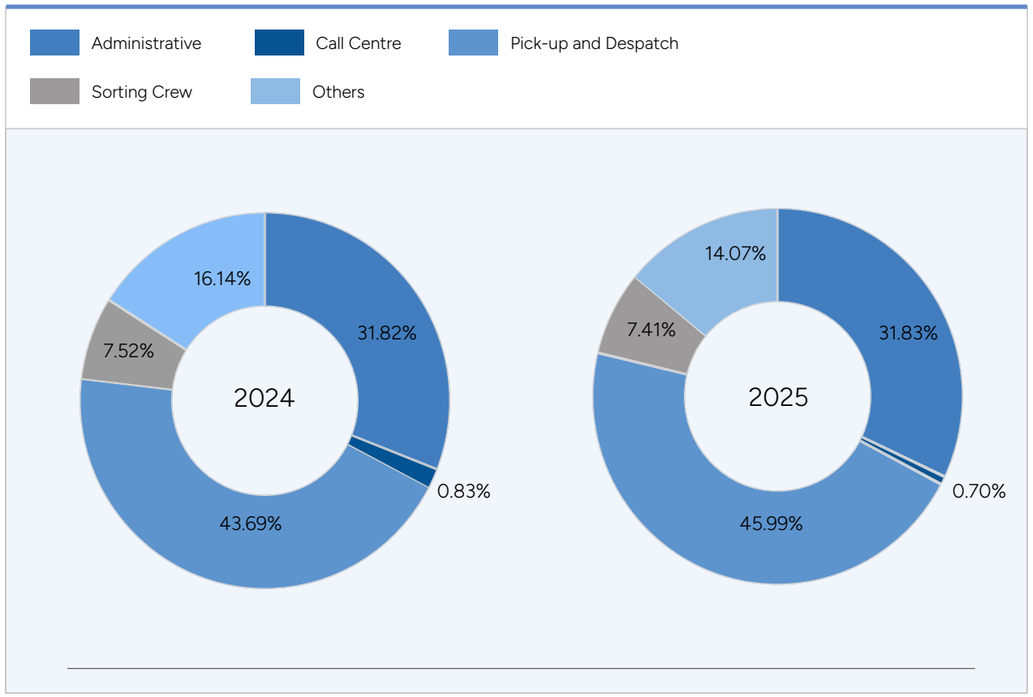


Source: Pos Malaysia

Figure 6.8: Postal Employment, 2021–2025



Taken together, postal services in 2025 continued to reflect the sector's ongoing transition amid changing communication patterns and evolving consumer needs. While traditional mail-related services remained under pressure due to digital substitution and declining letter volumes, postal operators continued to adapt through operational optimisation, infrastructure rationalisation, and gradual expansion into parcel and logistics-related services. These developments highlight the sector's continued efforts to remain relevant and sustainable while supporting nationwide service accessibility and connectivity.



Source: Pos Malaysia

Figure 6.9: Postal Employment by Category, 2024–2025



Courier Services

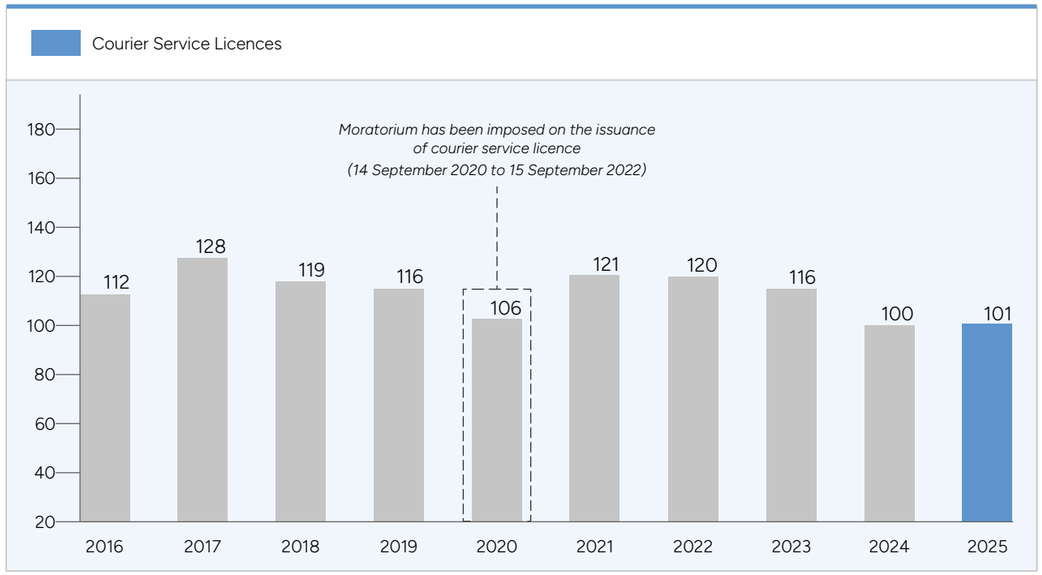
Courier services continued to play an increasingly important role in supporting Malaysia's digital economy in 2025, driven by sustained e-commerce expansion, rising parcel volumes, and growing demand for faster and more efficient delivery services. Beyond conventional delivery functions, courier service providers continued to strengthen logistics capabilities through service diversification, operational automation, digital integration, and network expansion to meet evolving consumer and business expectations.

As the sector continues to mature, industry players are increasingly focused on balancing operational efficiency, service quality, technological innovation, and long-term sustainability. These developments reflect the courier industry's broader transformation from a traditional delivery-based sector into a more integrated and technology-enabled logistics ecosystem.

Courier Industry Transformation and Market Landscape

Courier Licensing Profile

The number of courier service licences remained relatively stable in 2025, with only marginal changes recorded in the number of licensed service providers. The trend from 2016 to 2025 indicates that the courier industry has moved beyond its earlier expansion phase, which peaked at 128 licensees in 2017, into a period of gradual moderation and market stabilisation.



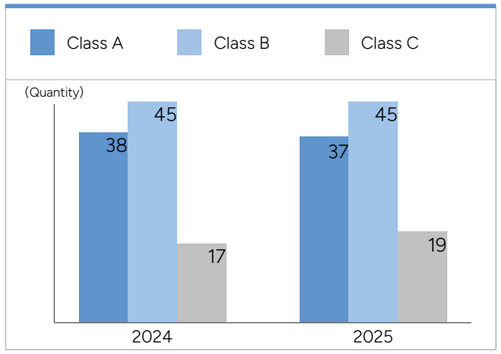
Source: MCMC

Figure 6.10: Courier Licences, 2016–2025

MCMC initially imposed a moratorium on the issuance of new courier service licences from 14 September 2020 until 15 September 2022 to facilitate a comprehensive review of the licensing framework. This regulatory approach was intended to moderate market entry and competition while supporting the sustainable development of existing industry players.

Following the lifting of the moratorium, the number of licensed courier service providers stabilised at 100 in 2024 and 101 in 2025. This has enabled service providers to place greater emphasis on enhancing service quality, strengthening regulatory compliance, improving operational efficiency, and accelerating technological innovation in line with MCMC's efforts to support the sustainable growth and development of the sector.

In 2025, the courier industry recorded a total of 101 licensed service providers across three operational categories. Class A, which comprises comprehensive domestic and global outbound services, accounted for 37 providers. Class B remained the largest category with 45 providers for the second consecutive year, reflecting continued stability among couriers specialising in domestic and international inbound logistics. Meanwhile, Class C, which covers state-specific operations, increased from 17 to 19 licensees, indicating renewed interest in state-level courier operations.



Source: MCMC

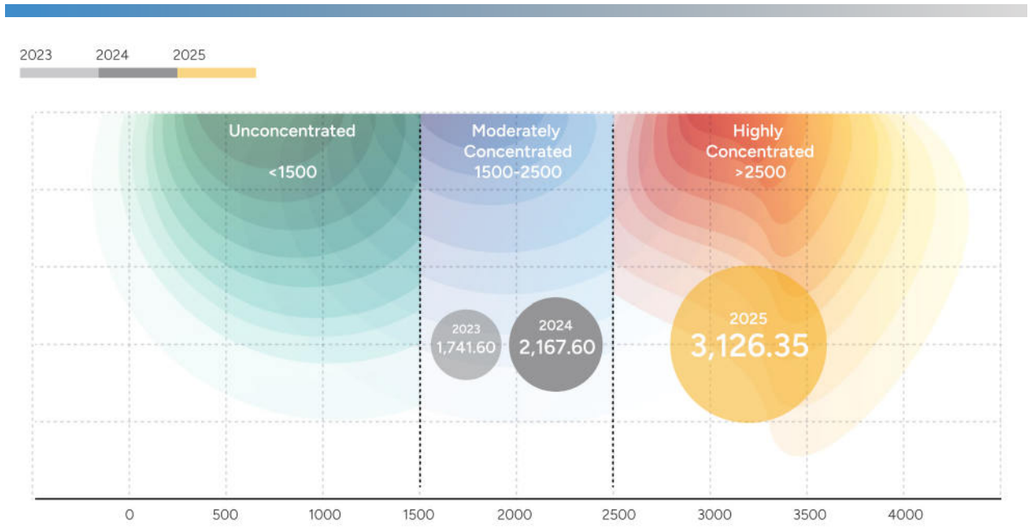
Figure 6.11: Courier Licences by Category, 2016–2025



Market Competition Landscape

The courier sector recorded an increase in market concentration in 2025, as measured by the Herfindahl-Hirschman Index (HHI). The HHI rose to 3,126.35 in 2025 compared to 2167.60 in the preceding year, exceeding the 2,500 threshold generally associated with a highly concentrated market structure. This indicates that market activity is becoming increasingly concentrated among a smaller number of service providers.

Although the total number of licensed courier service providers remained relatively stable, the distribution of market share suggests that a growing proportion of industry activity was accounted for by several major service providers. This trend reflects the increasing maturity of the market driven by economies of scale, network efficiencies, and continued improvements in operational efficiency among major service providers.



Source: MCMC

Figure 6.12: Herfindahl-Hirschman Index for the Courier Services, 2022–2025



Courier Traffic and Operational Expansion

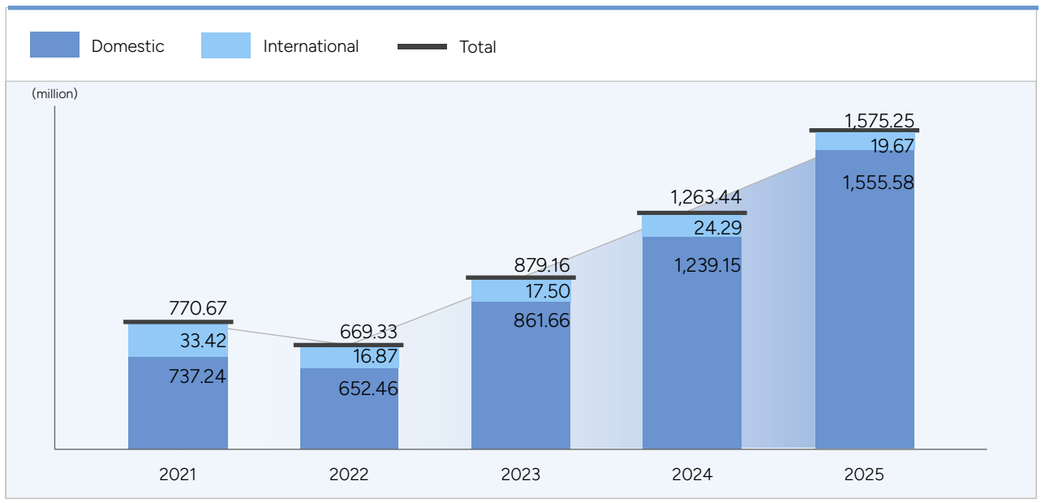
Courier Traffic

Courier traffic, comprising packages and parcels, express documents, and other categories such as non-priority mail, walk-in courier services, prepaid options, and pos ekspres, continued to record strong growth in 2025.

The courier industry recorded robust growth in 2025, with total courier traffic reaching 1,575.25 million items, representing an increase of 24.68% compared to 1,263.44 million items in 2024. The sustained upward trend highlights the continued resilience and growing importance of courier services within the national economy.

Courier traffic encompasses both domestic and international shipments across several categories, namely packages and parcels, express documents, and others. Domestic traffic continued to dominate the market, accounting for 98.75% of overall traffic volume, while international deliveries contributed the remaining 1.25%.

The composition of courier traffic has also shifted significantly over time, with packages and parcels emerging as the dominant segment. The share of packages and parcels increased steadily from 59.27% in 2020 to 97.19% in 2025, driven by the expansion of major online platforms and continued improvements in courier logistics infrastructure. In contrast, the share of express documents and other services continued to decline, reflecting the broader transition towards parcel-driven delivery demand among Malaysian households and businesses.



Source: MCMC

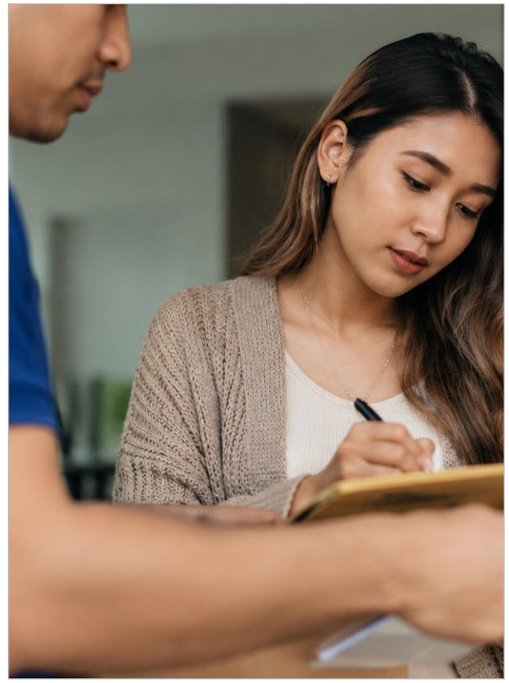
Figure 6.13: Overall Courier Traffic, 2021–2025 (million items)

Packages and Parcels

Amid the continued expansion of e-commerce activities, domestic parcel demand remained the primary contributor to growth in courier traffic. In 2025, total packages and parcels increased significantly by 26.02% to 1,530.95 million items, compared to 1,214.82 million items in 2024.

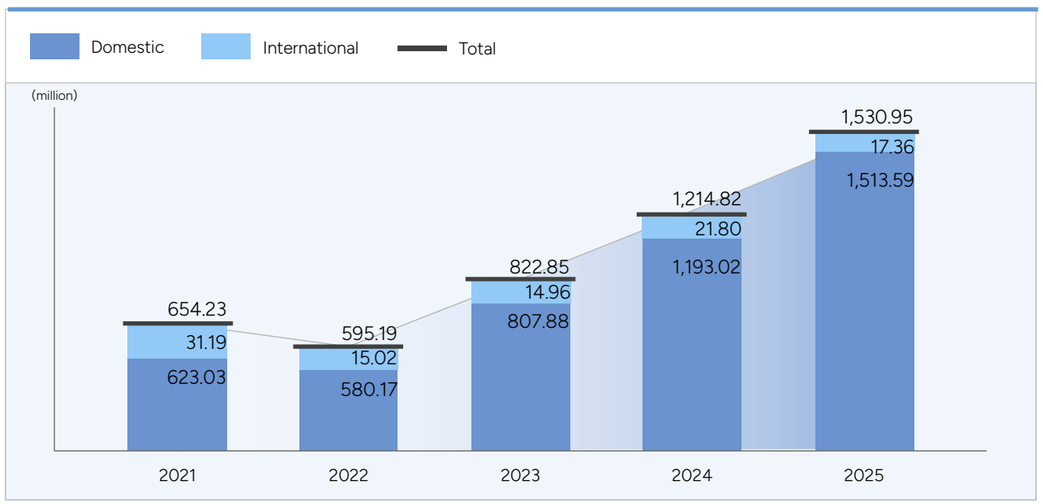
Over the five-year period from 2021 to 2025, packages and parcels recorded a Compound Annual Growth Rate (CAGR) of 23.65%, underscoring the strong and sustained demand for parcel delivery services in Malaysia. Although the segment recorded a slight decline in 2022, volumes recovered strongly from 2023 onwards, supported by rapid e-commerce expansion and growing consumer demand for online shopping.

According to Department of Statistics Malaysia (DOSM) and GlobalData, Malaysia's e-commerce market continued to demonstrate steady growth between 2021 and 2025, supported by strong consumer demand for online shopping, improved digital infrastructure and secure payment features which collectively contributed to higher parcel delivery demand[1].



The strength of package and parcel demand is also reflected in the types of goods handled by courier providers. Based on questionnaire responses from 27 courier service providers, clothing and apparel accounted for the largest share of commonly delivered items in 2025 at 20.0%, followed by electronic devices (15.63%), healthcare products (13.70%), beauty products (13.42%), and food and beverages (12.60%). This distribution highlights the continued dominance of fashion and electronics in online retail while also reflecting the expanding role of e-commerce in essential consumer segments such as healthcare and daily necessities.

As consumer reliance on online shopping continues to increase, courier service providers are playing an increasingly important role in supporting fast, efficient, and reliable last-mile delivery services.



Source: MCMC

Figure 6.14: Packages and Parcels, 2021–2025 (million items)

1. Department of Statistics Malaysia, Malaysia Digital Economy 2025; GlobalData, 2026

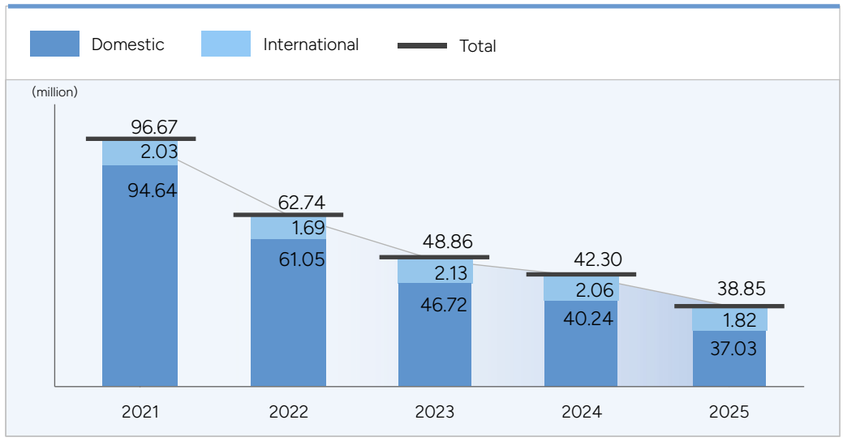
Express Documents

Express document traffic continued its downward trend in 2025 as increased internet usage, digital communications, and electronic documentation practices reduced reliance on physical document delivery. This trend is consistent with global developments, where physical document traffic continues to decline as digitalisation accelerates.

In 2025, the volume of express documents handled by courier service providers declined to 38.85 million items, continuing the downward trend observed over the past five years. Following a sharp decline to 62.74 million items in 2022, volumes continued to decrease in subsequent years.

The decline was particularly evident in domestic express document volumes, which fell by 60.88% from 94.64 million items in 2021 to 37.03 million items in 2025. This reflects the accelerating shift towards digital communication among Malaysian businesses and consumers.

Meanwhile, international express document volumes remained relatively low but comparatively stable throughout the period, indicating continued demand for cross-border delivery of critical documents such as official and legal materials requiring physical signatures and proof of delivery.



Source: MCMC

Figure 6.15: Express Documents, 2021–2025 (million items)

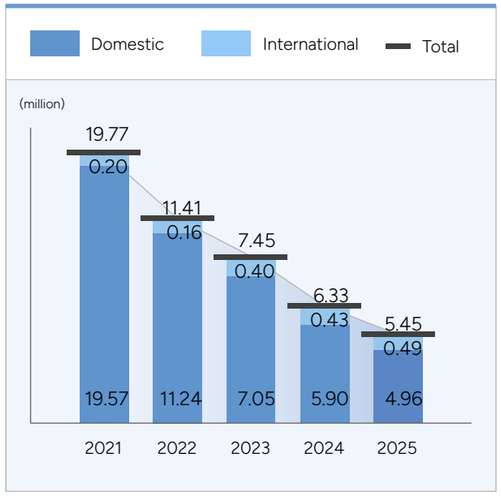
Other Courier Traffic

Other courier traffic comprises non-priority mail, walk-in courier services, prepaid and pos ekspres. These services generally represent more traditional and lower-priority delivery segments within the courier ecosystem, which continue to face changing demand patterns amid the growing preference for parcel-based and digitally integrated delivery services.

In 2025, other courier traffic declined from 6.33 million items in 2024 to 5.45 million items, continuing the downward trend observed over the past five years. Overall, the segment recorded a cumulative decline of 72.45% between 2021 and 2025, reflecting reduced reliance on traditional mail and counter-based courier services as consumer behaviour increasingly shifts towards digital communication and parcel-driven delivery demand.

Domestic shipments continued to account for the largest share of this segment despite the overall decline. In 2025, domestic traffic recorded a year-on-year decline of 15.91%, indicating a more moderate rate of contraction compared to previous years.

Over the same period, international shipments recorded stronger growth of 14.33%, supported by continued recovery in cross-border delivery demand and international logistics activities.



Source: MCMC

Figure 6.16: Other Courier Traffic, 2021–2025 (million items)

Courier Services Accessibility

Courier service accessibility continued to expand in 2025, supported by the rapid growth of courier infrastructure and logistics networks nationwide. The expansion of service centres, drop-in facilities, hubs, and agent outlets has improved accessibility and strengthened the efficiency of parcel collection, processing, and delivery services across both urban and rural areas.

Drop-in centres formed the largest share of courier infrastructure in 2025, followed by agent outlets and service centres. Overall, the total number of courier facilities increased significantly to 27,626, representing a 80.67% increase from 15,291 facilities recorded in 2024.

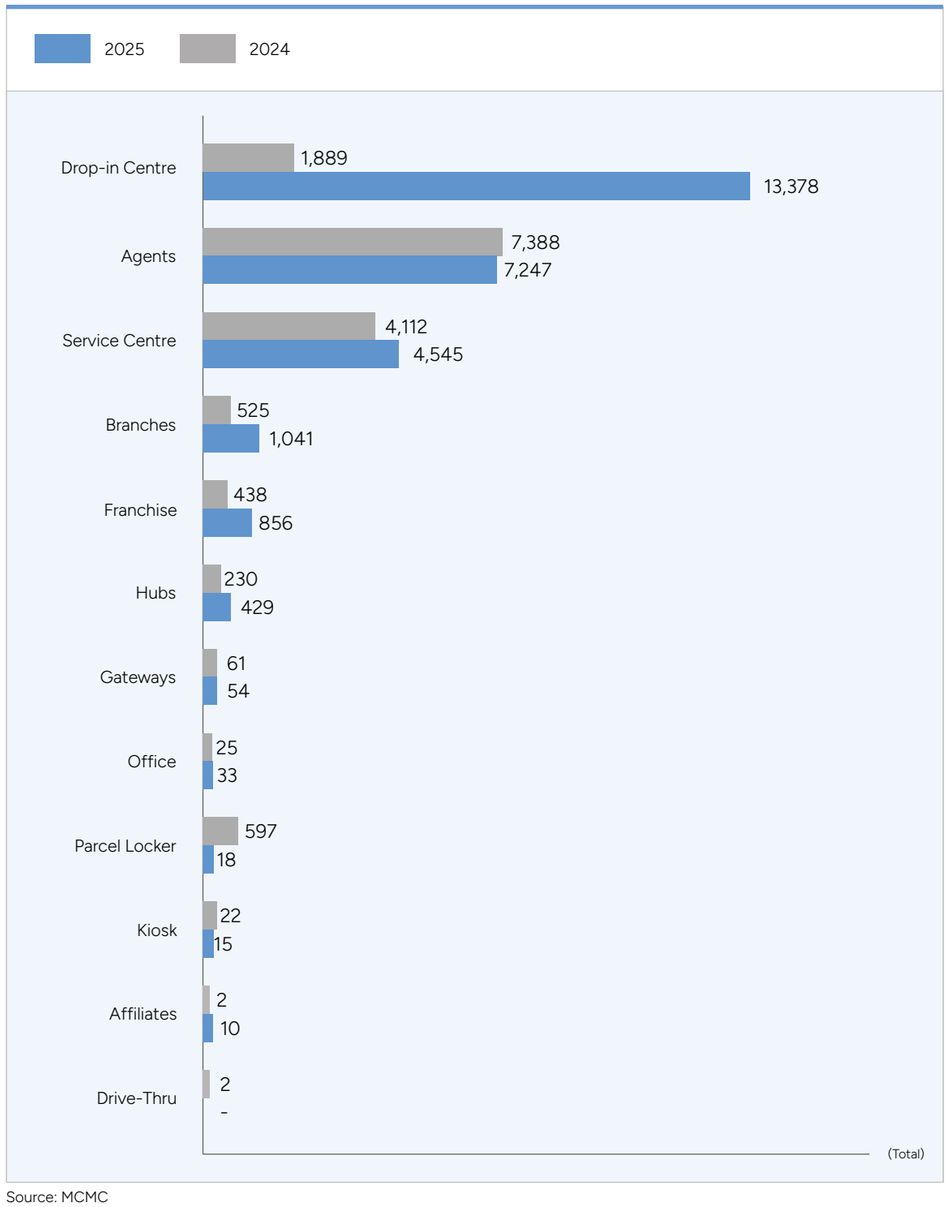
This expansion was primarily driven by the rapid growth of drop-in centres, which increased from 1,889 facilities in 2024 to 13,378 facilities in 2025. The expansion was mainly led by several major operators to support rising demand for parcel drop-off services as e-commerce activity continued to expand.

Several other infrastructure categories also recorded growth during the year. The number of branches increased by 516, followed by service centres with an additional 433 and franchises with an additional 418, reflecting continued investment to support growing logistics and fulfilment requirements.



In contrast, several infrastructure categories recorded declines in 2025. Agent outlets continued their downward trend, declining from 7,388 facilities in 2024 to 7,247 facilities in 2025, marking the third consecutive year of decline. Despite this, agent outlets remain one of the most widely utilised facility types among courier operators, reflecting their continued importance in supporting last-mile delivery networks.

Meanwhile, parcel lockers recorded the steepest decline, followed by slight decreases in gateways and offices, as operators continued to optimise logistics networks and shift towards more efficient infrastructure models.

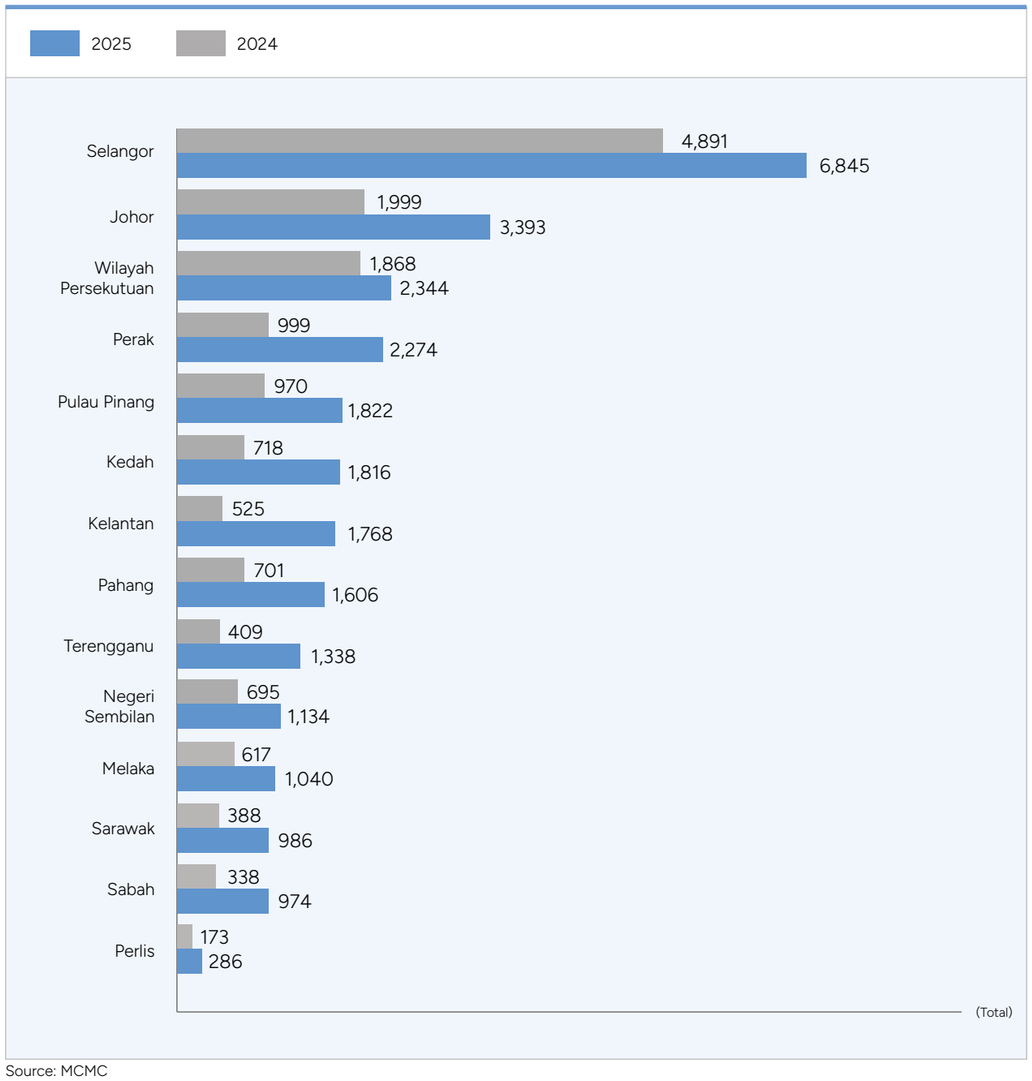


Source: MCMC

Figure 6.17: Type of Courier Infrastructure, 2024–2025

All states recorded an increase in courier infrastructure in 2025, with Selangor, Johor, and the Wilayah Persekutuan continuing to record the highest number of facilities nationwide. This reflects higher population density, stronger demand for courier services, and operators' efforts to improve delivery efficiency and customer satisfaction.

In terms of growth rates, Kelantan and Terengganu recorded the strongest expansion at 236.76% and 227.14% respectively. Although the absolute number of facilities remained higher in more developed states such as Selangor and Johor, the strong growth in East Coast states indicates continued expansion of courier coverage and logistics accessibility nationwide.



Source: MCMC

Figure 6.18: Courier Infrastructure by State, 2024–2025

Courier Vehicles

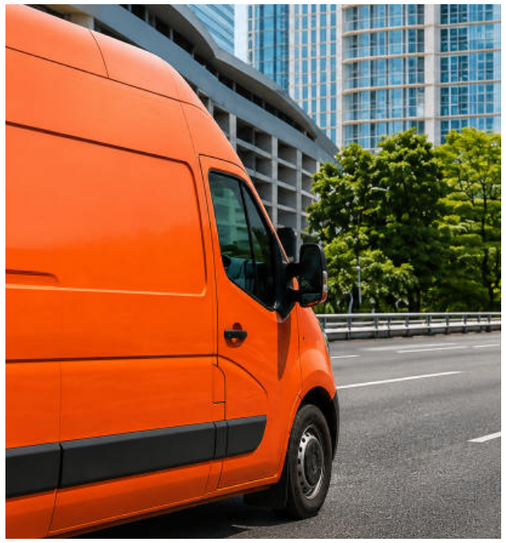
The expansion of courier infrastructure has also strengthened the overall delivery ecosystem by increasing access points for parcel collection and processing. Courier vehicles continue to play an important role in supporting parcel movement between hubs, service centres, and end users.

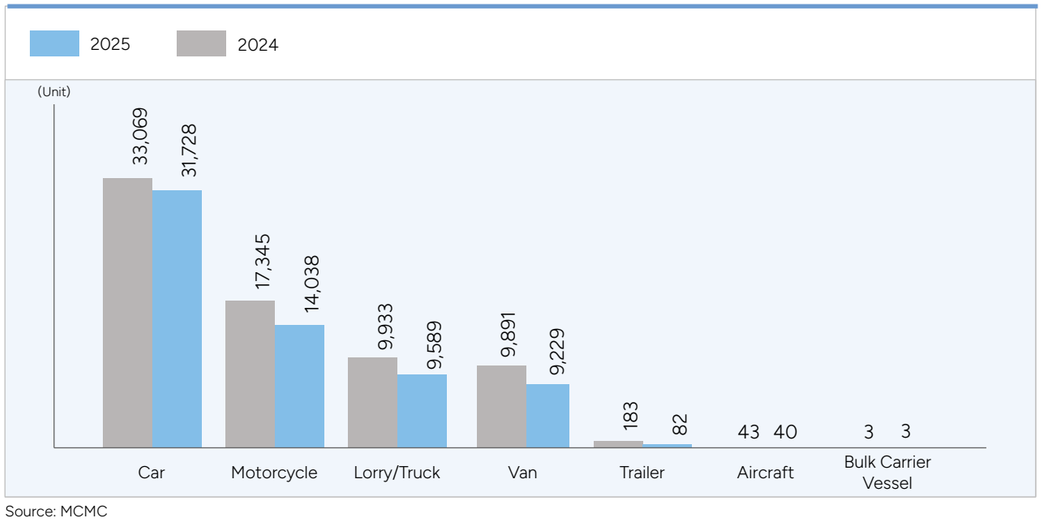
In 2025, the total number of courier vehicles recorded a moderate decline across most categories compared to the previous year. Overall, the fleet size decreased by 8.17% from 70,467 units in 2024 to 64,709 units in 2025.

Motorcycles, cars, and lorries remained the three most widely used modes of transportation among courier service providers. Cars continued to account for the largest share of the courier fleet, although the number declined by 4.06% from 33,069 units in 2024 to 31,728 units in 2025. This reflects their continued importance in supporting both urban deliveries and intercity transportation.

Motorcycles remained essential for fast and efficient last-mile deliveries, particularly in urban areas, recording 14,038 units in 2025. Lorries and trucks also continued to support heavy-load transportation requirements, recording 9,589 units during the year.

The decline in vehicle numbers observed in 2025 reflects the courier industry's efforts to optimise fleet size and improve operational efficiency. Supported by improved route optimisation, expanded infrastructure networks, and more efficient real-time fleet management systems, courier operators were able to consolidate deliveries more effectively and reduce vehicle idle time while maintaining delivery capacity.





Source: MCMC

Figure 6.19: Courier Vehicles, 2024–2025

Courier Employment

Courier employment recorded a slight decline of 1.09% from 121,580 employees in 2024 to 120,256 employees in 2025. Over the 2021–2025 period, employment levels recorded fluctuations, increasing from 154,478 employees in 2021 to a peak of 161,996 employees in 2022 before declining sharply to 102,272 employees in 2023.

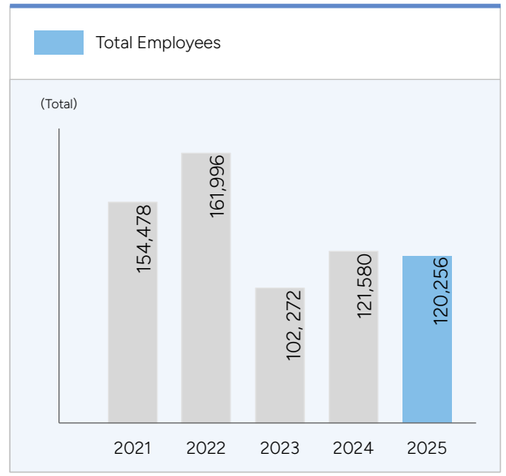
The significant reduction in employment in 2023 was primarily attributed to the withdrawal of Grab from the list of licensed courier service providers. Following this adjustment, employment levels rebounded in 2024 before stabilising with a slight decline in 2025 as courier operators continued to align workforce requirements with operational needs and cost rationalisation efforts.

At the same time, the growing adoption of digital technologies, automation, and route optimisation systems has enabled operators to improve productivity and operational efficiency while maintaining delivery capacity.

The composition of the courier workforce continued to reflect the operational nature of the sector in 2025, with pick-up and despatch functions accounting for the largest share of employment at 66.71% of the total courier workforce. The number of pick-up and despatch employees increased from 79,048 in 2024 to 80,227 in 2025, supported by growing demand for package and parcel delivery services.

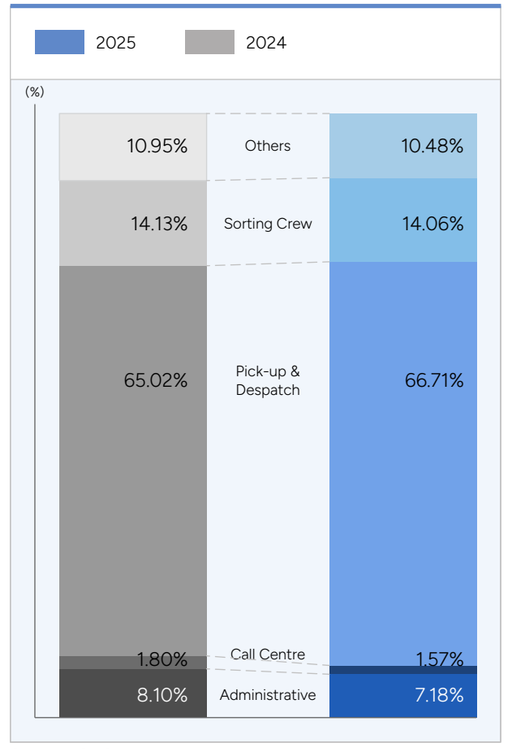
Meanwhile, the number and share of administrative and call centre employees continued to decline, accounting for 7.18% and 1.57% of total employment, respectively, in 2025. This reflects continued efforts among courier service providers to streamline administrative functions and improve operational efficiency through digitalisation and process optimisation.

Sorting crew employment also recorded a slight decline to 16,913 employees in 2025, representing 14.06% of the total courier workforce, despite increasing parcel volumes. This reflects the growing role of automation and operational efficiency improvements within sorting operations.



Source: MCMC

Figure 6.20: Courier Employment, 2021–2025



Source: MCMC

Figure 6.21: Courier Employment by Category, 2024–2025

Courier Industry Innovation and Sustainability

Hari Kurier Negara

Following the successful inaugural celebration in 2024, Hari Kurier Negara continued as a national initiative to recognise the contributions of the courier industry. The event was organised by the Association of Malaysian Express Carriers (AMEC) with the support of the Ministry of Communications and MCMC.

Carrying the theme "Merakyatkan Penghantaran, Menghubungkan Negara", Hari Kurier Negara 2025 underscored the importance of collaboration and innovation in advancing Malaysia's courier industry. The initiative reflected a shared commitment towards building a sustainable courier sector that bridges urban and rural communities while supporting Malaysia's expanding digital economy.

Hari Kurier Negara 2025

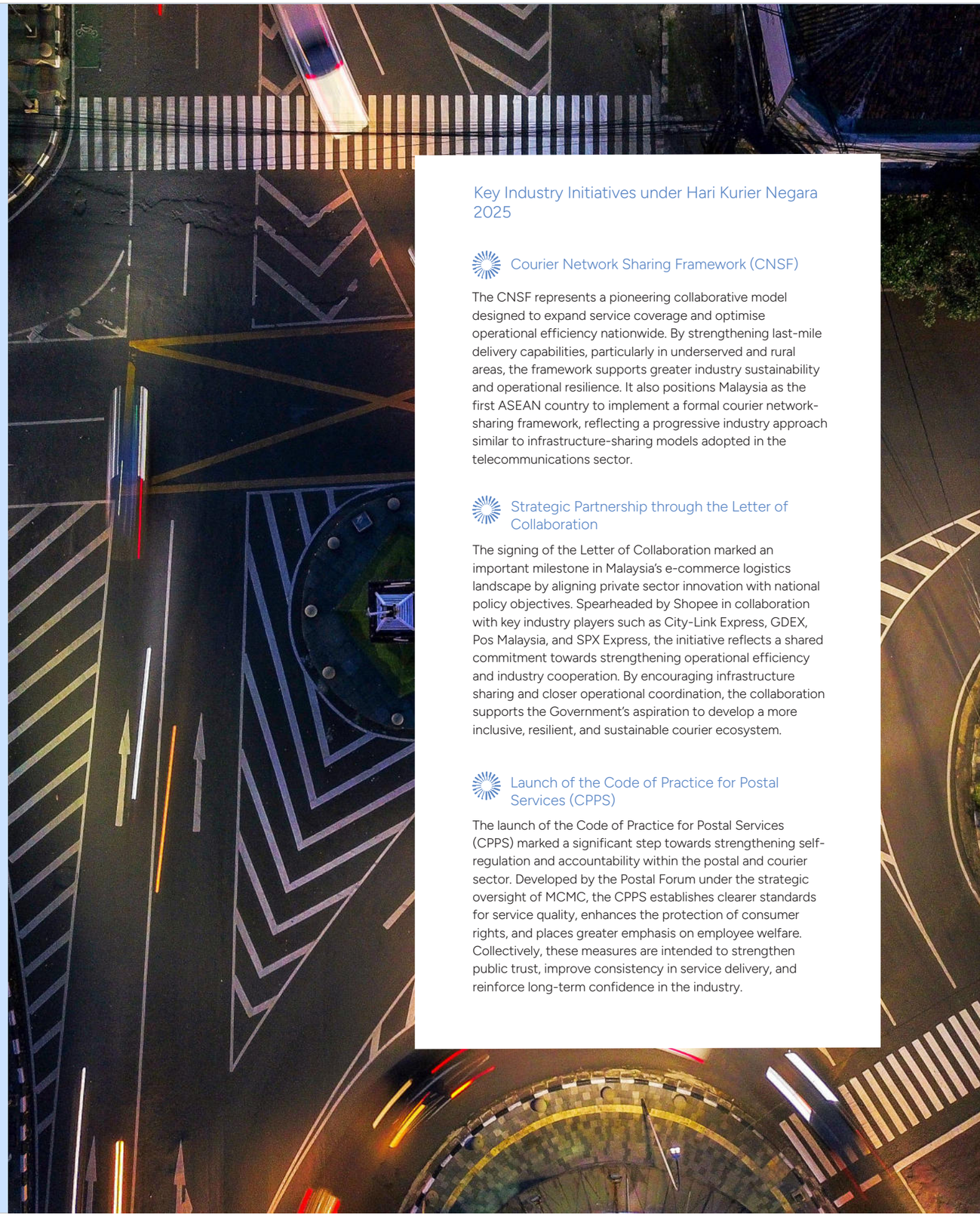


Source: Berita Harian

The event also recognised the contributions of more than 120,000 courier workers who continue to play an essential role in supporting the national economy. Beyond recognising their dedication and service, the initiative highlighted the importance of strengthening job stability and expanding upskilling opportunities within the digital economy.

Hari Kurier Negara 2025 also marked the introduction of the Courier Network Sharing Framework (CNSF) by AMEC under the oversight of MCMC. The framework serves as a collaborative model bringing together local and international courier operators alongside e-commerce partners to enhance operational cooperation and industry efficiency.

The CNSF establishes a set of operational, technical, and regulatory protocols aimed at strengthening transparency, industry compliance, and operational coordination. Key elements include voluntary participation based on operational capacity, fair-play mechanisms under MCMC oversight, data integrity and privacy safeguards aligned with the Personal Data Protection Act 2010, and service-level standards to strengthen consumer confidence.



Key Industry Initiatives under Hari Kurier Negara 2025

Courier Network Sharing Framework (CNSF)

The CNSF represents a pioneering collaborative model designed to expand service coverage and optimise operational efficiency nationwide. By strengthening last-mile delivery capabilities, particularly in underserved and rural areas, the framework supports greater industry sustainability and operational resilience. It also positions Malaysia as the first ASEAN country to implement a formal courier network-sharing framework, reflecting a progressive industry approach similar to infrastructure-sharing models adopted in the telecommunications sector.

Strategic Partnership through the Letter of Collaboration

The signing of the Letter of Collaboration marked an important milestone in Malaysia's e-commerce logistics landscape by aligning private sector innovation with national policy objectives. Spearheaded by Shopee in collaboration with key industry players such as City-Link Express, GDEX, Pos Malaysia, and SPX Express, the initiative reflects a shared commitment towards strengthening operational efficiency and industry cooperation. By encouraging infrastructure sharing and closer operational coordination, the collaboration supports the Government's aspiration to develop a more inclusive, resilient, and sustainable courier ecosystem.

Launch of the Code of Practice for Postal Services (CPPS)

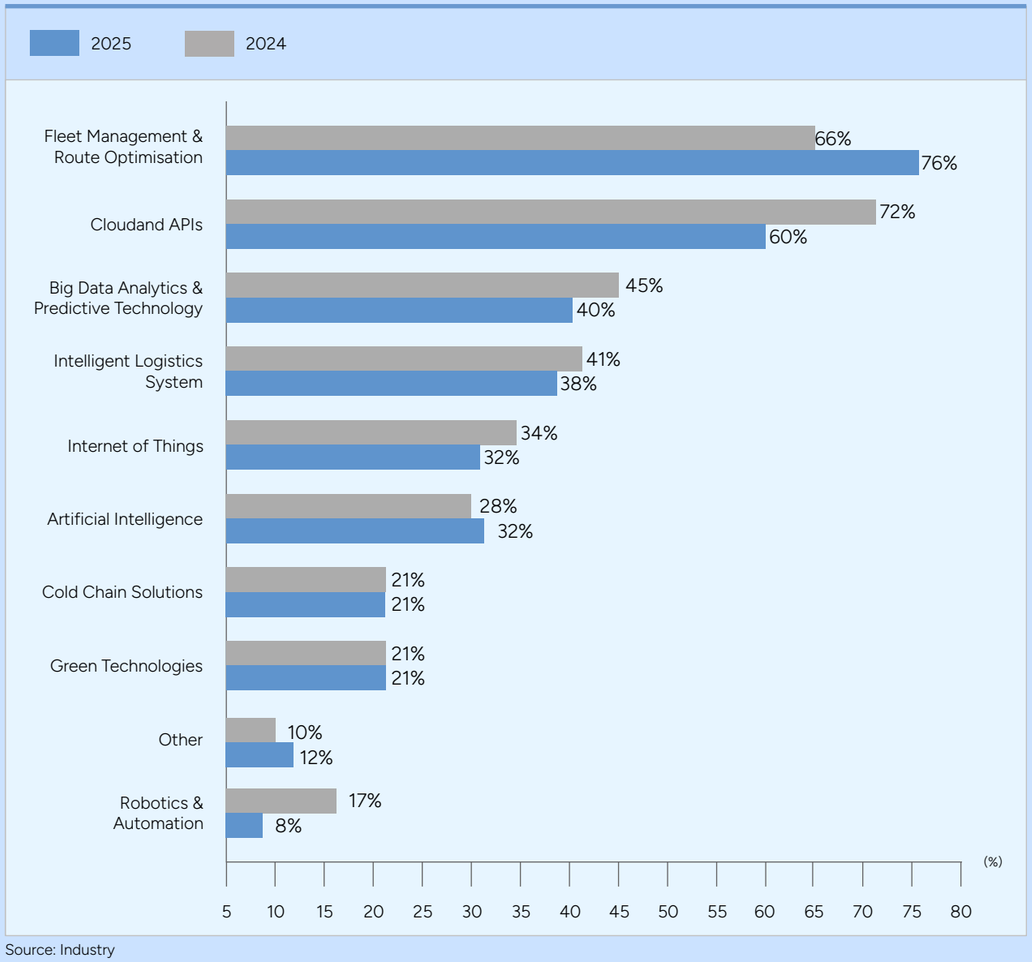
The launch of the Code of Practice for Postal Services (CPPS) marked a significant step towards strengthening self-regulation and accountability within the postal and courier sector. Developed by the Postal Forum under the strategic oversight of MCMC, the CPPS establishes clearer standards for service quality, enhances the protection of consumer rights, and places greater emphasis on employee welfare. Collectively, these measures are intended to strengthen public trust, improve consistency in service delivery, and reinforce long-term confidence in the industry.

Technology Adoption

Courier service providers continued to accelerate digital adoption in 2025 to improve operational efficiency, customer responsiveness, and service quality.

Over recent years, courier operators have intensified the adoption of technologies such as fleet management and route optimisation systems, cloud and API integration, big data analytics, predictive technologies, and intelligent logistics systems. These technologies continue to play an important role in strengthening operational efficiency and maintaining competitiveness.

Fleet management and route optimisation emerged as the most widely adopted technologies in 2025. Several providers, including City-Link Express, leveraged these systems to improve decision-making related to vehicle maintenance and route planning, contributing to higher driver productivity and lower operational costs.



Source: Industry

Figure 6.22: Technology Adoption by Courier Service Providers, 2024–2025

Cloud and API integration also continued to be adopted by more than half of courier service providers. Pos Malaysia integrated multiple platforms, including fleet management systems, telematics solutions, and mobile applications, through APIs linked to its central AWS data environment. These integrations support automated data processing, real-time fleet visibility, driver behaviour analytics, and operational performance monitoring.

Several providers also utilised cloud integration to strengthen connectivity with logistics partners and major clients. As digital integration expands, cybersecurity has become an increasingly important consideration among providers to ensure stronger data and network protection.

The adoption of Artificial Intelligence (AI) also gained stronger momentum in 2025, reflecting the industry's broader shift towards automation and predictive logistics solutions. Courier operators reported leveraging AI tools to improve productivity, reduce operational errors, lower costs, and support more sustainable operations.

iMile highlighted ongoing investment in AI-driven predictive logistics and automated sorting systems, while City-Link Express introduced AI-powered chatbot platforms to strengthen customer service responsiveness.

Sustainability

Courier service providers continued to expand sustainability initiatives and integrate Environmental, Social and Governance (ESG) practices more systematically into operations. In 2025, 70% of respondents reported implementing at least one sustainability-related initiative across one or more ESG pillars.

Environmental

Environmental initiatives remained the most widely adopted ESG measures, with courier service providers focusing primarily on operational efficiency improvements, energy reduction efforts, and digitalisation initiatives.

Several operators also began introducing more advanced low-carbon transportation strategies. GDEX recorded notable progress through the deployment of electric trucks for urban deliveries and the use of electric-powered forklifts at its sorting hub and warehouse.

Similarly, SPX Express, CommerceOne, and Sinkung Logistics continued to explore electric vehicle technologies and low-carbon transportation solutions. Pos Malaysia expanded its use of electric motorcycles and vans for last-mile deliveries, while Naluri Bumi implemented route optimisation measures to reduce carbon emissions.

The use of solar energy for facility operations also gained traction, with GDEX and Pos Malaysia among operators taking more concrete steps in this area. These initiatives reflect growing industry awareness of the environmental impact of operations, although the transition towards advanced low-carbon solutions remains at an early stage for many providers.

Social

Social initiatives within the courier sector remained largely focused on employee welfare and community engagement. Several operators continued to strengthen community-related programmes. ADS International Express organised local community initiatives addressing illegal dumping issues, while Sinkung Logistics implemented the Building Caring Communities programme supporting a care centre for children with disabilities.

From an employee welfare perspective, service providers increasingly introduced initiatives focused on workplace well-being and workforce development. United Parcel Service implemented wellness days, mental health awareness initiatives, and ergonomic workplace improvements aimed at improving employee well-being and retention.

World Courier Malaysia similarly invested in ergonomic workspaces and employee wellness programmes, reflecting the growing recognition of healthy working environments as a contributor to long-term productivity.

In terms of workforce development, GDEX stood out through sponsorship of TVET training and diploma programmes in courier operations for employees without formal educational qualifications. These initiatives reflect the increasing importance of human capital development as a strategic industry priority.

Governance

Governance continued to serve as a key foundation supporting broader corporate sustainability efforts across the courier sector.

In 2025, several providers strengthened internal governance frameworks with greater emphasis on data protection, cybersecurity, risk management, and business ethics. iMile prioritised anti-corruption and anti-bribery policies supported by comprehensive data privacy frameworks, while City-Link Express focused on strengthening its Code of Conduct and broader corporate governance structure.

These measures indicate that governance-related initiatives were increasingly focused on strengthening compliance, improving proactive risk management, and enhancing operational trust and accountability.

Overall, developments in the courier sector in 2025 reflect the industry's continued transformation in response to evolving consumer behaviour, growing e-commerce activity, and increasing operational demands. While competition within the sector remained intense, courier service providers continued to strengthen logistics capabilities, expand infrastructure networks, adopt digital technologies, and integrate sustainability practices to improve operational resilience and service quality. These developments reinforce the courier sector's increasingly important role in supporting Malaysia's economy and broader logistics ecosystem.

Pelan Accelerator Kurier Negara (PAKEJ)

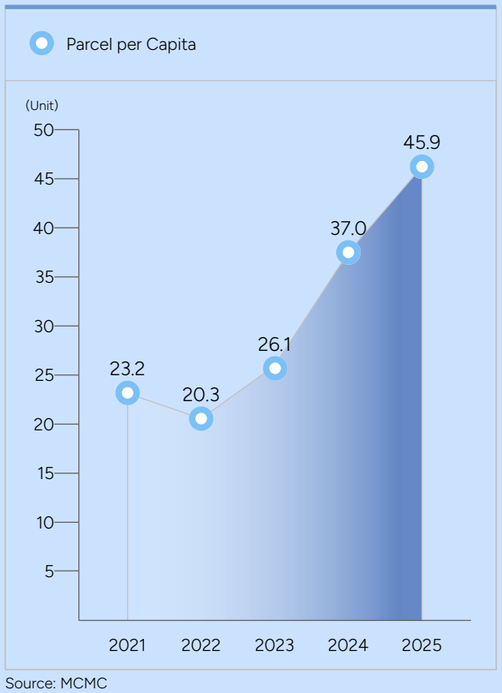
Strategic Overview and Industry Outcomes

Malaysia's postal and courier sector continued to play a vital role in supporting economic activity, digital commerce, and nationwide connectivity in 2025. Building on the foundations established under Pelan Accelerator Kurier Negara (PAKEJ) 2021–2025, the initiative has strengthened industry capacity, improved service accessibility, enhanced operational efficiency, and supported the development of a more sustainable and resilient courier ecosystem.

Guided by its true north of delivering "Quality of Service and Seamless Coverage" sustainably to all Malaysians, PAKEJ was introduced to support the rapid growth of e-commerce and the increasing reliance on courier and parcel delivery services. The initiative aimed to strengthen industry readiness and ensure that logistics infrastructure, service quality, and regulatory frameworks evolved in line with changing consumer behaviour and digital economic growth.

Parcel per capita remained one of PAKEJ's key indicators for measuring industry development and consumer reliance on courier services. Under the PAKEJ framework, Malaysia targeted an increase in parcel per capita from 14 parcels in 2020 to 30 parcels by 2025.

After five years, Malaysia's parcel per capita reached 45.9 in 2025, significantly surpassing the target established under PAKEJ. This achievement reflects the continued expansion of e-commerce activities, broader digital adoption, and increasing consumer reliance on efficient and reliable courier services.



Source: MCMC

Figure 6.23: Parcel per Capita, 2021–2025

PAKEJ Five-Year Outcomes

As PAKEJ concludes its 2021–2025 cycle, the initiative has supported the courier industry's transition from a period of rapid expansion during the pandemic towards a more efficient, stable, and sustainable operating environment. The sector is now better positioned to meet long-term parcel demand through expanded infrastructure, stronger operational capabilities, improved service accessibility, and more flexible delivery models.

Collectively, PAKEJ has facilitated the industry's transition from a phase of rapid expansion towards a more efficient, resilient, and sustainable stage of development. The sector is now better positioned to support long-term parcel demand through enhanced infrastructure, stronger operational capabilities, improved service accessibility, and more flexible delivery models.

Highlights the Key Outcomes Achieved under PAKEJ throughout Its Five-Year Implementation Period

Parcel Volume Growth



↗ 175%

Increase in parcel volume over 5-year period

Parcel volumes recorded substantial growth over the review period, driven by continued e-commerce expansion and wider digital adoption. This reflects the increasing importance of courier and parcel services in supporting trade, business continuity, and consumer access nationwide.

Infrastructure Expansion



↗ 127%

Increase in logistics infrastructure

The industry expanded logistics infrastructure significantly to support rising parcel demand, including hubs, warehousing capacity, parcel lockers, and pick-up and drop-off (PUDO) points. These developments strengthened sorting capacity, improved service accessibility, and supported more efficient last-mile delivery.

Vehicle Optimisation



↘ 28%

Decrease in delivery vehicles

The industry shifted toward more flexible delivery models to optimise vehicle utilisation. The growing use of gig workers and third-party contractors enabled operators to support higher parcel demand and wider delivery coverage with fewer registered vehicles.

Customer Experience and Service Performance



↘ 35%

Reduction in consumer complaints

Operators generally managed rising service demand effectively during a period of rapid industry expansion. The reduction in consumer complaints indicates improvements in customer experience and operational responsiveness, although sustained growth in parcel volumes continues to place pressure on delivery consistency and service performance.

Strategic Focus Areas Under the National Postal and Courier Industry Laboratory

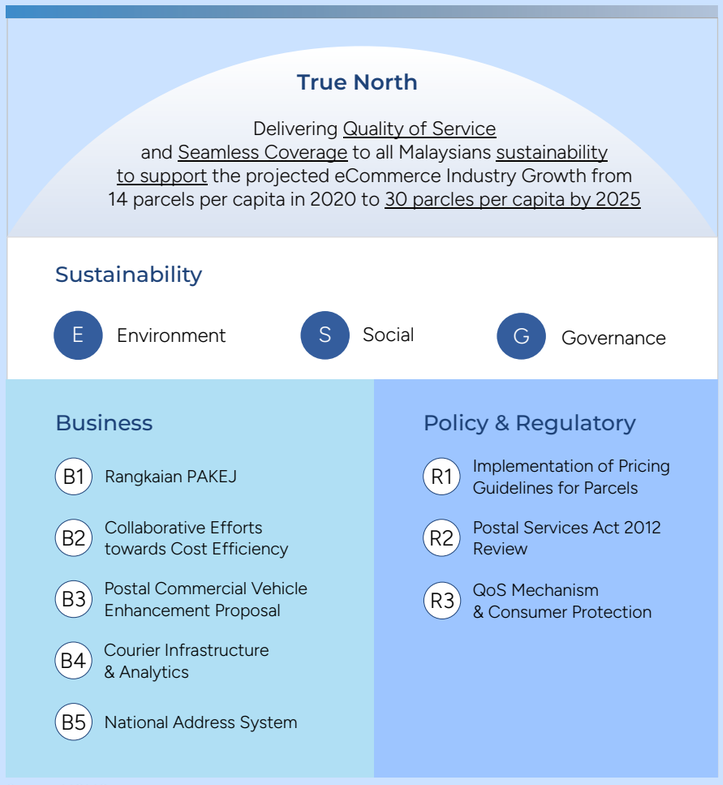
PAKEJ was developed under the National Postal and Courier Industry Laboratory as a strategic initiative to strengthen the efficiency, accessibility, and sustainability of Malaysia's postal and courier industry. Its implementation is guided by key business, regulatory, and industry development initiatives aimed at improving service quality, strengthening industry resilience, and accelerating digital transformation to support the growing demands of the e-commerce-driven economy.

To achieve these objectives, PAKEJ was implemented through two strategic pillars.

Pillar 1: Business Innovation focuses on Rangkaian PAKEJ, collaboration for cost-efficiency, parcel commercial vehicle enhancement, courier infrastructure and analytics, and the National Address System.

Pillar 2: Policy and Regulatory Initiatives focuses on the implementation of pricing guidelines for parcels weighing 2 kg and below, the review of the Postal Services Act 2012, and initiatives related to Quality of Service (QoS) mechanisms and consumer protection.

Together, these strategic pillars have guided PAKEJ's implementation since 2021, making it a key driver of industry transformation focused on enhancing service delivery, improving market competitiveness, strengthening operational resilience, and maintaining high-quality standards across postal and courier services.



Source: MCMC

Figure 6.24: PAKEJ Initiatives

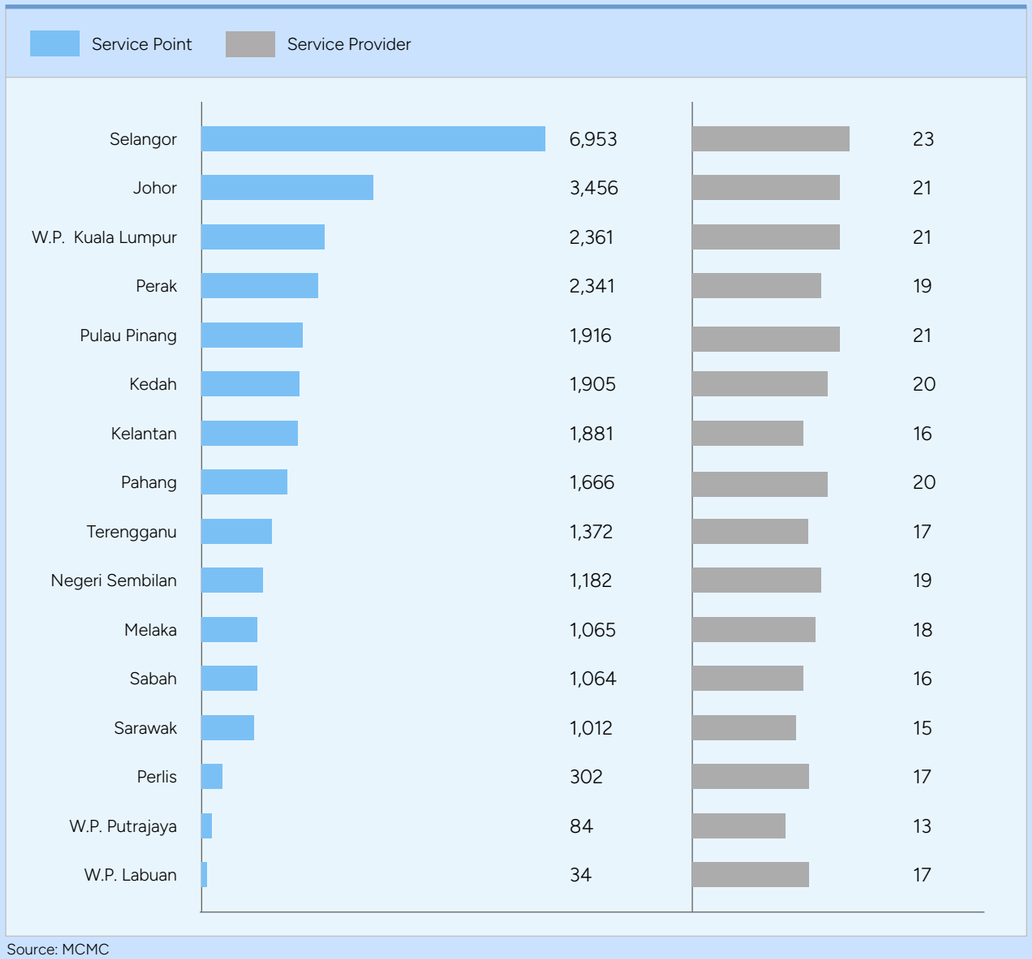
PAKEJ Pillar 1: Business Innovation

Rangkaian PAKEJ

Rangkaian PAKEJ continued to strengthen its role as a national last-mile delivery backbone in 2025 by expanding service accessibility and improving delivery network efficiency nationwide.

As at the end of 2025, Rangkaian PAKEJ comprised 28,592 service points supported by 23 service providers. Compared with 21,071 service points in 2024, the network recorded significant expansion, reflecting stronger industry participation and broader consumer access across both urban and regional areas.

This expansion contributed towards improving service distribution efficiency, optimising logistics planning, and enhancing the overall consumer experience.



Source: MCMC

Figure 6.25: Distribution of Rangkaian PAKEJ Service Points by State, 2025

Expansion of Rangkaian PAKEJ Services at NADI

To further strengthen service accessibility, MCMC collaborated with courier industry players and third-party logistics providers to leverage the National Information Dissemination Centre (NADI) network, particularly across rural and underserved areas.

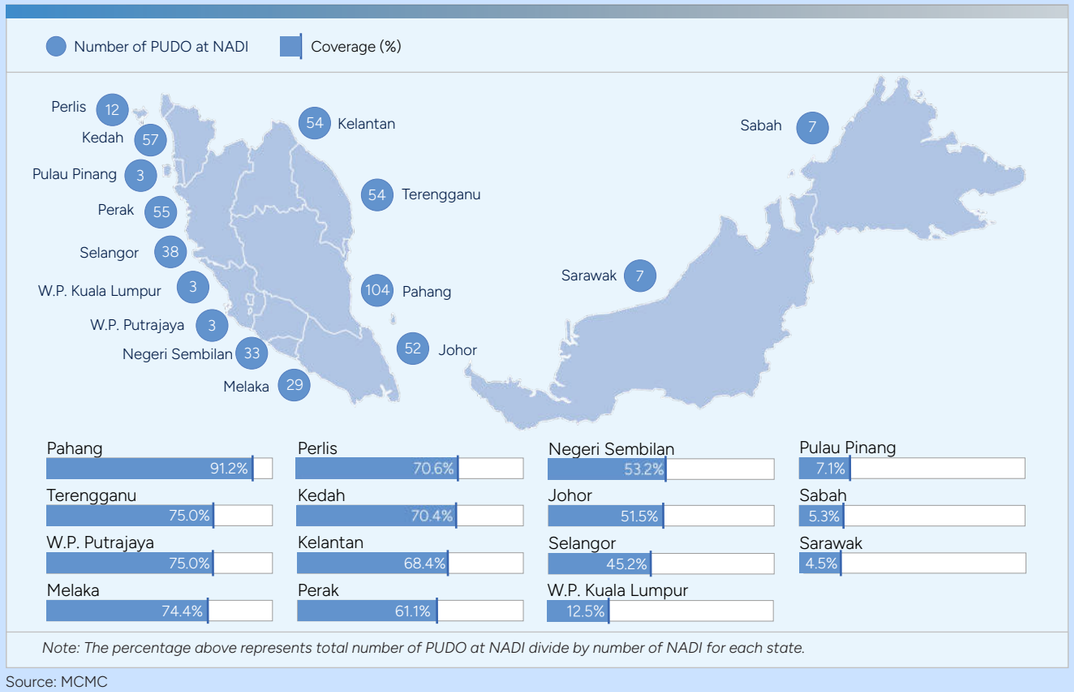
This initiative expanded NADI's role beyond internet access and ICT facilities by positioning selected centres as strategic community hubs supporting e-commerce participation and logistics accessibility. MCMC also worked closely with courier industry stakeholders and NADI technology providers to assess the operational suitability of selected NADI locations for Rangkaian PAKEJ services, focusing on infrastructure readiness and logistics feasibility.

In 2025, 511 NADI sites out of 1,098 nationwide were equipped with Pick-Up and Drop-Off (PUDO) facilities, representing weighted coverage of 56.1%. This strengthened last-mile accessibility in non-urban catchment areas while complementing the broader commercial courier network.

The expansion of Rangkaian PAKEJ services at NADI supports several strategic objectives:

a. Enhancing community access through improved parcel collection and delivery services;
b. Supporting business digitalisation by enabling entrepreneurs and communities to adopt digital business models;
c. Promoting socioeconomic growth through expanded e-commerce participation and employment opportunities; and
d. Expanding value-added services at NADI through broader digital and logistics-related offerings.

This initiative is also aligned with the PAKEJ Blueprint's 4R principles – Reliability, Reach, Relevance, and Resilience – which guide the sustainable expansion of logistics services nationwide.



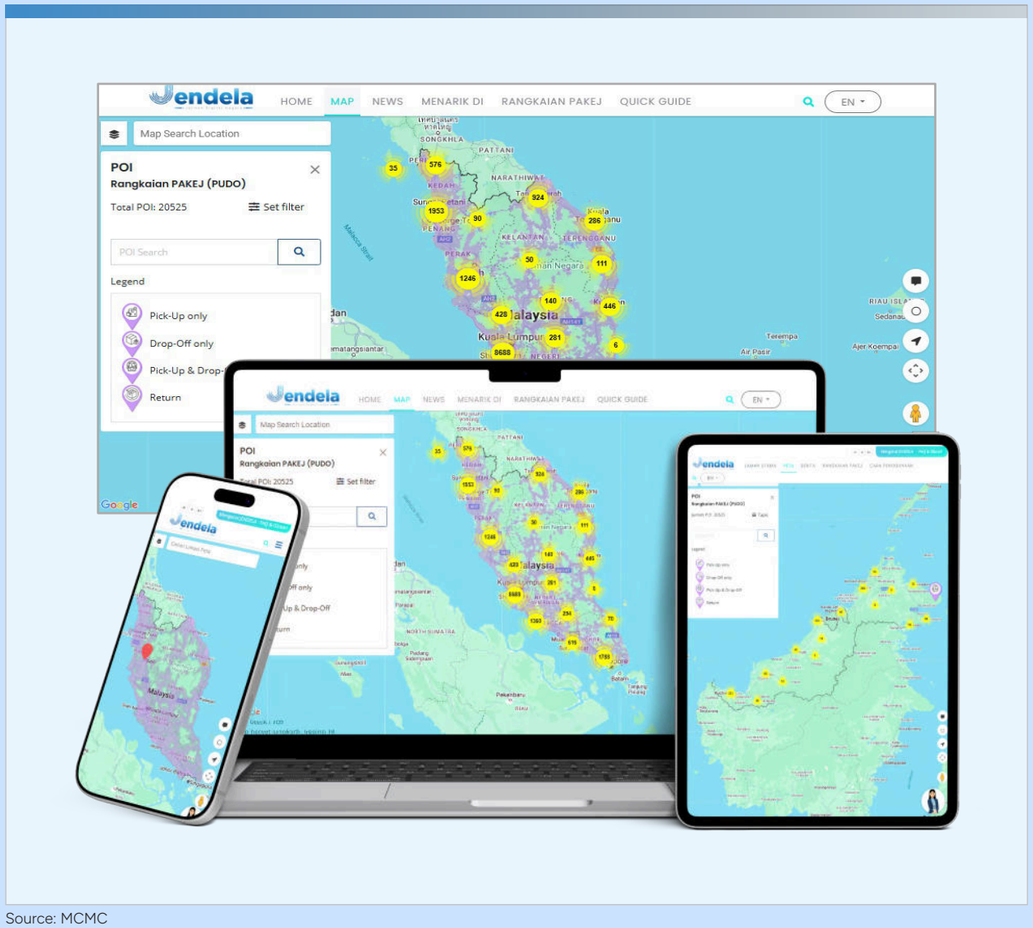
Source: MCMC

Figure 6.26: Rangkaian PAKEJ@NADI by State, 2025

Rangkaian PAKEJ Map Initiative

The Rangkaian PAKEJ map initiative on the JENDELA portal leverages data analytics to improve courier network efficiency and service quality. The platform enables courier service providers to identify areas requiring additional investment or infrastructure enhancements to improve service coverage and operational effectiveness.

To strengthen accessibility and user convenience, the map is also integrated within the JENDELA mobile application, enabling users to identify nearby courier service points more efficiently. This feature is particularly useful for users requiring urgent parcel delivery or collection services.



Source: MCMC

Figure 6.27: Rangkaian PAKEJ Map in the JENDELA Portal and Mobile Application

National Address System (NAS)

The National Address System (NAS) is a key national initiative led by MCMC to establish a standardised and centralised address database in support of Malaysia's digital economy and Fourth Industrial Revolution (4IR) agenda.

In 2025, progress continued in advancing NAS implementation through engagement sessions involving federal, state, and local stakeholders to strengthen alignment on governance, data sharing, and address standardisation.

A key milestone was the NAS Conference held in July 2025, which attracted more than 500 participants and featured 18 international and local speakers. The conference reinforced NAS as a critical national digital infrastructure initiative with the objective of developing a centralised database covering more than 12 million addresses.

Subsequently, the NAS Implementation Study was completed in December 2025. The study outlined the proposed governance structure, operating model, and implementation framework. In parallel, the revision of MS 2039 progressed to improve address standardisation and interoperability across agencies.

NAS is expected to address the current fragmentation of address data and establish a reliable national dataset capable of supporting infrastructure planning, public service delivery, smart city development, and broader digital economy initiatives.

Moving forward, efforts will focus on obtaining approval for the NAS Pilot Project, finalising relevant standards, strengthening stakeholder readiness, and implementing the NAS Communication Plan to support phased nationwide rollout.



Source: MCMC

Figure 6.28: National Address Conference 2025

PAKEJ Pillar 2: Policy and Regulatory

Implementation of Pricing Guidelines for Parcels Weighing 2 kg and Below

The Pricing Guidelines 2022, approved in July 2022 under the Postal Services Act 2012, represent a proactive regulatory measure aimed at promoting fair pricing practices across Malaysia's courier industry.

Under the Guidelines, licensed courier service providers are required to submit annual declarations to MCMC confirming that charges applied to parcels weighing 2 kg and below are consistent with or above the prescribed reference price.

This declaration regime enables MCMC to monitor pricing trends more systematically, identify irregular pricing behaviour, and pursue appropriate enforcement action against non-compliant licensees, thereby supporting healthy competition and long-term industry sustainability.

To strengthen assurance over submitted declarations, the Minister of Communications approved the implementation of a compliance audit in July 2024. Subsequently, MCMC endorsed the exercise in August 2024, followed by the formal adoption of the Terms of Reference in September 2024.

For the inaugural audit exercise, calendar year 2023 was selected as the audit period, representing the first complete year in which the 2022 Guidelines were fully operational. The audit population comprised the top 12 courier licensees, collectively accounting for 93.9% of total parcel volume during the year.

This audit complements broader pricing policy developments and strengthens regulatory oversight to support fair competition and sustainable industry growth.

Postal Sector Strategic Policy Study for the Review of the Postal Services Act 2012 [Act 741]

The Postal Services Act 2012 [Act 741] serves as the primary regulatory framework governing the licensing, regulation, and oversight of postal and courier services in Malaysia.

The Act supports several strategic objectives, including ensuring the provision of high-quality Universal Service Obligations (USO), promoting an efficient and competitive postal and courier industry, strengthening consumer confidence, safeguarding operational security, and ensuring fair competition across the sector.

As industry dynamics continue to evolve rapidly, the need to modernise the existing legal and regulatory framework has become increasingly important. In this regard, the Postal Sector Strategic Policy Study was undertaken as part of the review of the Postal Services Act 2012.

The study aimed to develop a long-term strategic policy direction for the postal sector by considering evolving megatrends and industry developments that may shape the sector over the next 10 to 20 years. It also sought to examine and recommend regulatory reform frameworks and sector developmental initiatives to support industry sustainability, operational resilience, and long-term sector transformation.

The study was awarded by PEMANDU Associates, commencing in November 2024 and completed in July 2025. A comprehensive stakeholder engagement process formed a key component of the study, involving one-on-one engagements, laboratory sessions, and public surveys related to postal services.

Stakeholder participation included representatives from MCMC, 17 ministries and government agencies, alongside 15 entities representing postal and courier operators, e-commerce platform providers, and social media representatives.

These engagements played an important role in supporting proposed amendments to the Postal Services Act 2012 [Act 741] and ensuring that policy recommendations reflected practical industry considerations, regulatory requirements, and public interest.

The study identified five broad policy issues affecting the postal and courier sector, reflecting the need for a more adaptive, sustainable, and future-ready regulatory framework:

a. Sustainability of Universal Service Obligations (USO)
The long-term sustainability of the USO continues to face increasing pressure due to significant changes in mail composition. Letter post items declined from 70% of total mail volume in 2019 to 29% in 2023, reflecting the continued reduction in traditional mail demand. Consequently, Pos Malaysia Berhad recorded five consecutive years of financial losses, partly attributable to the increasing net cost associated with fulfilling USO requirements.

b. Unregulated Emerging Models and Services
Rapid industry evolution, particularly involving Pick-Up and Drop-Off (PUDO) services and peer-to-peer delivery models such as p-hailing, has introduced new operational and regulatory considerations for the existing licensing framework. These developments have highlighted the need to strengthen oversight mechanisms relating to agents, affiliates, and emerging delivery models to ensure clearer service accountability and regulatory alignment across the sector.

c. Sustainability of the Courier Sector
The courier sector continues to face sustainability challenges arising from intense market competition and prolonged pricing pressures. It was reported that several major industry players recorded financial losses in 2022, partly attributable to highly competitive pricing practices and rising operational costs. At the same time, increasing market concentration among larger and vertically integrated operators has intensified competitive pressures within the sector, particularly for smaller industry players.

d. Inconsistent Performance and Standards
Differences in service quality and operational standards continue to exist across the postal and courier sector. In addition, as logistics and delivery activities expand, there is increasing emphasis on strengthening ESG practices across the industry, particularly in areas related to workforce welfare, operational sustainability, and carbon emission reduction. These developments highlight the importance of establishing more consistent ESG-related approaches and standards to support long-term industry sustainability.

e. Rising Security Concerns
The postal and courier network continues to face increasing security challenges involving the transit of illegal and hazardous goods. The detection of prohibited items within the network has highlighted the importance of strengthening security protocols, screening procedures, and operational coordination to enhance overall postal security and industry resilience.

Following the completion of the Postal Sector Strategic Policy Study in July 2025, policy recommendations addressing the five broad policy areas were submitted to the Government through a Memorandum Jemaah Menteri (MJM) in the first quarter of 2026.

The proposed amendments are expected to strengthen industry sustainability, improve service quality and operational security, enhance consumer protection, and support the development of a more resilient and innovative postal and courier ecosystem. In the longer term, the strengthened regulatory framework is also expected to support the sustainability of universal postal services, ensuring that such services remain inclusive, reliable, and accessible to communities nationwide.

Postal Security and Capacity Building under MY-PSG

In 2025, MCMC, through the Malaysia-Postal Security Group (MY-PSG), implemented a series of training programmes, simulations, and field engagements involving key law enforcement agencies.

The initiative aimed to strengthen information sharing, improve compliance awareness regarding regulatory and law enforcement procedures, and enhance the implementation of security measures across postal and courier operations.

More than 500 participants from ministries, agencies, and industry players took part in programmes conducted across Peninsular Malaysia, Sabah, and Sarawak.

The programme content was aligned with the forthcoming Postal Security Rules to support operational readiness across the industry. Key focus areas included consignment declaration, incident management and reporting, physical and transport security, and information system security.
Several notable activities were implemented during the year, including:

a. Postal Security Training Programme in Kota Kinabalu, Sabah, held on 22 January 2025;
b. Work visit to the Customs Department at Kota Kinabalu International Airport (KKIA), held on 23 January 2025;
c. Awareness programme on "Tolak Ubat Tidak Sah" (TOBaTS) in collaboration with the Ministry of Health, held on 13 February 2025;
d. Postal Security Simulation Programme at Pos Malaysia International Hub (PMIH), KLIA, held on 29 May 2025; and
e. Postal Security Training Programme in Kuching, Sarawak, held on 5 August 2025.
f. "Sesi Libat Urus Bersama PDRM, MCMC dan Pemain Industri Pos dan Kurier" at Four Seasons Hotel, held on 12 December 2025.

These programmes contributed to strengthening a common operational approach to postal security nationwide while improving industry preparedness for future implementation of the Postal Security Rules.

Simulation exercises and field visits at strategic locations such as PMIH–KLIA, KKIA, and the ICQS Complex in Tebedu, Sarawak also improved understanding of operational procedures, prohibited material detection, and incident response coordination.

The initiatives further strengthened collaboration between MCMC, law enforcement agencies, and industry players in addressing emerging security challenges within postal and courier networks.



Source: MCMC

Figure 6.29: Postal Security Training Programme, Kuching, Sarawak



Source: MCMC

Figure 6.30: Sesi Libat Urus PDRM dan MCMC Bersama Pemain Industri Pos dan Kurier, Four Seasons Hotel

Over the five-year implementation period, PAKEJ has played an important role in advancing Malaysia's postal and courier ecosystem through infrastructure expansion, regulatory modernisation, digital enablement, and industry collaboration. Beyond supporting industry growth, the initiative has also improved nationwide logistics accessibility, strengthened operational resilience, enhanced consumer protection, and supported long-term industry sustainability.

As Malaysia's digital economy continues to expand, the postal and courier sector is expected to play an increasingly important role in supporting e-commerce growth, facilitating digital inclusion, and enhancing national connectivity. Moving forward, continued collaboration between the Government, regulators, industry players, and technology providers will remain essential to ensure that the sector remains competitive, innovative, secure, and future-ready.

Chapter 7

QUALITY OF SERVICES

Design Rationale:



Original Photo

Maintaining Reliable Service Standards

The image illustrates telecommunications technicians working on a communications tower, representing the continuous efforts required to build, maintain and enhance Malaysia's nationwide communications infrastructure. Set against a clear blue sky, the tower symbolises the extensive network coverage that has become a familiar feature across the country, supporting reliable connectivity for individuals, businesses and communities.

The visual was selected to highlight the commitment to delivering high-quality, resilient and dependable communications services. It complements the chapter's focus on service quality, network performance, infrastructure maintenance and the ongoing efforts to meet the evolving expectations of consumers and industry.

This chapter examines key developments in service quality, consumer protection and regulatory governance across Malaysia's communications and multimedia ecosystem. It highlights initiatives to strengthen complaint management and consumer safeguards, monitor network and service quality, enhance spectrum and content regulation, and promote effective market oversight. The chapter also outlines the role of industry forums in supporting self-regulation, standards development and stakeholder collaboration to strengthen industry accountability and support the sustainable development of the sector.

KEY HIGHLIGHTS 2025

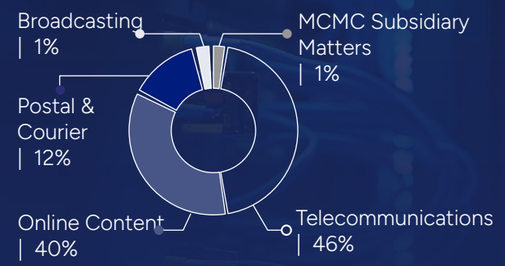
Quality of Services

Strengthening consumer protection, service quality and regulatory oversight across Malaysia's communications and multimedia sector.

Consumer Protection and Complaint Management

71,919
Consumer Complaints Received in 2025

Breakdown by Service:



96% **Complaint Resolution Rate:**
69,070 complaints successfully resolved and closed as at 31 December 2025.

Supporting effective consumer redress and dispute resolution across the sector.

Next Generation Malaysian Emergency Response Service 999

MERS 999 Emergency Response

Fully Operational Since
16 November 2025

Key Features:

Voice | Text | Images | Video | AML Advanced Mobile Location

Enhancing emergency response through advanced digital communications and location-based services.

Online Safety Act 2025

Online Safety Act 2025

Effective: 1 January 2026

Strengthening online safety and platform accountability in Malaysia's digital ecosystem.

Code of Practice for Postal Services (CPPS)

Launched During Hari Kurier Negara 2025

Malaysia's first industry-wide self-regulatory framework for the postal and courier sector.

Focus Area:

1. Service Standards
2. Consumer Protection
3. Complaint Handling
4. Industry Accountability

Technical Standards Development

11
New Technical Codes Registered in 2025

Covering Areas Such As:

1. Internet of Things (IoT)
2. Cybersecurity
3. Digital Identity
4. IPv6
5. VoLTE
6. C-V2X
7. Fixed Network Facilities

Supporting interoperability, technology innovation and industry readiness.

Strengthening Industry Governance Through Co-Regulation

CFM, CMCF, Postal Forum and MTSFB continued to support consumer protection, responsible content practices, industry self-regulation and technical standardisation through industry codes, stakeholder engagement and collaborative governance initiatives.

PART A: CONSUMER PROTECTION AND SERVICE QUALITY

As digital connectivity becomes increasingly integral to everyday life, consumer protection and service quality remain critical to maintaining public confidence in Malaysia's communications, multimedia, postal and courier sectors. Consumers today expect reliable services, transparent business practices and accessible avenues for redress when issues arise.

Throughout 2025, efforts focused on strengthening consumer protection frameworks, enhancing complaint management mechanisms, monitoring service quality performance and addressing emerging challenges within the digital ecosystem. These efforts supported a fair, transparent and consumer-centric environment while promoting industry accountability and service excellence.

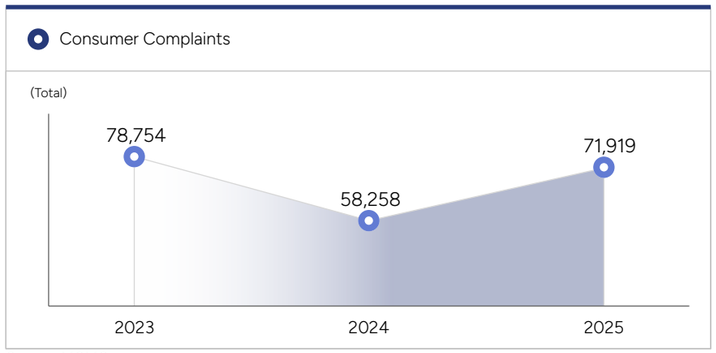
Against this backdrop, this section examines key developments in consumer complaints, service quality indicators and regulatory interventions, providing an overview of how the sector continued to respond to consumer needs and service expectations.

Consumer Protection and Complaint Management

Effective complaint management plays an important role in identifying service-related issues, facilitating timely resolution and strengthening consumer trust. It also supports regulatory oversight by highlighting areas where industry practices may require closer attention or improvement.

In 2025, complaint patterns continued to reflect key issues across telecommunications services, online content and postal and courier services, underscoring the need for responsive handling mechanisms and continued industry accountability.

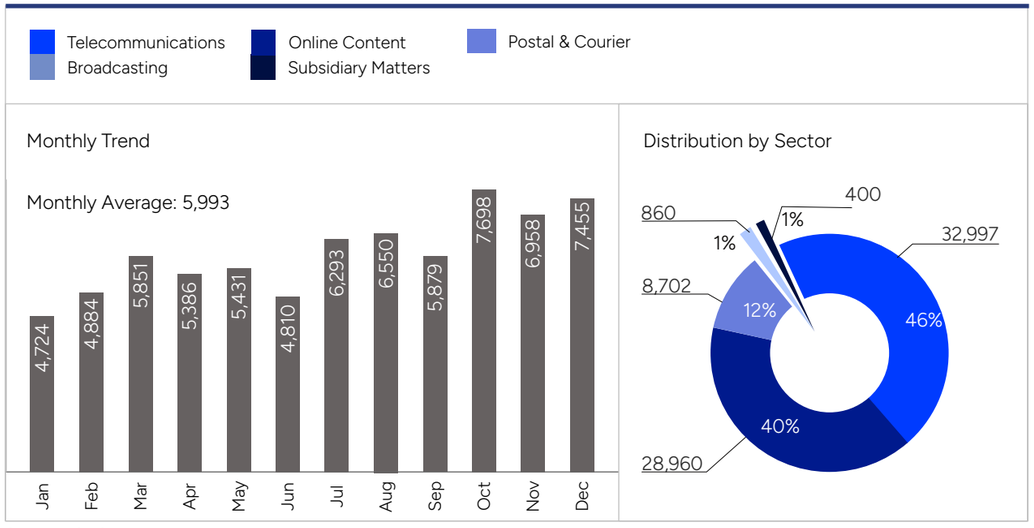
MCMC recorded a total of 71,919 consumer complaints during the year, representing an increase of 23% from 58,258 complaints in 2024 (Figure 7.1). The increase was largely driven by higher complaint volumes in the telecommunications and online content sectors, reflecting consumers' growing reliance on digital communications services and online platforms in daily life.



Source: MCMC

Figure 7.1: Trend of Consumer Complaints, 2023–2025

The average number of complaints received per month in 2025 was 5,993, with October recording the highest monthly total at 7,698 complaints. Telecommunications services remained the largest source of complaints, accounting for 46% of total complaints received during the year, followed by online content at 40%, postal and courier services at 12%, broadcasting at 1% and MCMC subsidiary matters at 1% (Figure 7.2). This distribution highlights the importance of maintaining service reliability, responsive complaint handling and consumer trust across the sector.



Source: MCMC

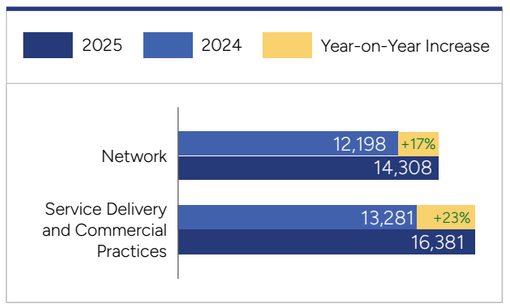
Figure 7.2: Consumer Complaints Overview, 2025 (Monthly Trend and Complaint Distribution by Sector)

Telecommunications Complaints

Telecommunications services remained the largest source of consumer complaints in 2025, accounting for 46% of total complaints received by MCMC. Complaints increased by 19% compared to 2024, reflecting persistent issues in network performance, service delivery and commercial practices as consumers continued to rely heavily on digital connectivity.

Complaints relating to service delivery and commercial practices represented the largest category of telecommunications complaints in 2025, accounting for 50% of total telecommunications complaints. These complaints primarily involved billing and charges, unfair practices, service delivery issues and misrepresentation of services. The prevalence of such complaints indicates the importance of pricing transparency, clear contractual information and responsive customer service in maintaining consumer trust and satisfaction.

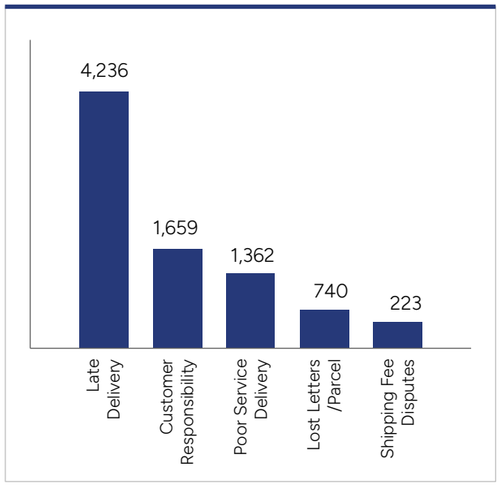
Network-related complaints accounted for 43% of telecommunications complaints and were mainly associated with service quality, network reliability and coverage of 5G, 4G/LTE and High-Speed Broadband services. Consumers frequently reported service disruptions linked to network congestion and connectivity issues, pointing to the need for continued focus on network resilience and service reliability in meeting growing demand for digital connectivity.



Source: MCMC

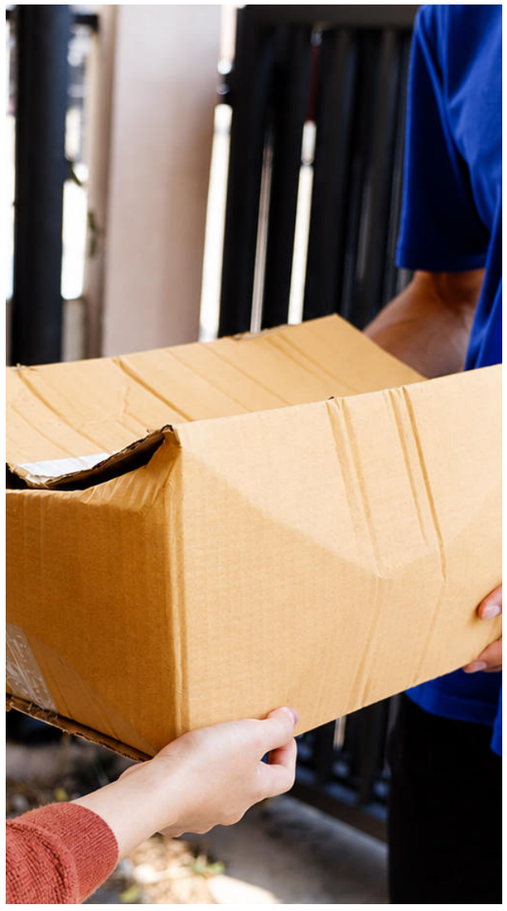
Figure 7.3: Telecommunications Complaints by Category, 2024–2025

As illustrated in Figure 7.3, both complaint categories recorded increases in 2025 compared to 2024. Complaints relating to service delivery and commercial practices increased by 23%, from 13,281 complaints in 2024 to 16,381 complaints in 2025. Meanwhile, network-related complaints rose by 17%, from 12,198 complaints to 14,308 complaints over the same period. The increase across both categories suggests that consumer concerns extended beyond network performance to encompass broader service delivery and commercial practices.



Source: MCMC

Figure 7.4: Top Five Complaint Categories in the Postal and Courier Sector, 2025



Postal and Courier Complaints

The postal and courier sector recorded 8,702 complaints in 2025, representing an increase of approximately 10% compared to 7,876 complaints in 2024. The increase points to persistent delivery-related challenges amid higher e-commerce activity and rising demand for timely, reliable and transparent services.

Delivery-related issues remained the primary source of complaints during the year. Late delivery was the most common complaint category, accounting for nearly half of the top five complaint categories recorded in 2025. Complaints relating to customer responsibility issues and poor service delivery were also significant, while complaints involving lost letters or parcels and shipping fee disputes were comparatively lower.

The complaint profile highlights the importance of delivery timeliness, operational efficiency and clear customer communication in maintaining consumer confidence. As e-commerce transactions and parcel volumes continue to grow, postal and courier service providers face increasing pressure to enhance service quality and meet changing consumer expectations.

Figure 7.4 shows that late delivery recorded the highest number of complaints with 4,236 cases, followed by customer responsibility issues (1,659 cases) and poor service delivery (1,362 cases). Complaints relating to lost letters or parcels totalled 740 cases, while shipping fee disputes recorded the lowest number of complaints among the top five categories, with 223 cases.

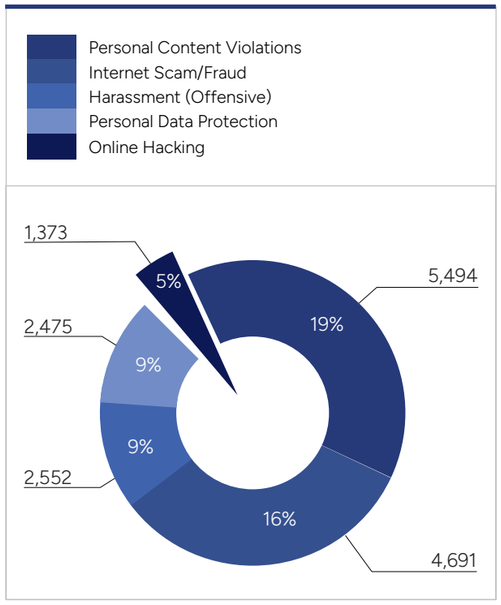
Online Content Complaints

Online content complaints increased in 2025, driven by heightened public concern over harmful online activities and the expanding role of digital platforms in everyday life. MCMC recorded 28,960 online content-related complaints during the year, accounting for 40% of total complaints received and making it the second largest complaint category after telecommunications services.

The increase reflects the broader risks associated with the digital environment, particularly in relation to online safety, privacy protection, cybersecurity and harmful online behaviour. As Malaysians rely more heavily on digital platforms for communication, commerce and information access, issues involving personal data, online fraud and inappropriate content continue to attract significant public attention.

Personal content violations were the most frequently reported online content complaint category in 2025, followed by internet scam and fraud, offensive harassment, personal data protection issues and online hacking. Collectively, these categories accounted for more than half of all online content complaints received during the year, indicating rising concerns over online safety and digital trust.

As shown in Figure 7.5, personal content violations recorded the highest number of complaints with 5,494 cases, accounting for 19% of total online content complaints. This was followed by internet scam and fraud with 4,691 cases or 16%. Complaints relating to offensive harassment and personal data protection recorded 2,552 cases and 2,475 cases, respectively, each accounting for 9%, while online hacking accounted for 1,373 complaints or 5%.



Source: MCMC

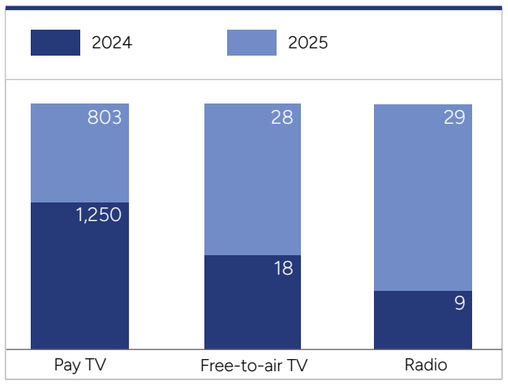
Figure 7.5: Top Five Online Content Complaint Categories, 2025

Complaints in the Broadcasting Sector

The broadcasting sector recorded 860 complaints in 2025, representing a decrease of 33% compared to 1,277 complaints in 2024. Despite the continued evolution of Malaysia's broadcasting landscape and increasing competition from streaming platforms and digital content services, complaint volumes remained relatively low compared to other sectors.

Pay TV services continued to account for the majority of complaints received within the broadcasting sector, contributing approximately 93% of total complaints in 2025. The concentration of complaints within the Pay TV segment reflects its larger subscriber base and the broader range of subscription-based services offered to consumers.

As illustrated in Figure 7.6, complaints relating to Pay TV services declined from 1,250 complaints in 2024 to 803 complaints in 2025. Meanwhile, complaints relating to free-to-air television and radio services remained relatively low, despite recording slight increases during the year. The overall decline in broadcasting complaints suggests improvements in service delivery and complaint management, particularly within the Pay TV segment, and may also be associated with the declining trend of Pay TV subscriptions.



Source: MCMC

Figure 7.6: Complaints in the Broadcasting Sector by Service Type, 2024–2025

Complaints on MCMC Subsidiary Matters

Complaints relating to MCMC subsidiary matters accounted for less than 1% of total complaints received in 2025. These complaints generally involved technical, administrative and infrastructure-related matters managed directly by MCMC, including communications infrastructure, spectrum management and licensing-related issues.

Tower service failure recorded the highest number of complaints during the year with 90 cases, followed by complaints relating to special projects undertaken by MCMC (55 cases) and tower objections (46 cases). Other complaints involved apparatus assignment, site-related matters, non-standard equipment, licensing enquiries and spectrum interference. While relatively low in volume compared to other complaint categories, these complaints provide useful insights into public concerns relating to communications infrastructure and regulatory administration.

No	Type of Service	2025
1.	Tower Service Failure	90
2.	Special Project by MCMC	55
3.	Tower Objection	46
4.	Apparatus Assignment	33
5.	Site Offer (Tower/Structure)	32
6.	Non-Standard Equipment	28
7.	Licence Enquiry	26
8.	Spectrum Interference	19
9.	Radiation	15
10.	Site Rental	14
11.	Pusat Ekonomi Digital Keluarga Malaysia (NADI)	14
12.	Public Phone - USP Area	10
13.	TV Parabola	8
14.	Radio Amateur	8
15.	Radio Amateur Exam (RAE)	1

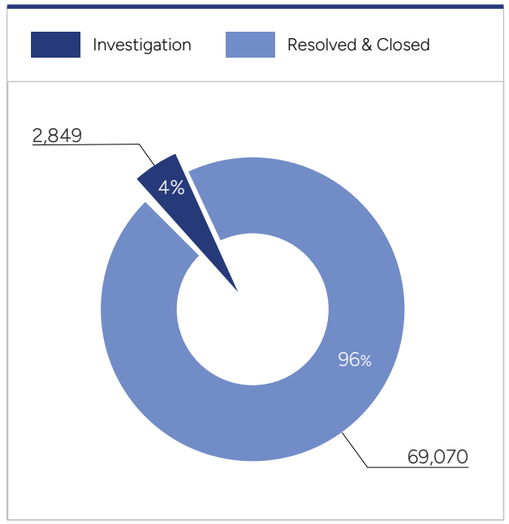
Table 7.7: Complaints on MCMC Subsidiary Matters, 2025

Complaint Resolution Performance

Effective complaint resolution remains a key component of consumer protection within the sector. As at 31 December 2025, 69,070 complaints, representing 96% of all complaints received by MCMC, had been successfully resolved and closed, while the remaining 2,849 complaints, or 4%, were still under investigation (Figure 7.8). The high resolution rate indicates continued improvements in complaint handling processes, industry responsiveness and regulatory oversight.

Complaints are addressed through a structured resolution framework involving service providers, the Communications and Multimedia Consumer Forum of Malaysia (CFM) and MCMC. This enables issues to be resolved through mediation, investigation or regulatory intervention where necessary, while ensuring compliance with applicable regulatory requirements.

Overall, the complaint resolution performance achieved in 2025 demonstrates the effectiveness of the sector's redress mechanisms in addressing consumer grievances and supporting better service delivery outcomes across the communications, multimedia, postal and courier sectors.



Source: MCMC

Figure 7.8: Complaint Resolution Status as at 31 December 2025

Consumer Protection Regulatory Initiatives

Consumer protection frameworks play an important role in promoting fair business practices, safeguarding consumer rights and enhancing consumer confidence across the industry. As digital services become increasingly complex and consumer expectations continue to evolve, regulatory frameworks must also adapt to address emerging issues and strengthen consumer safeguards.

Throughout 2025, several regulatory and consumer-focused initiatives were undertaken to enhance consumer protection, improve complaint management mechanisms and promote greater transparency and accountability. These initiatives support a more consumer-centric ecosystem while reinforcing industry compliance with regulatory obligations.

Consumer Outreach and Awareness

Consumer outreach and awareness initiatives continued throughout 2025 to strengthen public understanding of consumer rights, complaint resolution mechanisms and available regulatory safeguards within the industry.

MCMC collaborated with the Ministry of Communications to promote the use of official complaint channels, including the Consumer Redress Portal (CRP) and MCMC's complaint management services. These initiatives sought to improve public awareness of available avenues for redress and encourage consumers to utilise structured complaint resolution mechanisms when issues arise. Similar awareness efforts were also undertaken through stakeholder engagements and public outreach activities, including programmes conducted during the Parliamentary sitting under the Kempen Internet Selamat initiative.

In addition, the Sales Point Survey 2025 was conducted to assess compliance with consumer information disclosure requirements at selected telecommunications service centres. The survey evaluated the extent to which consumers were provided with clear and accurate information on service offerings, promotional materials, critical information summaries and contractual terms and conditions prior to making purchasing decisions. Findings from the survey are being used to support improvements and ongoing engagement with service providers to strengthen consumer protection practices.

General Consumer Code (GCC) Enhancements and Compliance Improvements

Enhancing consumer protection requires ongoing improvements to regulatory frameworks and industry compliance mechanisms. Throughout 2025, efforts focused on reinforcing consumer safeguards, improving service provider accountability and addressing recurring issues through targeted regulatory interventions.

A key regulatory milestone during the year was the development and registration of the GCC Sub-Code on Opt-In Requirements. The Sub-Code enhances consumer protection by requiring service providers to obtain informed, explicit and verifiable consent prior to activating core services, value-added services, roaming services, contract renewals or service migrations.

The initiative was developed in response to recurring consumer complaints relating to billing and charges, unauthorised service activations and service modifications. By improving consent requirements and promoting greater transparency, the Sub-Code is expected to reduce disputes arising from unauthorised service changes, while reinforcing compliance with consumer protection obligations under the GCC.

Regulatory compliance performance also improved during the year. As at 31 December 2025, a total of 33,139 out of 33,857 complaints handled at the service provider level were successfully resolved, representing a resolution rate of 98%. In addition, the average percentage of complaints resolved within 15 working days increased from 78% in 2024 to 83% in 2025.

Enhancement of Complaint Handling Mechanisms

MCMC enhanced its complaint management capabilities through improvements to its call centre system. The upgrade aims to improve operational efficiency, strengthen case traceability and support more effective monitoring of complaint handling and regulatory compliance.

Preparatory activities for the system enhancement were completed in 2025, laying the groundwork for improved audit trails and reporting capabilities. These enhancements are expected to support evidence-based regulatory oversight, improve case tracking and facilitate the timely resolution of consumer complaints.

Regulatory Framework Enhancements

In 2025, MCMC reviewed and updated selected regulatory instruments to ensure they remained relevant, effective and responsive to market developments, technological changes and consumer expectations.

A key milestone during the year was the revocation of the Commission Determination on the Mandatory Standards for Quality of Service (Digital Leased Line Service), Determination No. 3 of 2009. The review found that service quality for digital leased line services is now primarily governed through Service Level Agreements (SLAs) between service providers and business customers, covering key parameters such as installation timelines, service reliability and fault repair response times.

Following industry consultations and a Public Inquiry conducted in 2025, MCMC determined that the mandatory standards were no longer necessary, as service providers had consistently met the prescribed requirements over the past decade. The revocation reflects a more targeted and proportionate regulatory approach, allowing market mechanisms to address service quality requirements where appropriate.

MCMC also completed the review of the Commission Determination on the Mandatory Standards for the Provision of Mobile Content Services (MSMCS), originally introduced in 2009. The review was undertaken in response to consumer concerns relating to misleading billing practices, unauthorised subscriptions and changes in the mobile content services ecosystem. The revised MSMCS, Determination No. 3 of 2025, issued in September 2025, introduces enhanced consumer safeguards, including stronger consent requirements, improved transparency, fraud prevention measures, spending controls and more effective complaint handling mechanisms.

Analysis of complaint trends identified approximately 18,543 billing and charges complaints between 2023 and 2025 that could potentially be addressed through the revised framework. The updated requirements are expected to reduce disputes arising from unauthorised service activations and service modifications, while strengthening consumer protection and reinforcing industry compliance obligations.

The revised framework requires Mobile Content Services Providers and Public Cellular Service Providers to improve internal controls, monitoring mechanisms and complaint management processes. For consumers, the enhanced requirements provide clearer pricing and subscription practices, stronger safeguards against fraudulent or unauthorised charges, and more transparent dispute resolution mechanisms.



Network Performance and QoS Compliance

Reliable communications services are essential to supporting Malaysia's digital economy and meeting consumers' expectations for seamless connectivity. To safeguard consumer interests and promote service excellence, MCMC monitors and enforces compliance with the Mandatory Standards for Quality of Service, which set minimum performance requirements across key communications services.

Throughout 2025, MCMC strengthened its regulatory oversight through nationwide audits, compliance monitoring and targeted enforcement actions. These initiatives aimed to ensure that service providers maintained acceptable levels of service quality and addressed non-compliance in a timely and effective manner.

This section highlights key developments in service quality monitoring and compliance performance across wireless broadband, public cellular and wired broadband access services.

MSQoS Framework and Regulatory Oversight

The Mandatory Standards for Quality of Service (MSQoS) serve as a key regulatory instrument to ensure that communications services delivered to consumers meet established performance standards. The framework provides measurable benchmarks for assessing service quality and enables MCMC to monitor compliance through audits, assessments and enforcement activities.

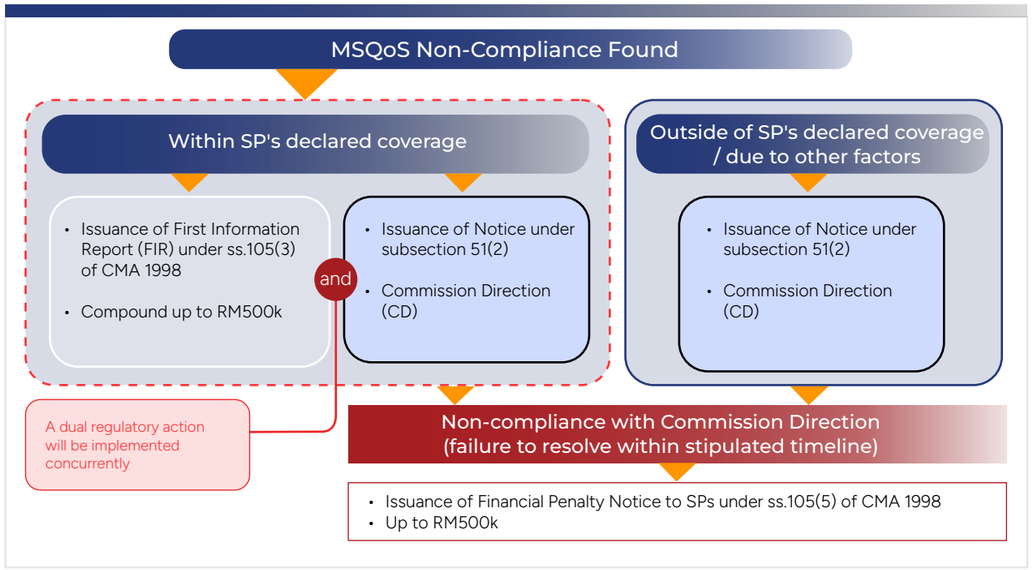
Through this framework, MCMC evaluates service performance across various communications services to ensure that consumers receive reliable, accessible and consistent connectivity. It also promotes greater transparency and accountability among service providers, while supporting improvements in network performance and customer experience.

Strengthening Enforcement Through the Two-Pronged Regulatory Approach

To strengthen compliance with the MSQoS framework, MCMC introduced a two-pronged regulatory approach in 2025 to address persistent service quality non-compliance among service providers.

Under this approach, regulatory action may be taken concurrently against identified service quality breaches and against service providers that fail to rectify previously identified non-compliances within the stipulated timeframe. This enhances regulatory oversight by ensuring that corrective actions are implemented promptly while reinforcing service providers' accountability for maintaining service quality standards.

The enhanced approach also provides a stronger enforcement mechanism through the issuance of notices, Commission Directions and financial penalties where non-compliance remains unresolved. By linking enforcement actions to remediation outcomes, the approach promotes timely rectification and sustained compliance with MSQoS requirements. Figure 7.9 illustrates MCMC's two-pronged regulatory approach for addressing service quality non-compliance.



Source: MCMC

Figure 7.9: MCMC MSQoS Two-Pronged Regulatory Approach

Network Operations Centre Audit Programme

To strengthen assurance over the accuracy and reliability of network performance information submitted by service providers, MCMC conducts Network Operations Centre (NOC) audits as part of its regulatory monitoring activities under the MSQoS framework. The audits verify that reported performance indicators are supported by authentic source data and that appropriate monitoring, validation and governance processes are in place to support regulatory reporting obligations.

In 2025, MCMC conducted NOC audits involving six service providers, comprising four wireless broadband service providers and two wired broadband service providers. The audits assessed the integrity of network performance reporting by verifying the consistency of submitted MSQoS data against source information maintained within the service providers' operational systems. The service providers audited under the NOC Audit Programme in 2025 are listed in Figure 7.10.

Service	Service Provider	Date of NOC Audit
Wireless Broadband Access	CelcomDigi	24 Jun 2025
	Digital Nasional Berhad	25 Nov 2025
	U Mobile	12 Jun 2025
	YTLC	10 Nov 2025
Wired Broadband Access	Maxis	30 Oct 2025
	Telekom Malaysia	4 Nov 2025

Source: MCMC

Figure 7.10: List of NOC Audits Conducted for Wireless and Wired Broadband Service Providers, 2025

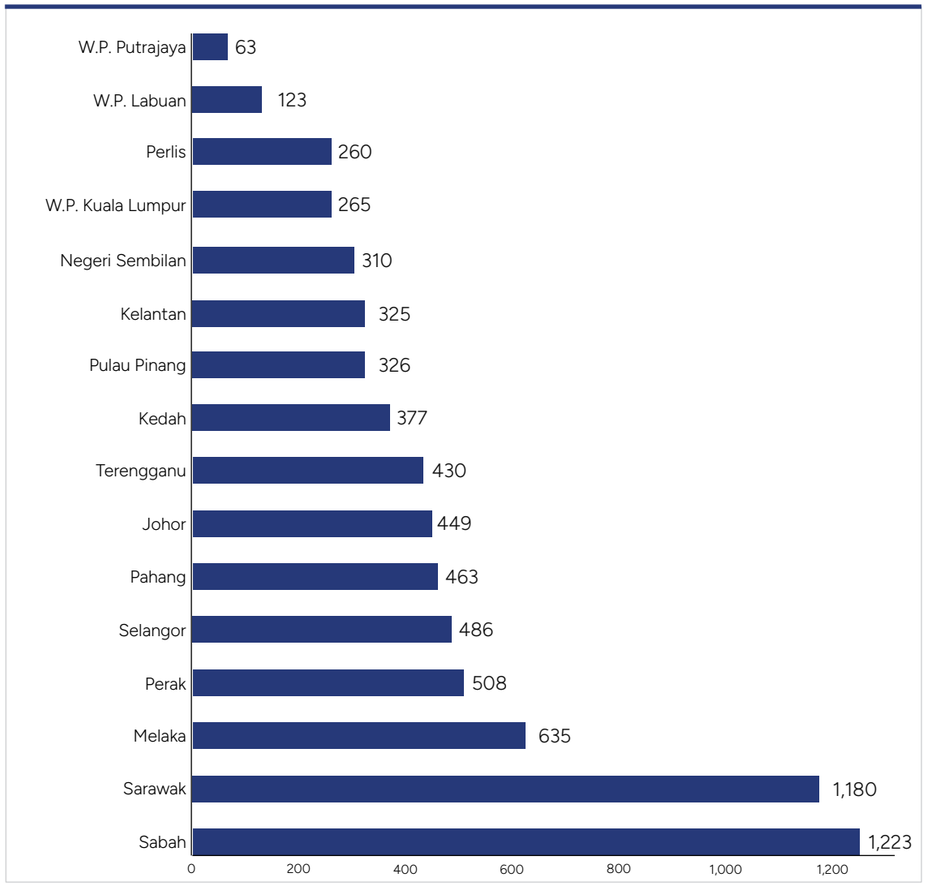
In addition to validating reported statistics, the audits provided insights into network monitoring practices, utilisation management, data governance controls and internal reporting processes. This enabled MCMC to assess the effectiveness of existing controls supporting the preparation and submission of MSQoS performance indicators.

Overall, the 2025 NOC audits confirmed that reported statistics were generally consistent with source system records. The audits also identified opportunities to further enhance monitoring practices, documentation standards and process automation. These findings will support future refinements to compliance monitoring approaches and ongoing regulatory engagement with industry stakeholders.

Wireless Broadband Access Service

Wireless Broadband Access Services (Wireless BAS) continued to play a critical role in supporting digital connectivity across Malaysia. To monitor compliance with the MSQoS, MCMC conducted nationwide audits throughout 2025 covering multiple service providers and locations.

A total of 7,423 locations were audited during the year, covering urban, suburban and rural areas across all states. As shown in Figure 7.11, the highest number of audited locations was recorded in Sabah (1,223) and Sarawak (1,180), reflecting MCMC's focus on service quality in geographically expansive and underserved areas.



Source: MCMC

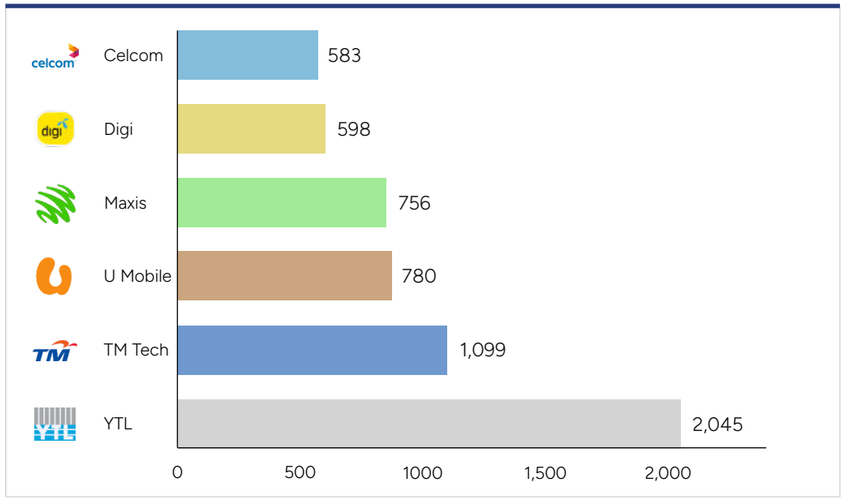
Figure 7.11: Total Locations Audited by State, 2025

The audits identified 5,861 instances of non-compliance across service providers, resulting in the issuance of 817 notices under the MSQoS framework. Figure 7.12 illustrates the overall audit outcomes, while Figure 7.13 presents the distribution of non-compliances by service provider.

No	Parameter	Value
1.	Total non-compliances	5,861
2.	Resolved non-compliances	1,654
3.	Issued with Commission Direction	329
4.	Cases under evaluation for Commission Direction	1,839
5.	Cases currently under evaluation	2,039

Source: MCMC

Figure 7.12: Audit Outcomes of Wireless BAS Compliance Assessment, 2025



Source: MCMC

Figure 7.13: Non-Compliances by Service Provider, 2025

The audit findings highlight the importance of sustained regulatory monitoring to ensure that service providers meet established performance standards. Where non-compliances were identified, corrective actions were required to address service deficiencies and improve overall compliance.

Public Cellular Service

Public cellular services remain an essential component of Malaysia's communications infrastructure, supporting voice communications alongside the growing adoption of data-based and over-the-top (OTT) communications services. Despite changing consumer usage patterns, reliable voice connectivity remains critical, particularly for emergency communications and situations where voice calls are required.

To monitor compliance with the MSQoS, MCMC conducted service quality audits for Public Cellular Services using two key indicators: Call Setup Success Rate and Dropped Call Rate. These indicators measure a network's ability to successfully establish and maintain voice calls.

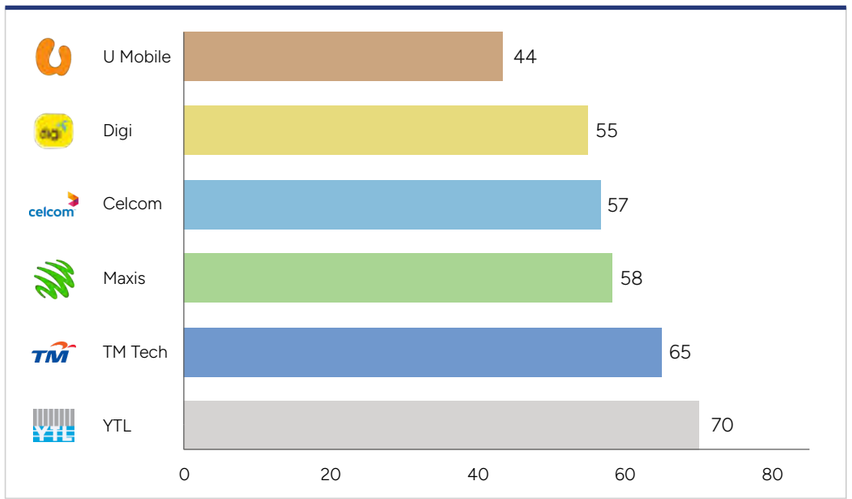
As at December 2025, MCMC conducted service quality audits across 97 routes nationwide. The audits identified 349 non-compliances across service providers, of which 341 cases, or 97%, had been successfully resolved, while the remaining eight cases, or 2%, were under evaluation. The overall audit outcomes for Public Cellular Services in 2025 are summarised in Figure 7.14.

No	Parameter	Value
1.	Total non-compliances	349
2.	Resolved non-compliances	341
3.	Issued with Commission Direction	0
4.	Cases currently under evaluation	8

Source: MCMC

Figure 7.14: Audit Outcomes of Public Cellular Service Compliance Assessment, 2025

Figure 7.15 shows the distribution of non-compliances by service provider. The high resolution rate and absence of Commission Directions issued during the year indicate that identified service quality issues were effectively addressed through corrective actions undertaken by service providers. This points to a generally high level of compliance with MSQoS requirements and the effectiveness of monitoring and remediation efforts in maintaining voice service quality.



Source: MCMC

Figure 7.15: Non-Compliances by Service Provider, 2025

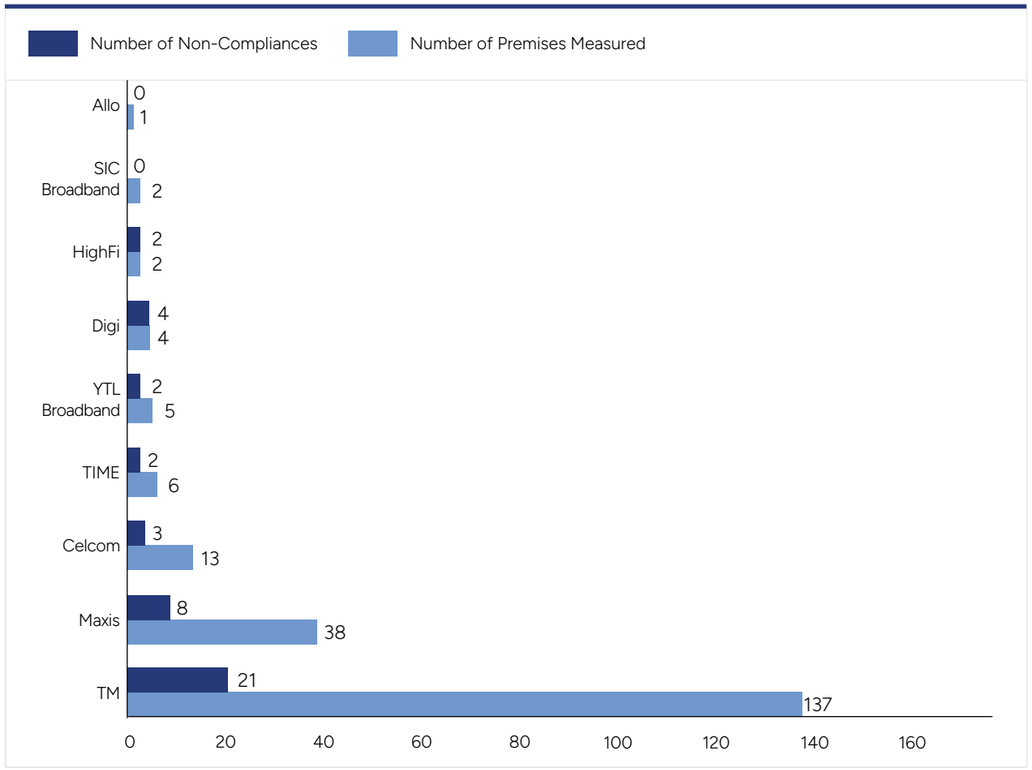
Wired Broadband Access Service

High-capacity fixed connectivity remains vital for households and businesses, particularly as digital applications, remote working, online learning and cloud-based services become more widely used. To safeguard service quality, MCMC conducts regular assessments to verify that wired broadband services are delivered in line with consumers' subscribed packages.

Assessments are conducted through direct measurements at customer premises to verify the performance of fibre and Digital Subscriber Line (DSL) broadband services. These activities support regulatory oversight and help identify areas requiring corrective action to ensure compliance with established requirements.

As at December 2025, MCMC conducted service quality audits at 208 premises throughout the country. Figure 7.16 shows the distribution of audited premises and non-compliances identified across service providers. TM accounted for the majority of audited premises, with 137 premises, followed by Maxis with 38 premises and Celcom with 13 premises.

A total of 42 non-compliances were identified during the audits and subsequently resolved through corrective actions undertaken by the respective service providers. These actions included service optimisation measures and the replacement of Customer Premises Equipment (CPE), where necessary, to restore service performance in accordance with prescribed standards.



Source: MCMC

Figure 7.16: Breakdown of Premises Measured and Non-Compliances by Service Providers, 2025

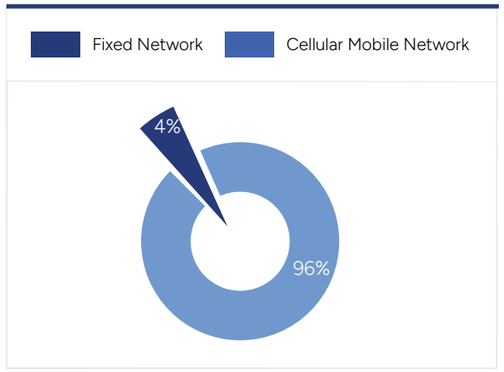
Spectrum Monitoring and Interference Resolution

Effective spectrum management is essential for ensuring the reliable operation of communications networks and services. As demand for wireless communications continues to grow, proactive monitoring and timely resolution of radio frequency interference (RFI) incidents remain critical in safeguarding service quality and maintaining efficient spectrum utilisation.

Throughout 2025, MCMC investigated and resolved RFI cases affecting communications services nationwide. These efforts supported the uninterrupted operation of communications networks and helped minimise service disruptions experienced by consumers and businesses.

A total of 26 RFI cases were reported during the year across various services and frequency bands ranging from 400 MHz to 14 GHz. As shown in Figure 7.17, the majority of cases (96%) involved cellular mobile networks, while the remaining 4% were associated with fixed networks.

Figure 7.18 shows the distribution of RFI cases by device type. Non-standard cellular boosters and RFID devices accounted for the majority of interference cases, followed by wireless CCTV systems and TV boosters. These findings highlight the need for continued monitoring of radio equipment and greater awareness of the potential impact of non-compliant or improperly configured devices on communications networks.



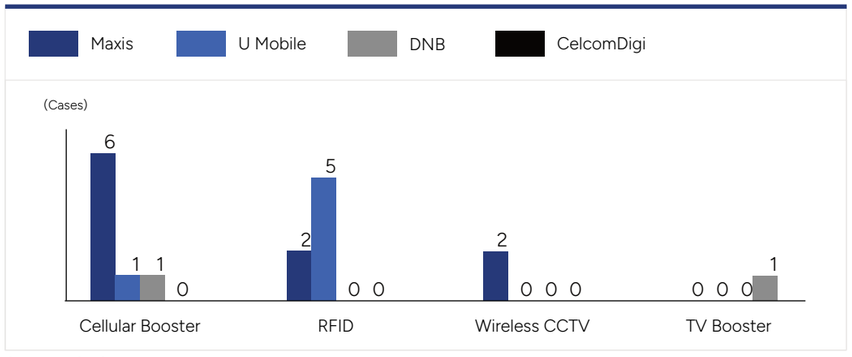
Source: MCMC

Figure 7.17: RFI Cases by Service Type, 2025

Geographically, interference cases were concentrated in a small number of locations, with Selangor recording the highest number of cases, followed by Wilayah Persekutuan, Sabah, Sarawak and Melaka (Figure 7.19). The concentration of cases in highly populated and economically active areas may be attributed to the higher density of communications infrastructure and radio equipment deployment in these locations.

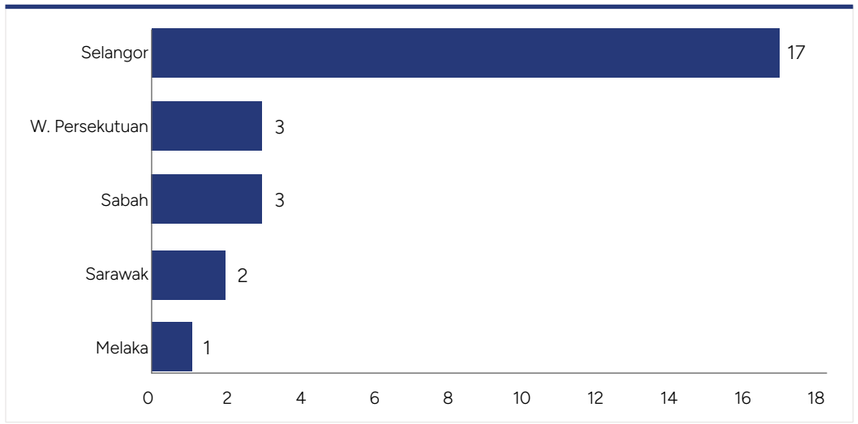
In addition to investigating and resolving interference incidents, MCMC conducted 792 spectrum monitoring activities during the year, covering frequency bands between 100 MHz and 3 GHz. These activities supported the detection of unauthorised transmissions, monitoring of compliance with spectrum usage regulations and effective management of spectrum resources. In 2025, three instances of unauthorised spectrum usage were identified, with appropriate regulatory actions taken to address the non-compliances.

Overall, sustained monitoring, technical investigations and enforcement actions helped maintain service reliability, protect network performance and support the efficient use of spectrum resources.



Source: MCMC

Figure 7.18: RFI Cases by Device Type, 2025



Source: MCMC

Figure 7.19: RFI Cases by State, 2025



Strategic Consumer-Oriented Initiatives

Next Generation Malaysian Emergency Response Service 999 (NG MERS999)

The Next Generation Malaysian Emergency Response Service 999 (NG MERS999) marks a significant advancement in Malaysia's emergency communications infrastructure. Fully operational since 16 November 2025, the system replaces the legacy platform that had been in service since 2010 and introduces enhanced capabilities to support evolving communications technologies and consumer needs.

NG MERS999 features an integrated digital platform that supports voice, text, image and video communications, enabling emergency responders to receive richer and more timely information during emergency situations. The system also incorporates Advanced Mobile Location (AML) technology, which automatically provides more accurate caller location information to support faster emergency response and improved coordination among relevant agencies.

To support the implementation of NG MERS999, MCMC strengthened the regulatory framework governing emergency communications services through enhanced requirements covering service quality, public accessibility, location accuracy, cybersecurity and emergency call handling. MCMC also coordinated industry-wide migration and implementation activities to ensure a smooth transition to the new platform.

The implementation of NG MERS999 delivers significant benefits to both industry stakeholders and the public. For service providers and emergency response agencies, the enhanced framework establishes clearer technical, operational and cybersecurity requirements, supporting stronger coordination and a more resilient emergency communications ecosystem.

For the public, NG MERS999 improves accessibility to emergency services through enhanced location accuracy, multimedia communication capabilities and broader support for diverse user needs, including persons with disabilities. These capabilities enable faster and more informed emergency responses, particularly in situations where conventional voice communications may be insufficient. Collectively, these enhancements strengthen public confidence in Malaysia's national emergency response system and contribute to a safer and more connected society.



PART B: COMMUNICATIONS REGULATION AND INDUSTRY GOVERNANCE

Market Regulation

Market regulation plays a critical role in ensuring that communications markets operate in a fair, efficient and sustainable manner. Through regulatory oversight, MCMC supports effective competition, facilitates access to essential network infrastructure and safeguards the interests of consumers and industry stakeholders.

As communications markets evolve in response to technological advancements, changing business models and increasing demand for digital services, regulatory frameworks must remain responsive and adaptable. Effective market regulation provides regulatory certainty while encouraging investment, innovation and the efficient delivery of communications services.

Throughout 2025, MCMC implemented a range of market regulatory measures covering access regulation, reporting obligations and competition oversight. These initiatives facilitated market efficiency, strengthened regulatory clarity and contributed to a competitive communications ecosystem.

Access Regulation

Access regulation is a key mechanism for enabling fair and non-discriminatory access to essential network facilities and network services that are considered of bottleneck to the industry. Through the submission of access agreements, pricing regulations and dispute resolution mechanisms, MCMC supports effective access arrangements between service providers while promoting competition, ensuring any-to-any connectivity and economically efficient use and efficient investment of the existing infrastructure.

In 2025, MCMC strengthened the access regulatory framework through the implementation and oversight of key access instruments, namely the Access List, the Mandatory Standard on Access (MSA) and the Mandatory Standard on Access Pricing (MSAP). These instruments provide the basis for effective access framework for the industry by reducing potential bottleneck to ultimately achieve long-term benefit of end users.

Following amendments to Section 150 of the Communications and Multimedia Act 1998 (CMA 1998), MCMC introduced several regulatory measures to facilitate compliance and improve regulatory clarity. These included the publication of Guidelines on Access Undertakings and Guidelines for Lodgment of Access Agreement. Together, these measures enhanced transparency and provided greater certainty to industry participants in navigating the revised regulatory requirements.

MCMC also commenced a review of the Access List and MSA in November 2025, with completion targeted in 2026. In addition, the validity of the MSAP was extended until 31 December 2026 to ensure regulatory continuity pending a comprehensive review of access pricing regulations.

As part of its oversight responsibilities, MCMC assessed fifteen Reference Access Offers (RAOs) published by Access Providers during the year to ensure compliance with the applicable access instruments and provisions of the CMA 1998. The assessment of RAOs plays an important role in promoting transparency, consistency and non-discriminatory access arrangements between Access Providers and Access Seekers.

MCMC also facilitated the resolution of access-related issues and disputes between the parties. In 2025, three notifications of access disputes and five access-related complaints were received and assessed. Through regulatory intervention and facilitation of negotiations, MCMC worked towards achieving timely resolutions and supporting effective competition in communications markets.

To further strengthen industry understanding of the access framework, capacity-building and awareness programmes were also conducted for licensees throughout the year. These initiatives contributed to greater compliance with access obligations and enhanced awareness of their respective rights and responsibilities.

Reporting Obligations

Reporting obligations form an important component of MCMC's market regulation functions by providing visibility into the provision of access services and supporting compliance monitoring. Information submitted by access providers enables MCMC to assess industry practices, monitor market developments and identify potential regulatory concerns requiring further attention.

Under the MSA, Access Providers offering specified access services are required to submit annual reports covering areas such as infrastructure sharing, domestic roaming, and 5G services. These reporting requirements promote better transparency and facilitate evidence-based regulatory oversight.

In 2025, MCMC received and assessed 80 reports submitted by Access Providers pursuant to the MSA. The review formed part of MCMC's efforts to monitor compliance with access obligations and ensure the effective implementation of the access framework.

Competition and Market Conduct

Promoting effective competition remains a key objective of MCMC's market regulation functions. Competition oversight seeks to prevent anti-competitive conduct, address market distortions and support a fair operating environment that encourages investment, innovation and consumer choice across the communications sector.

In 2025, MCMC refined the competition framework through the publication of the Guidelines on Undertakings for the Authorisation of Conduct. The guidelines provide greater clarity on the procedures and assessment framework for undertakings submitted under Section 140(3) of the CMA 1998, enabling licensees to seek authorisation for conduct that may otherwise raise competition concerns, subject to appropriate safeguards and regulatory assessment.

A key area of focus during the year was the continued oversight of the merger between Celcom Berhad and Digi Telecommunications Sdn Bhd, resulting in the formation of CelcomDigi. Following the expiry of the initial undertaking on 27 June 2025, MCMC registered a renewal undertaking on 28 June 2025 to ensure the continued implementation of post-merger remedies addressing competition concerns.

The prescribed remedies covered spectrum divestment, wholesale access arrangements, distributor exclusivity, brand positioning and the divesment of prepaid brand Yoodo, intended to address potential post-merger competition issues. Compliance with these obligations is monitored through independent quarterly audit reports submitted to MCMC, providing assurance that the merger continues to operate in line with regulatory requirements and competition objectives.

MCMC also addressed complaints relating to anti-competitive conduct. During 2025, a total of eight complaints were received from service providers and other stakeholders concerning issues such as exclusivity arrangements and the potential abuse of dominant positions. All complaints received during the year were assessed and resolved by MCMC.

Accounting separation remains an important regulatory tool for promoting transparency and preventing anti-competitive behaviour among vertically integrated service providers. Under the Guidelines on Implementation of Accounting Separation, qualifying service providers are required to submit Regulatory Financial Statements (RFS) covering specified wholesale and retail services. In 2025, MCMC received and assessed RFS submissions from seven service providers for the financial year ending 2024. These submissions provided visibility into cost structures, revenues and market behaviour across the industry.

MCMC also monitored competition within the retail communications market, covering more than 50 licensees offering fixed broadband, mobile and pay television services. Competition within the mobile market remained strong, with service providers introducing enhanced 5G prepaid and postpaid packages featuring larger data allocations and more flexible offerings. In the fixed broadband segment, consumer demand continued to shift towards higher-speed services, with 95.4% of subscriptions recorded at speeds of 100 Mbps and above as at Q3 2025. Meanwhile, consumers continued to benefit from a broad range of pay television and streaming service options, contributing to a more competitive and diverse content marketplace.

Overall, these initiatives supported MCMC's efforts to foster effective competition, promote market transparency and ensure that communications markets remain responsive to the needs of consumers and industry stakeholders.



Content Regulation

Content regulation plays an important role in fostering a safe, responsible and inclusive communications environment. As content creation and consumption increasingly span traditional broadcasting platforms and digital services, regulatory approaches must continue to evolve to address emerging risks while preserving opportunities for innovation and public participation.

In Malaysia, content regulation is guided by the CMA 1998, the Malaysian Communications and Multimedia Content Code (Content Code) and other relevant regulatory instruments. Through regulatory oversight, stakeholder engagement and industry collaboration, MCMC promotes responsible content practices, safeguards the public interest and strengthens protections against harmful content across broadcasting and online environments.

Throughout 2025, MCMC advanced the content regulatory framework through new regulatory measures, enhanced oversight activities and industry engagement initiatives. These efforts focused on improving online safety, strengthening platform accountability and ensuring that content services remain aligned with societal expectations and regulatory requirements.

Online Safety Act 2025 and Social Media Licensing Framework

A significant regulatory milestone in 2025 was the introduction of the Online Safety Act 2025 (ONSA 2025), which establishes a structured legal framework to address harmful online content and strengthen user protection in Malaysia's digital environment. The Act reflects a more proactive and risk-based regulatory approach, placing greater accountability on licensed service providers that facilitate online interactions at scale.

Complementing the ONSA 2025, a licensing framework was introduced for internet messaging and social media service providers with eight million or more users in Malaysia. Effective 1 January 2025, these service providers are required to register for an Applications Service Provider Class Licence (ASP(C)) under the CMA 1998. The framework reinforces the responsibility of major online platforms to safeguard users and support a safer online ecosystem.

Following the gazettement of the ONSA 2025, the year served as a transition period focused on preparing the ecosystem for implementation. During this period, MCMC conducted extensive engagements with government agencies, industry players, international organisations, civil society groups and other stakeholders to gather feedback, address implementation considerations and facilitate regulatory readiness.



Work also progressed on the development of supporting regulations, codes and guidelines to provide clarity on compliance expectations and implementation requirements. These efforts were complemented by awareness initiatives aimed at supporting industry preparedness and encouraging licensed service providers to improve their internal policies, operational processes and online safety measures ahead of the Act coming into force on 1 January 2026.

Together, the licensing framework and the ONSA 2025 represent a significant step towards a safer and more trusted digital environment for Malaysians.

Content Governance and Regulatory Oversight

Beyond these regulatory developments, MCMC maintained oversight of content disseminated across broadcasting and online platforms to ensure compliance with applicable laws, industry codes and community standards.

MCMC's content regulatory oversight encompasses both traditional broadcasting services and digital content platforms, and is guided by the CMA 1998, the Content Code and other relevant legislative and regulatory instruments.

Within the broadcasting sector, compliance among television and radio service providers was monitored to ensure that content remained consistent with regulatory requirements and community standards. Broadcasters are expected to deliver responsible and meaningful content that upholds standards of decency, promotes social harmony and avoids material that may adversely affect public interest.

MCMC's oversight also extends to digital platforms and new media services, including social media platforms, websites and digital applications. Particular attention is given to content disseminated through network facilities and services that may contravene the CMA 1998, including content that is obscene, indecent, false, menacing or offensive in nature. In carrying out this role, MCMC works closely with digital platform providers and relevant enforcement agencies to address harmful online content within the established legal and regulatory framework.

In addition to regulatory monitoring, MCMC receives and assesses complaints, referrals and applications relating to online content that may breach Malaysian laws. These reports support regulatory assessment and facilitate timely intervention where necessary. MCMC also maintains close collaboration with government agencies, industry stakeholders, platform providers and the public to strengthen awareness, improve compliance and enhance the effectiveness of content regulation.

Regulatory Enhancements and Industry Engagement

In addition to strengthening the legislative and regulatory framework, MCMC continued to enhance content governance through new guidance, the review of industry codes and targeted capacity-building initiatives. These efforts aimed to promote responsible content practices, improve compliance and ensure that content regulation remains responsive to developments in the digital ecosystem.

A key development in 2025 was the launch of the Guidelines for Reporting and Sharing of Suicide-Related Content on 3 June 2025. Developed through multi-stakeholder collaboration, the guidelines provide a framework for the responsible reporting and sharing of suicide-related content across media platforms. They encourage the use of sensitive and appropriate language, discourage sensational or graphic depictions, promote the inclusion of mental health support resources, and emphasise positive narratives of recovery and help-seeking. In doing so, the guidelines support responsible media practices and contribute to wider efforts to protect public well-being.

MCMC also collaborated closely with the Communications and Multimedia Content Forum of Malaysia (CMCF) in reviewing and developing the Fourth Edition of the Content Code. The review was undertaken to ensure that the Content Code remains relevant in addressing evolving content issues, particularly those associated with online platforms, changing consumption patterns and technological developments such as artificial intelligence.



Source: CMCF

Figure 7.20: Launch of the Guidelines for Reporting and Sharing of Suicide-Related Content on 3 June 2025

The review process involved extensive engagement with industry participants, civil society organisations, academic institutions and government stakeholders, supported by international benchmarking and a nationwide public consultation exercise conducted between September and November 2025.

The revised Content Code introduces enhanced platform responsibilities, stronger protections for children and vulnerable groups, and updated guidance on emerging technologies, with registration targeted for 2026.

To further enhance regulatory capability and industry awareness, a series of engagement and capacity-building programmes was conducted throughout the year. These included workshops for MCMC officers on the management of online content complaints and compliance training for broadcasting licensees on the ethical reporting and sharing of suicide-related content. The programmes reinforced regulatory readiness, promoted consistent enforcement practices and strengthened industry understanding of content obligations and responsibilities.

Compliance of CASP (I) Licence Conditions

Ensuring compliance with licence conditions is a key aspect of MCMC's regulatory oversight of Content Applications Service Providers (Individual) (CASP (I)). Through application reviews, compliance briefings and monitoring activities, MCMC ensures that broadcasting services operate in accordance with the CMA 1998, the Content Code and other applicable regulatory requirements.

Live or Delayed Telecast Applications (LDTA)

Under their licence conditions, CASP (I) licensees are required to submit applications for live or delayed telecasts through the e-LDTA system prior to the proposed broadcast date. The application process enables MCMC to assess programme compliance and engage with broadcasters before the transmission of selected content.

As part of regulatory oversight, MCMC conducted compliance briefings, reviewed programme information and undertook monitoring activities for selected broadcasts where necessary. for selected broadcasts where necessary. These measures support adherence to regulatory requirements and promote responsible broadcasting practices across the industry.

In 2025, MCMC received and approved 208 LDTA applications, comprising 122 applications from free-to-air television broadcasters, 41 applications from subscription television broadcasters and 45 applications from terrestrial radio operators (Figure 7.21).

Number of LDTA Applications by Platform in 2025

Subscription Television	Free-to-Air Television	Terrestrial Radio	Total
41	122	45	208

Source: MCMC

Figure 7.21: Number of LDTA Applications by Platform, 2025

Public Service Announcements (PSA)

MCMC remained active in collaborating with the Ministry of Communications to facilitate the dissemination of public service announcements (PSAs) through private television and radio broadcasters. These announcements serve as an important channel for communicating government initiatives, public information and awareness messages to the public.

In 2025, private broadcasters aired a total of 174 PSAs across broadcast and digital platforms, covering various national initiatives, including Program MADANI Rakyat, Program Jualan Rahmah MADANI and the PriceCatcher application. Through ongoing compliance monitoring and collaboration with industry stakeholders, broadcasting services fulfilled their regulatory obligations while facilitating the dissemination of information in the public interest and contributing to greater public awareness of government programmes and services.

Communications and Multimedia Consumer Forum of Malaysia

The Communications and Multimedia Consumer Forum of Malaysia (CFM) is an industry forum established pursuant to the CMA 1998 to support consumer protection and industry self-regulation within the communications and multimedia sector. As part of Malaysia's co-regulatory framework, CFM works collaboratively with MCMC, industry players and consumer groups to promote fair business practices, strengthen consumer safeguards and enhance industry accountability.

In 2025, CFM continued to advance these objectives through consumer advocacy, industry code development, complaint management oversight and stakeholder engagement activities. These efforts contributed to strengthening self-regulatory mechanisms, enhancing consumer confidence and supporting the effective implementation of consumer protection measures across the industry.

Consumer Advocacy and Engagement

Throughout 2025, CFM strengthened consumer awareness and engagement through collaborations with industry players, government agencies, educational institutions, consumer groups and youth representatives. Outreach programmes, exhibitions, industry dialogues, university engagements, public awareness campaigns and participation in national events were conducted to improve public understanding of consumer rights, complaint resolution mechanisms, digital safety and responsible online practices.

CFM also enhanced its governance and institutional capabilities through initiatives aimed at improving organisational effectiveness, stakeholder participation and operational accountability. These efforts supported the Forum's role as a credible industry self-regulatory body and reinforced confidence in its consumer protection, advocacy and dispute resolution functions.

Through these advocacy and engagement initiatives, CFM complemented MCMC's broader consumer empowerment objectives by promoting informed consumer decision-making and strengthening awareness of available redress channels within the sector.

Complaint Resolution and Consumer Redress

CFM supported consumer redress through the Consumer Redress Portal (CRP), which serves as a centralised platform connecting consumers, service providers, the Forum and MCMC. The platform facilitates the management of consumer complaints while supporting regulatory oversight and promoting transparent dispute resolution processes.

Within Malaysia's consumer redress framework, CFM facilitates dispute resolution between consumers and service providers, particularly for complaints within its jurisdiction under the General Consumer Code (GCC). Through complaint monitoring, mediation and appeals management, CFM supports fair and transparent dispute resolution while encouraging improvements in industry complaint handling practices.

A key development during the year was the introduction of Tier 1 monitoring, which strengthened oversight of complaint handling by service providers. This initiative enabled closer monitoring of compliance with prescribed resolution timelines, GCC requirements and the adequacy of resolutions provided to consumers. The appeal mechanism was also maintained for consumers who remained dissatisfied with complaint outcomes, providing an independent avenue for further review.

Insights derived from complaint trends and appeal cases continued to support regulatory interventions, consumer protection initiatives and industry engagement efforts aimed at addressing recurring consumer concerns and improving service quality.

Industry Code Development and Compliance Monitoring

CFM further strengthened consumer protection and industry accountability through the development and enhancement of industry self-regulatory instruments under the GCC.

A significant achievement during the year was the development of the GCC Sub-Code on Opt-In Requirements, which seeks to strengthen consumer consent mechanisms relating to service activations, value-added services, roaming services, contract renewals and service migrations. Developed through consultation with industry stakeholders and consumers, the Sub-Code aims to enhance transparency, strengthen safeguards and reduce disputes arising from unauthorised service changes.

The development of the GCC Sub-Code on Service Termination was also initiated to promote greater consistency, transparency and consumer protection in service termination processes across the industry. The proposed Sub-Code seeks to address recurring consumer concerns relating to service discontinuation and contract termination while strengthening industry accountability.

To support compliance with the GCC, CFM also conducted engagement sessions and briefing programmes with service providers. In addition, caution notices were issued for non-compliance relating to complaint handling obligations and service quality requirements, reinforcing industry accountability and encouraging improvements in consumer protection practices.

Communications and Multimedia Content Forum of Malaysia

The Communications and Multimedia Content Forum of Malaysia (CMCF) is an industry forum established pursuant to the CMA 1998 to promote responsible content practices and support self-regulation within Malaysia's communications and multimedia sector.

In 2025, CMCF continued to advance responsible content governance through industry engagement, policy development, capacity-building initiatives and strategic collaborations. These efforts contributed to the development of a safer, more inclusive and ethically responsible content ecosystem, while strengthening awareness and adoption of self-regulatory principles across traditional and digital media platforms.

Content Governance and Industry Development

CMCF supported the implementation and enhancement of the Content Code, which remains a key industry instrument governing responsible content creation and dissemination. Throughout the year, CMCF worked closely with industry stakeholders, regulators, civil society organisations and academic institutions to address emerging content challenges and strengthen understanding of self-regulatory obligations.

A key focus in 2025 was supporting policy development and industry discourse on responsible content governance. CMCF contributed to initiatives aimed at strengthening ethical content practices, promoting digital safety and encouraging greater accountability among content creators, media organisations and digital platforms. These efforts complemented MCMC's broader regulatory initiatives to foster a safe, inclusive and trusted content environment.

Capacity Building and Stakeholder Engagement

CMCF strengthened industry awareness and professional capability through a broad range of engagement, training and outreach programmes involving media practitioners, content creators, digital platforms, educational institutions and community stakeholders.

Throughout the year, CMCF organised workshops, dialogues, masterclasses and awareness programmes focusing on content ethics, responsible digital engagement, online safety, media literacy and emerging issues associated with digital content creation. These initiatives engaged diverse stakeholder groups, including broadcasters, advertisers, influencers, edufluencers[1], students, academics and youth representatives, helping to strengthen understanding of ethical content practices and responsible online behaviour.

Programmes focused on digital wellbeing, online safety and emerging technologies were also carried out to support youth participation and policy engagement. These programmes encouraged constructive dialogue and facilitated greater youth involvement in discussions relating to content governance and digital citizenship.

Strategic Partnerships and Policy Contributions

CMCF expanded its strategic collaborations with local and international partners to enhance industry capacity, promote responsible content practices and support the development of effective self-regulatory frameworks.

At the national level, collaborations with academic institutions, industry associations, government agencies and content industry stakeholders focused on research, training, knowledge sharing and professional development. These collaborations supported efforts to strengthen content governance, enhance industry competency and promote greater adoption of ethical content standards.

CMCF also maintained active engagement with global technology platforms and international organisations to address emerging challenges associated with online content, digital trust and platform accountability. Through policy dialogues, stakeholder engagements and collaborative initiatives, the Forum contributed to discussions on child online safety, misinformation, generative artificial intelligence, cyberbullying and responsible platform governance.

During the year, CMCF contributed to several policy and industry development initiatives, including the review of the Malaysian Communications and Multimedia Content Code, the promotion of the Disability Inclusive Language Guidelines and participation in international forums on responsible content governance. CMCF also represented Malaysia at the International Association for Suicide Prevention (IASP) 33rd World Congress in Vienna, where it showcased Malaysia's Guidelines for Reporting and Sharing of Suicide-Related Content and contributed to discussions on ethical media practices and harm minimisation.

Collectively, these efforts contributed to the continued evolution of Malaysia's content governance framework, reinforced industry awareness of ethical content responsibilities and strengthened collaboration between regulators, industry stakeholders and the wider community.

Complaints Handling and Content Code Compliance

CMCF upheld the integrity of the Content Code through its complaints-handling mechanism, which provides members of the public and industry stakeholders with a channel to raise concerns relating to content that may potentially contravene the Content Code.

During the year, complaints received by CMCF were managed through its online platform. CMCF also worked closely with relevant stakeholders, including digital platforms and content providers, to facilitate appropriate review and resolution processes.

Through its complaints-handling and adjudication functions, CMCF supported compliance with the Content Code, promoted responsible content practices and contributed to a more accountable and responsive content ecosystem. These efforts reinforced the role of industry self-regulation in strengthening content governance across the communications and multimedia sector.

1. An edufluencer (education influencer) is an inspirational teacher recognised for using social media to share best practices, innovative teaching methods, and positive educational content.



Source: CMCF

Figure 7.22: Youth IRL Fellows Closing Ceremony, 2025

Postal Forum

The Postal Forum serves as the recognised industry forum under the Postal Services Act 2012 (PSA 2012), with a mandate to represent consumer interests within Malaysia's postal and courier sector. Operating within the industry's self-regulatory framework, the Forum engages with MCMC, postal and courier service providers, consumer representatives and other relevant stakeholders to support fair practices, improve service standards and address consumer-related issues.

In 2025, the Forum remained active in contributing to a more responsive and consumer-oriented postal and courier ecosystem. Its work focused on supporting the implementation of industry standards, facilitating consumer engagement, enhancing complaint resolution processes and promoting initiatives to improve industry professionalism. These efforts helped reinforce consumer trust while supporting the long-term resilience of Malaysia's postal and courier services.

Industry Standards and Self-Regulation

A major milestone during the year was the national launch of the Code of Practice for Postal Services (CPPS) during Hari Kurier Negara 2025. The CPPS represents the first industry-wide self-regulatory framework for Malaysia's postal and courier sector, providing guidance on service standards, consumer protection principles and complaint handling practices.

The introduction of the CPPS reinforced industry accountability, improved service transparency and enhanced consumer safeguards. By promoting greater consistency in service delivery and consumer redress practices, the framework supports higher standards of professionalism and service quality among postal and courier service providers.

As at December 2025, the initiative achieved high levels of industry awareness and adoption, reflecting strong stakeholder support for the CPPS and its objectives. To facilitate implementation, the Postal Forum conducted engagement sessions, briefings and awareness programmes with industry stakeholders throughout the year, encouraging stronger commitment to self-regulation and continuous service improvement.



Source: Postal Forum

Figure 7.23: Launch of the Code of Practice for Postal Services (CPPS) during Hari Kurier Negara 2025

Consumer Advocacy and Engagement

Consumer awareness and empowerment remained key focus areas for the Postal Forum in 2025. The Forum conducted outreach and advocacy initiatives involving consumers, community groups, government agencies and industry stakeholders to improve awareness of consumer rights, service expectations and available complaint resolution mechanisms.

These efforts were complemented by digital advocacy initiatives covering scam awareness, parcel security, delivery arrangements, consumer rights and complaint redress processes. Through both physical and digital channels, the Postal Forum expanded its outreach and strengthened public understanding of consumer protection within the sector.

The Postal Forum also promoted stakeholder participation and engagement, reflecting growing industry support for self-regulatory initiatives and collaborative efforts to improve service standards and consumer outcomes.

Complaint Resolution and Consumer Redress

As part of MCMC's consumer redress framework, postal and courier-related complaints lodged through the Consumer Redress Portal were monitored and managed with the support of the Postal Forum. Its complaint resolution and advisory functions facilitated engagement between consumers and service providers, while supporting fair and timely dispute resolution.

In 2025, more than 8,700 postal and courier-related complaints were monitored through the Forum's complaint management and advisory functions. Complaint trends provided insights into recurring service issues and informed industry engagement, consumer advisory initiatives and recommendations to improve complaint handling practices.

Drawing on these insights, the Forum issued consumer advisories addressing concerns relating to parcel security, delivery performance and service reliability. These efforts contributed to improved complaint management outcomes, supported greater accountability among service providers and reinforced consumer confidence in postal and courier services.

Industry Development and Capacity Building

The Postal Forum also contributed to sector development through initiatives focused on operational improvement, service transparency and courier workforce safety.

Key initiatives included participation in the MyKURIER Star Rating Programme, which encourages service providers to improve performance through transparent assessment and continuous service improvement. In addition, collaboration with industry partners and technical experts supported the development of the Courier Safety Passport (MyCSP), a structured training programme aimed at improving safety awareness, regulatory compliance and operational best practices among courier personnel.

Through these initiatives, the Postal Forum contributed to the development of a more resilient, professional and consumer-focused postal and courier ecosystem, while supporting higher service standards, stronger consumer protection and greater industry accountability.

Malaysian Technical Standards Forum Bhd

The Malaysian Technical Standards Forum Bhd (MTSFB) plays a central role in Malaysia's technical standards landscape as the designated technical standards forum under the CMA 1998. Its work focuses on the development and maintenance of technical codes that enable network interoperability, support equipment certification, uphold service quality and promote the safe operation of communications and multimedia networks.

Within the co-regulatory framework, MTSFB brings together MCMC, industry players, academic institutions and technical experts to advance standardisation and support the development of a resilient, reliable and future-ready communications ecosystem.

Technical Standards Development

Technical standards development remained the core focus of MTSFB in 2025. As at 31 December 2025, a total of 126 technical codes had been registered under Section 95 of the CMA 1998, of which 86 remained active. Twenty-eight technical codes were utilised for the certification of communications equipment under the Communications and Multimedia (Technical Standards) Regulations 2000.

In 2025, MTSFB registered 11 new technical codes covering emerging and strategic technology areas, including connected mobility, IoT, cybersecurity, digital identity, IPv6, RF EMF exposure, VoLTE and fixed network facilities. As listed in Figure 7.24, these technical codes support industry readiness, promote interoperability and strengthen the secure deployment of communications technologies across Malaysia.

No.	Technical Codes
1.	MCMC MTSFB TC G049:2025 - Cellular Vehicle-to-Everything (C-V2X) System Architecture and Specifications
2.	MCMC MTSFB TC G050:2025 - Internet of Things (IoT) - Baseline Security Assessment for Consumer Devices
3.	MCMC MTSFB TC G051:2025 - Digital Identity Security Management
4.	MCMC MTSFB TC G052:2025 - Malaysia Cybersecurity Maturity Capability (MyCMC)
5.	MCMC MTSFB TC G053:2025 - Internet Protocol version 6 - Deployment Specifications for Segment Routing Over Internet Protocol version 6
6.	MCMC MTSFB TC T012:2025 - Land Mobile Radio Equipment - Specifications (Second Revision)
7.	MCMC MTSFB TC G032:2025 - Prediction and Measurement of RF EMF Exposure from Base Station (First Revision)
8.	MCMC MTSFB TC G054:2025 - Voice over Long-Term Evolution (LTE) - System and Device Compatibility
9.	MCMC MTSFB TC G025-5:2025 - Basic Civil Works – Part 5: Last Mile Fixed Network Telecommunications Pole
10.	MCMC MTSFB TC G055:2025 - Fixed Network Facilities - In-building and External for Brownfield
11.	MCMC MTSFB TC G056:2025 - Internet of Things (IoT) - Privacy Requirements

Source: MTSFB

Figure 7.24: New Technical Codes Registered in 2025

The development of technical codes continued to be supported through public consultation exercises and stakeholder engagement sessions. These processes provided opportunities for industry participants, technical experts and other interested parties to contribute to the formulation and refinement of technical standards prior to registration.

Industry Engagement and Standards Adoption

MTSFB promoted awareness and adoption of registered technical codes through a series of Technical Code Awareness Programmes. These programmes provided industry stakeholders with guidance on the implementation of technical standards and facilitated knowledge sharing on emerging technologies, cybersecurity, network infrastructure and communications equipment requirements.

MTSFB also supported broader adoption of technical codes through engagements with government agencies, industry players, academic institutions and professional organisations. These efforts contributed to greater awareness, consistency and compliance in the application of technical standards across the industry.

Strategic Collaborations and Emerging Technologies

Strategic collaboration remained an important part of standards development, technical studies and industry capacity building in emerging technology areas. During the year, MTSFB engaged local and international stakeholders on areas such as AI, cybersecurity, satellite communications, IoT, smart infrastructure, green technologies and future telecommunications networks.

Notable collaborations included engagements with the National AI Office (NAIO), Malaysian Space Agency (MYSA), Department of Standards Malaysia (DSM), European Telecommunications Standards Institute (ETSI) and oneM2M. These engagements supported knowledge exchange, technical expertise and the adoption of standards across emerging technology domains.

Overall, MTSFB's technical code development, awareness programmes and strategic collaborations contributed to the continued advancement of Malaysia's communications and multimedia standards framework. These efforts supported technology innovation, strengthened standardisation and enhanced the reliability, interoperability and security of the nation's communications and multimedia infrastructure.



MCMC NEXUS: Network Performance and User Experience Monitoring Application

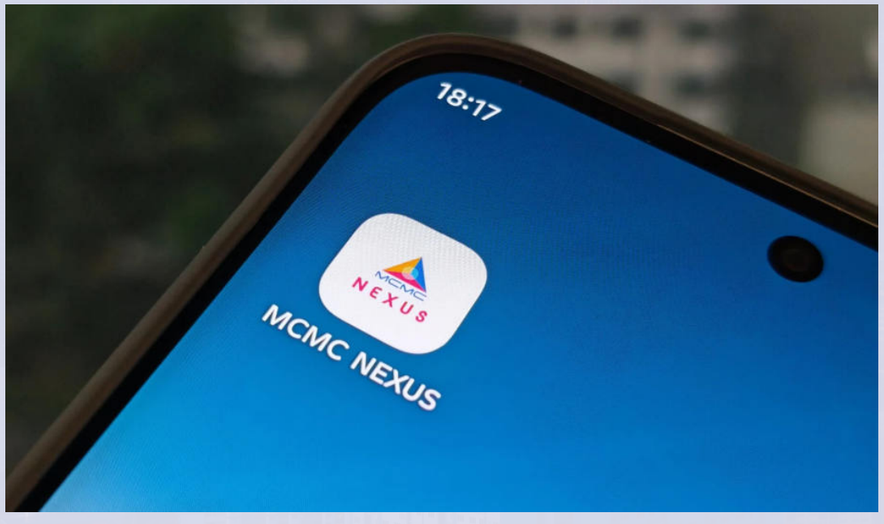
MCMC NEXUS is a strategic initiative developed by the Malaysian Communications and Multimedia Commission (MCMC) to enhance the monitoring, measurement, and analysis of telecommunications service quality across Malaysia. The platform leverages a mobile application to enable structured, real-time data collection on network performance and user experience, supporting a more transparent, data-driven, and proactive regulatory framework.

The primary objective of MCMC NEXUS is to ensure compliance with the Mandatory Standard for Quality of Service (MSQoS) for Wireless Broadband Access while improving overall network performance visibility. The application captures key performance indicators such as download and upload speeds, latency, service accessibility, and network coverage across both mobile and Wi-Fi environments, including 4G and 5G technologies.

MCMC NEXUS integrates four core testing modules: Speed Test (to measure Quality of Service), Data Experience Test (to assess Quality of Experience across applications), Route Survey (to evaluate network performance along transportation routes), and Building Survey (to analyse indoor coverage and signal strength). These modules collectively provide a comprehensive view of network performance in both controlled and real-world environments.

Since its introduction, MCMC NEXUS has expanded its accessibility across major mobile platforms to support wider adoption. The application was first made available on the Android Play Store in January 2025, followed by the iOS App Store in July 2025, and subsequently on the Huawei AppGallery in December 2025. This multi-platform availability has enabled broader user participation and strengthened nationwide data collection efforts.

As of 31 December 2025, the application has recorded strong user adoption, reaching a total of 43,850 downloads, comprising 33,278 via Android Play Store, 10,500 via iOS App Store, and 72 via Huawei AppGallery. In parallel, the system has successfully collected 120,528,899 data points over the same period, enabling robust network performance monitoring and comprehensive end-to-end user experience analytics.



A key strength of the application lies in its hybrid data collection approach, combining crowdsourced user data with structured testing methodologies. This transforms users into active contributors to network monitoring, creating a scalable and continuously improving ecosystem. All Mobile Network Operators (MNOs) have onboarded and whitelisted the application, ensuring that test data remains accurate and unaffected by throttling or data caps.

MCMC NEXUS has been successfully deployed across various high-impact use cases, including national events such as LIMA 2025, ASEAN Summit 2025, National Day celebrations, and nationwide infrastructure assessments such as highway coverage analysis. These implementations demonstrate the application's capability to deliver real-time insights for both planned and dynamic scenarios.

The initiative delivers significant value across multiple dimensions. It enhances regulatory efficiency by reducing reliance on manual audits and enabling continuous monitoring, with potential cost savings of up to RM50 million annually. It accelerates issue detection and resolution from weeks to days, improves nationwide network visibility by eliminating blind spots, and supports Malaysia's digital economy agenda by strengthening service quality and productivity. Additionally, it promotes transparency and builds public trust through accessible performance data.

MCMC NEXUS represents a paradigm shift in regulatory monitoring—from periodic, cost-intensive processes to a near real-time, low-cost intelligence ecosystem. By leveraging citizen participation and advanced analytics, the application establishes a self-optimising model that continuously enhances network quality and user experience.

The initiative has been recognised with the Digital Inclusion Award at the Malaysia Digital Transformation Awards (MDTA) 2025, underscoring its role in advancing inclusive connectivity and data-driven governance.

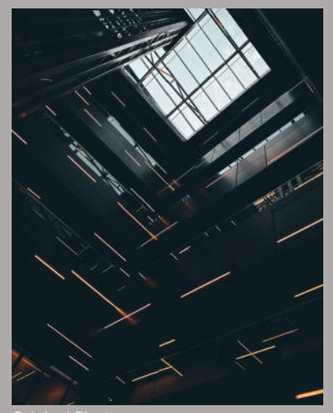
In conclusion, MCMC NEXUS is a critical enabler of Malaysia's digital transformation, strengthening the telecommunications ecosystem through enhanced monitoring capabilities, improved service quality, and increased stakeholder collaboration.



Chapter 8

OUTLOOK

Design Rationale:



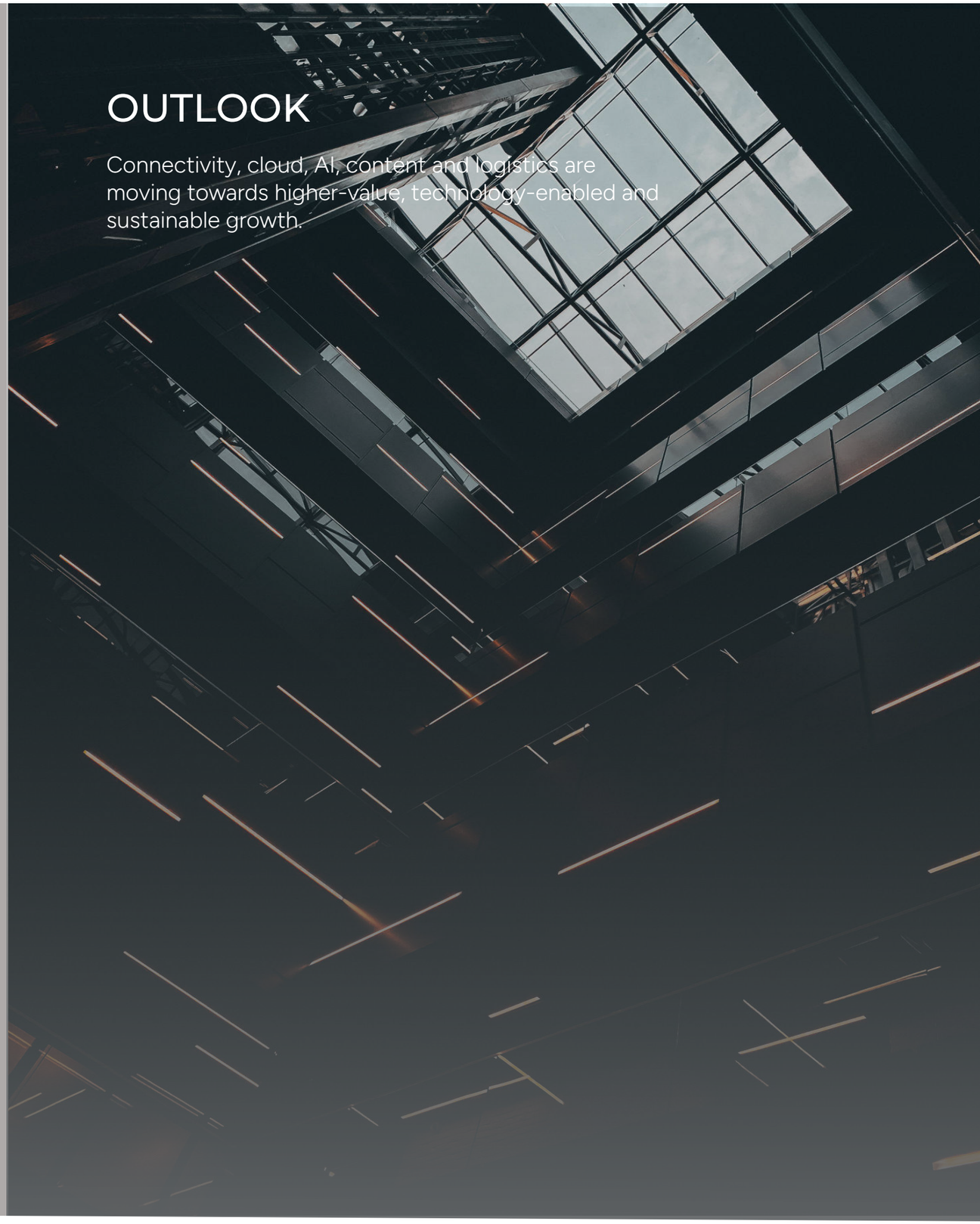
Original Photo

Advancing Towards a Connected Future

The image illustrates a modern architectural space viewed from below, where clean geometric lines converge towards the sky, symbolising vision, progress and the limitless possibilities of the future. The contemporary design reflects innovation, resilience and the forward momentum that continues to shape Malaysia's communications and multimedia landscape.

The visual was selected to represent the industry's outlook as it embraces emerging technologies, digital transformation and evolving consumer needs. Its abstract composition conveys optimism and continuous advancement, complementing the chapter's focus on future trends, strategic opportunities and the long-term development of a connected and digitally empowered Malaysia.

This chapter presents the outlook for Malaysia's communications, multimedia, postal and courier sectors, focusing on key trends that will shape future industry development. It examines developments in telecommunications, broadcasting and content, and postal and courier services, as well as the implications of emerging areas such as cloud, artificial intelligence and cybersecurity for the C&M industry. The chapter also considers how technology adoption, market competition, changing consumer behaviour and evolving business models are influencing the next phase of sector development.



OUTLOOK

Connectivity, cloud, AI, content and logistics are moving towards higher-value, technology-enabled and sustainable growth.

Telecommunications Outlook

Malaysia's telecommunications sector enters the next phase from a position of market maturity, with future expansion shaped less by subscriber growth and more by higher data consumption, fixed broadband uptake, 5G migration and enterprise demand for digital solutions. While price competition, service commoditisation and inflationary pressures may temper revenue growth, opportunities remain in network modernisation, fixed-mobile convergence, enterprise ICT services and emerging technologies such as 5G-Advanced, IoT, cloud and artificial intelligence. These trends are expected to influence operator strategies as the sector moves towards more differentiated, technology-enabled and value-added service offerings.

Mobile and Fixed Market

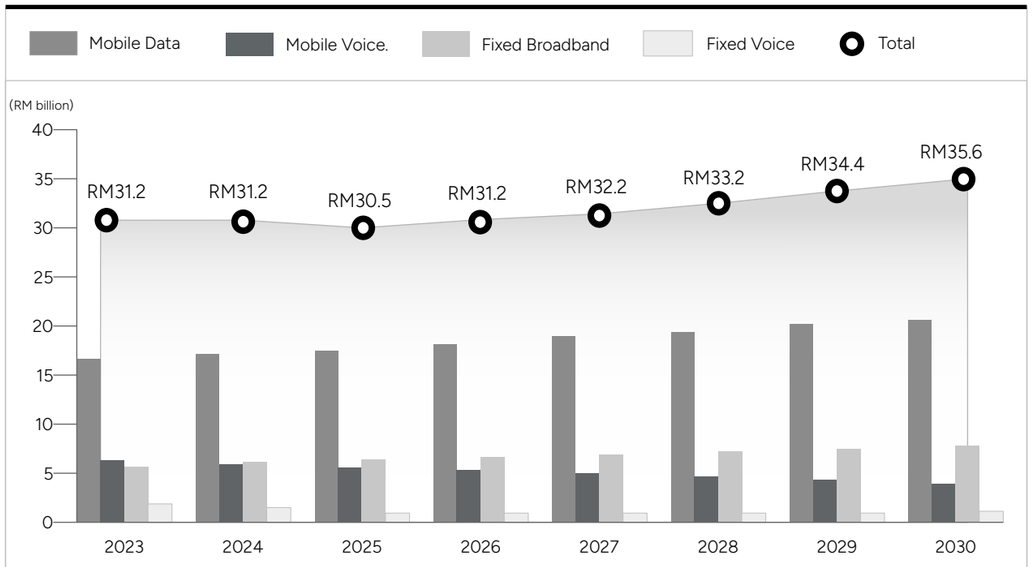
Malaysia's telecommunications market is expected to remain resilient despite broader economic headwinds. Total service revenue, comprising mobile data, mobile voice, fixed broadband and fixed voice, is estimated to reach RM31.2 billion in 2026. By 2030, total service revenue is projected to reach RM35.6 billion, underpinned by continued network investment, wider broadband coverage and further adoption of digital services, although price competition and softer consumer spending may limit the pace of expansion.

Mobile services remain the largest component, accounting for 75% of total telecommunications service revenue. Revenue from mobile data, voice and messaging is estimated at RM23.4 billion in 2026, with the segment projected to expand over the next five years. Data usage remains the main contributor, supported by higher consumption of video streaming, social media, gaming, cloud-based applications and other data-intensive services. At the same time, the transition towards 5G and 5G-Advanced is expected to improve network capacity and create opportunities for new consumer and enterprise use cases.

National infrastructure initiatives such as JENDELA have contributed to wider mobile coverage, with 4G and 5G services now reaching more than 98% and 82% of the population, respectively. Average monthly data usage is projected to nearly double from 32 GB in 2026 to 62 GB in 2030, indicating sustained demand for high-capacity mobile connectivity. IoT is also becoming a more relevant contributor to mobile services, with subscriptions estimated to increase from 2.4 million connections in 2026 to 3.8 million in 2030. However, gains from mobile data and IoT will be partly offset by the continued decline in mobile voice, as users shift from traditional calls to over-the-top communication applications such as WhatsApp and WeChat.

Fixed-line services are expected to account for around 25% of telecommunications service revenue. The segment is estimated at RM7.8 billion in 2026 and projected to reach around RM9.1 billion by 2030. Fixed broadband remains the main contributor, representing approximately 90% of the fixed-line segment. The projected revenue trend by service type is illustrated in Figure 8.1.





Service Type	2023	2024	2025	2026	2027	2028	2029	2030	CAGR (2025-2030)	2026 Growth (YoY)
Mobile Data	16.3	16.9	17.0	17.6	18.4	19.2	20.1	21.1	4.3%	3.3%
Mobile Voice	6.9	6.4	5.9	5.8	5.7	5.6	5.5	5.4	-1.5%	-2.2%
Fixed Broadband	6.2	6.6	6.7	7.0	7.3	7.6	7.9	8.3	4.3%	4.1%
Fixed Voice	1.7	1.4	0.8	0.8	0.8	0.8	0.8	0.9	0.5%	0.3%
Total	31.2	31.2	30.5	31.2	32.2	33.2	34.4	35.6	3.2%	2.3%

Note: Companies covered include CelcomDigi, Maxis, Telekom Malaysia, TIME, U Mobile, and other smaller service providers and MVNOs, including Yes, Tune Talk, XOX, Red One, Merchantrade and Telin.

Source: GlobalData

Figure 8.1: Malaysia Telecom Service Revenue by Type of Service, 2023–2030 (RM billion)

Beyond service revenue, household fixed broadband adoption is also expected to improve, with penetration projected to increase from 50% in 2025 to 63% in 2026, before reaching 73% by 2030. This adoption trend is linked to wider fibre coverage, including in remote and rural areas, as well as stronger competition from existing operators and new market entrants.

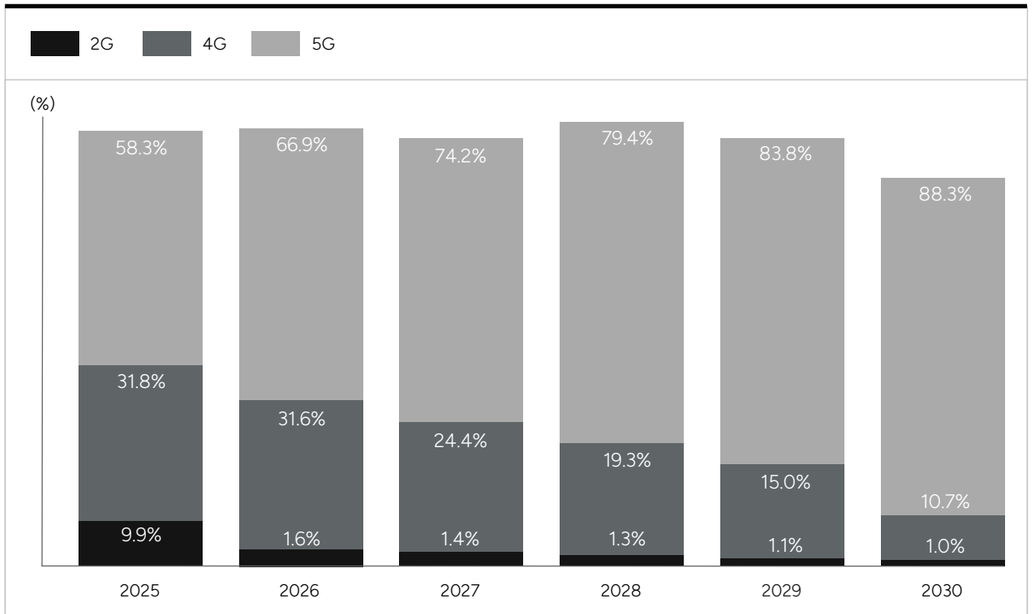
Operators are also broadening their fixed-mobile convergence strategies by combining mobile, fixed broadband and digital solutions to improve customer retention and strengthen their market positioning. CelcomDigi and Maxis, in particular, are expanding their fixed broadband initiatives and integrated fixed-mobile offerings. Beyond connectivity, operators are incorporating artificial intelligence into internal operations, customer engagement and enterprise solutions, as seen in CelcomDigi's AI Experience Center and AI-as-a-Service, Maxis' Mia Gen-AI-powered assistance for enterprise customers, and Telekom Malaysia's AI-ready data centres.

5G Development and Network Evolution

5G adoption is expected to reshape Malaysia's mobile market over the medium term as users migrate from legacy technologies towards higher-capacity networks. In 2025, 5G subscriptions reached 29.0 million and are estimated to increase to 34.1 million in 2026.

By 2030, 5G subscriptions are projected to reach 49.8 million, representing 88.3% of total mobile subscriptions. In contrast, 4G's share is forecast to decline from 31.8% in 2025 to 10.7% in 2030, while 2G is expected to account for only 1.0% by 2030. As illustrated in Figure 8.2, Malaysia's mobile subscription base is expected to shift decisively towards 5G over the outlook period, while the share of 4G and 2G subscriptions continues to decline.

The projected migration is supported by wider 5G network coverage, greater availability of 5G-enabled devices, more competitive pricing and increasing demand for high-capacity mobile services. Beyond consumer adoption, future growth is also expected to be supported by industrial IoT solutions and enterprise use cases, including private 5G networks and Reduced Capability, or RedCap, applications.



Data	2025	2026	2027	2028	2029	2030
2G	4,930	803	740	682	629	581
4G	15,850	16,110	12,776	10,354	8,267	6,046
5G	29,020	34,125	38,804	42,608	46,112	49,792
Total	49,800	51,037	52,320	53,644	55,008	56,419

Source: 2025 (MCMC), 2026–2030 (GlobalData)

Figure 8.2: Malaysia Mobile Subscriptions by Technology Generation, 2025–2030 ('000 subscriptions)

Enterprise ICT Services

Enterprise ICT services are becoming an increasingly important growth area for telecommunications operators as they expand beyond traditional connectivity. Solutions across the technology stack are also becoming more integrated, with Secure Access Service Edge (SASE) combining network and cybersecurity capabilities, while multi-cloud networking integrates connectivity with cloud infrastructure.

Growing enterprise digitalisation is creating opportunities for telecommunications operators to extend their core capabilities in connectivity and network infrastructure into areas such as managed services, cloud connectivity, cybersecurity, IoT, data analytics and other enterprise solutions. Demand is expected to increasingly favour integrated solutions that combine connectivity with digital and managed services, particularly as enterprises seek greater automation, secure access and real-time data capabilities.

Malaysian telecommunications operators are already progressing in this direction. In 2025, CelcomDigi recorded a 24.3% year-on-year increase in its Enterprise Solutions business, while Maxis' Fixed & Solutions revenue grew by 5.1%. TIME recorded a 4% year-on-year increase in its Enterprise segment. These developments reflect the growing importance of enterprise services as telecommunications operators broaden their offerings beyond connectivity towards more technology-enabled and value-added solutions.

Cybersecurity and Digital Trust: Implications for Telecommunications

Cybersecurity and digital trust are becoming increasingly important to telecommunications operators as enterprises expand their use of cloud, IoT, AI, data centres and connected infrastructure. Telecommunications operators have an important role in supporting secure connectivity, managed security services and enterprise cyber resilience.

As organisations become more dependent on digital systems, the risk environment is also becoming more complex. Wider technology adoption increases exposure to cyber threats as services, applications and data become distributed across multiple platforms and networks. Emerging risks, including AI-enabled threats, supply-chain compromises and future quantum-related security considerations, are likely to place greater emphasis on stronger monitoring, resilience and incident response capabilities.

In Malaysia, the threat environment remained elevated, with MyCERT reporting 7,616 cybersecurity incidents in 2025, compared with 6,209 incidents in the previous year. This reinforces the importance of protecting critical systems, strengthening operational resilience and improving preparedness against evolving cyber threats.

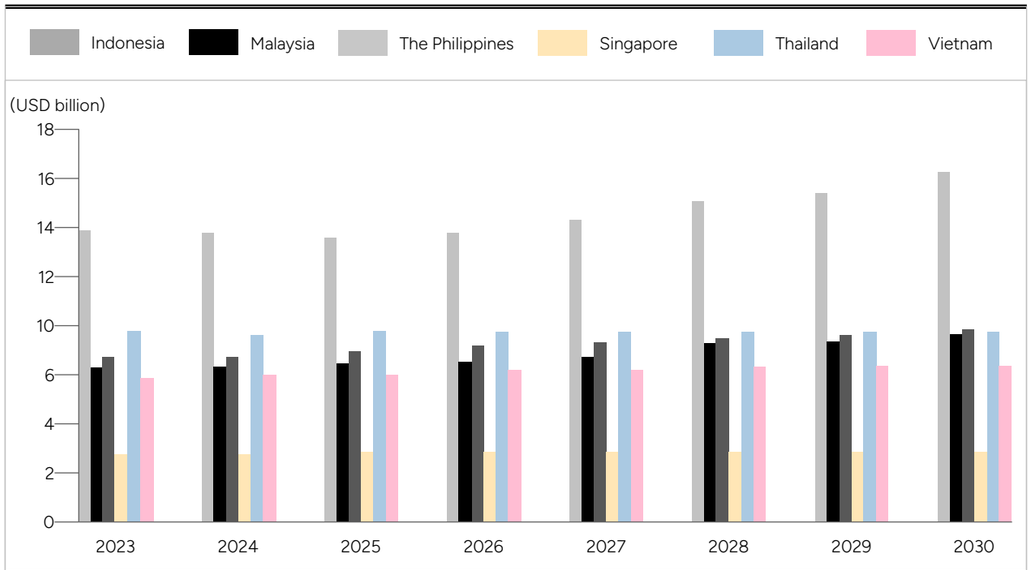
Demand for cybersecurity capabilities is expected to increase as organisations seek to protect critical systems, networks and data. Established capabilities such as firewalls, anti-DDoS, endpoint protection, identity and access management and security information and event management will remain relevant. At the same time, greater attention is expected to be given to capabilities such as Secure Access Service Edge, cloud and API security, AI security, extended detection and response, IT and OT security, Zero Trust Architecture and cybersecurity operations centres.

Looking further ahead, quantum security may gain greater attention as organisations and service providers assess potential future risks to existing encryption standards. Post-quantum cryptography and other quantum-safe approaches are likely to become increasingly relevant to the long-term security of communications networks and digital services as the technology and associated security requirements evolve.

Telecommunications Market in Southeast Asia

The telecommunications industry in Southeast Asia is entering a more mature phase, although market growth varies across countries. In more developed markets such as Singapore and Thailand, revenue growth is expected to remain relatively flat due to high market saturation. In contrast, Indonesia and the Philippines are projected to record stronger revenue growth, supported by rising adoption and usage across mobile and fixed-line services.

Malaysia presents a distinct market profile. Despite its high level of maturity, telecommunications service revenue is projected to grow steadily from 2025 to 2030, with a CAGR of 3.2%. As illustrated in Figure 8.5, Malaysia's market is expected to remain ahead of Singapore and Vietnam in revenue size, but below larger regional markets such as Indonesia, Thailand and the Philippines.



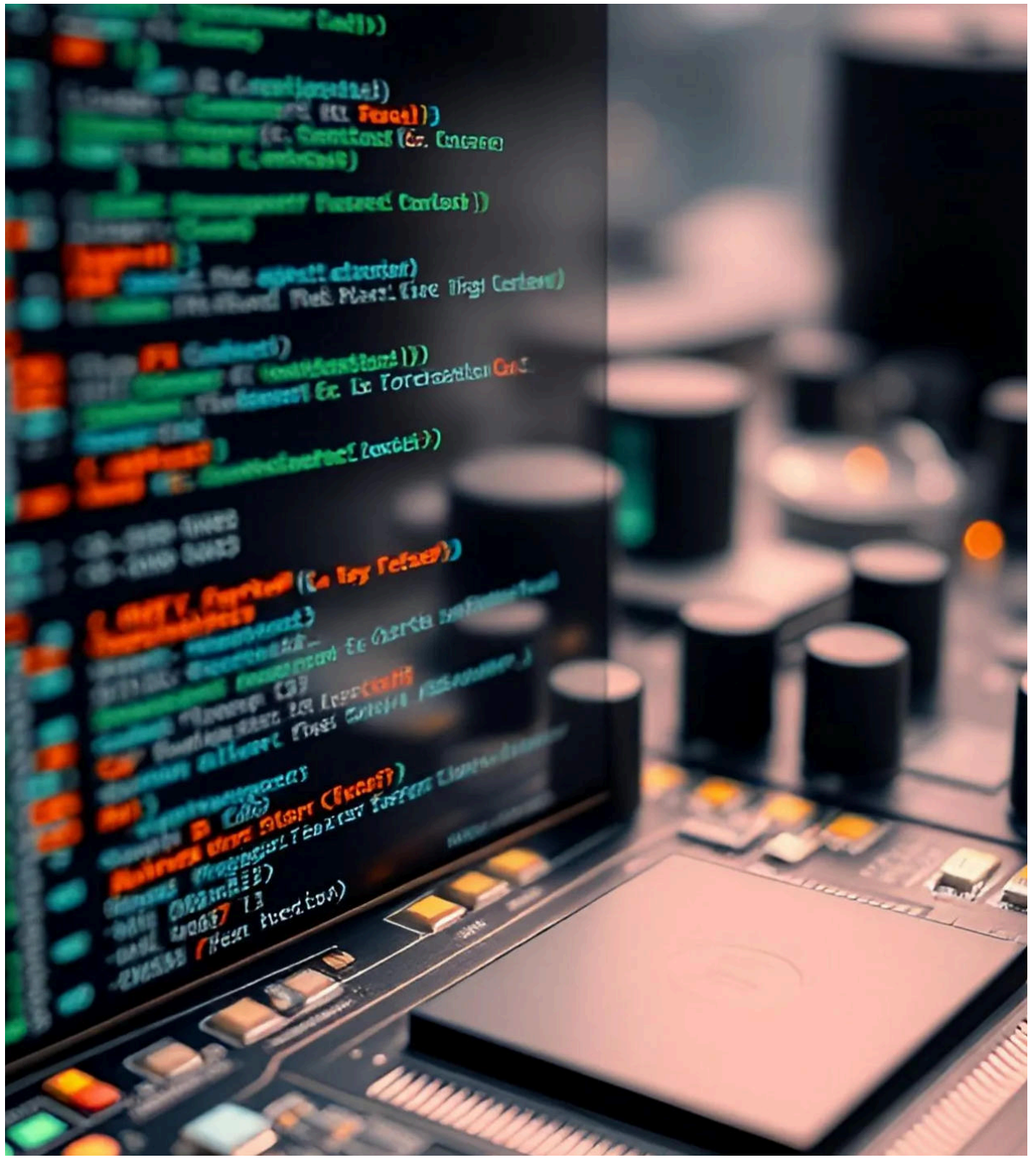
Country	2023	2024	2025	2026	2027	2028	2029	2030	CAGR (2025-2030)	2026 Growth (YoY)
Indonesia	13.82	13.71	13.21	13.65	14.39	15.12	15.73	16.21	4.2%	3.4%
Malaysia	6.83	6.82	6.97	7.16	7.38	7.62	7.89	8.17	3.2%	2.8%
Philippines	7.54	7.57	7.93	8.36	8.66	8.94	9.23	9.51	3.7%	5.4%
Singapore	2.77	2.78	2.83	2.84	2.85	2.85	2.86	2.87	0.3%	0.3%
Thailand	9.61	9.28	9.68	9.55	9.50	9.47	9.45	9.45	-0.5%	-1.4%
Vietnam	5.98	5.91	6.03	6.22	6.39	6.55	6.69	6.83	2.5%	3.2%

Source: GlobalData

Figure 8.3: Telecommunications Service Revenue in Selected Southeast Asian Markets, 2023–2030 (USD billion)

This projected growth is expected to be supported by wider adoption of fibre and 5G services, including in remote and rural areas, as well as sustained demand for high-capacity connectivity. Demand is further reinforced by high-definition video streaming, social media, gaming, AI-powered tools and enterprise digitalisation across Industry 4.0, IoT, cloud, data centre and AI applications.

Growing market maturity across Southeast Asia is also accelerating consolidation. In Indonesia, XL Axiata and Smartfren completed their merger and rebranded as XLSmart, while Indosat and Hutchison 3 combined to form Indosat Ooredoo Hutchison in 2022. In Thailand, the True-dtac merger and AIS' acquisition of Triple T Broadband were both finalised in 2023, while CAT Telecom and TOT merged to form National Telecom in 2021. In Malaysia, the CelcomDigi merger remains the landmark transaction shaping the current competitive landscape.



Cloud, Data Centres and AI-Enabled Services: Implications for the C&M Industry

Malaysia's cloud ecosystem is expanding, supported by enterprise digitalisation, public sector modernisation, hyperscaler investments and rising demand for scalable computing infrastructure. These developments have important implications for Malaysia's communications and multimedia (C&M) industry through their impact on connectivity demand, digital infrastructure, enterprise solutions and network capacity.

Cloud adoption is being shaped by the need for greater operational efficiency, scalability and business agility. Investments by major global cloud providers have strengthened the domestic cloud ecosystem through the establishment of local cloud regions, partner programmes and services addressing data residency requirements. The growing use of AI applications is also increasing demand for computing capacity and supporting infrastructure, strengthening the relationship between cloud, data centres and communications networks.

As adoption deepens, enterprises are increasingly operating across multiple cloud environments, providers and locations, creating greater demand for effective integration between cloud infrastructure and connectivity services. Sovereign cloud and edge computing are also gaining relevance, particularly for organisations managing sensitive data, critical applications and workloads requiring greater control over data location, performance and security.

AI-enabled services are similarly expected to shape demand for cloud, data centres, connectivity and enterprise ICT solutions. For the C&M industry, AI is becoming increasingly relevant through its impact on infrastructure demand, enterprise solutions, content creation, network optimisation, cybersecurity and online services.

AI adoption is expected to broaden as organisations move from proof-of-concept initiatives towards more practical deployment across business operations. Applications such as customer experience, cybersecurity, workflow automation, AIOps, code development and content generation are likely to see wider adoption as technological readiness, data availability and integration capabilities improve.

Looking ahead, developments such as sovereign AI and GPU-as-a-Service may gain greater relevance as organisations consider data security, computing requirements, inferencing costs and different deployment models. For the C&M industry, these developments could increase demand for data-centre connectivity, secure networks and enterprise ICT services, while enabling wider adoption of AI-enabled solutions.



Broadcasting and Content Outlook

Malaysia's broadcasting and content industry is moving towards a more integrated, multi-platform media ecosystem. Traditional linear television remains relevant, particularly for live events, local programming and established audiences, but viewing behaviour is increasingly shaped by streaming, mobile access, on-demand services and personalised content experiences.

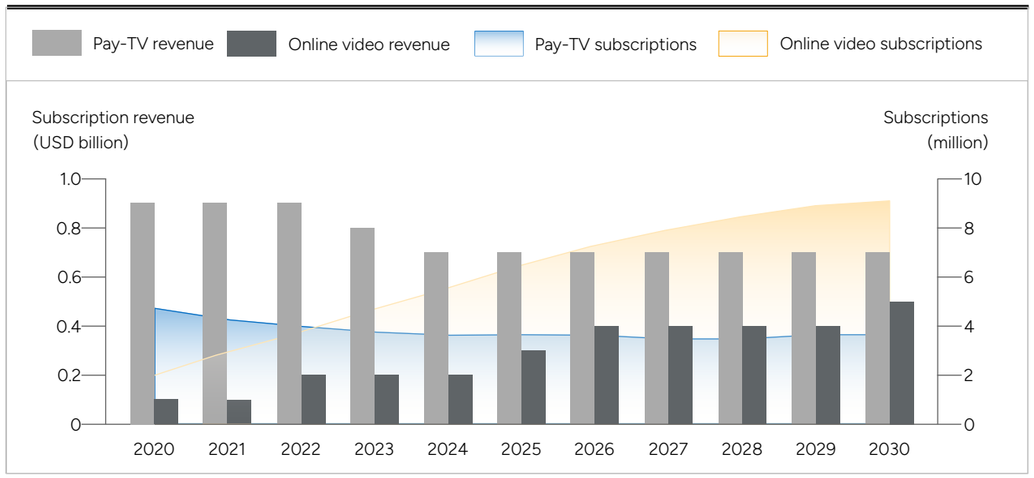
This shift is encouraging broadcasters to expand beyond conventional television services into digital platforms, advertising solutions, broadband partnerships and data-driven content strategies. The industry outlook will be shaped by the growth of online video, the migration of advertising expenditure towards digital channels, stronger demand for local content and the increasing use of technology in content production and distribution. At the same time, broadcasters are expected to face pressure from global streaming platforms, audience fragmentation, piracy, AI-generated content risks and the need to maintain public trust.

Pay TV, Online Video and Viewing Behaviour

Streaming service providers are increasingly competing with traditional broadcasters for viewership, advertising revenue and content rights. Major subscription video-on-demand platforms such as Netflix, Viu, WeTV iflix and Disney+ Hotstar have established a strong presence in Malaysia, giving consumers wider access to international, regional and local content across multiple devices.

As illustrated in Figure 8.8, online video subscriptions and revenue are projected to continue increasing through 2030, although growth is expected to moderate as the market matures. With many users already subscribed to one or more platforms, new subscriber growth is likely to become more gradual as competition intensifies and consumers become more selective in their spending.

Pay TV, meanwhile, is expected to stabilise after earlier declines. Revenue is projected to remain relatively steady towards the end of the outlook period, while subscriptions are expected to be supported by bundled offerings, live content, sports, local programming and established customer segments. These trends point towards a more mature multi-platform media landscape, where online video continues to drive growth while Pay TV retains relevance through stability, premium content and loyal audiences.



Source: Omdia

Figure 8.4: Malaysia Pay TV and Online Video Subscriptions and Revenue, 2020–2030

Digital Advertising and Monetisation

Malaysia's advertising expenditure landscape is expected to shift further towards digital channels, supported by rising social media engagement, programmatic advertising and stronger demand for measurable campaign performance. Based on MAGNA estimates cited by Kenanga Research, digital media accounted for 77% of total Malaysian advertising expenditure (Adex) in 2024 and is forecast to reach 85% by 2029, while television's share is expected to narrow from 8% to 5% over the same period.

This transition is driven by digital media's ability to offer wider reach, precise targeting, real-time analytics and stronger audience engagement. Platforms such as social media and search also enable advertisers to capture high-intent demand and deliver more personalised content. As a result, broadcasters are expected to place greater emphasis on data-led advertising, targeted campaigns and cross-platform monetisation to complement traditional broadcast advertising.

Astro's investment in KULT, a culture-first digital marketing venture launched in July 2025, illustrates this shift. The initiative focuses on connecting brands with audiences through data-driven and creative solutions by combining content, creators and commerce. Such initiatives are expected to support broadcasters' transition towards more diversified media sales models and strengthen their ability to compete for digital advertising revenue.

Content Innovation and Local Production

Content production will remain a key differentiator as competition for audience attention intensifies. Demand for culturally relevant programming is expected to support sustained investment in original local productions, particularly content that resonates with domestic audiences and has the potential for regional distribution. Strong local content also helps broadcasters attract and retain diverse audience segments across both traditional and digital platforms.

Astro's episodic drama "Dia Imamku" illustrates the enduring importance of locally relevant content, achieving strong audience engagement across television, on-demand streaming and social media platforms. Such performance demonstrates the value of compelling local productions in supporting audience retention, brand visibility and cross-platform monetisation.

Short-form and micro-drama content is also gaining traction as audiences increasingly shift towards mobile and social media viewing. Media Prima airs micro-dramas on free-to-air television while also distributing them through TikTok via the Drama Sangat channel and the Tonton platform. Viu Malaysia has also placed emphasis on locally relevant content through Viu Original Malay dramas and Viu Shorts, which feature short-form content in local languages across genres such as romance, thriller and fantasy.

Looking ahead, the distribution of micro-dramas is expected to expand across more digital platforms as broadcasters explore new formats suited to mobile-first audiences. Selected premium short-form content may also be placed behind paywalls or offered on a purchase basis, creating additional revenue opportunities and supporting content monetisation strategies.

Technology-Enabled Broadcasting

The rise of IP-based content delivery is expected to be a key trend in the broadcasting outlook, supported by high-speed internet, 5G and improvements in digital distribution platforms. Viewers increasingly prefer flexibility, on-demand access and personalised experiences, prompting broadcasters to strengthen IPTV, OTT and mobile delivery capabilities.

5G is expected to support more efficient content production and distribution by enabling higher bandwidth, lower latency and more reliable mobile streaming. For broadcasters, this creates opportunities in live broadcasting, remote production and enhanced OTT delivery. Remote production models, where cameras are connected through high-speed networks and production is managed centrally, can help reduce operational costs while improving speed and scalability for live event coverage.

The combination of 5G, cloud-based operations and AI-driven tools is also expected to support more advanced broadcasting capabilities. These include automated camera switching, real-time content personalisation, metadata tagging, automated highlights and dynamic ad insertion. Astro and Media Prima have already begun incorporating AI into content production, personalisation and news operations, including AI-assisted anchoring, content recommendation, sports highlight generation, subtitling, translation and social media content production.

While AI-enabled tools can improve efficiency, audience engagement and monetisation, their use in broadcasting should remain guided by editorial standards, transparency and audience trust. As adoption expands, broadcasters will need to develop stronger internal governance to manage the use of AI in news, entertainment and advertising content.

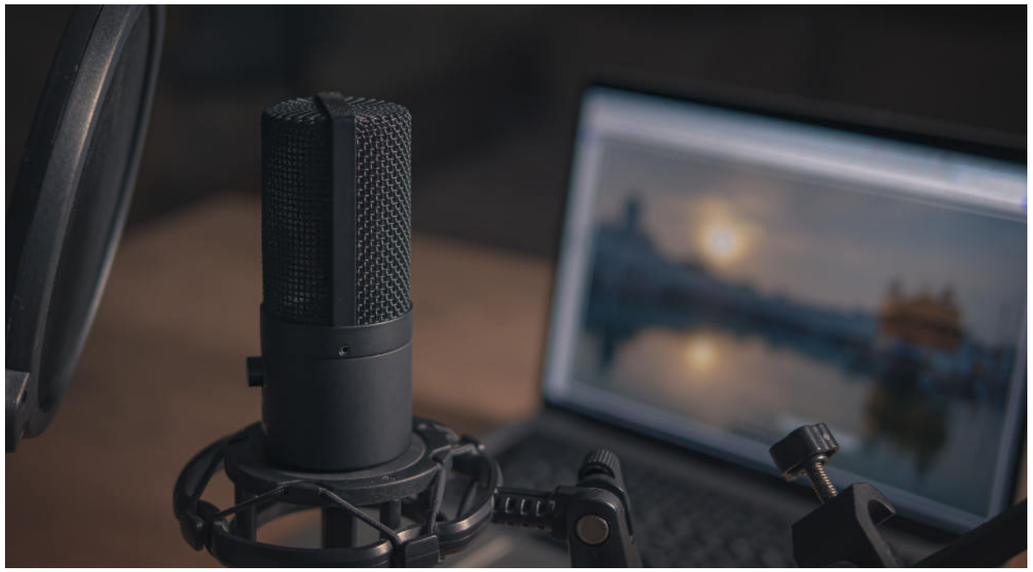
Content Integrity and Platform Accountability

Despite opportunities from streaming, digital advertising and technology-enabled production, the broadcasting industry is likely to face ongoing challenges linked to audience fragmentation, piracy and content integrity. Audiences are dividing their attention across linear TV, connected TV, streaming platforms, podcasts, gaming and social media, making it more difficult for broadcasters and advertisers to reach large audiences at scale.

Piracy remains another concern, particularly as premium content becomes more widely distributed across digital channels. To safeguard content value and preserve trust, service providers are expected to work closely with MCMC to combat online piracy and encourage viewers to access content through legitimate and secure platforms.

The increasing use of AI-generated content also introduces new risks. Synthetic video, voice cloning and automated content generation can support production efficiency, but they also raise concerns over misinformation, deepfakes, intellectual property, personality rights and editorial accountability. Audiences may find it increasingly difficult to distinguish between authentic and AI-generated content, particularly where labelling and disclosure practices are not yet standardised.

From a regulatory and industry perspective, existing frameworks such as the Communications and Multimedia Act 1998 and the Content Code will remain important foundations for content governance. At the same time, emerging online safety requirements and greater platform accountability are expected to shape how harmful content, manipulated media and other online risks are addressed.

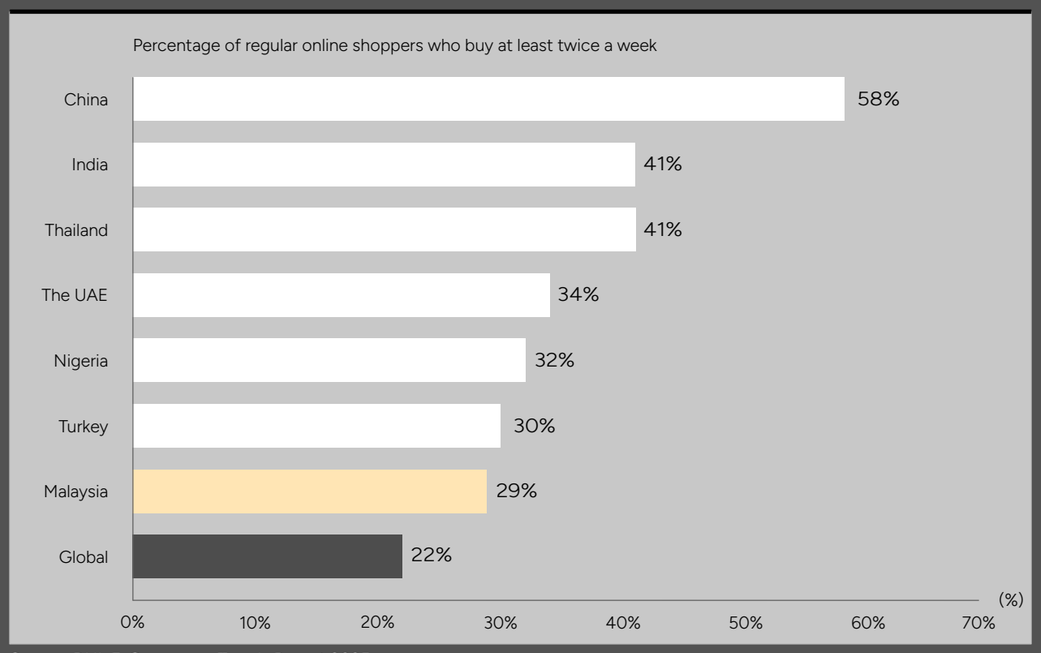


Postal and Courier Outlook

Malaysia's postal and courier industry remains highly competitive, with approximately 100 licensed service providers operating across the country. Most service providers are concentrated in the Klang Valley due to high population density, strong e-commerce activity and substantial daily parcel volumes. At the same time, operators maintain extensive infrastructure and service points across Malaysia to provide customers with easier access to parcel services and meet delivery requirements in both urban and non-urban areas.

Competition within the industry is largely centred on pricing, delivery speed, service reliability and network coverage. However, long-term sustainability will depend not only on parcel volume growth, but also on the ability of service providers to optimise operating costs, improve delivery efficiency and diversify revenue sources.

Between 2021 and 2025, MCMC introduced several initiatives under the Pelan Accelerator Kurier Negara (PAKEJ) through close collaboration with service providers. These initiatives covered resource sharing, technology adoption and measures to enhance the regulatory framework for postal and courier licensing. Driven by rapid e-commerce growth and strategic industry collaboration, Malaysia recorded 45.9 parcels per capita in 2025, exceeding the target of 30 parcels per capita by 53%. During the five-year period, parcel volume more than tripled, rising from 323 million in 2020 to 1.531 billion in 2025, while the number of complaints declined by 64% to 8,702 in 2025.



Source: DHL E-Commerce Trends Report 2025
Figure 8.5: Top Countries for E-Commerce Shoppers, 2025

Demand for e-commerce is expected to remain a key driver of the postal and courier industry, driven by Malaysia's high level of digital adoption and its position as one of the faster-growing digital economies in the region. Reflecting this trend, a DHL survey found that 29% of Malaysians shop online at least twice a week. As e-commerce activity is closely linked to postal and courier services, efficient last-mile delivery will remain essential to ensure parcels are delivered safely, reliably and within expected delivery timeframes.

Rising parcel demand is expected to sustain the industry's focus on delivery efficiency, network capacity and service quality. However, competition based mainly on volume is becoming less sustainable as service providers face declining profitability and, in some cases, operate at a loss. As a result, operators are increasingly shifting towards adjacent markets and efficiency-led strategies, including cost optimisation, last-mile delivery improvements and higher-margin logistics services.

Industry players are adapting their operating models in response to these changes. Pos Malaysia and GDEX, for example, have revamped their business models and accelerated technology adoption to remain competitive. Pos Malaysia launched a transformation programme in 2021, moving from a traditional mail service provider towards a technology-driven logistics group with expanded services across retail, logistics, aviation and digital solutions. GDEX has broadened its focus into IT services and solutions, including smart retail management systems, web and enterprise solutions, and cybersecurity software distribution. Other service providers, such as Ninja Van, are expanding into higher-margin integrated logistics segments, including cold chain solutions, warehousing and cross-border freight services.

Operational optimisation is particularly visible at parcel hubs, where improvements in labour efficiency and greater adoption of automation have helped reduce operating costs. Pos Malaysia is enhancing efficiency by upgrading its Integrated Parcel Centre hubs with advanced automation. Similarly, J&T Express Malaysia marked a major milestone with the groundbreaking of its largest self-built sorting centre at IJM Rimbayu in April 2026. Equipped with advanced automation and intelligent systems, the facility is expected to improve sorting accuracy, shorten delivery lead times by approximately 15% and handle up to four million parcels daily.

Beyond operational efficiency, service improvements are also shaped by evolving customer expectations. Demand for faster delivery options is rising, particularly for same-day and time-definite delivery services. To meet these expectations, some service providers have introduced on-time delivery guarantee plans, enabled by investments in route optimisation and real-time tracking technologies. These developments are expected to enhance reliability, transparency and customer confidence in postal and courier services.

ESG and Sustainable Logistics

Sustainability is becoming a key consideration for the postal and courier industry, particularly as the growth of e-commerce has increased last-mile delivery activities and vehicle usage. The reliance on fossil-fuel-powered vehicles has contributed to higher emissions, prompting service providers to adopt greener logistics solutions and improve the environmental efficiency of their operations.

To reduce emissions, service providers such as Pos Malaysia, GDEX, DHL and FedEx have begun transitioning parts of their last-mile delivery fleets from conventional vehicles to electric motorcycles, vans and other low-emission mobility solutions. These efforts reflect a growing industry focus on reducing carbon intensity while maintaining delivery efficiency and service reliability.

In January 2026, Pos Malaysia launched Zelos, described as Malaysia's first fully autonomous, zero-emission logistics vehicle, marking a milestone in the adoption of smart and sustainable logistics solutions. The vehicle is designed to optimise delivery routes, reduce fuel consumption and minimise operational waste. This initiative complements Pos Malaysia's broader sustainability efforts, including the deployment of more than 1,500 electric vehicles across its delivery fleet.

Other global logistics providers have also advanced their sustainability initiatives in Malaysia. DHL Express became the first courier service provider in Malaysia to deploy electric vehicles for logistics operations in 2022, while FedEx introduced electric vehicles in 2023 and subsequently completed Malaysia's first cross-border electric vehicle delivery to Singapore in 2024.

Overall, ESG considerations are expected to play a larger role in shaping the postal and courier industry's operating models. As delivery volumes expand, service providers will need to balance network efficiency, cost management and customer expectations with lower-emission logistics practices. Investments in electric vehicles, route optimisation, automation and greener delivery infrastructure will be important in advancing a more sustainable and resilient postal and courier ecosystem.

Note: The added total may differ due to rounding

Other Information:

APPENDICES

LIST OF ABBREVIATIONS

CONTACT US

Appendix 1

Note	
1	Where a table is not accompanied by a source acknowledgement, that table carries data that emanated solely from the Malaysian Communications and Multimedia Commission (MCMC)
2	Preliminary figures are italicised
3	Revised figures are underlined
4	Figures presented in tables are as at the end of the period. Hence the penetration rate for a given year is calculated using the number of subscriptions and estimated population as at the end of the year. This is different from the Malaysian demographic practice of using mid-year population as the population for that year. If the practices need to be synchronised to the demographic norm, then the penetration rates as at the end of June of that year must be used.
5	The added total may differ due to rounding
6	Wilayah Persekutuan includes Federal Territory Kuala Lumpur, Federal Territory Labuan and Federal Territory Putrajaya.

Symbols and Abbreviations	
DOSM	Department of Statistics, Malaysia
MCMC	Malaysian Communications and Multimedia Commission

Malaysia Basic Indicators

Year	Quarter	Population	Households	Gross Domestic Product (GDP)		Consumer Price Index (CPI)
				Current prices	Constant prices	
		(million)	('000)	(RM billion)	(RM billion)	
Note		a	b		c	d
2023	4	33.7	8,223.8	475.4	410.2	131.0
2024	1	34.0	8,942.3	466.0	397.8	131.9
	2	34.1	8,962.8	474.6	401.7	132.7
	3	34.1	8,976.9	490.2	420.4	133.2
	4	34.2	8,988.8	501.5	430.5	133.4
2025	1	34.2	9,139.9	484.8	415.3	133.9
	2	34.2	9,150.3	488.3	419.4	134.4
	3	34.3	9,163.5	517.1	443.2	134.9
	4	34.3	9,177.8	532.9	457.7	135.2

Source: DOSM, MCMC.

Explanatory notes:

a. Population projections as at end of period, based on census 2020.
b. Number of households derived by dividing populations by average household size. A household consists of related and/or unrelated persons who usually live together and make common provisions for food and other essentials of living.
c. Base year is 2015.
d. Base year is 2010. The CPI reported against a quarter, refers to the average index for the period spanning 1st January to the end of that quarter.

Appendix 1

Penetration Rates at a Glance (%)					
Year	Quarter	Fixed-broadband per 100 premises	Mobile-broadband per 100 inhabitants	Mobile-cellular per 100 inhabitants	Pay TV per 100 households
Note		a	b	c	d
2023	4	50.6	134.5	148.7	76.4
2024	1	46.9	132.1	146.7	68.7
	2	47.5	132.5	147.3	66.9
	3	48.2	132.0	146.4	66.0
	4	48.7	131.1	145.4	65.4
2025	1	48.4	130.8	146.0	64.8
	2	48.8	129.3	144.9	64.1
	3	49.3	131.2	145.0	63.8
	4	49.9	130.7	145.0	62.9

Explanatory notes:

a. The fixed-broadband penetration rate per 100 premises is calculated by dividing the total fixed-broadband by total number of premises and multiplying by 100. Number of premises include household and non-household. Public Wi-Fi subscriptions are not taken into account. Only subscriptions with speed of 1 Mbps and above is taken into account for calculation.
b. The mobile-broadband penetration rate per 100 inhabitants is calculated by dividing the total mobile-broadband by total number of population and multiplying by 100. A penetration rate over 100% can occur because of multiple subscriptions.
c. The mobile-cellular penetration rate refers to the total subscriptions divided by total number of population and multiplied by 100. A penetration rate over 100% can occur because of multiple subscriptions.
d. The pay TV penetration rate per 100 households is calculated by dividing the number of household subscriptions by the number of households and multiplied by 100.
e. Broadband penetration rate per 100 inhabitants is no longer published by MCMC. Commencing 2020, MCMC publishes fixed-broadband penetration rate per 100 premises and mobile-broadband penetration rate per 100 inhabitants.



Appendix 1

Fixed Broadband Penetration Rate Per 100 Premises by State (%)									
Year	2023	2024				2025			
Quarter	4	1	2	3	4	1	2	3	4
Note									
State									
Johor	46.2	43.6	44.4	45.2	45.9	46.2	46.7	47.4	48.0
Kedah	36.8	33.8	34.2	34.8	35.0	35.3	35.6	36.0	36.3
Kelantan	26.4	23.5	24.0	24.8	25.1	25.7	25.9	26.4	26.8
Melaka	48.8	44.4	44.9	45.6	45.9	45.4	45.7	45.7	46.0
Negeri Sembilan	46.2	44.1	44.9	45.8	46.4	45.7	46.3	46.6	47.1
Pahang	32.6	27.7	28.1	28.6	28.7	28.7	28.9	29.2	29.5
Perak	41.8	40.0	40.5	41.0	41.4	41.5	42.0	42.6	43.0
Perlis	33.5	25.7	25.9	26.1	26.2	25.7	25.7	26.1	26.1
Pulau Pinang	60.5	55.9	56.7	57.1	57.5	57.6	57.9	58.5	58.8
Sabah	29.4	24.2	24.4	24.8	25.2	25.7	26.3	27.0	27.3
Sarawak	40.6	38.3	38.7	39.3	39.6	39.3	39.5	40.0	40.5
Selangor	63.0	62.8	62.9	63.4	63.7	62.8	63.0	63.7	64.1
Terengganu	37.2	30.7	30.8	31.4	31.7	32.0	32.0	32.3	32.6
Wilayah Persekutuan	60.5	60.1	60.8	61.5	62.4	65.0	65.2	66.0	66.4
Malaysia	50.6	46.9	47.5	48.2	48.7	48.4	48.8	49.3	49.9

Explanatory notes:

The fixed-broadband penetration rate per 100 premises is calculated by dividing the total fixed-broadband by total number of premises and multiplying by 100. Number of premises include household and non-household. Public Wi-Fi subscriptions are not taken into account. Only subscriptions with speed of 1 Mbps and above is taken into account for calculation.

Fixed Broadband Penetration Rate Per 100 Premises by State (%)



Appendix 1

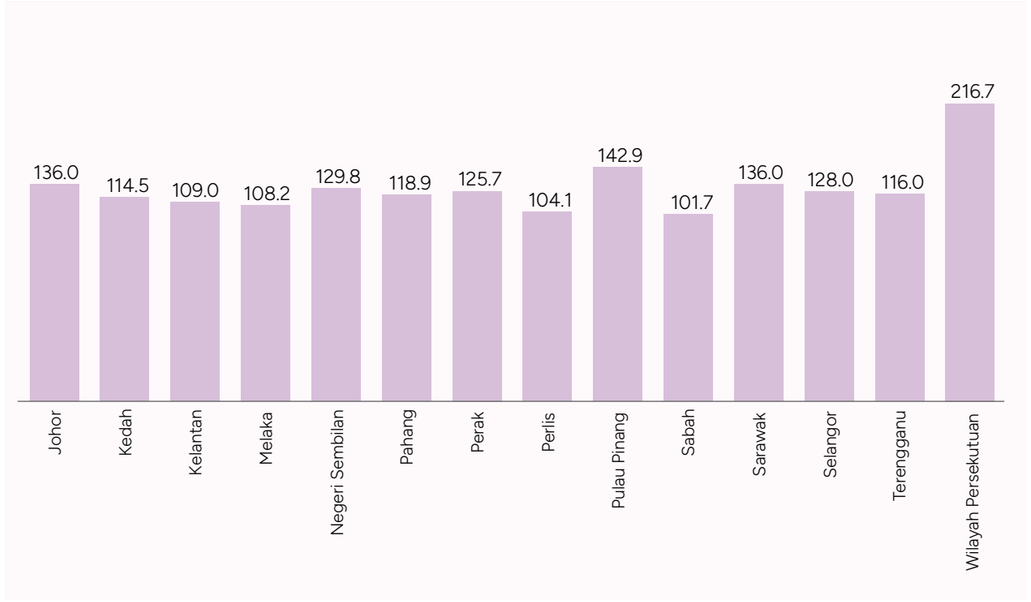
Mobile Broadband Penetration Rate Per 100 Inhabitants by State (%)

Year	2023	2024				2025			
Quarter	4	1	2	3	4	1	2	3	4
Note									
State									
Johor	144.1	140.0	142.0	138.6	139.5	139.2	137.0	138.7	136.0
Kedah	116.3	114.6	111.9	111.5	111.6	112.4	111.7	114.5	114.5
Kelantan	115.2	112.5	111.2	109.1	109.3	109.5	108.3	110.3	109.0
Melaka	119.1	114.7	116.1	117.7	121.5	120.3	111.4	111.0	108.2
Negeri Sembilan	143.5	143.5	137.1	135.4	132.4	129.4	127.7	132.2	129.8
Pahang	126.2	123.3	119.5	119.2	119.5	119.3	118.2	119.6	118.9
Perak	128.1	127.6	127.2	125.3	124.1	125.3	124.7	125.7	125.7
Perlis	107.4	103.8	101.6	101.1	101.8	102.2	101.5	104.5	104.1
Pulau Pinang	164.4	158.2	163.8	164.5	158.4	155.2	149.7	147.0	142.9
Sabah	98.9	96.9	97.7	98.3	99.0	99.6	99.2	101.3	101.7
Sarawak	131.4	129.8	130.2	131.7	133.5	134.6	133.3	135.8	136.0
Selangor	132.2	131.5	132.4	130.1	127.8	126.4	125.3	126.8	128.0
Terengganu	121.6	117.2	116.5	116.3	115.1	115.3	114.0	117.9	116.0
Wilayah Persekutuan	205.7	202.8	207.6	214.5	209.8	209.4	211.0	215.7	216.7
Malaysia	134.5	132.1	132.5	132.0	131.1	130.8	129.3	131.2	130.7

Explanatory notes:

The mobile-broadband penetration rate per 100 inhabitants is calculated by dividing the total mobile-broadband by total number of population and multiplying by 100. A penetration rate over 100% can occur because of multiple subscriptions.

Mobile Broadband Penetration Rate Per 100 Inhabitants by State (%)



Appendix 1

Number of Broadband Subscriptions

Year	Quarter	Fixed-broadband	Mobile-broadband	Total	Fixed-broadband penetration rate per 100 premises	Mobile-broadband penetration rate per 100 inhabitants
			(million)		(%)	(%)
Note		a	b		c	d
2023	4	4.57	45.33	49.91	50.6	134.5
2024	1	4.62	44.89	49.51	46.9	132.1
	2	4.68	45.13	49.81	47.5	132.5
	3	4.76	45.02	49.78	48.2	132.0
	4	4.81	44.78	49.60	48.7	131.1
2025	1	4.87	44.71	49.57	48.4	130.8
	2	4.92	44.26	49.17	48.8	129.3
	3	4.97	44.98	49.96	49.3	131.2
	4	5.04	44.87	49.91	49.9	130.7

Explanatory notes:

The added total may differ due to rounding.

a. Includes ADSL, SDSL, VDSL, Satellite, FTTH, Fixed wireless and GigaWire.
b. Includes prepaid, postpaid, and Pay Per Use.
c. The fixed-broadband penetration rate per 100 premises is calculated by dividing the total fixed-broadband by total number of premises and multiplying by 100. Number of premises include household and non-household. Public Wi-Fi subscriptions are not taken into account. Only subscriptions with speed of 1 Mbps and above is taken into account for calculation.
d. The mobile-broadband penetration rate per 100 inhabitants is calculated by dividing the total mobile-broadband by total number of population and multiplying by 100. A penetration rate over 100% can occur because of multiple subscriptions.

Number of Fixed-Broadband Subscriptions by Speed Range

Year	Quarter	1 - 30 Mbit/s	30 Mbit/s - 50 Mbit/s	50 Mbit/s - 100 Mbit/s	100 Mbit/s - 500 Mbit/s	500 Mbit/s - 1 Gbit/s	≥ 1 Gbit/s
				(million)			
Note							
2023	4	0.05	0.38	0.11	2.72	1.30	0.02
2024	1	0.04	0.34	0.11	2.75	1.35	0.02
	2	0.04	0.32	0.12	2.80	1.37	0.03
	3	0.03	0.28	0.12	2.88	1.41	0.03
	4	0.03	0.26	0.12	2.93	1.45	0.04
2025	1	0.02	0.24	0.11	2.99	1.47	0.04
	2	0.02	0.20	0.10	3.05	1.51	0.04
	3	0.02	0.12	0.08	3.10	1.61	0.04
	4	0.02	0.11	0.07	3.14	1.66	0.04

Explanatory notes:

a. The added total may differ due to rounding.
b. Each speed range includes the lower bound speed; i.e. 1 Mbit/s - 30 Mbit/s means 1 Mbit/s to less than 30 Mbit/s.

Appendix 1

Number of Fixed-Broadband Subscriptions by Technology

Year	Quarter	Fibre optic	Copper	Others
		(million)		
Note		a	b	c
2023	4	4.51	0.03	0.03
2024	1	4.56	0.03	0.04
	2	4.62	0.02	0.04
	3	4.69	0.02	0.05
	4	4.75	0.02	0.05
2025	1	4.80	0.01	0.05
	2	4.84	0.01	0.06
	3	4.90	0.01	0.07
	4	4.96	0.01	0.07

Explanatory notes:
The added total may differ due to rounding.
a. Includes FTTH/B and VDSL.
b. Includes ADSL and SDSL.
c. Includes Satellite, Fixed wireless and GigaWire.

Number of Mobile-Broadband Subscriptions by Technology

Year	Quarter	At most 3G	At most 4G	At most 5G
		(million)		
2023	4	0.09	36.97	8.28
2024	1	0.08	32.89	11.93
	2	0.01	30.30	14.81
	3	0.01	27.73	17.29
	4	0	26.58	18.20
2025	1	0	25.37	19.34
	2	0	16.21	28.05
	3	0	16.26	28.72
	4	0	15.87	29.00

Explanatory notes:
The added total may differ due to rounding.

Appendix 1

Number of Mobile-Cellular Subscriptions and Penetration Rate

Year	Quarter	Postpaid	Prepaid	Total	Penetration rate per 100 inhabitants
			('000)		(%)
Note					
2023	4	14,825	35,311	50,137	148.7
2024	1	14,970	34,889	49,858	146.7
	2	15,229	34,927	50,156	147.3
	3	15,483	34,449	49,931	146.4
	4	15,749	33,913	49,662	145.4
2025	1	16,009	33,896	49,905	146.0
	2	16,288	33,314	49,601	144.9
	3	16,496	33,215	49,711	145.0
	4	16,851	32,936	49,787	145.0

Explanatory notes:
The mobile-cellular penetration rate refers to the total subscriptions divided by total number of population and multiplied by 100. A penetration rate over 100% can occur because of multiple subscriptions.

Mobile-Cellular Penetration Rate Per 100 Inhabitants by State

Negeri	2023	2024	2025
		(%)	
Johor	159.3	154.8	151.9
Kedah	128.6	123.0	125.3
Kelantan	126.9	120.7	119.9
Melaka	130.4	131.5	118.3
Negeri Sembilan	156.7	145.9	144.2
Pahang	137.9	130.5	129.9
Perak	142.4	137.4	138.0
Perlis	119.5	112.4	113.1
Pulau Pinang	185.1	179.3	163.6
Sabah	106.7	105.8	108.7
Sarawak	145.9	146.6	147.3
Selangor	147.0	144.1	145.3
Terengganu	132.1	125.1	127.4
Wilayah Persekutuan	230.3	275.7	283.9
Malaysia	148.7	145.4	145.0

Appendix 1

Mobile Number Portability

Year	Quarter	Number of porting requests	Successful porting
		('000)	
2023	4	1,009.1	329.5
2024	1	977.3	294.6
	2	963.7	277.4
	3	939.5	260.2
	4	879.2	267.3
2025	1	778.6	250.2
	2	761.0	243.0
	3	792.4	252.9
	4	855.0	255.0

Percentage of Mobile-Cellular Subscriptions by Gender

Year	Male	Female
	(%)	
2021	61.8	38.2
2022	56.9	43.1
2023	62.2	37.8
2024	61.9	38.1
2025	61.8	38.2

Number of Short Messages (SMS)

Year	Quarter	Total	Per subscription
		(million)	
Note		a	
2023	4	270.5	5.6
2024	1	248.9	5.0
	2	293.9	5.9
	3	271.3	5.4
	4	250.7	5.0
2025	1	221.8	4.4
	2	235.6	4.8
	3	218.0	4.4
	4	208.5	4.2

Explanatory notes:
Figure refers to the number of SMSes sent within the period.

Appendix 1

Number of Pay TV Subscriptions and Penetration Rate

Year	Quarter	Number of subscriptions			Penetration rate per 100 households
		Households	Non-households	Total	
		('000)			(%)
Note					a
2023	4	6,294.1	9.0	6,303.1	76.4
2024	1	6,212.9	8.9	6,221.7	68.7
	2	6,065.1	9.3	6,074.4	66.9
	3	5,993.9	9.4	6,003.4	66.0
	4	5,948.2	9.7	5,957.9	65.4
2025	1	5,926.6	9.4	5,936.0	64.8
	2	5,869.5	9.7	5,879.2	64.1
	3	5,850.9	9.7	5,860.6	63.8
	4	5,771.9	9.6	5,781.5	62.9

Explanatory notes:
a. Pay TV is inclusive of IPTV and Satellite TV.
b. The pay TV penetration rate per 100 households is calculated by dividing the number of household subscriptions by the number of households and multiplied by 100.

Number of Certification Authorities

Year	Quarter	Number of licences
Note		
2023	4	4
2024	1	4
	2	4
	3	4
	4	4
2025	1	4
	2	4
	3	4
	4	4

Explanatory notes:
Refers to Certification Authorities licensed under the Digital Signature Act 1997.

Appendix 1

Number of Certificates Issued by Type						
Year	Quarter	Domestic holder			Foreign holder	Total
		Individual	Organisation		Organisation	
			Corporate	Government	Government & Corporate	
		('000)				
2023	4	73.3	1,106.8	19,431.1	0.1	20,611.4
2024	1	128.7	1,218.5	20,238.3	0.1	21,585.6
	2	496.9	1,360.0	21,192.5	0.1	23,049.5
	3	837.0	1,542.0	21,527.4	0.1	23,906.6
	4	1,561.5	1,737.5	21,898.2	0.1	25,197.3
2025	1	2,149.4	1,878.2	22,692.6	0.1	26,720.4
	2	2,842.7	2,030.3	23,548.9	0.1	28,422.1
	3	4,164.3	2,202.3	23,978.5	0.1	30,345.1
	4	7,886.9	2,361.0	24,366.8	0.1	34,614.8



Appendix 2

Note	
1	Statistics from courier services were collected from all active courier licensees who conducted courier activity.
2	Where a table is not accompanied by a source acknowledgement, that table carries data that emanated solely from MCMC.
3	Preliminary figures are italicised. Revised figures are underlined
4	The added total may differ due to rounding
5	Wilayah Persekutuan includes Federal Territory Kuala Lumpur, Federal Territory Labuan and Federal Territory Putrajaya

Postal Infrastructure					
Year	Post office	Mini post office	Postal agent	Stamp vendor	Mobile post office
Note	a	b	c	d	e
2023	627	230	215	381	9
2024	627	230	207	131	9
2025	614	231	212	83	10

Source: Pos Malaysia Berhad

Explanatory notes:

a. Post office refers to post office with online system.

b. Mini Post Office is privately run by third-party individual or business (eg. Sundry shops) to provide retail postal services similar to a post office. However, a Mini Post Office does not provide services by Amanah Saham Nasional Berhad (ASNB) and Jabatan Pengangkutan Jalan (JPJ).

c. A postal agent is typically a representative appointed within a community to whom Pos Malaysia Berhad delivers mails on behalf of his/her community. The community will then come to the agent's premise to collect their mails.

d. A stamp vendor is a third-party (individual/businesses) who is authorised by Pos Malaysia Berhad to sell postage stamps on its behalf.

e. Mobile post office refers to post offices installed in a train, a road transport vehicle or a boat which serve regions without permanent post offices. They deliver mail and offer post office counter services. This category also includes rural delivery staff providing post office counter services on their rounds. Users can deposit parcels, letters or express items with them or make payments to them.

Postal Infrastructure (continued)			
Year	Post office accepting financial transaction	Sorting office	International office of exchange
Note	f	g	h
2023	627	8	1
2024	627	8	1
2025	614	8	1

Source: Pos Malaysia Berhad

Explanatory notes:

f. Post offices accepting financial transactions include permanent offices and mobile offices (including rural delivery personnel) providing financial services (money orders, Cash on Delivery (COD), payments, etc.).

g. Sorting centres are infrastructure whose main activity is sorting. Sorting sections of post offices open to the public and delivery offices are not included in this category.

h. A processing hub for international inbound and outbound postal and courier items.

Appendix 2

Post Office by State

Year	State	Post office			Mini post office		
		Urban	Rural	Total	Urban	Rural	Total
2023	Johor	53	20	73	17	10	27
	Kedah	33	11	44	7	5	12
	Kelantan	5	21	26	5	11	16
	Melaka	25	0	25	5	0	5
	Negeri Sembilan	18	21	39	2	2	4
	Pahang	17	23	40	5	18	23
	Perak	44	36	80	9	6	15
	Perlis	8	0	8	0	1	1
	Pulau Pinang	37	0	37	13	0	13
	Sabah	10	28	38	0	14	14
	Sarawak	18	38	56	0	35	35
	Selangor	80	8	88	29	5	34
	Terengganu	12	15	27	8	6	14
	Wilayah Persekutuan	46	0	46	17	0	17
	Total	406	221	627	117	113	230
2024	Johor	53	20	73	17	9	26
	Kedah	33	11	44	7	5	12
	Kelantan	5	21	26	5	11	16
	Melaka	25	0	25	5	0	5
	Negeri Sembilan	18	21	39	3	1	4
	Pahang	17	23	40	8	16	24
	Perak	44	36	80	10	5	15
	Perlis	8	0	8	0	1	1
	Pulau Pinang	37	0	37	13	0	13
	Sabah	10	28	38	0	14	14
	Sarawak	18	38	56	0	35	35
	Selangor	80	8	88	36	4	40
	Terengganu	12	15	27	9	5	14
	Wilayah Persekutuan	46	0	46	11	0	11
	Total	406	221	627	124	106	230
2025	Johor	54	19	73	17	9	26
	Kedah	32	11	43	7	5	12
	Kelantan	5	21	26	5	11	16
	Melaka	25	0	25	5	0	5
	Negeri Sembilan	23	16	39	3	1	4
	Pahang	18	22	40	8	16	24
	Perak	45	32	77	10	5	15
	Perlis	8	0	8	0	1	1
	Pulau Pinang	36	0	36	13	0	13
	Sabah	10	28	38	0	14	14
	Sarawak	20	35	55	0	35	35
	Selangor	75	8	83	37	4	41

Appendix 2

Post Office by State (continued)

Year	State	Post office			Mini post office		
		Urban	Rural	Total	Urban	Rural	Total
2025	Terengganu	14	13	27	9	5	14
	Wilayah Persekutuan	44	0	44	11	0	11
	Total	409	205	614	125	106	231

Postal Employment

Year	Administrative	Call centre	Pick up & despatch	Sorting crew	Others	Total
Note					a	b
2023	6,843	145	7,183	1,022	919	16,112
2024	5,174	135	7,104	1,223	2,625	16,261
2025	4,787	105	6,917	1,114	2,116	15,039

Source: Pos Malaysia Berhad.

Explanatory notes:

a. Others include supervisor of postmen and wakil posmen.
b. The calculation for number of postal employment consist of full-time and part-time employees established or unestablished employees under contract to the designated operator, INCLUDING persons employed by contractors, or temporary employee taken on during holiday periods or for occasional events. However, retired employees as well as workers in subsidiaries abroad (if applicable) should be EXCLUDED.
c. Full-time employees means all employees performing their functions during normal working hours. Normal working hours means the number of working hours per week set by the designated operator for full-time employment.
d. Part-time employees include employees working for less than the normal working hours each week.

Postal Delivery

Year	Average number		Percentage	
	Deliveries PER WORKING day in urban areas	Deliveries PER WEEK in rural areas	Population having mail DELIVERED at home	Population having to COLLECT mail from a postal establishment
2023	1	5	94	6
2024	1	5	94	6
2025	1	5	94	6

Source: Pos Malaysia Berhad.

Postal Delivery (continued)

Year	Number			
	Letter box	Post office box	Postal establishments having post office box	Automated parcel locker
2023	1,706	90,782	226	59
2024	1,775	94,754	238	0
2025	1,400	94,595	236	0

Source: Pos Malaysia Berhad.

Appendix 2

Postal Coverage and Service

Year	Average area covered by a permanent post office (km²)	Average number of inhabitants served by a permanent post office
2023	470	55,137
2024	470	54,343
2025	473	55,092

Source: Pos Malaysia Berhad.

Postal Vehicle

Year	Motorcycle	Van	Lorry/Truck	Trailer	Aircraft
Note	a	a,b	c		
2023	5,198	3,087	308	6	0
2024	4,729	2,789	265	5	0
2025	4,458	2,582	254	4	0

Source: Pos Malaysia Berhad

Explanatory notes:

a. Number of vehicles refer to vehicles owned by Pos Malaysia Berhad and vehicles owned by outsourced contractors related to postal and courier activities.
b. Number of vans includes 14 Pos On Wheels (POW) vans in Peninsular Malaysia
c. Number of lorries/trucks includes 6 Go2U (Pos Laju mobile units) and 18 POW lorries in Sabah & Sarawak

Postal Machine

Year	Number				
	Post automated machine	Franking machine	Cancelling machine	Facing cum cancelling machine	Sorting machine with automatic address reading
2023	81	3,421	30	2	6
2024	97	3,475	26	2	6
2025	97	3,363	25	2	6

Source: Pos Malaysia Berhad.

Postal Traffic

Year	Number of letter post items ('000)			Number of express items ('000)			Others ('000)	
	Domestic service	International service - issued	International service - received	Domestic service	International service - issued	International service - received	Advertising item - domestic service	Users of digital mailbox item
2023	317,418.5	4,360.1	4,598.0	0.0	947.6	237.0	7,623.4	-
2024	265,024.9	3,214.5	4,354.0	0.0	1,172.2	241.3	6,817.6	-
2025	238,852.6	1,796.6	4,595.5	0.0	1,455.5	262.3	3,795.8	-

Source: Pos Malaysia Berhad.

Appendix 2

Postal Traffic - Special Treatment

Year	Number of post free items, domestic service ('000)	Number of registered items ('000)		
		Domestic service	International service - issued	International service - received
2023	1,646.4	19,345.3	642.7	294.9
2024	1,583.2	21,909.4	862.8	257.2
2025	1,273.0	18,976.9	546.4	251.5

Source: Pos Malaysia Berhad.

Postal Parcel Service

Year	Ordinary parcel ('000)			Insured parcel	
	Domestic service	International service - issued	International service - received	Domestic service	International service - issued
2023	143.2	39.2	107.9	1,597	0
2024	1,593.0	34.4	93.0	1,400	0
2025	7,438.9	27.8	86.6	1,017	0

Source: Pos Malaysia Berhad.

Financial Service

Year	Money order ('000)					
	Domestic service		International service			
	Number	Value - issued (RM)	Number - issued	Value - issued (RM)	Number - received	Value - received (RM)
2023	202.9	40,559.2	0.00	0.0	0.000	0.0
2024	163.3	28,742.1	0.00	0.0	0.000	0.0
2025	119.2	21,936.1	0.00	0.0	0.000	0.0

Source: Pos Malaysia Berhad.

Philately

Year	Stamp issue			SODA ('000)	
	Special	Commemorative	Definitive	New member	Total member
Note	a	b	c	d	
2023	10	2	0	3.0	120.1
2024	6	7	0	2.0	122.1
2025	11	4	0	1.7	123.8

Source: Pos Malaysia Berhad

Explanatory notes:

a. Shows the beauty, uniqueness, pride, heritage, art, culture, personality, development of science and technology, civilisation, history as well as the uniqueness of flora and fauna of Malaysia.
b. Commemorates important events in history which took place locally or internationally or events that are significant such as inaugural ceremony, anniversary and etc.
c. Featuring national aspects such as agriculture, crops and so on. Normally, it will change once every 5 years.
d. Standing Order Deposit Account. For purchase of philatelic items including first day covers via order whereby customer can register as a member and the order will be sent to the customer's address each time new themed stamps are launched.

Appendix 2

Courier Infrastructure						
Year	Hub	Branch	Gateway	Franchise	Affiliate	Agent
Note	a	b	c	d	e	f
2023	352	693	49	334	4	9,587
2024	230	525	61	438	2	7,388
2025	429	1,041	54	856	10	7,247

Courier Infrastructure (continued)						
Year	Drop-in-Centre	Parcel locker	Kiosk	Service Centre	Office	Drive-Thru
Note	g	h	i	j		k
2023	3,345	688	23	4,667	45	17
2024	1,889	597	22	4,112	25	2
2025	13,378	18	15	4,545	33	0

Explanatory notes:

a. Hub refers to location to consolidate shipments on the large scale at major terminals and to redistribute the smaller scale of shipments to their respective destinations. In the field of logistics and supply chains, however, the hub concept has been often introduced in various terms in accordance with functionality: for example, logistics centre, logistics zone, freight terminal, distribution centre and warehouse
b. Branch refers to other than an office of a company which is located somewhere other than the company's main office location. A branch office is simply another location, and is still involved in the business activities of the company
c. Gateway refers to a point at which freight moving from one area to another is interchanged between transportation lines (airport)
d. Franchise refers to a legal and commercial relationship between the owner of a trademark, service mark, trade name, or advertising symbol and an individual or group wishing to use that identification in a business
e. In logistic industry cases, the terms affiliate and associate are used synonymously to describe a company whose parent only possesses a minority stake in the ownership of the company
f. An appointed agent other than at the principal office who is responsible for all of the logistical aspects of transporting materials or parcels, including scheduling, packing, routing, documentation, tracking, customs clearance, compliance, client communications, and negotiating on behalf of principal office the best terms and pricing
g. Drop-in-centre refers to delivery of shipment to a transporter, without passing through the warehouse or through the normal logistic supply chain. Some logistics companies or couriers use the word Drop-off-center
h. Parcel locker refers to automated parcel lockers are strategically located at post offices, petrol stations, supermarkets, universities, train stations and residential areas. It provides a convenient (self-service), secure and automated service to customers to collect and drop their items for shipment that is available 24/7.
i. Kiosk refers to kiosk that operate in strategic locations such as shopping malls, petrol stations and LRT stations. The counters may open for extended hours (according to the premise owners) and focused on serving customers who are located within these facilities.
j. Service center refers to special services such as counters, distribution centre, counter, courier hub, retail point, service point, lodge in located at selected shop lots to provide convenience and priority to customers.
k. Drive-thru refers to a drive-through counter concept for ease of customers to lodge an item or purchase products without having to leave their vehicle.



Appendix 2

Courier Infrastructure by State

Year	State	Hub	Branch	Gateway	Franchise	Affiliate	Agent	Drop-in-centre
	Note	a	b	c	d	e	f	g
2023	Johor	44	101	4	68	1	1,359	370
	Kedah	20	41	3	28	0	478	148
	Kelantan	16	31	1	38	0	397	116
	Melaka	12	22	0	15	0	414	118
	Negeri Sembilan	14	24	0	17	0	438	140
	Pahang	25	42	0	18	0	493	69
	Perak	28	61	1	34	1	636	275
	Perlis	1	8	0	6	0	116	25
	Pulau Pinang	24	45	4	18	1	650	265
	Sabah	18	56	7	9	1	283	27
	Sarawak	21	58	10	5	0	277	23
	Selangor	99	135	15	46	0	2,731	1,182
	Terengganu	16	29	1	21	0	281	62
	Wilayah Persekutuan	14	40	3	11	0	1,034	525
	Total	352	693	49	334	4	9,587	3,345
2024	Johor	30	66	5	86	0	1,105	108
	Kedah	10	23	4	30	0	395	53
	Kelantan	13	26	2	44	0	207	19
	Melaka	5	17	0	13	0	347	53
	Negeri Sembilan	10	18	0	19	0	351	69
	Pahang	14	29	0	23	0	387	29
	Perak	15	36	2	42	0	487	122
	Perlis	1	7	0	7	0	115	9
	Pulau Pinang	17	32	4	37	1	508	143
	Sabah	9	48	9	8	0	128	13
	Sarawak	12	56	18	6	0	132	15
	Selangor	71	111	12	74	1	2,288	882
	Terengganu	10	23	2	25	0	163	12
	Wilayah Persekutuan	13	33	3	24	0	775	362
	Total	230	525	61	438	2	7,388	1,889
2025	Johor	51	126	4	122	0	966	1456
	Kedah	25	54	3	47	4	406	1062
	Kelantan	21	47	1	58	0	336	1072
	Melaka	14	35	0	25	0	286	476
	Negeri Sembilan	17	41	0	29	0	338	471
	Pahang	26	63	0	63	0	357	851
	Perak	32	84	0	81	0	575	1182
	Perlis	3	11	0	6	1	96	133
	Pulau Pinang	29	60	5	45	3	480	956
	Sabah	29	85	8	69	1	172	476
	Sarawak	34	85	11	59	1	223	417
	Selangor	113	233	20	155	0	2,002	3,071
	Terengganu	20	43	0	39	0	256	791
	Wilayah Persekutuan	15	74	2	58	0	754	964
	Total	429	1,041	54	856	10	7,247	13,378

Appendix 2

Courier Infrastructure by State (continued)

Year	State	Parcel locker	Kiosk	Service centre	Office	Drive-thru
	Note	h	i	j		k
2023	Johor	12	2	648	1	1
	Kedah	9	0	215	2	2
	Kelantan	0	0	231	1	1
	Melaka	4	0	187	1	1
	Negeri Sembilan	9	0	234	0	1
	Pahang	1	0	239	1	1
	Perak	1	1	343	2	0
	Perlis	0	0	37	0	0
	Pulau Pinang	14	2	253	1	2
	Sabah	2	0	147	5	0
	Sarawak	0	0	165	8	0
	Selangor	363	11	1,280	15	4
	Terengganu	2	0	184	1	2
	Wilayah Persekutuan	271	7	504	7	2
	Total	688	23	4,667	45	17
2024	Johor	4	2	591	2	0
	Kedah	10	0	191	2	0
	Kelantan	0	0	214	0	0
	Melaka	0	0	182	0	0
	Negeri Sembilan	3	0	225	0	0
	Pahang	1	0	218	0	0
	Perak	0	1	293	1	0
	Perlis	0	0	34	0	0
	Pulau Pinang	7	2	219	0	0
	Sabah	2	0	120	1	0
	Sarawak	0	0	144	5	0
	Selangor	336	10	1,092	13	1
	Terengganu	0	0	174	0	0
	Wilayah Persekutuan	234	7	415	1	1
	Total	597	22	4,112	25	2
2025	Johor	0	2	665	1	0
	Kedah	0	0	212	3	0
	Kelantan	0	0	232	1	0
	Melaka	0	0	203	1	0
	Negeri Sembilan	0	0	238	0	0
	Pahang	0	0	245	1	0
	Perak	0	0	318	2	0
	Perlis	0	0	36	0	0
	Pulau Pinang	0	2	242	0	0
	Sabah	0	0	130	4	0
	Sarawak	0	0	151	5	0
	Selangor	6	7	1,228	10	0
	Terengganu	0	0	189	0	0
	Wilayah Persekutuan	12	4	456	5	0
	Total	18	15	4,545	33	0

Appendix 2

Courier Employment

Year	Administrative	Call centre	Pick up & despatch	Sorting crew	Others	Total employees
Note					a	b
2023	11,310	2,609	63,882	13,511	10,960	102,272
2024	9,852	2,189	79,048	17,174	13,317	121,580
2025	8,633	1,885	80,227	16,913	12,598	120,256

Explanatory notes:

a. Others in courier employment include employees in sales, marketing, finance, internship and non-operational, etc
b. The calculation for number of courier employment consist of full-time and part-time employees established or unestablished employees under contract to the designated operator, INCLUDING persons employed by contractors, or temporary employee taken on during holiday periods or for occasional events. However, retired employees as well as workers in subsidiaries abroad (if applicable) should be excluded.
c. Full-time employees means all employees performing their functions during normal working hours. Normal working hours means the number of working hours per week set by the designated operator for full-time employment.
d. Part-time employees include employees working for less than the normal working hours each week

Courier Vehicle

Year	Motorcycle	Van	Car	Lorry/Truck	Trailer	Bulk carrier vessel	Aircraft
2023	15,044	10,190	23,283	8,990	177	3	125
2024	17,345	9,891	33,069	9,933	183	3	43
2025	14,038	9,229	31,728	9,589	82	3	40

Explanatory notes:

Number of vehicles refers to vehicles owned by courier companies, outsourced contractors and employees' personal vehicles used for courier activities.

Courier Traffic

Year	Document ('000)		Parcel ('000)		Others ('000)	
	Domestic	International	Domestic	International	Domestic	International
Note						a
2023	46,724.2	2,133.5	807,883.8	14,962.2	7,052.2	399.4
2024	40,235.1	2,064.1	1,193,017.4	21,800.0	5,896.4	429.1
2025	37,026.8	1,822.4	1,513,592.8	17,361.7	4,958.2	490.6

Explanatory notes:

Includes non-priority mail, walk-in courier, prepaid, post express, etc



List of Abbreviations

3G	3rd Generation
4G LTE	4th Generation Long Term Evolution
5G	5th Generation
A	
ACE	"Access", "Certainty", "Efficiency"
ADEX	Advertising Expenditure
ADSL	Asymmetric Digital Subscriber Line
AI	Artificial Intelligence
ARPU	Average Revenue Per User
ASP	Applications Service Provider
C	
C&M	Communications and Multimedia
CA	Certification Authority
CAGR	Compound Annual Growth Rate
CASP	Content Applications Service Provider
CCID	Commercial Crime Investigation Department
CFM	Communications and Multimedia Consumer Forum of Malaysia
CMA	Communications and Multimedia Act 1998
D	
DTH	Direct-to-Home
DTTB	Digital Terrestrial Television Broadcasting
F	
FTA	Free-To-Air
FYE	Fiscal Year End
G	
GA	Government Agency
GCC	General Consumer Code of Practice for the Communications and Multimedia Industry Malaysia
GLC	Government-linked Company
GLIC	Government-linked Investment Company
I	
ICT	Information and Communications Technology
IoT	Internet of Things
IPTV	Internet Protocol Television
ISP	Internet Service Provider
ITU	International Telecommunication Union
L	
LTE	Long Term Evolution
M	
Mbps	Megabits Per Second
MCS	Mobile Content Services
MNC	Multi-National Companies
MNO	Mobile Network Operator
MNP	Mobile Network Portability
MO	Modus Operandi
MSA	The Commission Determination on the Mandatory Standard on Access, Determination No. 3 of 2016

MSAP	The Commission Determination on the Mandatory Standard on Access Pricing, Determination No. 1 of 2017
MSMCS	Mandatory Standards for the Provision of Mobile Content Services, Determination No. 4 of 2009
MSQoS	Mandatory Standards for Quality of Service
MVN	Mobile Virtual Network
MyIX	Malaysia Internet Exchange
N	
NFP	Network Facilities Provider
NSP	Network Service Provider
O	
OTT	Over-the-Top
Q	
QoS	Quality of Service
R	
RAO	Reference Access Offers
S	
SGOV	State Government
SIM	Subscriber Identity Module
SMS	Short Messaging Service
SVoD	Subscription Video on Demand
U	
UPU	Universal Postal Union
USD	United States Dollar
USP	Universal Service Provision
V	
VAS	Value-Added Services
Y	
YoY	Year on Year

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